Asset Accounting (FI-AA)

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Chart of Depreciation

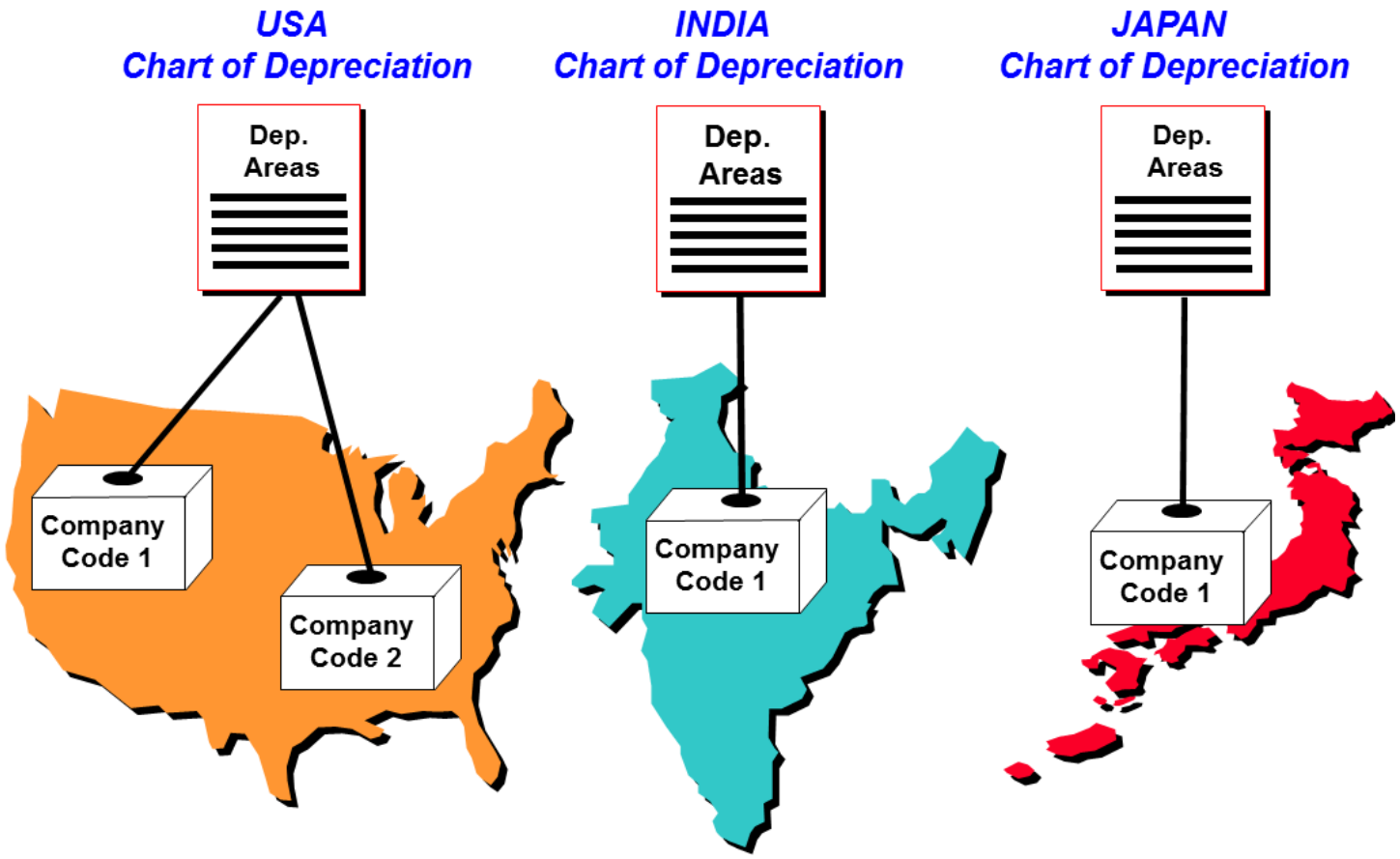
Definition

Charts of depreciation are used to manage various legal requirements for the depreciation and valuation of assets. These charts of depreciation are usually country-specific and are defined independently of the other organizational units.

Example

You can use one chart of depreciation for all company codes in a country.

For more information, see Assignment of Company Code.



Country-Specific Charts of Depreciation

In the simplest scenario, all of your company codes are in the same country and are subject to the same legal requirements for asset valuation, meaning that you only need one chart of depreciation.

Use

SAP provides typical charts of depreciation for each country as a sample. These charts of depreciation have - in accordance with country-specific requirements - different depreciation areas and depreciation keys. It is **not** possible to use these standard charts of depreciation directly. You must create your own chart of depreciation by copying the reference chart of depreciation. You can delete any depreciation areas of the reference chart of depreciation that are **not** needed.

You can document the meaning of any chart of depreciation you set up in the system by writing a description for it.

Note

When you are copying a chart of depreciation, the system also copies other depreciation area-specific parameters. For example, the system also copies depreciation area-specific restrictions that were required in classic Asset Accounting: the transaction types restricted to depreciation areas (see table TABWA). In Asset Accounting, you **no** longer need to post with restricted transaction types (exception: revaluations and investment support).

You must therefore check when you are creating a new chart of depreciation whether restrictions for the transaction types are defined in table TABWA and delete them, if applicable. This also applies if you have copied the chart of depreciation from a sample chart of depreciation.

Transaction types that so far existed with restrictions on the depreciation areas in the system are now redundant and are **no** longer needed.

For more information, see Restriction of Transaction Types on Depreciation Areas.

Structure

A chart of depreciation consists of the following parts:

- In general, you are required to calculate values for assets for different needs, both internal and external (such as book depreciation and cost-accounting depreciation). Therefore, you can manage values for assets in parallel in up to 99 depreciation areas in Asset Accounting. The chart of depreciation, therefore, is a directory of depreciation areas organized according to business management requirements. You define the characteristics, and thereby the significance, of the individual depreciation areas in each chart of depreciation. A depreciation area is always assigned to only one chart of depreciation.
- You flexibly define the keys for the automatic depreciation of assets in each chart of depreciation. They are based on elements for calculation (calculation methods, period controls, and so on) that are available client-wide. You can change and add to the standard calculation keys that are delivered with the system (see Depreciation)
- There are specific objects in the chart of depreciation for special calculations of asset values (for example, investment support keys for investment support, see Special Valuations).

Integration

Company Code/Chart of Depreciation

You have to assign each company code defined in Asset Accounting to exactly one chart of depreciation. In the interests of keeping asset values uniform in your company, you should restrict the number of charts of depreciation used to as few as possible. Company codes in countries with the same valuation rules or company codes of a certain industry sector generally use the same chart of depreciation.

Chart of Accounts/Chart of Depreciation

The assignment of a company code to a chart of accounts is independent from its assignment to a chart of depreciation. This means that several company codes can use the same chart of accounts, although they have different charts of depreciation (and vice versa).

Examples

See the following examples:

- Example: Chart of Depreciation with Depreciation Areas and Ledgers
- Organizational Structure 1

- Organizational Structure 2

Example: Chart of Depreciation with Depreciation Areas and Accounting Principles

A company has the chart of depreciation with the depreciation areas listed below. The company is using the ledger approach.

The following accounting principles are assigned to the depreciation areas:

- **IFRS**

  For recording values for the IFRS accounting principle;

  With the following currencies:

  - 10 = Company code currency EUR
  - 30 = Group currency USD
  - 40 = Hard currency XXX

- **HGB**

  For representing the local accounting principle, in this example HGB (German commercial code)

  With the following currencies:

  - 10 = Company code currency EUR
  - 30 = Group currency USD
  - 40 = Hard currency XXX

Depreciation Area	Depreciation Area Name	Real Depreciation Area	Target Ledger Group	Accounting Principle	Posting in G/L
01	Local depreciation area in local currency (EUR)	X	N1	HGB	1 = Area Posts in Realtime
02	Local area in group currency (USD)	X	N1	HGB	0 = Area Does Not Post
03	Local depreciation in hard currency (XXX)	X	N1	HGB	0 = Area Does Not Post
30	International depreciation area (IFRS) in local currency (EUR)	X	0L	IFRS	1 = Area Posts in Realtime
31	International depreciation area (IFRS) in group currency (USD)	X	0L	IFRS	0 = Area Does Not Post
32	International depreciation area	X	0L	IFRS	0 = Area Does Not Post

Depreciation Area	Depreciation Area Name	Real Depreciation Area	Target Ledger Group	Accounting Principle	Posting in G/L
	(IFRS) in hard currency (XXX)				
35	Cost-accounting dep. (statistical only)	X	0L	IFRS	3 = Area Posts APC and Depreciation Periodically

Notes:

- Depreciation area 01 does **not** necessarily have to be assigned to the leading ledger.
- If you have parallel accounting principles, you have to assign the accounting principles to the chart of depreciation, regardless of whether you use the ledger approach or the accounts approach. A ledger group, in turn, always has to be assigned to each accounting principle.

  With the accounts approach, each accounting principle refers to a ledger group that contains only the leading ledger 0L. Assigning a ledger group is necessary for technical reasons, so that it is possible to assign the accounting documents for each transaction in Asset Accounting.

Organizational Structure 1

The organizational structure (chart of accounts/chart of depreciation) below shows one possible organization:

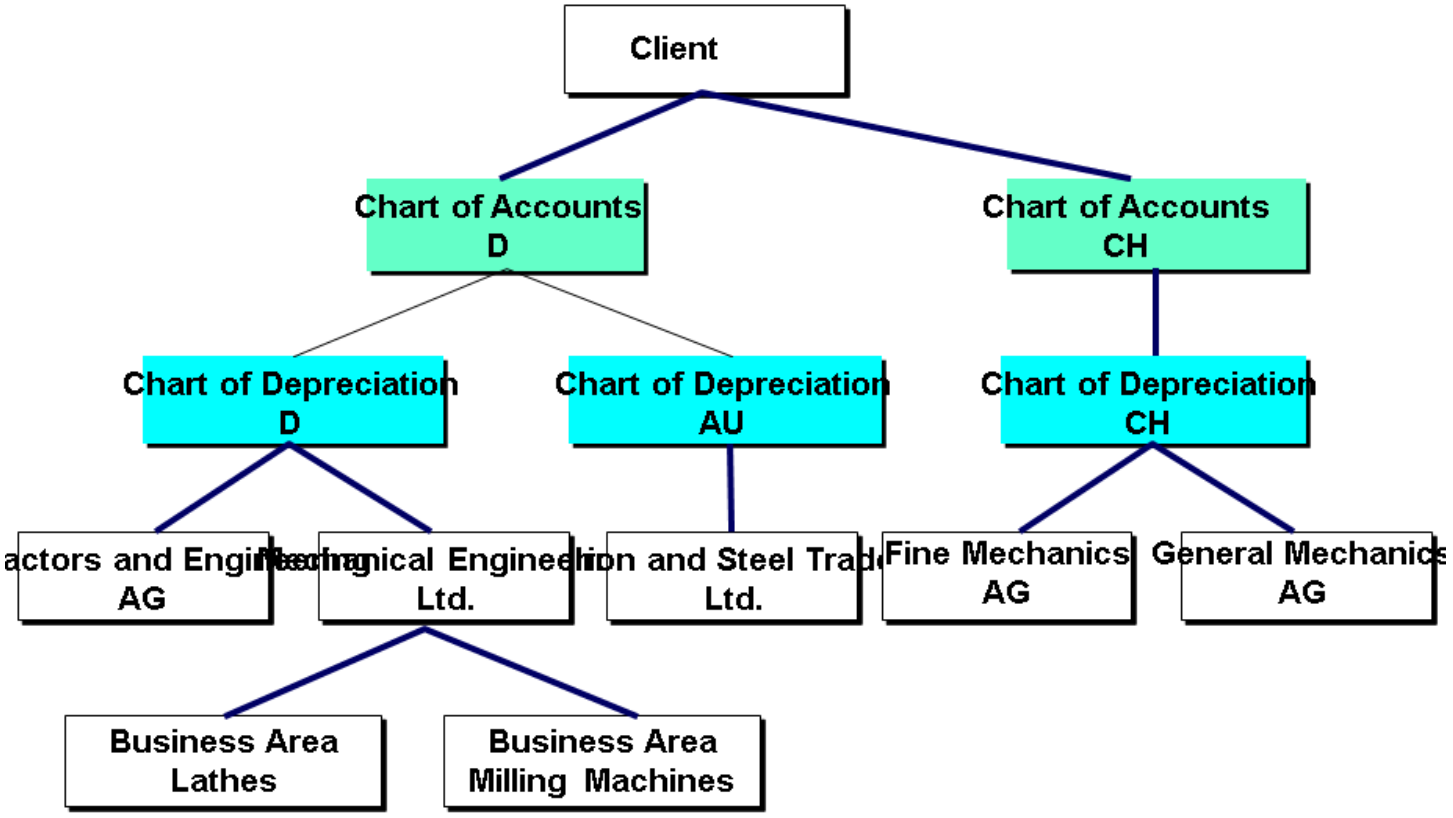


Figure: Organizational Structure 1

Organizational Structure 2

The organizational structure below (chart of accounts/chart of depreciation) would be possible:

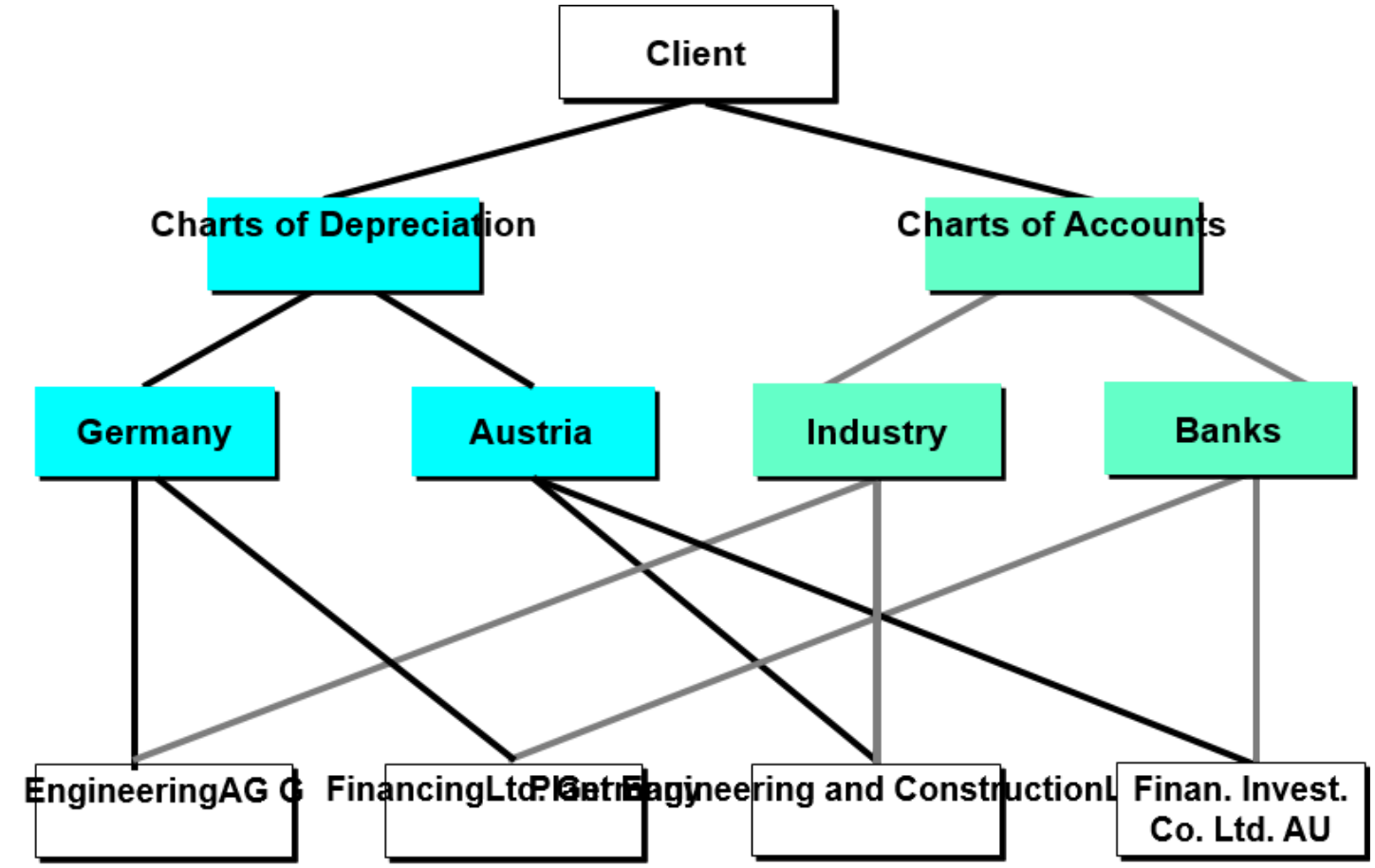


Figure: Organizational Structure 2

Assignment to Organizational Units

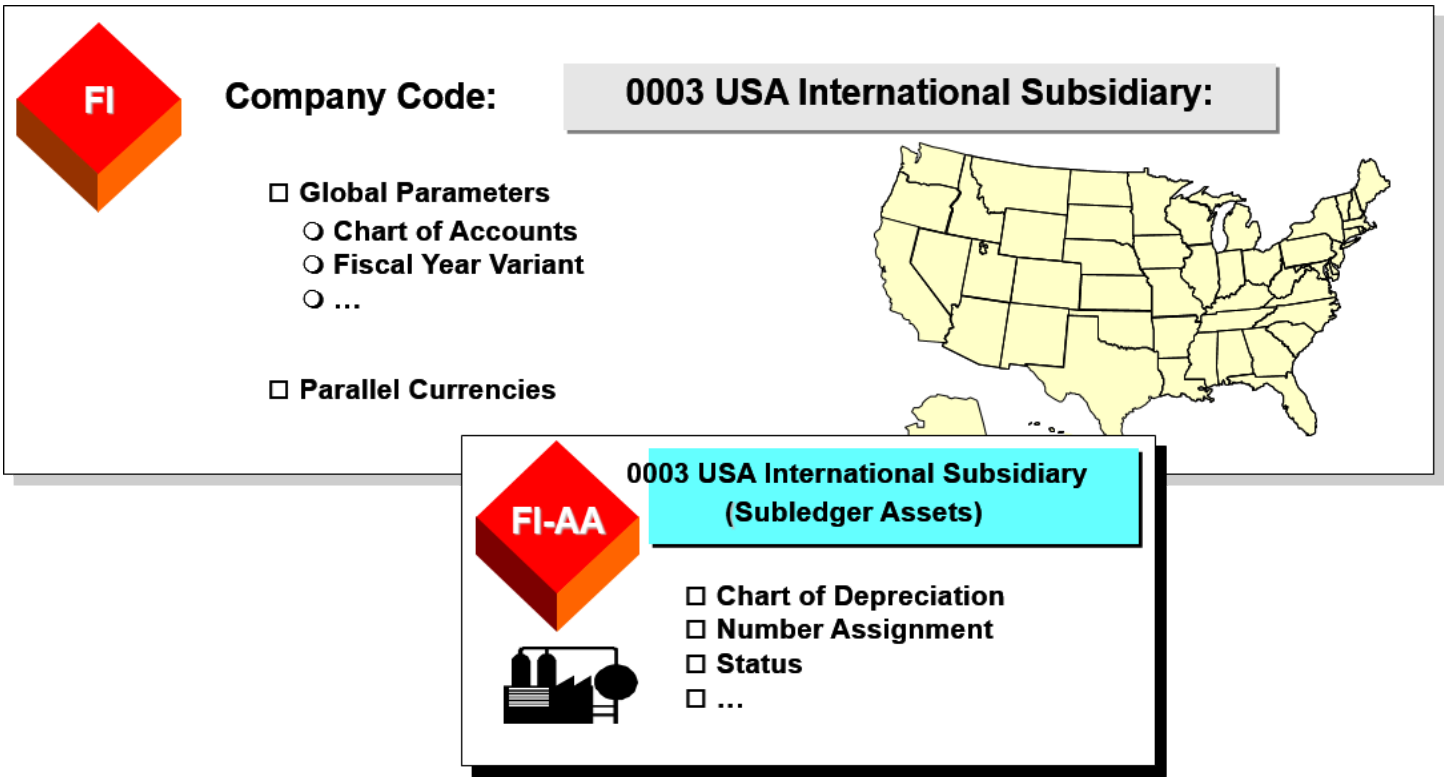
Use

You can assign an asset to a number of organizational units by making entries in the asset master record. These assignments are meaningful primarily in other SAP application components. However, there are also functions and requirements for Asset Accounting that make it necessary or desirable to make organizational assignments.

Assignment of Company Code

Use

Asset Accounting uses the same company codes as the general ledger. However, you need to define these company codes further with the specifications needed for Asset Accounting. An FI company code is not usable in Asset Accounting until it has been defined in this way.



Company Code Definition

Prerequisites

To make a company code usable in Asset Accounting, you have to assign a chart of depreciation to the company code. You do so in Customizing for **Asset Accounting** under **Organizational Structures** > **Assign Chart of Depreciation to Company Code**.

Also make the following system settings at the company code level:

- Company code for number assignment (for number assignment across company codes) –refer to Number Assignment .
- Fiscal year variant. In a non-leading ledger, you can enter a fiscal year variant that differs from that of the leading ledger. The start and end dates of the fiscal year variants assigned to one company code must always be the same. Under certain circumstances, you can also assign a different, FI-AA-specific fiscal year variant.

  For more information, see Different Fiscal Year for FI-AA.
- Depreciation area for net worth tax
- Document type for posting depreciation
- Settlement profile for the settlement of assets under construction

Features

The most important control feature in the Asset Accounting company code is the chart of depreciation . It contains the parameters (such as the depreciation keys) that are used for calculating asset values in a given country. You have to assign each company code, in which assets are managed, to exactly one chart of depreciation.

Assigning Assets

You have to enter a company code when you create an asset. This ensures that each asset is always uniquely assigned to a company code.

Status

An Asset Accounting company code can have one of the following statuses:

- **Test Operation**: This status lets you reset master data and transaction data.
- **Productive**: This status makes resetting master data and transaction data **no longer** possible.
- **Deactivated**: No postings **at all** are possible in Asset Accounting.

Reports

You create asset reports per company code. For reports for a group concern, it is also possible to run reports on all or several company codes

Legacy Data Transfer

For legacy data transfer, you can set the transfer date for each company code, and make various parameter settings.

Assignment to Business Area

Use

The business area is another organizational criterion for General Ledger Accounting, in addition to the company code.

Features

If you specify in Customizing for general ledger accounting that business area balance sheets be created for a company code, the system requires that assets be assigned to a business area during master record maintenance. The business area can also be adopted automatically from the cost center that you entered. As long as a fixed asset is assigned to a business area, the system makes account assignment of all postings to this asset to this business area, including depreciation and gain or loss postings on asset retirement.

When certain conditions are met, it is possible to change the business area using the master data transaction (compare Changes to Master Data). Otherwise, when the business area of an asset changes, you have to manually post a transfer of the asset to a new asset master record.

Assignment to Plant/Location/Address

Use

The meanings of the **plant** and **location** organizational units are primarily specified in the SAP system logistics components.

Prerequisites

You maintain plants and locations in Customizing under **Enterprise Structure**.

Features

Plant

Generally, the plant is a plant location or branch. The plant has **no** asset accounting relevance, but it can be used as a sort and selection criterion for reports. You can assign a fixed asset to one plant for a set time in its asset master record. By changing the asset master record, you can change the assignment to a different plant.

Location

The **location** organizational unit is handled the same as the plant. You can also assign a fixed asset to a location for a set time.

Address

In the Customizing definition of the location, you can also specify an address. Using this method, you can indirectly assign an address to an asset. The comprehensive address data consists mainly of

- Street address
- PO box
- Information for communication (such as telephone number)

Since the address is linked to the location, all assets with the same location must have the same address. You can analyze the address of the location with a standard report for Asset Accounting (see Asset Lists). You can display the address in the asset master record, on the **Time-dependent data** tab page.

Note

You can use the address to assist in determining net worth tax burden in the USA.

Assignment to Cost Center and Profit Center

Use

For internal accounting purposes, you generally need to have asset costs available for each cost center. Therefore, you can assign each asset in Asset Accounting to exactly one cost center. You make this assignment in the asset master record.

The following values can be assigned to this cost center:

- Post all depreciation and interest for the asset (see System Settings for Depreciation Posting)
- Plan all future depreciation and interest (for primary cost planning, see Primary Cost Planning)
- Statistically post gain or loss from the sale of assets (see Additional Account Assignment)

Prerequisites

If you want to use cost accounting across company codes, then you have to set this up in Customizing for **Asset Accounting** under **Master Data** > **Specify Cost Center Check Across Company Codes**.

You define the necessary clearing accounts for this for the different company codes in Customizing for **General Ledger Accounting**. Choose **Business Transactions**.

Features

The cost center assignment of a fixed asset can be set to begin on a specific day. If this date changes over the course of time, the system distributes depreciation and interest, according to the appropriate period, to the different cost centers, whereby costs are always allocated to the cost center valid at the end of the depreciation period. The history of the cost center changes can be managed in the system as long as you wish. A cost center can also be assigned to a business area as can an asset. In asset master record maintenance, therefore, the system ensures that the business area of the cost center matches the business area of the asset.

If you assign assets to more than one cost center at the same time, you have to:

- Distribute the costs either within Cost Center Accounting using a distribution cost center, or
- Post depreciation and interest to an internal order and then settle the order.

Cost Accounting Across Company Codes

Cost Accounting can be organized at company code level as well as across company codes. Cross-company code cost accounting allows you to assign a cost center to an asset when the company code of the cost center is **not** the same as that of the asset. Before you do this, you have to allow this procedure in Customizing. The system then makes additional account assignment of depreciation and interest to this cost center (that is in a different company code than the asset). The system posts the debits using the cost element that is entered as depreciation expense account in the **FI-AA account determination**. This type of posting is possible since all of the company codes belonging to a controlling area have to use the same chart of accounts.

The system then posts (regardless of the depreciation area) the depreciation expense in the company code of the cost center, and the value adjustments in the company code of the asset. In addition, the system creates a clearing posting to the clearing accounts of both company codes. You define the necessary clearing accounts in the component **General Ledger Accounting**.

Number assignment for the accounting documents created is different depending on the document:

- The document number for the document in the asset company code is assigned externally, that is, by the depreciation posting program, in the same way as normal document number assignment for depreciation posting.
- The document number for the document in the cost center company code depends on the document type that was defined in Customizing for this cross-company transaction. You make this setting in Customizing for **Asset Accounting** under **Integration with General Ledger Accounting** ▸ **Post Depreciation to General Ledger Accounting** ▸.

When you set up the system in this way, it is **not** possible to post revenue/expense from asset transactions (such as gain or loss from asset sales) from the book depreciation area to cost centers.

The following graphic shows an overview of these postings:

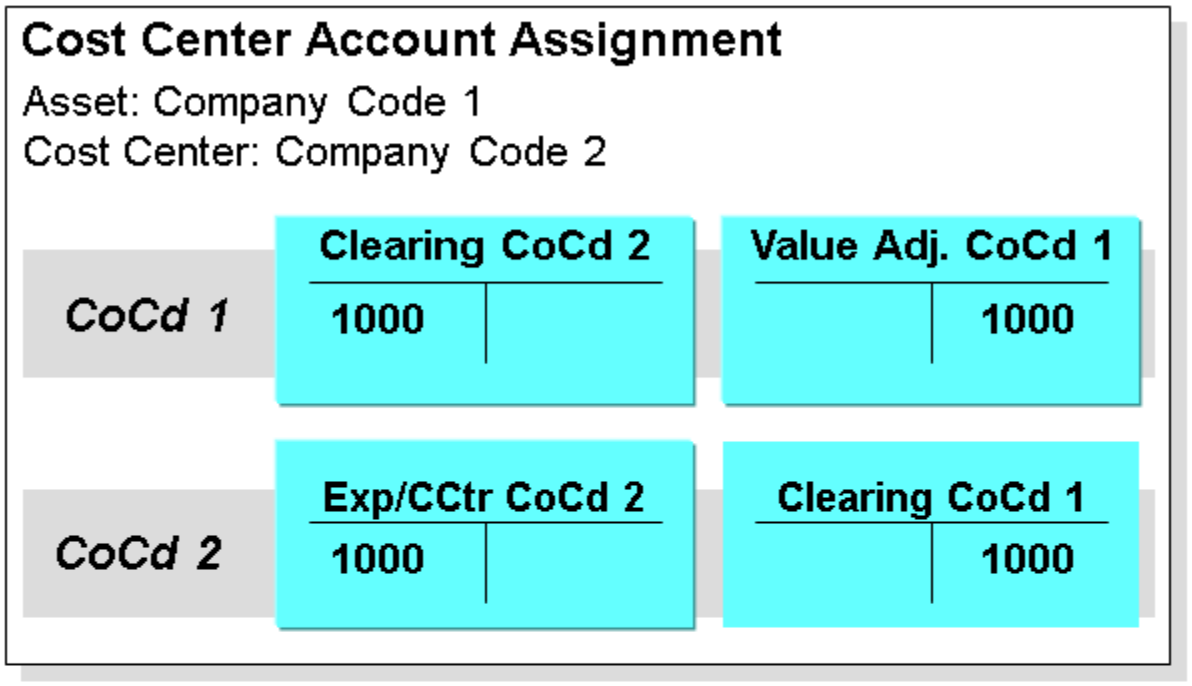


Figure: Cost Accounting Across Company Codes

You specify all of these accounts (except for the company code clearing accounts) in Customizing for **Asset Accounting**.

Assignment to Segments

Use

You can enter a segment in the master record of a profit center. As a result, when you post to an asset, the system derives the segment indirectly from the profit center that results from the cost object (such as cost center, internal order, or WBS element) to which account assignment is made in the asset master record.

If you use segment reporting, you enter the profit center and/or segments directly in the asset master record. This ensures a unique assignment of the asset to the segment. You can then create asset reports relating to profit centers and segments.

More Information

For more information, see Segment Reporting.

Functions of the Asset Class

Use

Asset classes are the most important means of structuring fixed assets. You can define an unlimited number of asset classes in the system. You use the asset classes to structure your assets according to the requirements of your enterprise. Asset classes apply in **all** company codes. The asset class catalog, therefore, is relevant in all company codes in a client. This is also true when the company codes have different charts of depreciation and therefore different depreciation areas.

Prerequisites

You define asset classes in Customizing for Asset Accounting under **Organizational Structures** > **Asset Classes**.

You also assign a chart of depreciation to an asset class in Customizing. Choose **Valuation** > **Determine Depreciation Areas in the Asset Class**.

To generate asset classes that correspond to your G/L accounts, go to Customizing under **Organizational Structures** > **Asset Classes** > **Generate Asset Classes from G/L Accounts (1:1)**.

Features

Depending on the functions you want the asset class to have, consider the following when creating asset classes:

- The asset class provides default values to all asset master records in the class. In this way, the asset class functions as a sample master record, and makes it possible to create new asset master records simply and without errors.
- The screen layout, tab layout and the field characteristics (required/optional/suppressed) of the asset master record can be set for the asset class.
- The assignment of asset numbers can be controlled by the asset class.
- The asset class is a selection criteria in all standard reports in Asset Accounting. In addition, you can also request sorting and totaling by class-specific characteristics.

→ Recommendation

It is particularly useful to use the asset class to provide default values for valuation parameters (depreciation key, and so on). Therefore, define at least as many asset classes as you have assets with different valuation parameters.

Account Determination

One of the most important functions of the asset class is to establish the connection between the asset master records and the corresponding accounts in the general ledger in Financial Accounting. This connection is created by the account determination key in the asset class (refer to Account Determination

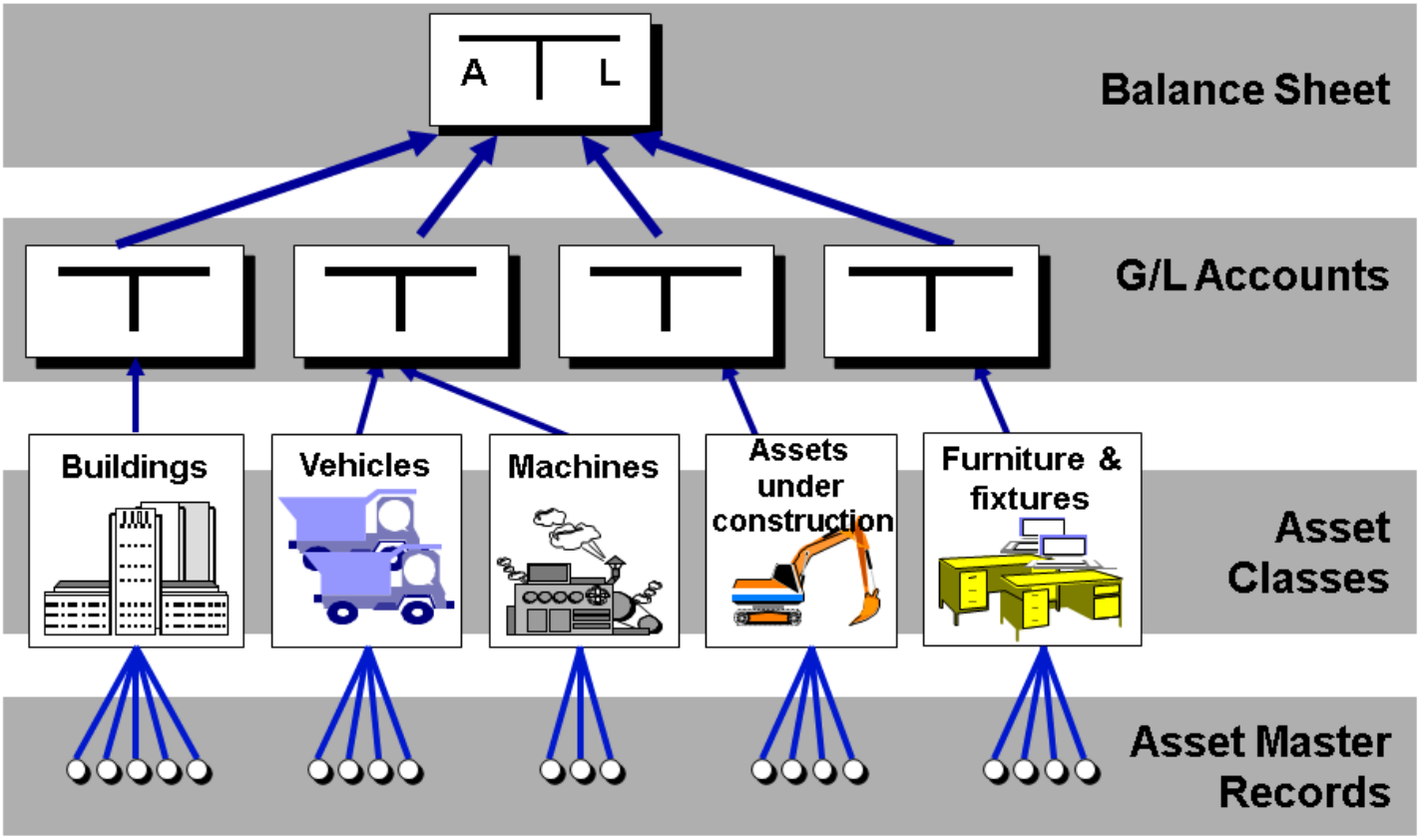


Figure: Account Determination

Structure of the Asset Class

An asset class consists of three main sections:

- A header with the control parameters for master data maintenance and account determination
- A master data section with default values for the administrative data in the asset master record
- A valuation section with control parameters for valuation and default depreciation terms for each depreciation area

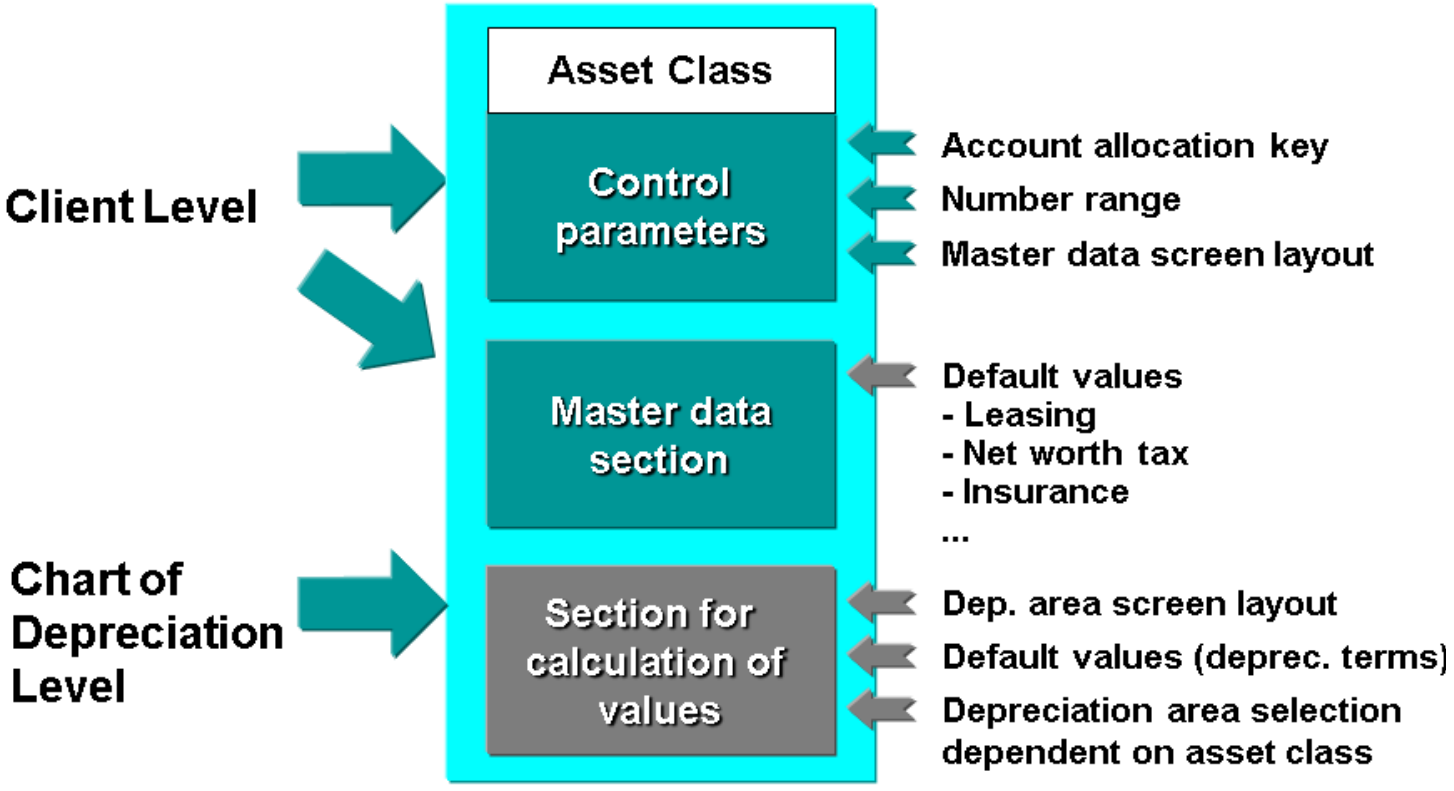


Figure: Structure of the Asset Class

You can assign any number of charts of depreciation to each asset class. In this way, you can have country-specific depreciation terms for each combination of asset class and chart of depreciation. And these depreciation terms are the default values in the given chart of depreciation.

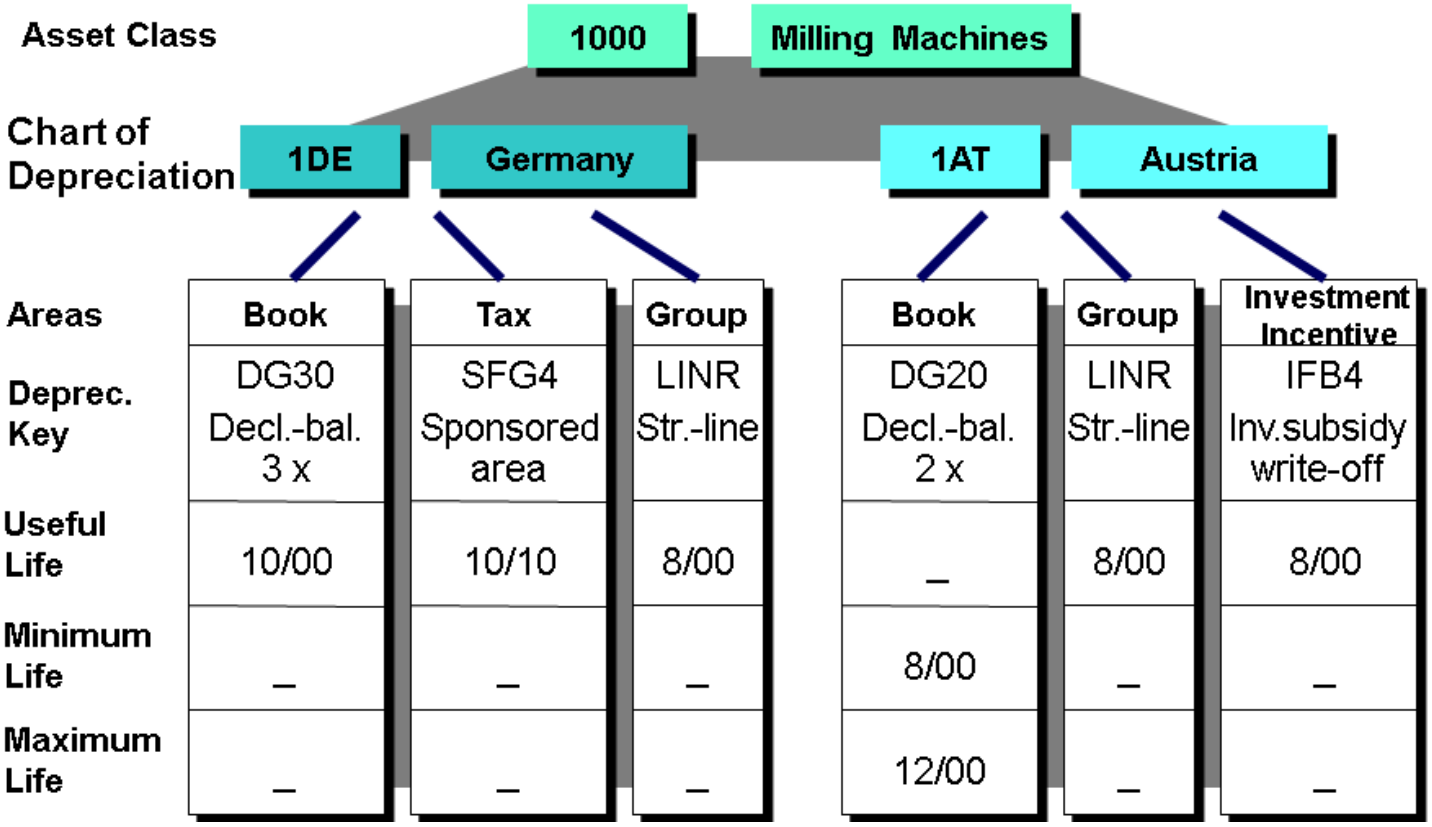


Figure: Asset Classes and Chart of Depreciation

The control parameters and the master data section of the asset class are always valid for all company codes within a client. However, it is also possible to specify that certain general master data is dependent on the chart of depreciation, and to use it also to provide default data.

Default Values

You should create reasonable default values in the asset class for control and valuation parameters in the asset master record. The most important fields of the asset master record are also found in the asset class (administrative data as well as valuation data). You can define the screen layout control, so that these fields can **no** longer be changed at the master record level (refer to Screen Layout and Maintenance Level).

You need to enter defaults for administrative details (such as insurance information) only once for each asset class, and therefore uniformly for all company codes and charts of depreciation. The following master data can, however, also be entered separately in the asset class for each chart of depreciation:

- Screen layout and account determination
- Evaluation groups (4 characters)
- Insurance type and insurance index series
- Property classification key

Creating the Asset Class

Creating the asset class is a Customizing activity. Account determination is the most important function of the asset class. There is a function in the system, therefore, for generating an asset class to correspond to each APC general ledger account. The system

generates these asset classes automatically, in a one-to-one relationship to the accounts (see the "Prerequisites" section above).

Note that several asset classes can use the same account determination key. Therefore, you can copy the asset classes that were generated by the system. The asset class, as a result, can provide a more detailed classification of assets than the asset G/L accounts. You need to assign the asset class key yourself for asset classes that you copy. There is **no** internal number assignment of the asset class key. It can be alphanumeric and up to 8 characters long. When you use the system to automatically generate asset classes, the system uses the APC account number as the account key.

After the system creates the asset class, only the account key and the control portion of the asset class are created at first. You maintain the default values for the asset class in further Customizing steps (for example, by choosing **Special Valuation** > **Insurance**). You maintain the depreciation terms (such as the depreciation key) under **Valuation**.

⚠ Caution

- Changes to master data in the asset class only have an affect on newly created assets. The system does **not** automatically carry out the changes for assets that already existed. For this purpose, you should use the mass change procedure (refer to Mass Change).
- When you create an asset in an asset class, the chart of depreciation of the asset company code has to be assigned to the asset class.

Asset Types (General)

Fixed assets as a whole is made up of a variety of different types of assets. The balance sheet represents this variety using the following balance sheet items

- Intangible assets
- Tangible assets
- Leased assets (right of use)

  Note: **Contract and Lease Management** is available for the management of leased assets (right of use).

  The solution uses the Real Estate Contract master data object in the Flexible Real Estate Management (RE-FX) component. The values are posted in Asset Accounting and General Ledger Accounting.
- Financial Assets

  Note: **Treasury and Risk Management (TRM)** is available for managing financial assets.

It is generally desirable to provide for a more detailed classification of assets according to asset types. Defined asset types are **not** provided for in Asset Accounting. There is **no** object or control indicator in the system called **asset type**.

Every asset type is represented by one or more asset classes that you define. These asset classes contain certain control indicators. The asset class can serve as a kind of sample master record for the assets in that class.

Generally, all the asset classes for an asset type will use the same

- account determination and
- the same screen layout control

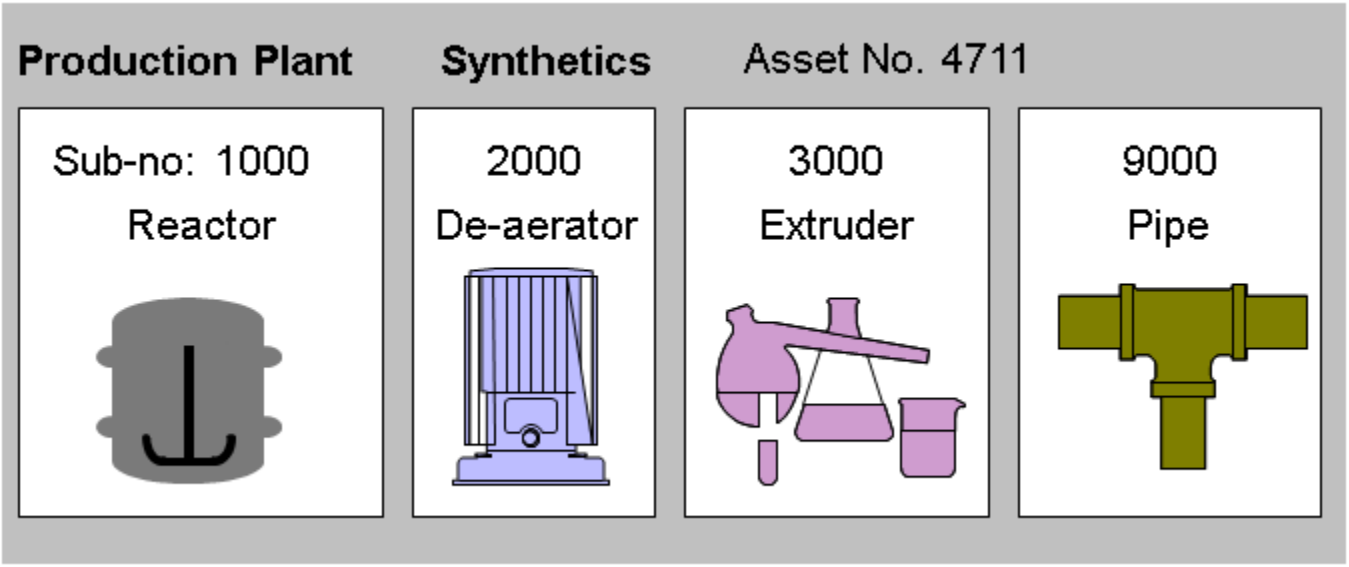
Representing Fixed Assets

Use

The term “asset" is used for simple assets, as well as for complex large-scale assets that consist of a number of component assets. The data structure of the system, with a 12-character alpha-numeric main asset number and a 4-character subnumber, allows both. The main asset number represents the asset as a whole. Parts of assets can be represented by different subnumbers.

Features

Every master record is automatically created with at least one subnumber, even if no sub-assets exist. The system marks the first master record as the main asset number master record. When you use internal sub-number assignment, this main number has sub-number "0000". You can create additional subnumbers for this main number master record. The system manages values for each subnumber for every individual depreciation area in year segments. The individual transactions are posted directly to the subnumbers as line items.



Example: Main Asset with Subnumbers

Basic Functions for Asset Valuation

The valuation functions of Asset Accounting are used to determine the values of all fixed assets at a given point in time, based on the demands of governmental authorities, or based on your own rules that meet your individual needs.

Integration

Use

The integration of Asset Accounting with other Financial Accounting application components provides you with the following functions in Asset Accounting:

- You can post asset acquisitions and retirements that are integrated with Accounts Payable and Accounts Receivable.
- You can make account assignment of down payments to assets when you post down payments in Financial Accounting.
- You can post depreciation from Asset Accounting to the appropriate general ledger accounts.

You can also make account assignment to fixed assets from the following application components for the business transactions listed below:

- Materials Management (MM)
- Plant Maintenance (PM)
- Investment Management (IM)

Features

Materials Management

Purchase Requisition - Outline Agreement - Purchase Order (MM)

If you post to an asset when entering a purchase requisition or an outline agreement, the system checks, with reference to the planned delivery date, whether the fixed asset actually exists and whether you can post to it. The same checks are carried out if you post to a fixed asset when entering a purchase order. Moreover, the system ensures that you do **not** exceed the upper limit for low-value assets. You can still change the asset, for which account assignment is to be performed, until receipt of the first goods or invoice for a purchase order.

ℹ Note

If you want to make account assignment to assets when creating purchase orders, purchase requisitions and outline agreements, the account entered in Financial Accounting for acquisition and production costs must be assigned to a field status group that allows entries in the field groups **Asset Number/Subnumber**, **Transaction Type**, and **Quantity/Material Number**.

Goods Receipt (MM)

Depending on the purchase order, you can post the goods receipt for a purchase order as valuated or non-valuated. When the goods receipt is valuated, the system capitalizes the invoiced value of the goods (based on the purchase order) to the fixed asset. Non-valuated goods receipt is posted against a clearing account.

ℹ Note

In commercial law, the start-up date of a fixed asset normally determines the start of capitalization. The start-up takes place, for the majority of fixed assets, directly after the physical goods receipt. In most cases, therefore, you should post valuated goods receipts.

Invoice Receipt (MM)

It makes a difference whether invoice receipt takes place before or after goods receipt.

- If the invoice receipt is first, the invoice amount (minus taxes and, if applicable, cash discount) is capitalized to the asset.
- If the invoice receipt is second, the difference between the invoice amount (without tax and cash discount) and the posted invoiced value of goods is capitalized, providing the goods receipt was valuated. For invoice receipt after a non-valuated goods receipt, the total invoice amount (minus tax and cash discount) is capitalized.

You determine whether cash discount should already be deducted at the invoice receipt by means of the document type you select.

Material Reservation - Material Withdrawal (MM)

If you have account assignment to an asset while making a material reservation, the system checks whether the asset actually exists. Material withdrawal with account assignment to an asset results in capitalization of the purchase or production costs of the material to the fixed asset. When creating a material withdrawal document, you can refer to a material reservation, if there is one.

Maintenance

Settlement of Maintenance Orders (PM/PP)

You can enter fixed assets as the receivers for the settlement of maintenance orders. This way, you can settle maintenance activities that require capitalization to assets. The system proposes the asset that is assigned to the given equipment or functional location as the settlement receiver.

In addition to maintenance orders, you can settle internal orders to fixed assets.

ℹ Note

For more information, see Settlement of Investment Measures.

Primary Cost Planning (CO-OM-CCA)

You can determine planned depreciation and interest on a periodic basis for primary cost planning related to cost centers. Using a special report, you can transfer this depreciation and interest to primary cost planning in the Controlling (CO) component.

ℹ Note

For more information, see Primary Cost Planning.

Automatic Posting of Assets to General Ledger Accounting

Use

Depending on the specifications in the chart of depreciation and in the asset class, you can manage up to 99 depreciation areas for each asset in the Asset Accounting. Often you are required to reflect these different parallel asset valuations in General Ledger Accounting.

Features

The posting amounts of the depreciation areas are updated on the G/L accounts. The update depends on the option you choose for how the depreciation area posts to the general ledger: You can post the depreciation areas in G/L accounting either in realtime (parallel depreciation in the ledger approach) or immediately (parallel depreciation in the account approach). Depreciation can only be updated periodically.

In Asset Accounting, you have to specify the ledgers that the system posts to in General Ledger Accounting by assigning an accounting principle for each chart of depreciation and depreciation area.

When you define depreciation areas, the following options are available for how the area posts to the general ledger:

- **0 - Area Does Not Post**
- **1 - Area Posts in Realtime**
- **3 - Area Posts Depreciation Only**
- **4 - Area Posts APC Immediately, Depreciation Periodically**

The use of the posting options **Area Posts in Realtime** and **Area Posts APC Immediately, Depreciation Periodically** is explained below.

Posting to the General Ledger: Use of Posting Options

Ledger Approach

For the leading depreciation area of a valuation that manages APC and posts to the general ledger, you have to choose the Area Posts in Realtime option. If you use the ledger approach, this applies not only for the leading valuation, but also for the parallel valuation.

Accounts Approach

For the leading depreciation area of the leading valuation that manages APC and posts to the general ledger, you have to choose the Area Posts in Realtime option. For the leading depreciation area of the non-leading valuation that manages APC and posts to the general ledger, you have to choose the Area Posts APC Immediately, Depreciation Periodically option.

Posting to the General Ledger: in Real Time or Immediately

	Posting indicator Area Posts in Realtime	Posting indicator Area Posts APC Immediately, Depreciation Periodically
Time of Document Posting	The system posts the documents for all relevant valuations, regardless of whether you chose the option Area Posts in Realtime or Area Posts APC Immediately, Depreciation Periodically. If the system **cannot** create and update all documents, then **no** documents are posted.	The system posts the documents for all relevant valuations, regardless of whether you chose the option Area Posts in Realtime or Area Posts APC Immediately, Depreciation Periodically. If the system **cannot** create and update all documents, then **no** documents are posted.
Technical Clearing Account for Integrated Asset Acquisition(1)	The valuating document of the valuation, which you post with this indicator, posts against the Technical Clearing Account for Integrated Asset Acquisition.	The valuating document of the valuation, which you post with this indicator, does **not** post against the Technical Clearing Account for Integrated Asset Acquisition; instead this valuation posts against the Offsetting Account for Acquisition Value (KTANSG)..
Checks for the Technical Clearing Account for Integrated Asset Acquisition Need for Parallel Depreciation Areas	The system ensures that the Technical Clearing Account for Integrated Asset Acquisition always has a balance of zero (for example, for currencies and account assignments). Therefore, for depreciation areas that post in real time, parallel depreciation areas have to be defined for all currencies.	The valuating document of the valuation that posts immediately does **not** post against the Technical Clearing Account for Integrated Asset Acquisition. From a technical perspective, it is **not** mandatory that you create parallel depreciation areas for this depreciation area. However, from a business perspective, you should check whether parallel depreciation areas are needed.

Explanation:

(1) The posting in the same ledger has the result that, for the accounts approach, it is only possible to have one depreciation area that manages APC and posts with the posting option Area Posts in Realtime.

More Information

For more information about Customizing for depreciation areas and about the posting indicator, see Customizing for Asset Accounting under Valuation > Depreciation Areas > Define Depreciation Areas.

For more information, see also the application documentation:

- Features at Chart of Depreciation Level
- Parallel Accounting in Asset Accounting
- Posting Depreciation

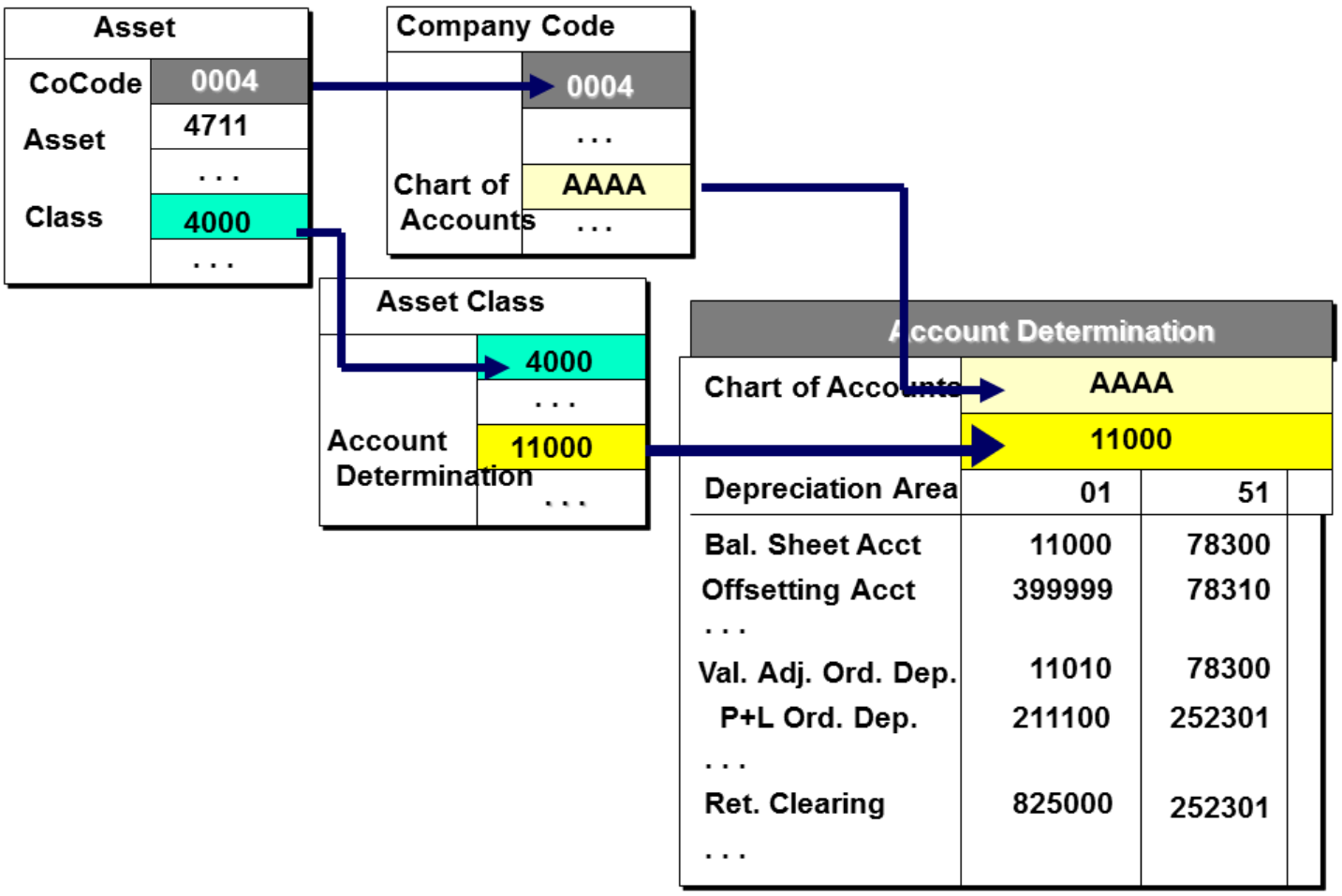
Account Determination

Use

Using Asset Accounting, you can automatically update all relevant transactions to the general ledger. These include all accounting transactions that are posted to assets, and all changes to asset values that are automatically calculated by the system (particularly depreciation). For the leading depreciation areas of an accounting principle, this update takes place in real time. For other depreciation areas (such as depreciation areas for special reserves) the update takes place periodically.

Features

When you post with account assignment to an asset, the system determines the G/L accounts that are posted based on the business process using: the chart of accounts valid in the company code, the automatic posting depreciation area, and the account determination key entered in the asset class.



Account Determination

Chart of Accounts

The chart of accounts contains all accounts in the general ledger. In Financial Accounting, exactly one chart of accounts is assigned to each company code. This assignment is also binding for Asset Accounting.

Account Determination Key

You enter the account determination key in the general master data for the asset class. The account determination key defines the accounts in Financial Accounting that should be posted during asset transactions, for each chart of accounts and depreciation area (defined as an automatic posting area) in the chart of depreciation. The chart of depreciation itself is **not** the key criterion for account determination. This fact is important for company codes that have different charts of depreciation, but use the same chart of accounts. It is **not** possible to specify reconciliation accounts that are chart-of-depreciation-specific for these company codes.

You have to enter an account determination key in every asset class. Doing so guarantees that the account assignment will be the same for all assets in the given asset class. SAP provides account determination keys for the standard charts of depreciation and standard charts of accounts.

Depreciation Area with Automatic Posting to G/L

When you define depreciation areas, you can specify if the values of a depreciation are posted automatically to the general ledger. For every depreciation area that is defined for automatic posting, you can specify its own accounts in an account determination key.

For more information, see Features of a Depreciation Area.

→ Recommendation

You can also specify that one depreciation area uses the account assignment of another. We recommend that you make this setting, if you manage parallel accounting in the general ledger using parallel ledgers, that is, using the ledger approach. The advantage of this approach is that you can use the same account assignment for all accounting principles. In this way, you can avoid having to enter all accounts in the account determination in Asset Accounting multiple times, for each individual depreciation area.

For more information, see Parallel Valuation Methods in Asset Accounting.

You **cannot** enter an account determination for depreciation areas that have the setting **Area Does Not Post**.

Transaction Type

The transaction type identifies the type of business transaction. Using the transaction type, the system posts the transaction to the appropriate accounts of the given account determination (see Transaction Types).

Additional Account Assignments (Account Assignment Objects)

Use

If you use Asset Accounting integrated with Controlling or General Ledger Accounting, the following additional account assignments are possible, depending on the business transaction to be posted:

- Business Area
- Cost Center/Internal Order
- Real estate object

- WBS Element
- Profit Center/Segment
- Funds Center/Financial Budget Item

ℹ Note

- For information about assignable objects in fund accounting, see the application documentation for fund accounting.
- For information about functional areas, see Cost-of-Sales Accounting.

Features

Business Area

All changes to APC can also be automatically posted at the business area level. There is one prerequisite, however. The company code has to be set up to create business area balance sheets. The system then determines the business area that is to be posted for each posting. The system makes this determination based on the business area entered in the asset master record, and transfers this information to Financial Accounting for the automatic posting.

Cost Center/Internal Order

You can make account assignment of the following business transactions (postings to G/L accounts) to the cost center entered in the asset master record or to the internal order in **Controlling (CO)** entered in the asset master record:

- Loss due to scrapping
- Gain/loss due to asset retirements
- Clearing/expense from repayment of an investment support measure (as a result of asset retirement)
- Revenue from post-capitalization
- Revenue from write-ups (all depreciation types)
- Changes to APC can also be updated statistically.

ℹ Note

For an overview of the account assignment of revenue/expense from certain Asset Accounting business transactions to CO objects, see Graphic:. CO account assignments.

The prerequisites for this additional account assignment to CO are:

- A cost center or internal order has to be entered in the asset master data of the asset (in the section for **time-dependent data**).
- The field status variants of the company codes/asset accounts, as well as of the **Technical Clearing Account for Integrated Asset Acquisitions**, have to allow account assignment to cost center/internal order as an optional entry. In Customizing, you choose **Financial Accounting** > **Financial Accounting Global Settings** > **Ledgers** > **Fields** > **Define Field Status Variants**.
- Customizing for the account assignments in Asset Accounting has to allow the update of the account assignment object. It is possible to make this setting for each company code, depreciation area, transaction type and type of posting (APC or depreciation).

- The G/L account has to have been set up as a cost element in CO. For integrated asset acquisitions, this also applies for the **Technical Clearing Account for Integrated Asset Acquisition**.

⚠ Caution

If you enter additional account assignment for both an order and a cost center at the same time (expecting account assignment to both), the order takes precedence. There is **no** account assignment to the cost center. However, the order does **not** take precedence if it is a statistical order. If the order is statistical, then account assignment to both the statistical order and the cost center is possible.

Profit Center/Segment

When Profit Center Accounting is also active, the system also makes additional account assignment of the above business transactions to profit centers. The system determines the profit center to be posted by means of the cost center, the order or the real estate object specified in the asset master record. Further prerequisites for account assignment to a profit center are:

- The field status variant of the affected reconciliation accounts in Financial Accounting as well as the field status variant of the **Technical Clearing Account for Integrated Asset Acquisitions** must allow additional assignment to profit centers. In Customizing, you choose **Financial Accounting** > **Financial Accounting Global Settings** > **Ledgers** > **Fields** > **Define Field Status Variants**.
- The profit center is derived from other account assignment objects. Therefore, the field status of these objects is **not** allowed to be suppressed.
- The profit center can only be derived from objects to which account assignment is also made. You make settings for this in Customizing of additional account assignment. In Customizing, choose **Asset Accounting** > **Integration with the General Ledger** > **Additional Account Assignment Objects**. Here you can make differing settings, particularly for each different depreciation area and different account assignment types (such as APC, depreciation).
- The account assignment object, from which the profit center is to be derived, has to be assigned itself to a profit center.

  ### Example

  When posting depreciation, you want the profit center, derived from the cost center, to also be posted in depreciation area 01. However, you do **not** want account assignment to the cost center itself.

  For this to be able to happen: The field status of the account involved **cannot** be suppressed (hidden) for additional account assignment to profit center and cost center. In addition, depreciation area 01 has to allow account assignment of **depreciation** to cost centers for the transaction type that is used.

- If the profit center is derived, then you can in turn derive a segment from it. You can also derive the segment, based on your specific requirements, from all existing CO objects using a BAdI.

Account Assignment of Depreciation and Interest

Depreciation and interest can be posted to all CO objects listed above. The depreciation posting program makes account assignment to the account assignment objects that are entered in the asset master record.

You make settings for the additional account assignment objects in Customizing by depreciation area. In Customizing, choose **Asset Accounting** > **Integration with the General Ledger** > **Additional Account Assignment Objects**.

You can also post depreciation and interest to cost centers if you are using cost accounting that applies across company codes. This means that the company code of the asset does **not** necessarily have to be the same as the company code of the cost center (see Assignment to Cost Center and Profit Center).

Distribution of Depreciation and Interest

It is only possible to enter one cost center in the asset master record. You distribute depreciation and interest to different cost centers using settlement within Controlling (CO). The cost center in the asset master record then serves the function of a distribution cost center.

The disadvantage of this approach is that reports show only the distribution cost center, and not the cost centers that are actually debited. Also, you need to create a separate cost center for the distribution. A different approach is to follow this procedure:

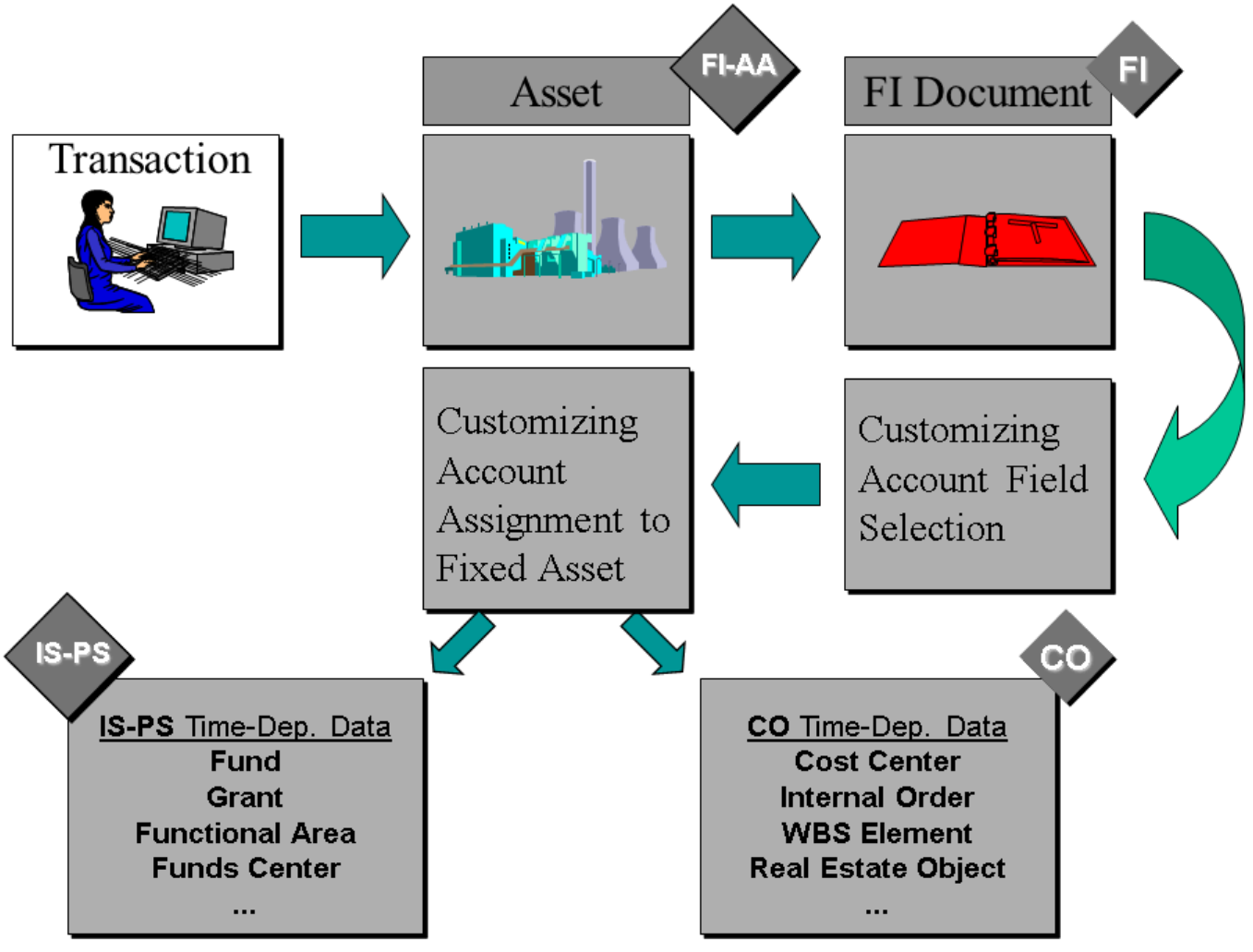
- Determine the cost center that you want to be shown in asset reports as the cost center of the asset. Enter this cost center in the asset master record.
- Enter an internal order in the asset master record. The system then posts to this order when it posts depreciation. The system does **not** post to the cost center.
- Settle the internal order to the cost centers that you want to debit.

Account Assignment to Activity Type

It is possible to enter an activity type in the asset master record along with the cost center. When an activity type is entered, all debits that have account assignment to the cost center are also posted automatically to the activity type as well. The only prerequisite is that you set up Customizing for Controlling so that account assignment of actual postings is made to activity types.

Graphic: Account Assignment to CO

The following figure shows the account assignment to CO of revenue and expense from Asset Accounting business transactions:



Additional Account Assignment

Cost of Sales Accounting

Use

In General Ledger Accounting (FI-GL), you can create the profitability analysis in accordance with cost of sales accounting. In this process, revenues and expenses are reported separately by functional area.

Prerequisite

You have activated account assignment object **Functional Area** as an additional account assignment object and specified the account assignment types.. In Customizing for asset accounting, choose **Integration with the General Ledger → Additional Account Assignment Objects**.

Features

To separate expenses for each functional area, the expenses must be able to be assigned from depreciation to the functional areas. The depreciation posting program assigns the functional area to the respective assets.

To determine the functional area, there are two different options:

- The functional area is defined in the asset master record.

  In the asset master record (on the **Time-Dependent Data** tab page), it is possible to specify a functional area. If an entry exists here, it is used and i**no** other functional area is derived.

- The functional area is **not** defined in the asset master record.

  In this case, the system derives a functional area in the following sequence:

  a) If a functional area is defined in the account (or the cost type), then it is used.

  b) If **no** functional area could be determined for a), then the system tries to derive a functional area from the additional account assignment objects (for example, cost center, order). The functional area can only be derived from objects that have been assigned to (see section on additional account assignments).

  If you have defined a substitution rule for deriving the functional area, then the system uses it, independently of whether a functional area could be determined by a) or b). This means you can also override a functional area that has already been derived. You can define the substitution rule in Customizing, under **Financial Accounting Financial Accounting Global Settings Tools → Validation/SubstitutionDefine and Activate Substitution for Cost-of-Sales Accounting**.

  ### Example

  When posting depreciation, the functional area in depreciation area 01 should be derived from the cost center. However, you do **not** want account assignment to the cost center itself.

  To do this, depreciation area 01 has to allow account assignment of **depreciation** to cost centers and to functional areas for the transaction type that is used. The field status of both these objects must **not** be hidden. The account must **not** be an account type.

Posting Depreciation

Use

Every asset transaction in Asset Accounting immediately causes a change of the forecasted depreciation. However, an asset transaction does **not** immediately cause an update of the depreciation and value adjustment accounts for the financial statements. The planned depreciation is posted directly to Financial Accounting when you run the periodic depreciation posting run. This posting run posts the planned depreciation for each posting level for each asset as a lump sum amount.

ℹ Note

During the posting of depreciation, the system does **not** create documents for each asset. It creates collective documents instead.

Prerequisites

You can choose both the posting cycle and the additional account assignment levels (such as, cost center or order; see the documentation for additional account assignment) for the depreciation posting run for each company code and depreciation area.

To do so, perform the following activities in Customizing for **Asset Accounting**:

- **Integration with General Ledger Accounting** > **Post Depreciation to General Ledger Accounting** > **Specify Intervals and Posting Rules**
- **Integration with General Ledger Accounting** > **Post Depreciation to General Ledger Accounting** > **Additional Account Assignment Objects**

You can enter the accounts to be posted for each depreciation area in each of the account determinations (see the documentation for account determination).

Features

The calculation and scheduling of depreciation, interest and revaluation are automatically controlled by keys in the system, or you can control them manually using a special posting transaction. In both cases, planned values from Asset Accounting have to be periodically posted to the corresponding asset and expense accounts of the general ledger. In addition to the various depreciation types, interest and revaluation, the system also posts the allocation and write-off of special reserves during this posting run.

ℹ Note

For more information on the posting run, see Posting Depreciation.

Performance

It is difficult to provide precise information on performance of the depreciation posting run, since it is strongly dependent on your system configuration. However, you can use the figures below for a rough estimate:

- For the calculation of depreciation, 16000 assets per hour is possible.
- Since only collective documents are created, the number of documents to be posted in a depreciation posting run depends on the number of G/L accounts to be posted, and on the number of combinations of account assignments and account determinations.

⚠ Caution

Keep in mind that the update run of the depreciation posting run can only be started in the background.

System Settings for Posting Depreciation

Use

The following describes the possible Customizing settings for posting depreciation. You can find these activities in the Implementation Guide for Asset Accounting under **Integration with the General Ledger**.

Features

Depreciation Areas to be Posted

You decide which depreciation areas should have their values posted to Financial Accounting (FI). In Customizing for Asset Accounting, choose **Define How Depreciation Areas Post to General Ledger**. Enter depreciation posting rules for these areas.

ℹ Note

All company codes that are assigned to one chart of depreciation post depreciation to the same depreciation areas. You have to enter depreciation posting rules for these areas. This means that a depreciation area, which is assigned to two company codes through its chart of depreciation, has to post depreciation in both company codes. Posting in one while omitting the other is not possible.

Posting Document Type

You have to specify a document type for posting depreciation. When you post depreciation, do **not** use document types that are limited to use with batch input. (See Posting Depreciation). Otherwise the depreciation posting run is **not** able to post directly to Financial Accounting.

ℹ Note

For each company code, you can enter only one document type that can be used for posting in all posting depreciation areas.

It is also essential that you specify in the definition of of the document type that it uses a number range with external number assignment. For more information, see SAP Note 903118. You need to prevent manual postings using this document type through organizational measures in your enterprise.

The following relates to the settings you can make for posting depreciation in the **Specify Intervals and Posting Rules** IMG activity:

Depreciation Posting Cycle

You determine the depreciation posting cycle by entering the length of time (in posting periods) between two depreciation posting runs in the activity **Specify Intervals and Posting Rules**. This means that a setting of 1 indicates monthly posting, 3 means quarterly posting, 6 means semi-annual, and 12 means annual (for a fiscal year variant with 12 posting periods). When you start a depreciation posting run, you have to enter the period for which you want it to be carried out.

You do not necessarily have to adhere to the posting cycle. You can also choose an unplanned depreciation posting run using an indicator on the selection screen of the depreciation posting program. When you set this indicator, you can skip over several periods, and post the total depreciation for all of the skipped periods in one period. This might be necessary, for example, if you carried out legacy data transfer during the fiscal year. The program then calculates the depreciation up to the point of the transfer all at once.

⚠ Caution

You can use a different fiscal year variant in Asset Accounting than you do in General Ledger Accounting (cf. Fiscal Years and Periods). The period you enter in the depreciation posting run, however, is **always** the period in the fiscal year variant for the general ledger.

If you set the **Alternative Fiscal Year Variant** indicator in Customizing for **Asset Accounting** under **Valuation** > **Fiscal Year** > **Fiscal Year Variants** > **Allow Differing Variants for Depreciation Areas with G/L Integration**, then the fiscal year variant of the given ledger is the determining one; otherwise it is always the fiscal year variant of the leading ledger. The same applies for the display of the posted depreciation in the **Asset Explorer**.

If you are using a different fiscal year variant in Asset Accounting, the system determines the FI-AA period to be posted in the following way:

First, the system determines the date of the last day of the FI period entered (according to the fiscal year variant of General Ledger Accounting). Then it determines the FI-AA period in which this date falls, and posts to this period. For example, you might enter period 1 for the depreciation posting run, but the system posts period 2. The reason for this difference is that January 31 falls in period 2 according to the alternative fiscal year variant in Asset Accounting. This problem occurs particularly when you use fiscal year variants that apply to specific depreciation areas.

Posting Procedure: Catch-Up Method

The system supports the following procedure for distributing the forecast depreciation over the posting periods. the **catch-up method**.

Using the catch-up method, the system calculates the posting amount from the difference between the planned depreciation and the posted depreciation in this posting period.

Example

Acquisition posted in period 5	12000
Depreciation start in period	1
Planned annual depreciation	1200
Posted depreciation up to period 5	0
Planned depreciation up to period 5	500
Depreciation to be posted period 5 =	**(500-0) = 500**
Depreciation to be posted per period (6-12) =	**(700/7) = 100**

Mid-year acquisitions or post-capitalizations are handled as follows in the catch-up method: The depreciation falling due on a transaction within the fiscal year (from the depreciation start date, according to period control, up to the current period) is posted in one total. The depreciation posting program posts this amount in the period, in which the posting date of the transaction lies. The amount posted is dependent on the asset value date.

Posting Interest/Revaluation

If you manage interest or revaluation in a given depreciation area, you can post them to appropriate accounts in Financial Accounting in the same way as depreciation. Or you can specify that they be ignored. It is **not** possible to post interest or revaluation alone (without depreciation).

Note

For more information on the calculation of interest to be posted, see Calculation of Interest.

Additional Account Assignments

In each depreciation area, you can specify to which of the possible objects (such as cost center or order) account assignment of depreciation should be made. This information is then taken from the asset master record, if applicable, and passed on to Financial Accounting as an additional account assignment.

You make the settings for this in Customizing under **Additional Account Assignment Objects**.

ℹ Note

For more information, see Additional Account Assignments (Account Assignment Objects).

Depreciation

Purpose

The following posting types are available:

- Automatically calculated depreciation types (can also be planned manually):
  - Ordinary depreciation
  - Special depreciation
- Depreciation types that are normally planned manually:
  - Unplanned depreciation
  - Transfer of reserves/reduction of APC

The automatic calculation of depreciation is controlled by depreciation keys in the system. These depreciation keys can be modified. In this way, you can define your own methods for calculating asset values.

The interest calculation for valuations for cost-accounting purposes is treated as a depreciation type by the system in the same way as depreciation calculation and therefore controlled by depreciation keys and calculation methods.

Additional Information

The following sections describe automatically calculated depreciation.

The handling of manual depreciation is described in section Manual Planning of Depreciation .

For more information on posting depreciation, see Post Depreciation.

New Depreciation Calculation Using DCP

Use

The Depreciation Calculation Program (DCP) provides new functions for calculating depreciation.

Integration

The depreciation calculation program is a back-end solution that does not require any special configuration. In addition, SAP provides Business Add Ins (BAdI) that you can use to modify the calculation of values. (These BAdIs are similar to the user exits available in depreciation calculation up to now).

Features

The new functions available in the DCP include:

Period-Based Calculation:

- The calculation of depreciation is now based on periods, rather than on individual transactions, as was previously the case.The system groups the transactions for an asset together by the calculation period.
- The system uses the asset value date and the period control group of the transaction type group to determine the calculation period.The system assigns each transaction to a calculation period.
- Then the system creates period intervals from the calculation periods that were determined. Based on these intervals, the system calculates the depreciation.

Time-Dependent Depreciation Terms:

- You can make time-dependent changes to depreciation terms in the asset master data. Changes to the depreciation terms become effective on the key date that you specified for the given depreciation area. A midyear change to depreciation terms causes the system to set up new calculation period intervals.
- Time-dependent depreciation terms include: useful life, depreciation key, scrap value, scrap value percentage, and variable depreciation portion.

Midyear, Period-Dependent Changeover:

- With the new depreciation calculation, you have new options for changeover of the depreciation method (for example, changing over from declining-balance to straight-line depreciation). Instead of using the old annual changeover, you can specify an automatic changeover of the depreciation method that takes place midyear. The UMPER field in table ANLB is used for this function.
- To use this midyear changeover, use the FAA_DC_CUSTOMER BAdI (method DEFINE_USE_OF_MAX_PERIODS). Set the CB_USE_MAX_PERIODS parameter to X.

See also:

Example: Period-Based Calculation

Example: Depreciation in Final Year of Useful Life

Example: Time-Dependent Depreciation Terms

Example: Period-Based Changeover of Depreciation Method

Architecture of the Depreciation Calculation Program

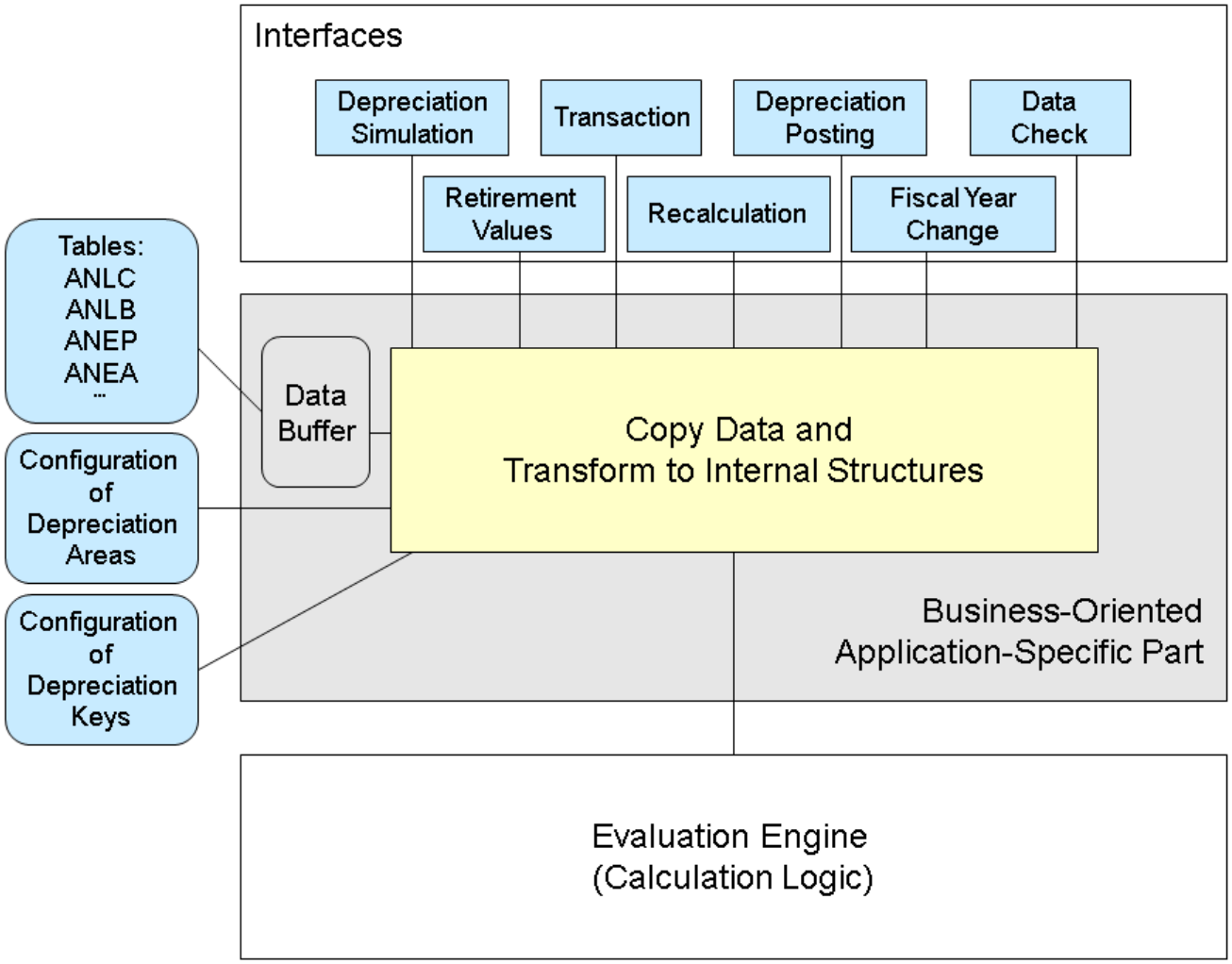
The Depreciation Calculation Program (DCP) consists of two parts: an external, application-specific (business-oriented) part, and an internal part (Evaluation Engine) that controls the calculation logic for depreciation calculations.

The application-specific part

- Provides an interface to other applications
- Transfers asset master data and transaction data to internal work structures
- Groups transactions together based on calculation periods
- Reads all configuration settings that are needed for the calculation, and transfers these to internal work structures
- Specifies the depreciation start date
- Updates the total asset values

The Evaluation Engine

- Is based on the work structures created by the application-specific part of the program
- Calculates replacement values, depreciation, and interest, as well as revaluation (both upward and downward) as part of an automatic calculation of inflation
- Determines the base value or net value, as well as the shutdown value of the assets
- Corrects values and amounts when derived depreciation areas are used
- Structure of the Depreciation Calculation Program



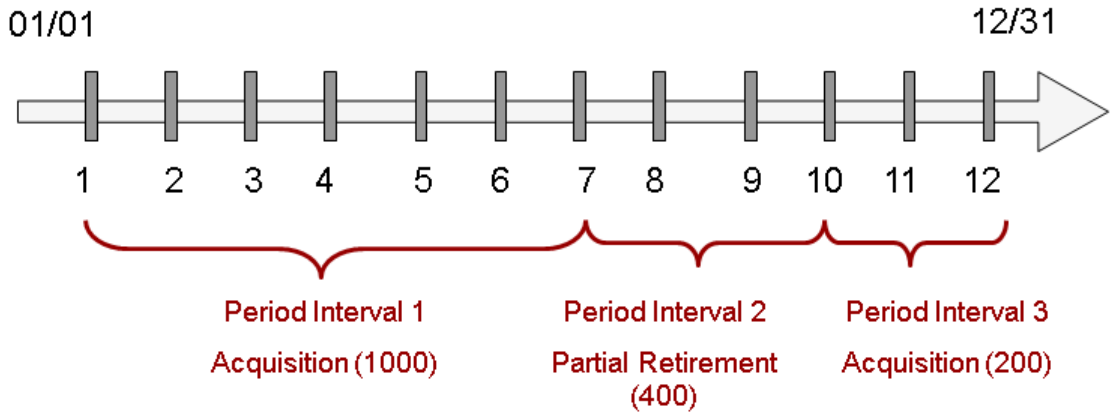
Example: Period-Based Calculation

A fiscal year consists of one or more period intervals. The number of intervals in the fiscal year is determined largely by the periods with transactions that influence depreciation calculation (such as, acquisitions, retirements) and changes to depreciation terms during the course of the year.

In the following example, the fiscal year has twelve periods (twelve months). The depreciation rate is ten percent. Three transactions are posted in different periods. The resulting period intervals are as follows:

Date	Transaction Type	Amount	Calculation Period	Period Interval
01/01	Acquisition	1000	1	1 (= 6 periods)
07/01	Partial retirement	- 400	7	2 (= 3 periods)
10/01	Acquisition	200	10	3 (= 3 periods)

Period Intervals



Based on the period intervals, the depreciation calculation is as follows:

Period Interval	Base Amount for Dep. Calculation	Depreciation Calculation	Depreciation per Interval
1	1000	1000 x 10% x (6/12)	50

Period Interval	Base Amount for Dep. Calculation	Depreciation Calculation	Depreciation per Interval
2	600(= 1000 – 400)	600 x 10% x (3/12)	15
3	800(=600 + 200)	800 x 10% x (3/12)	20

Example: Depreciation in Final Year of Useful Life

Starting Data:

Acquisition value of asset: 10000

Useful life: 5 years

Annual depreciation: 2000 (20%)

Remaining useful life: 1 year

Net book value: 1000 (unplanned depreciation 1000)

Scrap value: None

Acquisition last year: 5000 on April 1

Year	Transaction Type	Amount	Ordinary Depreciation	Unplanned Depreciation	Net Book Value
01	Acquisition	10000	2000		8000
02			2000	1000	5000
03			2000		3000
04			2000		1000
April 05	Acquisition	5000	**?**		

The values for the individual periods and period intervals of last year are:

Period Interval	Number of Periods	Base Value for Dep. Calculation	Depreciation Calculation	Depreciation per Period Interval
1(Periods 1 - 3)	3	10000	10000 x 20% x (3/12)	500
2(Periods 4 - 12)	9	15000	15000 x 20% x (9/12)	2250

The totals from period intervals 1 and 2 result in an annual depreciation amount of 2750.

Example: Time-Dependent Depreciation Terms

Starting Values:

Acquisition value: 10000

Useful life: 5 years

Annual depreciation: 10000 / 5 = 2000

Effective on July 1 of year 01 of the useful life, you change the useful life to 4 years. The system recalculates depreciation:

Acquisition value: 10000

Useful life 4 years

Annual depreciation: 10000 / 4 = 2500

The system calculates the depreciation amount for the year 01 as follows:

Periods 1 to 6: 2000 x (6/12) = 1000

Periods 7 to 12: 2500 x (6/12) = 1250

From these totals, the system calculates annual depreciation of 2250.

Example: Period-Based Changeover of Depreciation Method

Starting Values:

Acquisition value: 12000

Useful life: 2 years (24 periods)

Periodic depreciation: Net book value (at start of period) x 2/24

- Depreciation is calculated for period 3:

  (12000 – 1000) x 2/24 = 11000 x 2/24 = 916.67

- You also specified that the depreciation method should change over when the net book value goes below 20% of the APC: 12000 x 0.2= 2400

- In period 9 (second fiscal year), the net book value at the start of the period is 2297.19.Since the net book value is now below 2400, the system automatically changes the depreciation method from declining-balance to straight-line in period 9.

- For the remaining five periods, the depreciation amount is then 459.44:2297.19 / 5 = 459.44.

Depreciation Types

Use

You can specify the depreciation types and valuation types allowed for each depreciation area in Customizing for Asset Accounting (under **Depreciation**). The system then issues an error message and rejects the posting when you try to use a type of depreciation that is not explicitly allowed.

Features

The following depreciation or valuation types are supported:

Ordinary depreciation

The term ‘ordinary depreciation’ refers to the planned depreciation with normal usage of a fixed asset.

Special depreciation

Special depreciation represents deduction for wear and tear on an asset from a purely tax-based point of view. This form of depreciation allows percentage depreciation, possibly staggered within a period allowed by the tax authority, without taking into account the actual wear and tear on the asset.

Unplanned Depreciation

Ordinary depreciation reflects the deduction for wear and tear during the normal use of the asset. Unusual influences, such as damage which leads to a permanent decrease in the value of the asset, are covered by unplanned depreciation.

Transfer of Reserves/Reduction of APC

Reduction of APC allows you to reduce the depreciation base of an asset by a given amount. This type of depreciation has to be posted manually. It cannot be posted automatically using depreciation keys like the other depreciation types.

Example

It is possible to illustrate this type of depreciation using income tax law in certain countries. According to such laws, you are allowed to transfer the gain from the sale of an asset to a replacement acquisition. As a result, you can distribute the taxation of the gain over the expected useful life of the replacement acquisition.

Note: Special system functions support the creation and writeoff of these special reserves.

Interest

For management accounting purposes, evaluating the capital tied up in fixed assets is equally as important as their depreciation. You can account for the tied up capital by calculating imputed interest (refer to Calculation of Interest).

The system treats the interest calculation as a type of depreciation, as it is controlled by depreciation keys and calculation methods like those used for calculating depreciation.

Valuation Methods

Use

In Customizing for Asset Accounting, you can define your own calculation methods for the valuation of fixed assets (under Depreciation > Valuation Methods > Depreciation Key). These calculation methods are not hard-coded in the system. They are based on a number of flexibly-definable calculation keys. By defining your own calculation methods and control parameters, you can represent your specific depreciation methods in the system.

There are pre-defined calculation methods and parameters in the system for the most commonly used depreciation methods.

Features

Depreciation calculation is based on the control parameters explained below, as well as on the planned useful life of the asset that is entered in the asset master record:

- The depreciation key contains all control data for the calculation of planned annual depreciation. You can enter a depreciation key in each depreciation area in the asset master record.
- The most important part of the depreciation key is the calculation method for the calculation of different types of automatically calculated depreciation (ordinary and special depreciation, and interest). The calculation method is particularly important for defining the depreciation calculation method.
- Special functions let you comply with a cutoff value (scrap value).

⚠ Caution

Changing the Customizing definition of the depreciation keys or calculation methods does **not**automatically lead to a correction of depreciation values that have already been calculated for individual assets. Instead, the depreciation must be recalculated in this case.

Depreciation Key

Use

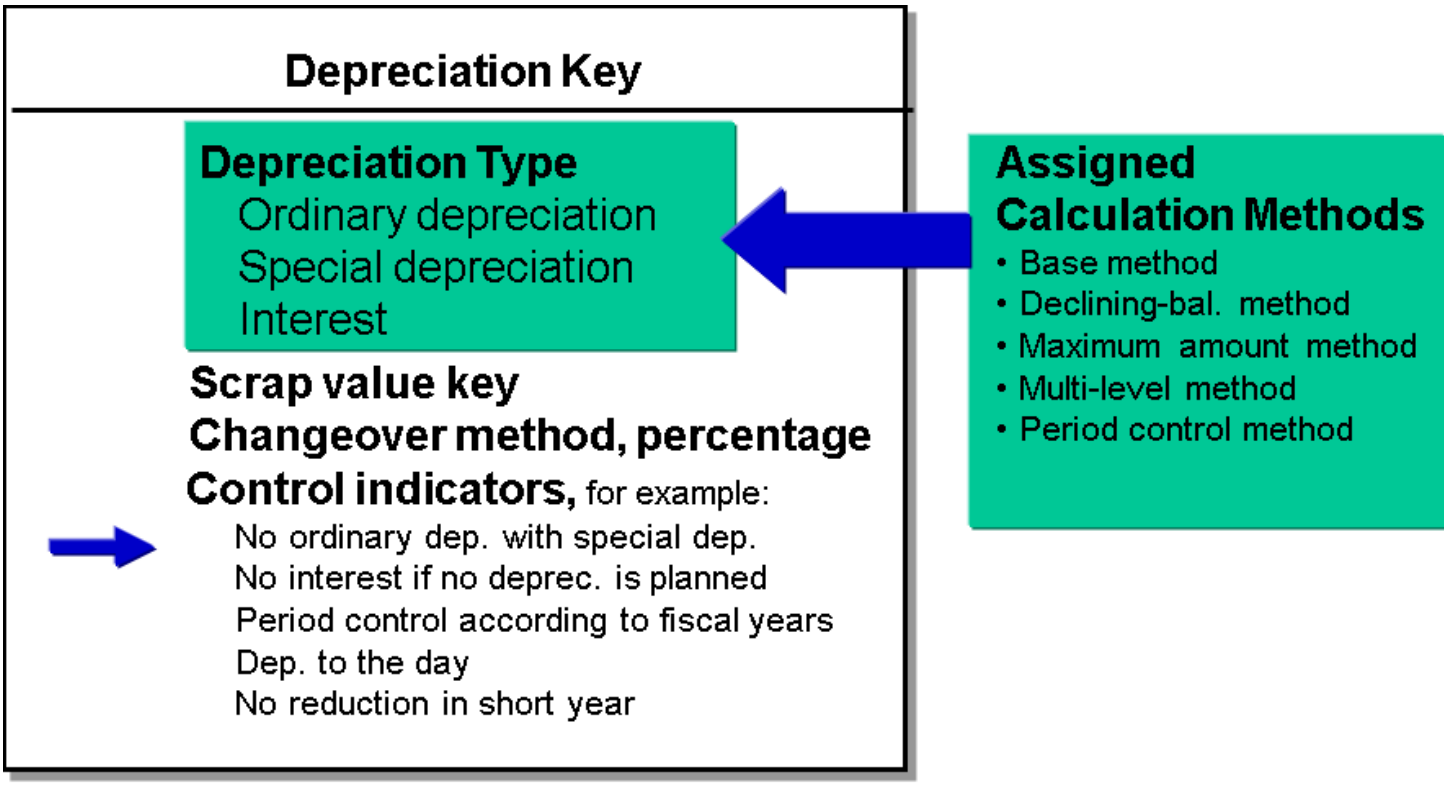
The depreciation key contains the value settings which are necessary for determining depreciation amounts. It represents a combination of calculation rules, which should be used for the automatically calculated depreciation types

- for ordinary depreciation
- for special depreciation
- For the calculation of interest

Features

You assign calculation methods to each depreciation key for the actual determination of depreciation amounts.

You can define depreciation keys and calculation methods in Customizing for Asset Accounting (unter **Depreciation** > **Valuation Methods** > **Depreciation Methods** >).



Components and Control Parameters of the Depreciation Key

Depreciation keys are defined at the level of the chart of depreciation. Therefore, they are available in all company codes. With the help of the depreciation keys defined within a chart of depreciation, you can set up the chart of depreciation with uniform depreciation terms based on the special rules for valuation in an economic area (country, geographical region and so on).

The standard charts of depreciation in the S/4HANA System contain depreciation keys that are predefined to meet country/region-specific depreciation needs.

In the depreciation key, you can divide the duration of depreciation into several phases. When you enter a changeover method for one of these phases, the system changes over to the next phase as soon as the event specified in the changeover method has occurred. The system then uses the depreciation calculation that is specified in the calculation method for this phase.

Additional Information

Background information about the structure of the depreciation key

Information on the calculation methods and parameters defined in the depreciation keys can be found in the following sections.

Explanations for individual depreciation keys

App Depreciation Key: Display Details

In order to display more detailed information about a given depreciation key in a chart of depreciation, if you have the corresponding authorization, you can display the app **Depreciation Key: Display Details**. The app provides you with a detailed overview of all influencing factors (calculation methods, depreciation phases, and so on) for the depreciation key.

You can call up the app **Depreciation Key: Display Details** in the following ways:

- Directly from the SAP Fiori launchpad or the App Finder or
- Using the **Manage Fixed Assets** app for a specific asset:
    - In the **Asset Valuation** view. To do this, choose the **General Parameters** tab page.

The **Depreciation Key** field displays the smart link for the specific depreciation key. Click the smartlink and choose the link from the popover that navigates you to the **Depreciation Key: Display Details**.

- In the **master data** view on the **Valuation** tab page

AI-Generated Explanation of Depreciation Keys

As an alternative to the app **Depreciation Key: Display Details**, you can use the AI-generated explanation of depreciation keys.

The AI-generated statement is written in natural language.

You can also call up the explanation in the **Manage Fixed Assets** app in the following places:

- In the **Asset Valuation** view, on the **General Parameters** tab. There, you click the smart link for the specific depreciation key and choose the **Generate Explanation** link in the popover.
- In the **master data** view on the **Valuation** tab page

See also:

For more information on the calculation methods and parameters entered in the depreciation key, see:

Changeover Method

Changeover After the End of Planned Useful Life

Other Properties (Depreciation Key)

Calculation Methods

Cutoff Value

Also refer to the system long texts for the particular control parameters of the depreciation key.

Changeover Method

Use

Certain depreciation methods, due to their mathematical basis, require a switch to alternative calculation methods to ensure the complete depreciation of a fixed asset in the possession dates. An example for this is the declining-balance method of depreciation, which mathematically never achieves a book value of zero.

Therefore, when you assign the calculation methods to the depreciation keys, you can specify when the system is to use a different calculation method (for example, **Changeover as soon as the net book value percentage rate is reached**). The changeover method also specifies the conditions under which the changeover takes place. You can also enter a net book value percentage rate for certain changeover methods.

In the depreciation key, you can divide the duration of depreciation into several phases. When you enter a changeover method for one of these phases, the system changes over to the next phase as soon as the event specified in the changeover method has occurred. The system then uses the depreciation calculation that is specified in the calculation method for this phase.

Features

Changeover Methods

You can define the following changeover methods:

- **Changeover as soon as the depreciation amount of the changeover method is higher**

  Here, the result of the depreciation calculation in one phase of the depreciation key is compared with the result in the following phase. The system performs the changeover as soon as depreciation in the following phase is higher than in the previous phase.

- **Changeover when net book value percentage is reached**

  With this method, changeover takes place as soon as the net book value falls below a specified percentage of the acquisition value.

- **Changeover when net book value percentage rate less or same as x%**

  With this method, changeover takes place as soon as the net book value is equal to the specified percentage rate of the acquisition value or lower.

- **Changeover when net book value is less than changeover amount**

  In the Customizing settings, when you define the company code-specific depreciation area, you can specify a global changeover amount in the local currency of the depreciation area. When the net book value falls below this changeover amount, changeover to another method takes place.

  To change the changeover amount, in Customizing, choose **Asset Accounting**: **Valuation Amount** > **Specifications (Company Code / Depreciation Area)** > **Specify Changeover Amount**.

- **Changeover when net book value is less than straight-line rate**

  A straight-line depreciation rate is calculated from the useful life which is used as a comparison with the net book value. If the net book value falls below this straight line rate, changeover to another method takes place.

- **Changeover after the end of planned useful life**

  When the planned useful life has expired, changeover to another method can also take place. Sum-of-the-years-digits methods in particular are defined only during the useful life. If a post-capitalization is posted after expiration of the planned finish, a different method must be used.

  With the changeover at the end of the planned useful life, the conversion to a specified changeover method occurs period-specific. With other changeover methods, the changeover takes place according to fiscal years. The changeover criteria are checked in relation to depreciation for the entire year, and the depreciation for the entire fiscal year is either calculated with the original key or with the new changeover key.

- **Changeover in next year as soon as straight-line depreciation is higher (Poland)**

  This is functionally the same as **Changeover when depreciation amount of changeover method higher**, except that the changeover is not performed until the following year.

- **User-defined changeover using a customer enhancement**

  With the BAdI methods `FAA_DC_CUSTOMER` (`define_changeover_yr`) and `FAA_DC_CUSTOMER` (`define_changeover_yr_and_prd`), you can define your own changeover methods. You can perform a changeover during the year by using the second method in conjunction with the method `FAA_DC_CUSTOMER` (`define_use_of_max_periods`) in addition to the annual changeover. You can find more information in the documentation for the individual BAdI methods (transaction `SE18`).

Time of the Changeover

- For the following functions **Year-end carryforward**, **Recalculate values** , and **Posting of transactions**, the system decides if a phase change needs to be carried out. For this check, the system uses by default the annual values.

- However, one exception is the **Changeover after end of useful life**. This is carried out by period. If the end of the planned useful life **does not** fall at the end of a fiscal year, the system decides which method applies for each activity (year-end carryforward or transaction), based on the asset value date. However, a calculation using two methods for one activity (time period before the end of the planned useful life and the time period after end of planned life) does **not** occur. When deciding which method is valid, it is only relevant whether the asset value date of the relevant transaction is before or after the end of planned useful life. This means that a changeover after the end of the planned duration for a year-end carryforward takes place only at the end of the fiscal year that follows the end of the useful life. In case of a transaction, the system decides on an individual basis whether the value date lies before or after the end of the useful life.

You can use the BAdI method `FAA_DC_CUSTOMER` (`define_use_of_max_periods`) to perform a period-specific changeover during the year within the planned useful life.

ℹ Note

A changeover to a different percentage rate or base value in the multilevel method is **not** considered a changeover method in the above sense. The changeover to another level takes place at the exact period for each transaction.

Example

Changeover after the end of planned useful life

Example: Changeover after the end of planned useful life

The following conditions apply to a fixed asset:

- Start date of depreciation: 7/1/2017
- Useful life: 5 years
- End of useful life: 6/30/2022
- Acquisition cost: 100
- Depreciation method: straight-line, percentage rate based on useful life, base value 100% of acquisition costs
- Changeover after end of useful life: straight-line; percentage rate according to useful life; base value 50% of acquisition costs

This results in the following course of depreciation:

2017: 10 (100/60*6)

2018: 20 (100/60*12)

2019: 20 (100/60*12)

2020: 20 (100/60*12)

2021: 20 (100/60*12)

2022: 18 (100/66*12) or 2018: 10 (100/60*6)

2023: 10 (50 /60*12)

The changeover therefore does **not** take place in the year 2022 is, but the useful life is internally increased by 6 months and continues with the old method of calculation as it was defined that, after the end of the useful life, depreciation should continue below zero. If you do not want this, you must change the base method so that the calculation is only performed up to the end of the useful life and **not** below zero.

A transaction with an asset value date up to 6.30.2022 is calculated with the calculation methods of the old phase. A transaction with an asset value date after 7.01.2022 is calculated based on the changeover method with calculation methods of the next phase.

Other Properties of the Depreciation Key

Use

The depreciation key offers further settings for depreciation calculation, in addition to the settings already discussed.

Features

No Ordinary Depreciation with Special Depreciation

You can specify that the system does not calculate ordinary depreciation if there is special tax depreciation. This means ordinary depreciation is set to zero.

No Interest If No Depreciation is Planned

You can specify that the system does not calculate imputed interest unless depreciation is also calculated.

Period Control by Fiscal Year

You can specify that a given depreciation key, for selected company codes and fiscal years, uses period controls that are different from those in the period control method.

This may be necessary, for example, when depreciating according to US law, if you only apply the mid-quarter convention to acquisitions in specific company codes or fiscal years.

Depreciation by Day

You can specify that the system performs the depreciation calculation to the day. With this, the period control rules of the depreciation key are suspended for the whole duration of the useful life of the fixed asset.

ℹ Note

The system takes the 29th of February into account only if there were transactions for the asset during this leap year. If no transaction takes place in a leap year, then the annual depreciation of this leap year is just as high as in a normal year.

This special handling is in line with a legal requirement in France.

Depreciation Calculation in Shortened Fiscal Years

You can specify that depreciation is not reduced in shortened fiscal years, even if settings were made to that effect in the depreciation area at company code level.

Acquisitions Only in the Capitalization Year

You can specify that the system only allows acquisitions in the year in which depreciation started for the asset. This can be technically necessary, for example, if sum-of-the-years-digits depreciation was used. In addition, this function can be used for organizational purposes.

Number of Digits When Rounding

You can specify the number places to which the system should round the percentage rate for depreciation calculation.

Depreciation Class

You can classify the depreciation key. This characteristic can be used as a selection criterion in reporting.

Multiple Shift Use

You can specify that the system calculates increased depreciation due to increased wear and tear on assets during multiple shift use.

Influence of Scrap Value on the Base Value

You can specify how the scrap value influences the base value for depreciation (for example, by reducing the base value).

You should make this setting only if you use a depreciation key that uses different calculation methods in different phases, and the scrap value is treated differently in different phases. Normally the scrap value is treated the same in the depreciation key over the entire useful life

Example

According to Federal Income Tax law (§350) in the USA, scrap value has to be handled differently in the declining-balance phase of depreciation than after the changeover to straight-line depreciation.

Calculate Shutdown

By specifying shutdown periods in the master record, you can have the system suspend depreciation during shutdown periods.

→ Recommendation

Refer also to the online long texts for these functions in the system.

Calculation Methods: Control Functions

Use

The system uses calculation methods for the calculation of depreciation and imputed interest. You assign calculation methods to depreciation keys. The calculation methods provide the parameters for the depreciation calculation program.

The calculation of depreciation is controlled by the calculation methods, the control parameters that are entered in depreciation keys, and the cutoff value keys.

Features

You maintain each calculation method separately, and then assign it to a depreciation key. Since the individual calculation methods are independent of each other, you can use a given calculation method in more than one depreciation key. As a result, you

do **not** have to define a large number of new calculation methods in order to maintain a number of depreciation keys that function similarly.

The individual calculation methods, with the exception of the base method, are dependent on the chart of depreciation. This means you can represent your country-specific depreciation requirements by means of calculation methods that are chart-of-depreciation-specific. The system helps you to choose the right methods by only offering methods for selection that apply to your given chart of depreciation. You can also enter default values for depreciation areas and company codes.

The following graphic provides an overview of the control functions of calculation methods.

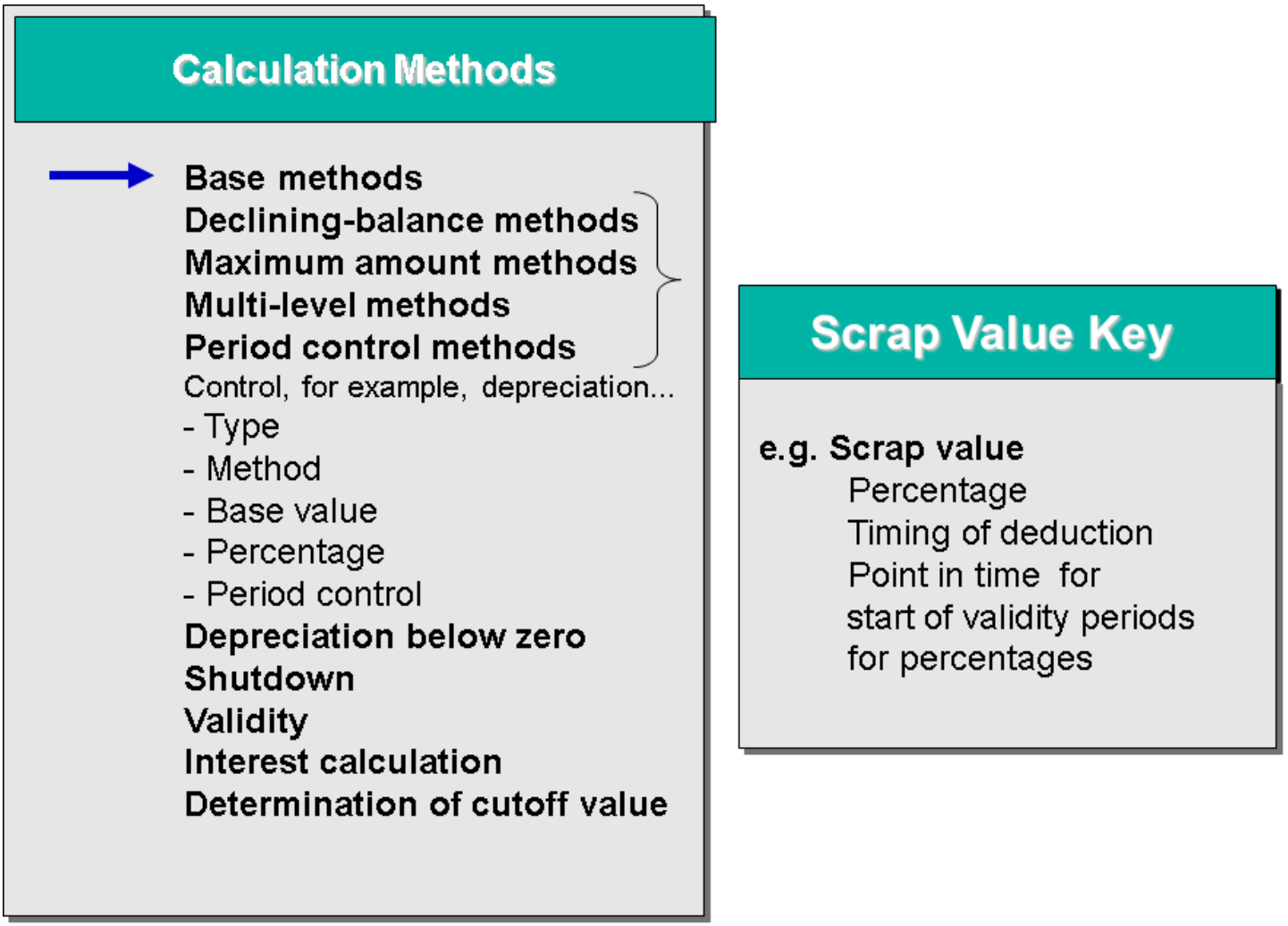


Figure: Calculation Methods

The standard calculation methods are an integral part of the system and **cannot** be altered. If you need to modify a calculation method for legal or business reasons, copy the calculation method and make the alterations to the copy. The key of the calculation method that you create has to begin with X , Y or Z.

Any changeovers to other calculation methods during the duration of depreciation are defined in the depreciation key.

Calculation Methods: Further Information

Calculation Method	Control Parameters
Base method	Depreciation type (ordinary or special depreciation, interest) Depreciation calculation method (for example, stated percentage) Treatment of end of depreciation

Calculation Method	Control Parameters
Declining-balance method	Declining-balance multiplication factor, maximum and minimum percentage rate
Maximum amount method	Maximum amount, currency, validity date
Multi-level method	Validity date or period, levels, base value, calculation of percentage or remaining useful life, reduction of base value
Period control method	Period control for acquisition, subsequent acquisition, retirement, transfer

→ Recommendation

Refer also to the system long text documentation for the control parameters of the individual calculation methods.

Customizing Activities

If you need your own calculation methods, define them in Customizing for Asset Accounting under **Depreciation** > **Valuation Methods** > **Define Depreciation Keys**.

Base Method

Use

The base method contains general control parameters the system needs for calculating depreciation. You enter the base method in a depreciation key. The base method is independent of the chart of depreciation, meaning that it does not contain any country-specific settings.

Features

You specify the following in the base method:

- Depreciation type
- Depreciation calculation method
- Treatment of the end of depreciation

Activities

If you need base methods other than those provided by SAP, define your own base methods in FI-AA Customizing. Choose **Depreciation** > **Valuation Methods** > **Depreciation Keys** > **Calculation Methods**.

Depreciation Calculation Methods

Use

The depreciation calculation method is the most important characteristic of the base method. The depreciation calculation method makes it possible to carry out the numerous different types of depreciation calculation in the system. Depending on how

the depreciation calculation method is set up, the system determines which further control parameters need to be specified in the depreciation key. For example, when you choose the **Stated percentage** depreciation calculation method, you have to enter a percentage in the depreciation key.

Features

The following depreciation calculation methods are available in the standard system.

Percentage from Useful Life / Percentage from Remaining Useful Life

There are two variants of this depreciation calculation method:

- The system determines a depreciation percentage rate from the total useful life; the rate remains the same for each year.
- The system calculates a new percentage rate for each year based on the remaining useful life. The depreciation percentage rate rises constantly until it reaches 100% in the last year of the useful life.

Total Percentage Rate in the Tax Concession Period

This method allows you to depreciate a certain percentage rate from the depreciation base within a tax concession period. In order to calculate the current periodic depreciation, the system first determines the accumulated depreciation up to the period under consideration. The period depreciation is the difference between the already existing depreciation and the total depreciation allowed. With subsequent acquisitions, the system automatically catches up depreciation from previous years in a lump sum.

Stated Percentage Rate

In contrast to a total percentage rate, here you specify the percentage rate for each fiscal year. The system uses this percentage rate for calculating depreciation for each period. For example, you can depreciate 3.5% in each of the first 12 years, then 2% a year for 20 years and 1% per year for the remaining 18 years. The total of the percentage rates over the useful life is always 100%, so that complete depreciation is reached by the end of the useful life.

Percentage Rate from Remaining Life + Changeover Date – Depreciation Start Date

This method is used as a changeover method (in the next phase in the depreciation key) following depreciation within the tax concession period of an investment support measure. The net book value of the asset will be depreciated over the total useful life when the tax concession period ends (that is, the actual duration of depreciation encompasses the tax concession period plus the total useful life that is entered).

Mean Value from Several Areas

When defining depreciation areas, you can establish dependencies between them by specifying a mathematical formula. This method allows you to calculate depreciation in one area based on the depreciation in another area using this mathematical formula. Using this method you can, for example, calculate the mean value of straight-line depreciation and declining-balance depreciation.

Unit-of-Production Depreciation

Unit-of-production depreciation is based on the output-related use of the asset. When you specify a total expected output or a total expected number of units, and the exact output per period or exact unit of production output figure per period, the system determines the resulting depreciation for each period. You enter the output or number of units at the level of the depreciation key.

Depreciation Over Remaining Units of Production

In the same way as with the unit-of-production method of depreciation, the amount of depreciation here is dependent on output. In contrast to the unit-of-production method of depreciation, the system uses the remaining units of production and **not** the total

units of production to determine the periodic depreciation. Depreciating using the remaining units of production ensures that, for post-capitalization, the book value reaches zero when the total output or the total units of production is reached.

Sum-of-the-Years-Digits Method

An arithmetic sequence is set up based on the total useful life. The depreciation percentage rate is proportional to the remaining useful life.

Depreciation According to the Present Value of Lease Installments

This depreciation calculation method is designed for leased assets that have been capitalized using the capital lease procedure. The depreciation amounts correspond here to the present value of the periodic lease installments. The interest is determined as the difference between the lease installment and the present value.

Declining-Balance Method of Depreciation According to Japanese Regulations

See Japan: Declining-Balance Method of Depreciation.

Custom Depreciation Calculation Methods

You can program your own depreciation calculation methods using the Business Add-In (BAdI) `FAA_EE_CUSTOMER` and its method `SET_PERCENT_AMOUNT`. For more information, see the documentation of the BAdI in Customizing for **Asset Accounting** under **Depreciation** > **Valuation Methods** > **Enhancements** > **Program Enhancement for New Depreciation Calculation** > **Create Implementations for Add-In for Depreciation Calculation**.

Ending Depreciation

Use

The depreciation of a fixed asset is usually finished when a net book value of zero or the end of the planned useful life has been reached. Sometimes, the book value has not yet reached zero when the useful life is expired, due to the depreciation method used. By adjusting the way the system handles the end of depreciation (in the base method), you can continue to depreciate beyond the end of the useful life.

Features

You specify how the end of depreciation is handled in the base method, which is independent of the chart of depreciation. However, you can enter default value for depreciation areas and company codes in Customizing for **Asset Accounting** > **(** > **Depreciation** > **Valuation Methods** > **Depreciation Key** > **Default Values**). Using such default values, you can maintain your base methods so that you have different ways of handling the end of depreciation in different depreciation areas and company codes.

Depreciation Calculation after End of Planned Useful Life

The system continues to calculate depreciation after the planned useful life of the fixed asset has ended.

Curb

With depreciation beyond the planned useful life, the depreciation percentage rate can be derived, not only from the planned useful life, but also from the actual useful life. This method produces a declining-balance effect instead of a straight-line effect (curb).

Example

An asset that originally had a useful life of 10 years is depreciated in year 11 by 1/11 = 9.09 %, in year 12 by 8.33 % and in year n with 100/n %.



When you use below-zero depreciation with a curb, the system determines the percentage rate, after the end of planned life, to the exact period and not to the year.

Depreciation Below Zero

It is also possible to depreciate below zero as long as the depreciation area allows a negative net book value. You have to set an indicator in the base method to allow this kind of depreciation. Depreciation below zero can, for example, be useful for cost-accounting purposes.

If you choose an appropriate changeover method, you can also depreciate after the end of useful life using a different depreciation key. For more information, see Changeover Method .

Reduce Useful Life at End of Fiscal Year

Depreciation usually ends within the fiscal year due to the fact that the depreciation start date for the asset is also within the fiscal year. Using a setting in the base method, you can automatically reduce the useful life so that the close of depreciation always falls at the end of the fiscal year.

Declining-Balance Method

Use

Diminishing-rate depreciation includes both the declining-balance method, as well as the sum-of-the-years-digits method (see Depreciation Calculation Methods).

Features

The normal declining-balance method of depreciation multiplies the straight-line percentage rate resulting from the useful life by a given factor. Since a relatively short useful life can produce a very large depreciation percentage rate, you can specify a maximum percentage rate as the upper ceiling limit in the declining-balance method. A similar principle applies for a very long useful life. Entering a minimum percentage rate prevents the percentage rate from sinking below a given level.

Maximum Amount Method

Use

You use the maximum amount method to specify the maximum amount up to which the system should calculate depreciation until a certain calendar date. In this way, you can meet those legal requirements, for example, that allow depreciation for certain assets only up to a set amount. During the specified time period, the system calculates depreciation only until this amount is reached.

The maximum amount method does not function in the same way as a maximum base value for depreciation . With such a maximum base value, depreciation is based on a limited acquisition value, which may be below the actual acquisition value, being used from the start as the base value for depreciation. In contrast, the system calculates depreciation without any dependency on

the acquisition value when a maximum amount method is used. As soon as the maximum depreciation amount that you entered is reached, the system stops calculating depreciation.

You enter the maximum amount method in the depreciation key.

Activities

If you need maximum amount methods, define them in FI-AA Customizing. Choose Depreciation > Valuation Methods > Depreciation Keys > Calculation Methods .

You also specify there whether the maximum amount applies to annual depreciation or accumulated depreciation.

Multi-Level method

Use

Base methods for certain depreciation calculation methods (Stated percentage and Total percentage in concessionary period) use either a total percentage rate or a periodic percentage rate to calculate depreciation. You can divide these calculation keys into as many levels as you like. Each level represents a validity period for a given percentage rate. This percentage rate is then replaced with a subsequent level once the validity period has come to an end.

Features

Validity period of the individual levels

You determine the validity periods for the individual levels of a key by specifying the length of time in years and months. You can choose whether the defined validity periods begin with

- From the capitalization date
- From the start date of ordinary and/or special depreciation or
- From the original acquisition date of the asset under construction
- From the changeover year

As the defined periods of a key always have a joint start date, they overlap respectively from the joint start date up to the end of the previous level. Therefore, you have to enter the validity periods for the levels in cumulative form.

There is a special indicator you can use when you work with non-calendar fiscal years. The indicator allows you to specify that the definition of the levels applies to the fiscal year and **not** to the calendar year.

However, be aware of the considerations involved when using shortened fiscal years (see Shortened Fiscal Years).

Depreciation Percentage Rates

The entry of the depreciation percentage rate depends on the depreciation method used:

- For the depreciation method Total percentage rate in tax concession period, you must also specify the depreciation percentage rates in cumulative form (see example below).
- For the depreciation method Stated percentage rate, you must specify the depreciation percentage rates non-cumulative.

Example

The following example shows the definition of five levels, each one of which should last for a year. The depreciation method used is **Total percentage rate in tax concession period**. The depreciation percentage rates in the individual years are 60, 10, 10, 10, and 10%.

Validity Period	Percentage rate
1 year	60
2 years	70
3 years	80
4 years	90
5 years	100

In addition, you can limit the levels according to specific acquisition years. This enables you, for example, to observe certain legal requirements that place time restrictions.

Base Value for Depreciation

Use

The base value for depreciation is closely linked to the selection of the depreciation calculation method . Since it is not logical to use every depreciation method with every base value, the base value is often already determined by the depreciation method. The following base values are defined in the system:

- Acquisition Value
- Acquisition value less unplanned depreciation
- Half of acquisition value
- Replacement value
- Half of replacement value
- Current net book value without special depreciation
- Average net book value (see the example for the calculation in Calculation of Interest)
- Average net book value without special depreciation
- Current net book value
- Accumulated ordinary depreciation
- Accumulated special depreciation
- Sum of accumulated ordinary and special depreciation
- Limited base value (see below)
- Your own custom base value using a customer enhancement (BAdI method FAA_EE_CUSTOMER: Set_BASE_VALUE).

  For more information, see the documentation of this customer enhancement (transaction SE18.)

> ⚠ **Caution**
>
> Since revaluation (refer to Special Valuation) takes place with reference to a specific point in time and not according to a period of time, the system does not calculate a mean value for the **annual revaluation portion** of the asset value when calculating the **average net book value**.

Key Features

Reducing Percentage Rate

You can reduce the base value for the calculation of depreciation by entering a reduction percentage rate. Entering 50.0000, for example, results in reducing the base value by one half. This reducing percentage rate can be entered in the level definition of the multi-level method.

Limited Base Value

You can enter a maximum acquisition value as a base value for the calculation of depreciation. You enter this value in FI-AA Customizing **Define Maximum Base Value).** You can enter this limited acquisition value, like all other base values, as a key (05) in the definition of the multi-level method.

Limited acquisition value means that the system uses a given maximum amount as the base value. If the acquisition value of the asset is under this maximum amount, the system uses the actual acquisition value as the basis for depreciation. If the acquisition value exceeds this maximum amount, depreciation is based on the maximum amount specified.

You can set a maximum base value per depreciation area and asset class in a given company code. In addition, you can set a time limit on it by entering a "valid to" date. This time limitation relates to the capitalization date of the asset, and therefore can only be set once for each asset. It is, therefore, **not** possible to assign different maximum base values to an asset in the individual years during its useful life.

Depreciation per Asset Value Date

The system lets you choose to depreciate acquisitions in the original acquisition year either starting from the depreciation start date or from the asset value date of the acquisition. If you choose the depreciation start date, the system carries out uniform depreciation for all acquisitions to an asset. If you choose the asset value date, the system depreciates each acquisition to the asset starting from the asset value date of the individual acquisition posting.

Period Control Method

Use

On order to determine the depreciation start/end date for asset transactions, in the period control method you can define only one period control to be used for the different transaction categories: The transaction categories include:

- Acquisition
- Acquisition in subsequent years after the capitalization year / post-capitalization
- Retirement
- Transfers
- Revaluation
- Unplanned depreciation

- Write-up

This lets, for example, the depreciation start to be set for all acquisitions of a year to the beginning of the year and, for retirements to the first or last day of a period. Using the asset value date of a transaction (acquisition or retirement), the system determines the start date or end date of depreciation calculation using the period control.

Key Features

Standard Period Control

When you set up an asset company code, the system automatically generates period control rules. The most important of these include:

- Pro rata at the start of the period

  The depreciation start/end date is always set to the beginning of the period in which the asset value date for the acquisition/retirement lies.

- Pro rata at the start of the period, up to the middle of the period

  The depreciation start/end date is set to the beginning of the period for transactions in the first half of the period. For transactions in the second half, it is set to the beginning of the next period.

- Pro rata in the middle of the period

  This rule is the same as the first rule, however it is intended for the calculation of depreciation based on half-periods.

- First year convention of a half-year

  (See example.)

- Beginning of year / middle of year / end of year

  For transactions on the first day of a fiscal year, complete depreciation for the year is calculated; for transactions in the first half, depreciation is calculated for a half year; for transactions in the second half, no depreciation is calculated.

- At the beginning of the year
- In the middle of the period
- At the end of the period (beginning in the subsequent year)
- In the middle of the quarter

(see the "Pro rata at the middle of the period" rule)

- At the first quarter
- At the following quarter/following month
- At the following half-year

Transactions up to the middle of the fiscal year have a depreciation start date in the middle of the year. Transactions after the middle of the fiscal year have a depreciation start date in the following year.

When you specify the fiscal year variant for the company code, the system automatically assigns calendar dates to the posting periods for these period control rules. However, the fiscal year variant has to be set up with either 12 or 24 posting periods.

You can modify these standard rules yourself, allowing you to flexibly define the relationship between the calendar date and the posting periods.

Example

First year convention:	
To June 30th	Depreciation start date/end in period 0
From 06/30 - 12/31	Depreciation start date/end in period 6

The system interprets period 0 as the start of the fiscal year (January 1), not period 1. Period 6 represents July 1st.

Half-Periods

The number of posting periods in Asset Accounting generally corresponds to the number of posting periods in Financial Accounting. You can, however, double the number of depreciation periods if the basic number of posting periods corresponds to the number of calendar months (12). By setting a control indicator when defining the company code, you can specify the use of half-periods. By specifying the calendar date, on which the second half of a period begins (for example the 16th of the month) you can have the depreciation calculation start and end at the middle of a period.

In order to use this option, you have to set a special indicator in the allocation rules of the period controls.

⚠ Caution

It is **not** possible to use half periods when you are using non-calendar fiscal months.

Variable Period Control

Using an indicator when defining the individual depreciation keys, you can specify that a key does not use the period control of its assigned period control method. Instead it uses period controls you define for the company code and fiscal year.

This may be necessary, for example, when depreciating according to US law, if you only apply the mid-quarter convention to acquisitions in specific company codes or fiscal years.

⚠ Caution

If you change the period control of assets, in which the depreciation start date was already set, you have to then change their depreciation start date manually.

Scrap Value and Cutoff Value

Use

It may sometimes be necessary to depreciate assets **not** to net book value zero, but only up to a scrap value or cutoff value. In this case, you can specify a scrap value time-dependent for assets per depreciation area. There are two ways of specifying the scrap value:

- By assigning a cutoff value key to the depreciation key used in the depreciation area
- By entering an absolute scrap value in the asset master data for the depreciation area

Features

Cutoff Value Key

In Customizing for Asset Accounting, you can define cutoff value keys with any cutoff percentage rate. To make these settings, in Customizing, choose Financial Accounting > Asset Accounting > Depreciation > Valuation Methods > Further Settings > Define Cutoff Value Key.

You can specify these cutoff percentage rates for each year of acquisition and with a validity period that you define. For each cutoff value key, you can specify several cutoff percentage rates with different periods of validity and acquisition years.

You still define the following:

- Whether depreciation should first be calculated without considering the scrap value or cutoff value, and then ends when the scrap value is reached. Or whether the scrap value should be deducted from the base depreciation value from the beginning.

  The first case means that the depreciation stops before the end of the planned useful life. In the second case, the scrap value is reached as the net book value at the end of the planned useful life.

- You define at which point the cutoff dates for the defined depreciation levels should start (for example, capitalization date).

You can assign a cutoff value key to each depreciation key in its definition.

Example

Start date: Capitalization Date

Percentage rate: 5%

Period of validity: 5 years

A cutoff percentage rate of 5% is valid for assets that are **no** older than 5 years old according to their capitalization date.

Scrap Value

The scrap value is **not** depreciated. You can specify a scrap value as an explicit value or as a percentage of the acquisition and production costs (APC).

When maintaining the area-specific asset master data, you can enter an absolute scrap value, and/or a percentage rate, in the detail screen of each depreciation area. If you specify a percentage, the scrap value for the depreciation area is calculated as follows: Scrap value (APC) = percentage rate/100 * APC

If you specify an explicit value **and** a percentage, the system uses the percentage by default.

Note

We recommend that you always enter a percentage rate.

If you defined a cutoff value key, the system ignores the cutoff value percentage of the key and treats the amount entered in the asset master record as the scrap value. Depending on the cutoff value key, the amount is either subtracted from the depreciation base before the depreciation calculation start date, or depreciation ends when the value is reached.

Memo Value

In addition to the asset-specific memo value/cuttoff value, it is also possible to specify a blanket memo value in a depreciation area for certain purposes. To do this, from Customizing, choose Asset AccountingGeneral ValuationAmount Specifications (Company Code/Depreciation Area)Specify Memo Value. Wählen Sie hierzu im Customizing **Asset Accounting** **General Valuation** **Amount Specifications (Company Code/Depreciation Area)** **Specify Memo Value.** This memo value is then valid in this depreciation area for all assets. You can exclude certain asset classes (such as low value assets (LVAs) by using an indicator in the asset class master record.

The system reflects the memo value by reducing the planned annual depreciation of the acquisition year by the amount of the memo value.

→ Recommendation

It is **not** normally necessary to manage memo values, since Asset Accounting always considers gross values (that is, acquisition values and value adjustments), and **not** just the remaining book value. This fact ensures that fully depreciated assets with a book value of zero are also shown in all legally required reports.

Depreciation Methods

The depreciation keys, with their calculation methods and parameters, let you represent the most varied depreciation methods in the system. The following describes the most important of these depreciation methods, and how they are handled in the system.

Standard keys exist in the system for the depreciation methods listed. These depreciation keys are explained in the following using examples.

Straight-Line Depreciation over Total Useful Life

Use

The asset is depreciated uniformly over the specified total useful life. Post-capitalization and subsequent acquisitions necessitate an increase in depreciation, by the amount that would have been necessary to fully depreciate the subsequent acquisition over the original useful life of the asset. This results in an increase in the length of time necessary to depreciate the asset, that is, the time period from the beginning of depreciation until the book value of zero is reached.

Calculation:

Depreciation = APC / expected useful life

Example

APC: 1,000

Useful life: 10

Depreciation = 1000 / 10 = 100

A depreciation key, which determines a percentage rate from expected useful life and uses the acquisition value or replacement value as the base value for depreciation, characterizes this depreciation method. Furthermore, certain depreciation keys (in their base method) allow depreciation below book value zero after the planned life has expired.

In this case, the rate of depreciation can decrease after the planned life because you can then use the already expired useful life instead of the planned expected useful life to calculate depreciation. In the 11th year of use, you would not use 10% for the calculation as in the preceding 10 years, instead you would use 1/11 = 9.0909%.

Straight-Line from the Book Value over Remaining Useful Life

Use

The book value of the fixed asset is distributed in uniform amounts over the remaining life. However, unlike straight-line depreciation over the total useful life, this method ensures that post-capitalization and subsequent acquisitions do not lead to an extension of expected useful life. Post-capitalization or subsequent acquisitions after the expiration of the specified expected useful life do, however, cause problems in this depreciation method. In such cases, the changeover key in the depreciation key used has to provide for another method after the expiration of the expected useful life.

Calculation:

Depreciation = net book value / remaining life

Example

APC: 1000

Useful life: 10

Net book value: 500

Remaining useful life: 5

Depreciation = 500 / 5 = 100

You can represent this depreciation method in the system, for example, with a depreciation key that calculates a depreciation percentage rate from the remaining life, due to the depreciation calculation method **Percentage from the useful life** being set in its base method, and the **Rem. life** indicator being set in the multi-level method. Furthermore, the base value indicator **"24"** in the multi-level method ensures that the net book value is the basis for depreciation. The net book value and the remaining life are related proportionally, which results in straight-line depreciation. In the event of acquisitions after the expiration of the expected useful life, the depreciation key switches to a new phase after the planned end of useful life. The new phase is set up for straight-line/remaining life/pro rata/to zero/to end of life. As a result, these subsequent acquisitions are also depreciated completely.

Declining-Balance Method of Depreciation

Use

For the declining-balance method, the asset is depreciated by a progressively falling rate. A constant percentage rate is calculated from the expected useful life and a given multiplication factor, which is multiplied with the falling net book value of the asset. For mathematical reasons, the net book value can never reach zero using this method. Therefore, the SAP system changes the method to straight-line or complete depreciation under certain conditions:

- Declining-balance method of depreciation < straight-line depreciation
- Net book value < x percent of acquisition value
- Net book value < fixed amount
- Net book value < straight-line depreciation

The changeover method is specified in the internal calculation key.

For more information, see Changeover Method.

Calculation

Depreciation = net book value * percentage rate from useful life and factor

Example

APC: 1000

Useful Life:10

Net Book Value: 700

Multiplication factor: 3

Depreciation = 700 * (100% / 10 * 3) = 210

Declining Multi-Phase Depreciation

Use

By specifying the rate of depreciation and the validity period, you can determine a course of depreciation that changes in levels over time (usually decreasing). The validity period can be based, among other things, either on the capitalization date or on the depreciation start date. The change between the levels of depreciation does not have to take place at the start or end of a fiscal year. You can also change to another rate of depreciation during the fiscal year.

Calculation :

Depreciation = Acquisition value * percentage rate of the level

Example

APC: 1000

useful life: 50

Percentage rate year 1-8: 5.00%

Percentage rate year 9-14: 2,50%

Percentage rate year 15-50: 1.25%

Depreciation level 1 = 1000 * 5.00% = 50

Depreciation level 2 = 1000 * 2.50% = 25

Depreciation level 3 = 1000 * 1.25% = 12.5



When you define the depreciation levels in the system, you have to enter the period of validity for the individual depreciation levels as cumulative values (see Multi-Level Depreciation).

Sum-of-the-Years-Digits Method of Depreciation (Digital)

Use

The total of the remaining life is mapped in each individual year over the entire useful life. The depreciation percentage rate of a fiscal year is then derived from the respective remaining life, divided by this total. The result of this method leads to depreciation amounts that are reduced by the same amount in each period.

As the remaining useful life **is no** longer defined after the end of the planned useful life, you can **no longer** depreciate using this method once the planned useful life has expired. However, it is possible to change over to another method once the expected useful life has expired. For more information, see Changeover Method.

Acquisitions after the depreciation start year or post-capitalization would cause a positive net book value at the end of the planned useful life. For this reason, such transactions are **not** allowed with the sum-of-the-years-digits method of depreciation. Subsequent acquisitions must be created here as sub-numbers for the asset. In addition, it is a requirement of digital depreciation that the acquisition year and depreciation start year are identical.

Calculation

Depreciation = APC * remaining useful life (current period) / total of remaining useful life (over all periods)

Example

APC: 1000

Useful life: 4

Total remaining useful life: 10 (= 4 + 3 +2 +1)

Depreciation 1st year = 1000 * 4 / 10 = 400

Depreciation 2nd year = 1000 * 3 / 10 = 300

Depreciation 3rd year = 1000 * 2 / 10 = 200

Depreciation 4th year = 1000 * 1 / 10 = 100

Japan: Declining-Balance Method of Depreciation

Use

With this method, the system determines the depreciation percentage rate from the ratio between the scrap or cutoff value and the acquisition value (APC). From this relationship, the system then determines the n-th root whereby n = useful life. The complementary percentage for the percentage rate just determined is then the depreciation percentage rate. The depreciation percentage rate is used over the entire useful life of the asset.

Calculation

Depreciation = net book value * depreciation percentage rate

Where: Depreciation percentage rate = 1 – (scrap value/APC)$^{1/n}$

Example

APC = 5,000

Scrap value = 10% of APC = 500

Useful life = 10 years

Depreciation percentage rate = 1 - ((500/5,000)$^{1/10}$)

The system calculates with 12 periods per year. For a total useful life of 10 years, this is 120 periods. This results in:

Depreciation percentage rate = 1 - ((500/5,000)$^{12/120}$) = 1 - 0.794 = 0.206 = 20.6%

Mean Value Method

Use

You can manage the mean value of two depreciation methods in a derived depreciation area that links the values of the two depreciation areas. In order to do so, you have to identify the derived depreciation area as a mean value area. Instead of using the arithmetic mean, you can also link the areas proportionally.

Linking formula for the mean value:

Depreciation = (depreciation in area 1) / 2 + (depreciation in area 2) / 2

Example

Depreciation in area 1: 300

Depreciation in area 2: 100

Formula: (depreciation in area 1) / 2 + (depreciation in area 2) / 2

Depreciation = 300 / 2 + 100 / 2 = 200

Depreciation for Multiple-Shift Operation and Shutdown

Use

Increased depreciation is often calculated for assets that are used in multiple shifts. Often no depreciation is calculated for assets that are shut down. The following fields are provided for these instances in the asset master record:

- Multiple-shift factor (time-dependent)

- Variable portion of depreciation (dependent on depreciation area)
- Shutdown indicator (time-dependent)

Features

Multiple-shift operation

You can calculate increased depreciation due to multiple-shift operation for all types of depreciation except units-of-production (units-of-production depreciation is by definition 100% variable). You take this increased wear and tear on the asset into account using the following method:

- Specify the variable depreciation portion as a percentage rate in the detail screen for the depreciation area. You can enter a different percentage in each depreciation area. Depending on the maintenance level you have defined, you make this entry in either the asset class or the asset master record.
- Enter a multiple-shift factor in the time-dependent data in the asset master record. This multiple-shift factor is multiplied by the variable portion of ordinary depreciation.

The total depreciation amount is then calculated as follows:

Depreciation amount = fixed depreciation + (variable depreciation * shift factor)

Example

The following example shows the depreciation amounts for an asset with 1000 annual depreciation, and 60% variable portion:

Shift factor 0: 400 + (0 * 60 * 1000/100) = 400 (only fixed portion)

Shift factor 1: 400 + (1 * 60 * 1000/100) = 1.000

Shift factor 2: 400 + (2 * 60 * 1000/100) = 1.600

Shift factor 3: 400 + (3 * 60 * 1000/100) = 2.200

Expired Useful Life

In the definition of the depreciation key, you can specify for multiple shift use whether

- Both depreciation and the expired useful life should be increased
- Only depreciation should be increased and not the expired useful life
- Neither depreciation nor the expired useful life should be increased

Using these options, you can ensure, for example, that depreciation is increased during the declining-balance phase, but that the straight-line phase after the changeover continues until the end of the planned useful life.

Multiple-Shift Operation for Fixed Assets with Declining-Balance Method of Depreciation

For assets using declining-balance depreciation, the system increases depreciation amounts during the declining-balance phase of depreciation, based on the multiple-shift factor and the variable portion of depreciation. However, depreciation is only increased up to the maximum percentage rate that is specified in the depreciation key.

Shutdown

If an asset is shut down for a given period of time, you can suspend the depreciation as follows:

- Define an appropriate time interval for the time-dependent data in the asset master record.
- Set the shutdown indicator in the asset master record for this interval.
- Use a depreciation key that allows shutdown, in the depreciation areas concerned.

The system does not calculate depreciation during the time period of the shutdown. The useful life of the asset increases by this length of time. When you remove the shutdown indicator, the system automatically resumes the calculation of depreciation.

⚠ Caution

Shutdown does not influence the calculation of interest **to exact periods**. The system stops calculating interest during shutdown only if these conditions are met:

- The **calculate shutdown** indicator is set in the interest calculation key.
- The **no interest if no depreciation is planned** indicator is set in the depreciation key.
- There is no planned depreciation amount for the **entire fiscal year**.

Units-of-Production Depreciation

Use

Units-of-production depreciation is useful for certain types of assets. This depreciation method is 100% variable and therefore allows you to take fluctuations in activity into account for the depreciation calculation, by linking the amount of the period depreciation directly to the output quantity.

Features

Depreciation Method

The calculation of period depreciation is dependent on the depreciation calculation method used in the base method of the depreciation key. Two versions are possible in this case:

- **Depreciation of acquisition value over the total output**

The base value here is the acquisition value or the replacement value.

- **Depreciation of net book value over the remaining output**

Make sure that you use base value 27 (net book value with proportional value adjustments) when using this method.

Specifications in the Depreciation Key

For forecasting units-of-production depreciation, you have to modify a depreciation key that is dependent on the number of units. You have to modify one depreciation key **for each total output quantity** (application menu: **Periodic Processing** > **Settings**):

- For the calculation of depreciation, enter the probable total output quantity of the fixed asset (for the depreciation calculation method **No. of units/total number of units**) or the remaining number of units (for the depreciation calculation method No. of units/remaining no. of units).

You can change the total output quantity, or the remaining output, to the exact periods. The system then calculates units-of-production depreciation based on the new total output quantity or the new remaining output, starting with the period in which the change was made.

- Specify the probable output quantity for every depreciation period in fiscal years that are still open.

Calculation:

Depreciation = acquisition value (net book value) / total output (remaining output) * period output

Example

APC: 10,000

Total output: 10,000

Period output: 100

Depreciation = 10000 / 10000 * 100 = 100

As with other depreciation methods, the actual posting of the units-of-production depreciation is carried out by the periodic depreciation posting run.

Examples USA

Use

The following describes some of the depreciation keys provided in the standard chart of depreciation for the USA.

Depreciation key

MACRS

For valuations according to MACRS, for example, the following depreciation keys are provided:

- M200 3, 5, 7, 10 years of useful life
- M150 15, 20 years of useful life
- MSTL 27.5 and 31.5 years of useful life

ACRS

For valuations according to ACRS, the following depreciation keys are provided:

- A0xx for the depreciation percentage rate is 3.5, and 10 years of useful life
- A15x for 15 years of useful life. Depending on the month of the start-up, enter the key A15A (Jan.) through A15L (Dec.) has to be used.
- A18x for 18 years of useful life. Depending on the month of the start-up, enter the key A18M (Jan.) through A18X (Dec.).
- A19x for 19 years of useful life. Depending on the month of the start-up, enter the key A19A (Jan.) through A19L (Dec.).

Examples Germany: Ordinary depreciation

General regulations for depreciation

Certain general requirements for depreciation stipulated in the German commercial code and German tax law are reflected in the depreciation keys that SAP provides:

- End of depreciation

  Depreciation always ends when the net book value reaches zero, or when it reaches the memo value specified globally per depreciation area and company code, or when it reaches the scrap value specified in the asset.

  If you need to take blanket percentage scrap values into account, you can create special scrap value keys. You enter these special keys in the depreciation key as the cut-off value key.

- Acquisitions during the year of capitalization

  All acquisitions in the first year always refer to the depreciation start date that was set automatically by the first acquisition according to the period control that was entered or that was set manually by the user.

- Acquisitions in subsequent fiscal years

  Additional acquisitions to existing assets are allowed in subsequent fiscal years. The system always sets the asset value date to the first day of the fiscal year, so that a full year's depreciation is calculated in the year in which the acquisition was posted.

- Transfers and retirements

  The system calculates transfers and retirements using pro rata temporis. Using pro rata temporis, transactions during the first half of a period start depreciation on the first day of the period, and transactions in the second half of the period start depreciation at the end of the period.

- Shutdowns

  Shutdowns are **not** recognized by the standard depreciation keys.

The special settings for Germany are shown here using the examples of depreciation keys and processes that are common in Germany.

Depreciation key

LINR: straight-line depreciation

The depreciation key calculates depreciation as follows:

- Depreciation = net book value / remaining life

In the year of acquisition, the first year convention of a half year is used, whereby the depreciation start date for acquisitions in the first half of the fiscal year is set to the first day of the fiscal year, so that a full year's depreciation is calculated for the asset. For acquisitions during the second half of the fiscal year, the depreciation start date is set to the middle of the fiscal year, so that half of the annual depreciation is calculated.

The system ensures that when the planned useful life is expired, the net book value reaches one of the following: either book value zero or the specified scrap value or memo value. Depreciation ends at that point. Acquisitions that are posted to the asset after that time are written off completely in the year they are acquired, so that the net book value of the asset remains the same.

DGxy: Declining Balance with x,y-times the Straight-Line Rate

Depreciation keys DG20, DG25 and DG30 calculate depreciation from the net book value at x,y-times the straight-line percentage rate, with a maximum of 10 * x,y %. You enter the declining balance multiplication factor in the declining-balance methods used. The depreciation key DG30 is to be used with the 3-times straight-line percentage rate, but with a maximum of 30% for the new fixed assets. This depreciation key uses this formula:

- Depreciation = net book value * 3 / total useful life

As soon as straight-line depreciation over the remaining useful life is greater than the declining-balance depreciation, the system changes over to straight-line depreciation. This ensures that when the planned useful life is expired, the net book value reaches one of the following: zero, or the specified scrap value or memo value. Depreciation ends at that point. Acquisitions that are posted to the asset after that time are written off completely in the year they are acquired, so that the net book value of the asset remains the same.

Buildings (B), straight-line depreciation (SL) (BSL20/BST25): Buildings, straight-line depreciation

For the depreciation of buildings, you use these depreciation keys that depreciate either 2% of APC over a useful life of 50 years or 2.5% over 40 years. These percentages are specified in the corresponding multilevel method (14 or 15).

In the year of capitalization, pro rata temporis is used, so that depreciation is calculated starting from the period of the first acquisition. Because of rounding, there can sometimes still be a book value when the useful life has expired. When there are subsequent acquisitions to a building, this results in a mandatory extension of the time period for depreciation. If a book value exists, depreciation is still calculated with the same percentage rate after the useful life has expired.

GDxx (buildingxx): Declining-balance depreciation for buildings

Depreciation keys GD35, GD50, GD70 and GD10 are provided for declining-balance depreciation of buildings according to the different percentage rates permitted by tax laws for particular types of buildings and time periods. These percentages are specified in the corresponding multilevel methods of the depreciation keys (11, 12, 13, 10).

In the capitalization year a full year's depreciation is always calculated. The percentage rates are specified so that exactly 100% is always depreciated at the end of the planned useful life. Because of rounding, there can sometimes still be a book value when the useful life has expired. When there are subsequent acquisitions, this results in a mandatory extension of the time period for depreciation. If a book value exists, depreciation is still calculated with the same percentage rate after the useful life has expired.

Low-value asset: Complete depreciation in acquisition year

This depreciation key is specifically set up to provide for the complete depreciation of low value assets in the year in which they were acquired. The depreciation calculation method entered in the base method of the depreciation key is **Immediate depreciation**. Together with the recommended useful life of 1 period for low value assets, this causes the asset to be fully depreciated immediately in the period in which it is acquired. You can**not** post subsequent acquisitions in later fiscal years to assets with this depreciation key. In this way, you can always immediately identify low value assets according to their year of acquisition. Retirements in the acquisition year are always calculated with the complete depreciation.

Asset Master Records

Master Data Maintenance

Purpose

The "master data maintenance" component is used for recording the master data of your fixed assets on an individual asset basis. A fixed asset is defined as an individual economic good that it is recognized in the balance sheet at the time of closing, and is in the long-term service of the enterprise.

The list below shows some of the functions provided for assisting with master data maintenance:

- Control of the screen layout
- Validation or substitution of entries
- Mass changes to master record fields

Asset Master Record

Use

Using the asset master record, you can create, edit, and manage the master data needed for Asset Accounting (FI-AA).

Features

To make it easier for you to create, manage and evaluate master data, the data is structured according to its use and function in the system. The asset master record consists of two data areas:

- General master data
- Data for Calculating Asset Values

General Master Data

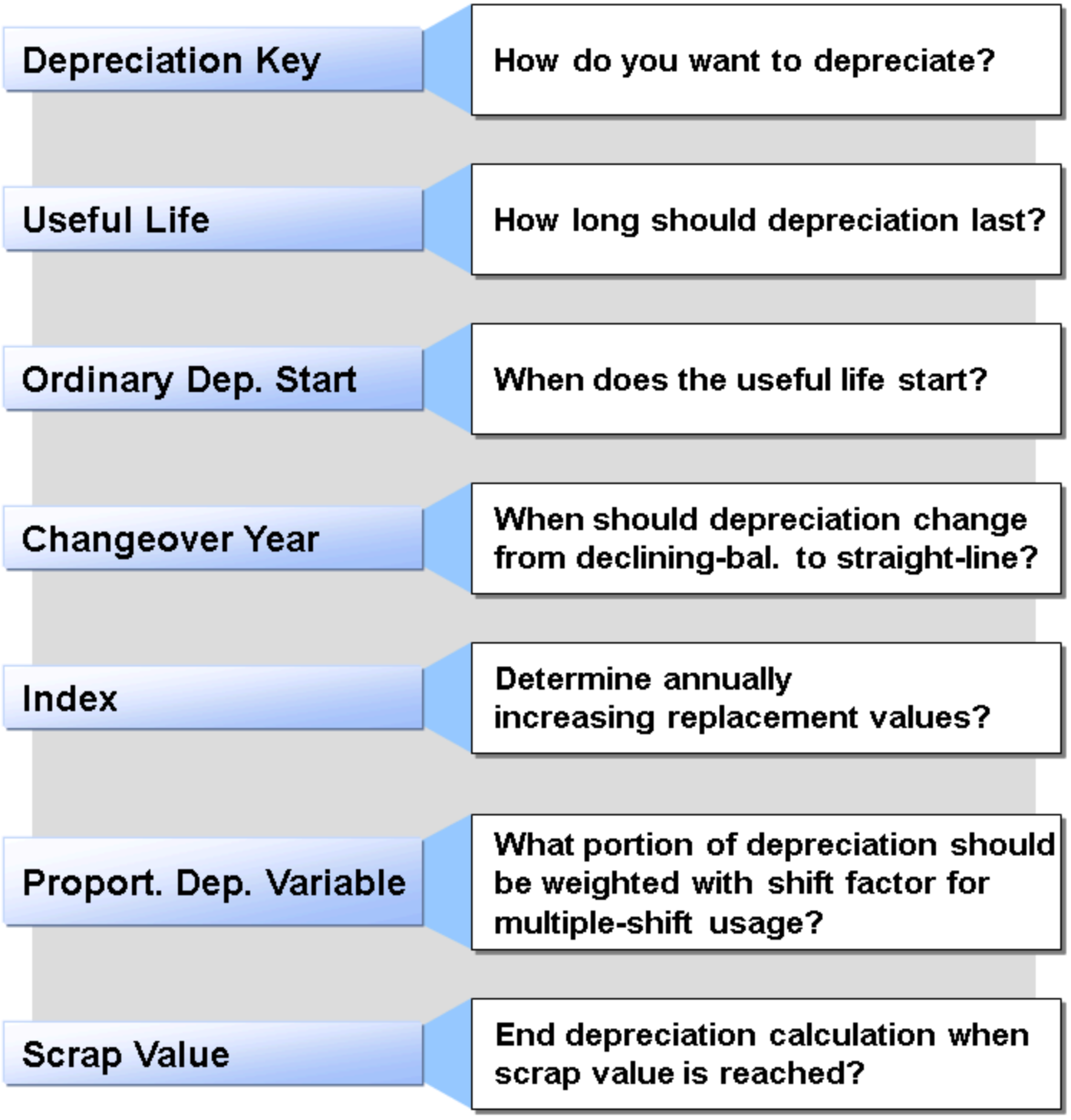
This part of the master record contains concrete information about the fixed asset. There are the following field groups:

- General information (description, quantity, and so on)
- Account assignment information
- Posting information (for example, activation date)
- Time-dependent assignments (such as, cost center)
- Information for plant maintenance
- Entries for net worth valuation
- Information on real estate
- Investment Support Measures
- Information on the origin of the asset
- Physical inventory data
- Insurance data
- User fields/evaluation groups

In addition, you can create long texts for the individual field groups belonging to the general data part of the asset master record. To assist you in entering long texts, you can use templates you define yourself. To create templates, in Customizing, choose **Asset Accounting** > **Master Data** > **Define Long Text Templates**.

Data for Calculating Asset Values

You can specify depreciation terms in the asset master record for each depreciation area in the chart of depreciation. To enable you to make these specifications, the master record contains an overview of the depreciation areas. In addition, there is a detailed display available for each depreciation area. If there are depreciation areas proposed from the asset class that are not needed for a specific asset, you can deactivate these depreciation areas at the asset level.



Important Depreciation Terms of a Depreciation Area

i Note

You can also make the following entries on a time-dependent basis: Depreciation Key, Useful Life, Variable Depreciation Portion and Scrap Value. If there are several time intervals for these parameters, then the system displays the largest time interval in the depreciation area overview and on the detail screen for the area.

Number assignment

Use

The asset number uniquely identifies a fixed asset. It always consists of the main asset number and the asset sub-number. There are two ways of carrying out number assignment in the system:

- External number assignment
- Internal number assignment

In the case of external number assignment, the user directly assigns the asset number. The system displays only the defined number interval, and issues an error message if a number is already assigned. In the case of internal number assignment, the system automatically assigns consecutive numbers.

⚠ Caution

Do **not** use hyphens or the asterisk (*) symbol with external number assignment.

Features

Number Range Intervals

You define the number ranges at company code level. In Customizing for the asset class, specify the number range per company code, and specify whether assignment from the number range should be carried out externally or internally. Alphanumeric intervals can only be assigned externally.

You should choose sufficiently large intervals, since an extension is not possible if the extension already belongs to another interval. When you reach the last 10 percent of the maximum assignable asset numbers of an interval, the system notifies you that the number interval will soon be exhausted. When the last number of the interval has been assigned, the system issues a further warning. You should pay attention to these warnings and extend the intervals in time or assign a new number range for the asset classes involved.

Cross-Company Code Number Assignment

If you want several company codes to use the same number assignment (cross-company code), you can maintain the number range in one company code, and assign the other company codes to this company code for number assignment.

Cross-company code number assignment in Customizing for Asset Accounting (**Define cross-company code number assignment**):

Company code 0001	Company code 0002
Num.assgn.CC 0001	Num.assgn.CC 0001

Example

Example of a cross-company number assignment in chronological order (for internal number assignment):

	Bukrs 0001	CoCode 0002
1.asset	10001	
2.	10002	

3.		10003
4.		10004
5.	10005	
6.		10006
7.		10007

Asset Main Number

The main asset number is 12-digit alphanumeric. Number assignment is controlled by the asset class. You specify the number range for an asset class in the asset class. In this way you ensure that number assignment is uniform for the asset class. You can choose between external and internal number assignment by specifying a correspondingly defined number range. Several asset classes can use the same number range.

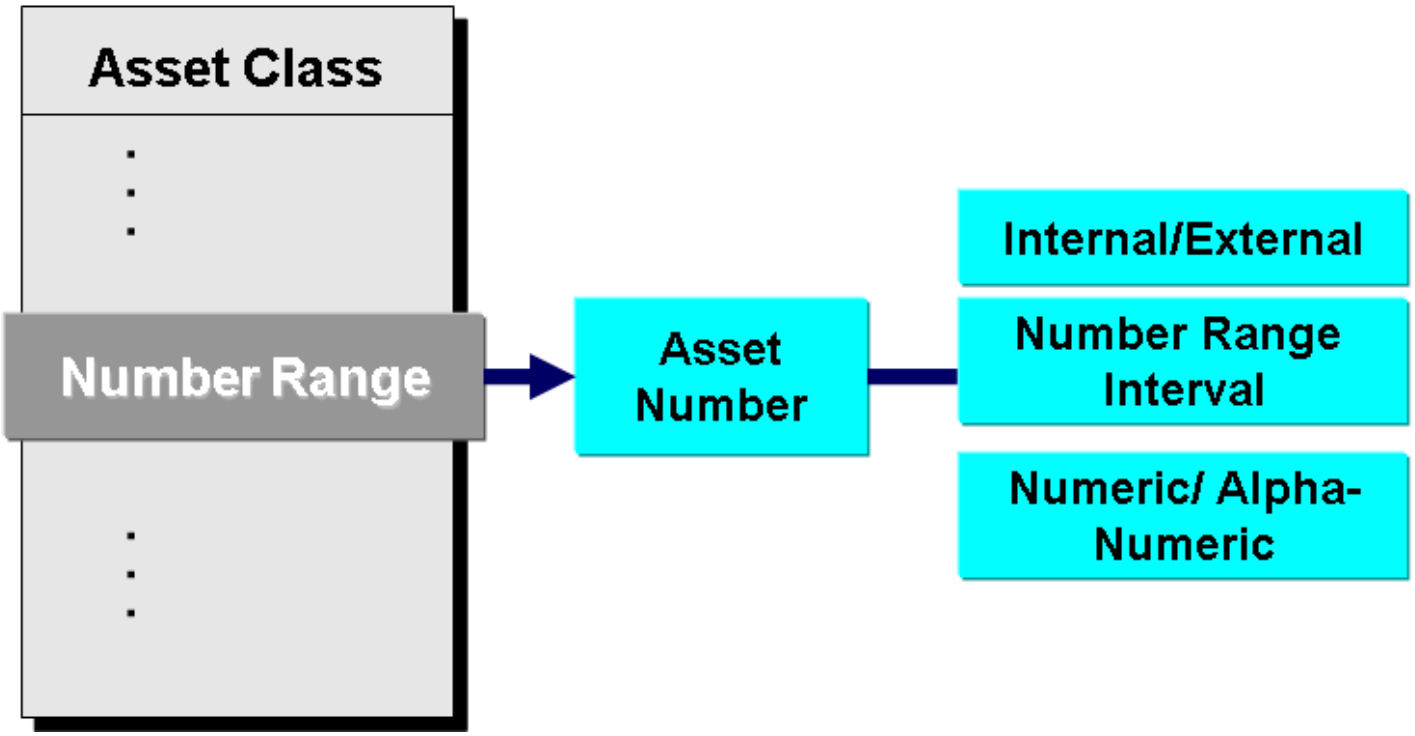


Figure: Asset Classes and Number Range

Asset Subnumber

The asset sub-number has four numeric characters. The first sub-number is assigned at the same time as the main number and is noted as a main asset master record. You do not have to define number ranges for the sub-number assignment. You specify in the asset class whether sub-numbers are assigned externally or internally.

- In the case of internal assignment, the sub-numbers are assigned consecutively for each main number starting with "0000".
- When you use external assignment, you can use your own method for assigning numbers. It is recommended that you devise your own method, especially for complex fixed assets that have component parts. In this way, you can evaluate the sub-numbers for certain asset components at the same time by using the generic selection of sub-numbers.

Screen Layout, Maintenance Level, Tab Layout for Master Data

Use

The asset master record in the FI-AA component has a large number of fields in order to meet the needs of its many functions. To make master data maintenance nonetheless as simple and efficient as possible, the following Customizing functions enable you to design the asset master record to best suit your needs.

- Specification of field characteristics (required entry, optional entry, suppressed) and the maintenance level (asset class/main number/sub-number) for master data fields
- Specification of the layout of the tab pages in the master record

Features

Screen Layout Control

You specify the field attributes in the asset master record, and the maintenance level of the fields, using screen layout control. You can define as many types of screen layout control as you need, and enter them in the asset classes (Customizing **Master Data**). There is screen layout control for

- General master data
- Depreciation terms in the master record (depreciation areas)

In each screen layout control, you can make specifications for the individual field groups. The corresponding maintenance fields are assigned to every field group.

Screen layout control > **Field groups** > **Individual fields**

The field groups and their respective fields are defined in system tables. When you define the screen layout, the system proposes all existing field groups, and you maintain each one individually. You define specifications for the screen layout and for the maintenance level of the field groups, and you specify whether the field contents can be copied as a reference.

SAP supplies several predefined screen layout controls. In regard to depreciation terms (areas), the system offers the following depreciation procedures:

- Depreciation terms are maintainable on sub-number level
- Depreciation is uniform for main assets and their sub-numbers
- Depreciation is uniform for the asset class

Using the screen layout, you control whether the fields of the field group are required fields, optional fields, display fields, or whether they should be suppressed completely (that is, not appear at all in the screen). For required fields, an entry is always mandatory in master data maintenance. You can choose whether to make entries in optional fields. You can only define field groups as display fields if the system determines the values in these fields (for example, insurance value). If you suppress all field groups of a screen, the screen is not displayed during master data maintenance.

By using the screen layout to control fields, you guarantee that the necessary fields are processed for each asset class. Each field group can have only one value in the screen layout.

⚠ Caution

Only fields that are blank or 0 can be suppressed using the screen layout control. Fields that are not blank or 0 are always displayed, regardless of the setting of the screen layout control. These non-initial fields may appear if:

- Screen layout control was changed.
- Suppressed fields were provided with values by the legacy data transfer

In order to suppress these fields, you first have to define them as being changeable, and then delete their contents.

Maintenance Level

For each field group of the asset master record, you can specify one maintenance level. The maintenance level determines the asset classification level at which a field group can be maintained.

The maintenance levels in the system are:

- Asset class
- Main number
- Sub-number

You assign one of these maintenance levels to a field group, with the following results:

- **Asset class only**

If you specify the asset class as the only maintenance level for a field group, you cannot maintain the fields on main or sub-number level. Instead these fields are for display only at those levels. The values for these fields are copied from the asset class to the main number and sub-number. Later changes to these field values in the asset class are not reflected in existing master records (main number and sun-number), but apply only to newly created assets.

- **Main number only**

If you specify the main number as maintenance level for a field group, you can only maintain these fields when creating or changing the main number. The values of these fields are automatically copied to sub-numbers created later, and can no longer be changed there.

- **Sub-number only**

If you specify the sub-number as maintenance level, you can maintain the field group on the main and sub-number level.

- **Main number and sub-number**

If you specify the maintenance level as main and sub-number, the field group from the main number is proposed as a default value during maintenance of the sub-numbers, but can still be changed.

Graphic: Screen Layout Control

Copying Using a Reference (When Creating Master Records)

You can create an asset using another asset as a reference. You use the screen layout to control whether certain field groups in the target asset can be completed with values from the source reference asset. You should not complete all fields by copying from the reference asset. It makes sense to maintain some of these fields separately for each asset, since they apply only to one asset (for example, the base insurable value and other value fields containing insurance data).

⚠ Caution

You cannot define a maintenance level for fields which are suppressed by means of the screen layout.

Tab Layout

Due to the large number of fields, the asset master record is split up onto different screens and tab pages using tab layout functions. In Customizing (**Master Data**), you can specify how many tabs you want to have (up to a maximum of 8) and which field groups you want to be displayed on the given tab pages. You can make these specifications dependent on the asset class. If necessary, you can define exceptions within an asset class that are dependent on the chart of depreciation.

Figure: Screen Layout Control

The following graphic shows an example of screen layout control.

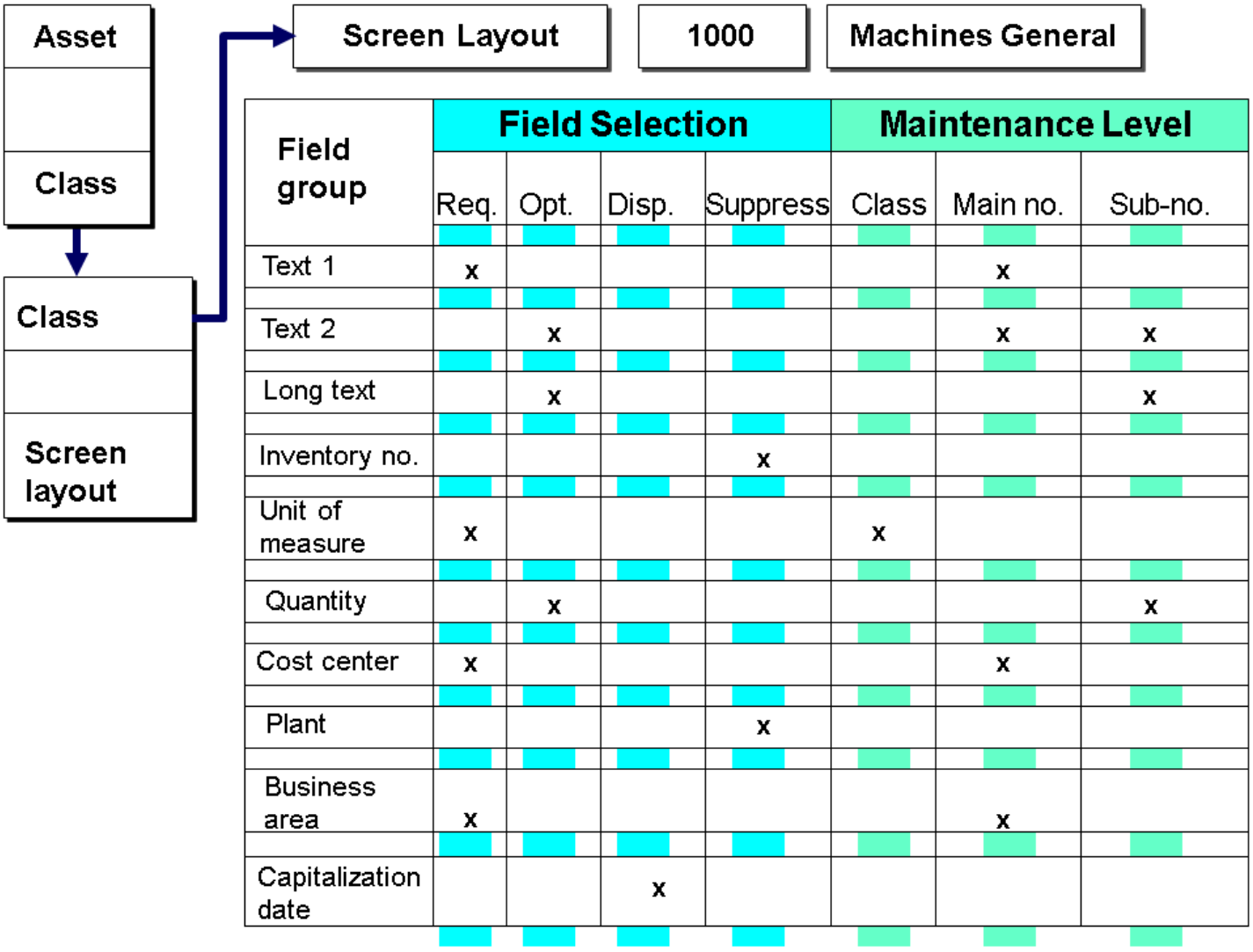


Figure: Screen Layout Control

Master Data Maintenance with Asset Views

Use

The asset view also has some control over master data maintenance, in addition to its function as an authorization (refer to Asset Views). For every asset view, you can determine in FI-AA Customizing which field groups of the master record are maintained, displayed only, or suppressed for this view (**Asset views**).

Features

It is only possible to maintain **all** master data fields of an asset using view 1 (asset accounting view). To avoid inconsistencies between the screen layout control and the view control when creating a master record, you should define this view in such a general way that it allows you to maintain all field groups that are defined as required fields in a screen layout control.

If the field maintenance based on the screen layout control is inconsistent with the asset view, the field parameter default takes precedence. This parameter is a more stringent protection of the field.

Incomplete Assets

It is possible to create assets when working with an asset view that only allows limited access to asset master records, but these assets will be incomplete. “Incomplete” means that all required entries were not made, because the asset view does not have authorization for this master data. For example, an employee in the purchasing department (with the purchasing asset view) can create an asset with master data relevant to purchasing, but without entering cost center information.

Processing Incomplete Assets

If you are using the Workflow component, the system automatically creates a worklist of incomplete assets. This worklist is sent to the Mailbox of the responsible asset accountant. For more information, see Workflow Scenarios in Applications

As an alternative to Workflow, you can use a special report (under **Tools**) for selecting incomplete assets (refer to Processing Incomplete Assets).

Access to Depreciation Areas

You can also assign a view for the depreciation area specifications in the asset master record. When you assign an asset view to a depreciation area, you can only maintain the depreciation terms of this depreciation area in the asset master record if you have the assigned asset view. However, your specifications apply to the entire depreciation area in this case, and not to individual field groups. For asset views for depreciation areas also, view 1 always has authorization for maintenance.

User Fields

Use

To describe and classify your assets as accurately as possible, besides the fixed organizational characteristics, additional characteristics are available to you in the asset master record:

- Classification keys
- Other user fields (for example, investment reason)
- Customer fields (enhancement of the asset master record required)

Features

Classification keys

For individual classification requirements, five classification keys are available: These classification keys are function-neutral. You can define one 8-character and four 4-character classification keys with specific allowed entries and meanings (in Customizing for **Asset Accounting**, under: **Master Data** **User Fields**).

You can then specify the values for these classification keys in the asset master record.

You can use the screen selection to specify that it is mandatory to specify the classification keys when creating a master record (that is, they are mandatory fields).

In Reporting, you can use the classification keys in the following ways:

- As a selection criterion (can be selected in the report selection screen by using **Custom Selection**) and
- As a sorting criterion (compare with sort versions)

The keywords of the classification keys can also be changed in FI-AA Customizing. The system outputs the changed keywords in all screens, in reporting and in field help short texts.

Example

Classification key 1 and 2, and their allowed entries:

No.	Classification Key	Description
1	SOFT	Software
1	HARD	Hardware
2	PCOS	PC Operating System
2	PCAS	PC Application Software
2	PCTO	PC Tools
2	UXSO	Unix Software
2	UNIX	Unix Hardware
2	3270	3270 Hardware

Other User Fields

Besides the function-neutral classification keys, the asset master record contains the following specific user fields:

- Reason for Investment
- Environmental Protection Indicator
- Asset Super Number (compare with asset super number (business entity))

You can define the allowed entries for these fields - like the classification keys - in Customizing for Asset Accounting under **Master Data** > **User Fields**. You can also use the fields in standard reports for sorting using sorting variants.

Customer fields

In addition to the user fields named above, you can also use customer fields: To do this, you must enhance the asset master record. To enhance the master data record, the following options are available:

- Activate a customer enhancement project with SAP enhancement `AIST0002` (classical option).

  For more information, see the system documentation

  - In the Implementation Guide under **Asset Accounting** > **Master Data** > **User Fields** > **Enhance Asset Master Record with Customer Fields** > **Develop Enhancement in User Fields in Asset Master Record**

    - in transaction SMOD: There you can display documentation for SAP enhancement AIST0002.

- You enhance the asset master record by using the **User-Defined Fields and Logic** app.

  For more information, see Enhance Asset Master Record.

Enhance Asset Master Record

You can create customer fields for the asset master record and define their field control.

Use

You can enhance the existing default fields in the asset master record with customer-defined fields by using the **Custom Fields and Logic** app.

Example: You would like to include the field **warranty end date** in the asset master record.

Features

Once you have created such a customer field, it is available in the following Fiori apps:

- **Create Asset Master Record**
- **Change Asset**
- **Display Asset Master Worklist**
- **Manage Fixed Assets**
- **Asset History Sheet**
- **Asset Balances**
- **Depreciation Lists**
- **Asset Transactions**

You can also make the customer-defined field available in classical transactions-

A customer field is **not** a required entry field by default in the asset master record. You can however adjust the field control for your customer field by creating your own enhancement implementation.

Constraints:

You can enhance the asset master record exclusively with time-independent fields.

For the customer-defined fields that you created using the **Custom Fields and Logic** app, there is **no** automatic input check. Field help is **not** intended.

Activities

Create customer field for the asset master record.

1. Call the app **Custom Fields and Logic**.
2. To create a new field, on the tab **Custom Fields** choose the pushbutton „**+**“ (**Create**).

3. In dialog box New Field, specify the following field attributes:

    a. Business context ***Fixed Asset Master Data***

    b. Labels

    c. Type (for example, number or amount)

   Choose Create.

4. In the list of fields, filter the list using the business context ***Fixed Asset Master Data***.

5. In order to get from the list of fields to the detail view for your new field, choose the pushbutton „>“ in the line of your new field.

6. In the detail view for your new field, navigate to the tab UIs and Reports.

    a. Activate the use in the proposed UIs and reports.

    b. Choose Save.

    c. Choose Release.

The customer field is now available in the above-mentioned Fiori apps.

To make the field available in the classical SAP GUI transactions as well (for example, in the Create Asset (`AS01`) transaction), make the following settings in Customizing for Asset Accounting under Master Data > Screen Layout > Specify Layout of Asset Master Record:

1. Define a new asset master record layout or adjust an asset master record layout already in use.

2. Create a new tab page if required.

3. Assign the `S0050` group box to the tab page you want (which either exists already or you have newly created).

4. Save your settings.

5. Assign the layout to the asset classes in which the customer-defined fields are to be displayed.

Create enhancement implementation for field control

If you want to adjust the field control for a customer field, create an enhancement implementation (BAdI implementation). To do this, proceed as follows:

1. Call the app Custom Fields and Logic and navigate to the tab Custom Logic.

2. To create a new enhancement implementation, choose the pushbutton „**+**“ (Create).

3. In the New Enhancement Implementation dialog box, proceed as follows:

    a. As the business context, choose ***Fixed Asset Master Data***.

    b. As enhancement option, choose ***Field Control for Customer Fields in Fixed Asset Master Data***.

    c. Enter a name for the enhancement implementation.

    d. Choose Create.

4. Adjust the design to meet your requirements. See also the documentation under Description > Display Details.

5. Save your enhancement implementation, test it and then release it.

More Information



Open this video in a new window

Note

Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.

You can also use the **Search within video** field to search for specific text in the English or German captions.

For more information about the **Custom Fields and Logic** app, see Creating Custom Fields and Custom Business Logic.

Time-Dependent Data

Use

Certain assignments during the life cycle of an asset change frequently, and therefore a record should be kept of the changes, both for reporting and for valuation needs. Examples are the assignment of an asset to a cost center, or multiple-shift usage of an asset during a certain time period.

Features

You can store the following assignments with different time intervals in the asset master record:

- Cost center
- Plant
- Activity type
- Internal order (costs)
- Location

- Room
- Personnel number
- Multiple-shift factor
- Shutdown indicator
- Maintenance order
- Maintenance project
- Business area
- Funds center
- Fund
- Functional area
- Grant
- Funds center for APC value postings
- Fund for APC value postings
- Functional area for APC value postings
- Grant for APC value postings
- Real estate object key
- WBS element

Data is stored in an unbroken sequence showing the exact day, with a "valid from" and "valid to" date. When you access a master record, the time-dependent data valid for the date of the request is displayed. If the assignment is different in other time periods, this is designated by a history indicator after the field. Using the "Field breakdown" function, you display the entries for a given field at the different intervals.

⚠ Caution

You can specify in Customizing whether you want the assignment to cost center and/or to business area to be time-dependent or not (under **Master Data**). For more information, refer to Changes to Master Data

Time Intervals

You can display the available time intervals and select them for maintenance. If you want to change an assignment starting from a certain point in time, you must first specify the new time interval. The system processes the data of the new interval and takes over the original assignments. The new interval can then be maintained.

Example

Maintaining Time-Dependent Data

Matchcode

Use

In the Asset Accounting system, the matchcode is used as a search help for asset master data.

Features

You find asset classes using the usual F4 entry help function.

The following standard matchcodes have been defined:

- ID: A = name and asset class
- ID: C = cost center
- ID: I = inventory number
- ID: M = investment orders
- ID: P = investment projects
- ID: R = group asset

The standard matchcodes are all updated simultaneously. They are available for the "asset class" and "asset number" fields in the standard transactions. You define your own additional matchcodes in Customizing. Since the simultaneous matchcode update procedure is very taxing on the performance of the system, you should use the non-simultaneous update procedure for your own matchcodes.

Document Management

Use

Very often you have a large number of original documents, of both a technical and an accounting nature, for your assets. Your enterprise can digitalize these documents and manage them using the **Document Management component**. Access to these documents can be especially important in Asset Accounting.

Features

The asset master record transaction therefore has a connection to the central function **Document Management** under **Extras**. This makes it possible to link any number of documents, such as the following, with the asset master record:

- Original documents
- Text files
- Bills of material
- Blueprints
- Video sequences

The documents are not stored locally. They are stored in the central document management of the SAP System.

To be able to display the relevant document in Asset Accounting, the following prerequisites must be fulfilled:

- The front-end computer must have the required software application that corresponds to the format of the document.
- The relevant computer is defined in Customizing for document management as a network node (Customizing: **Document Management** > **General Data** > **Frontend Computer**).

- A connection has to have been made between the document type and the object asset (in Customizing: Document Management > Control Data > Object Link).

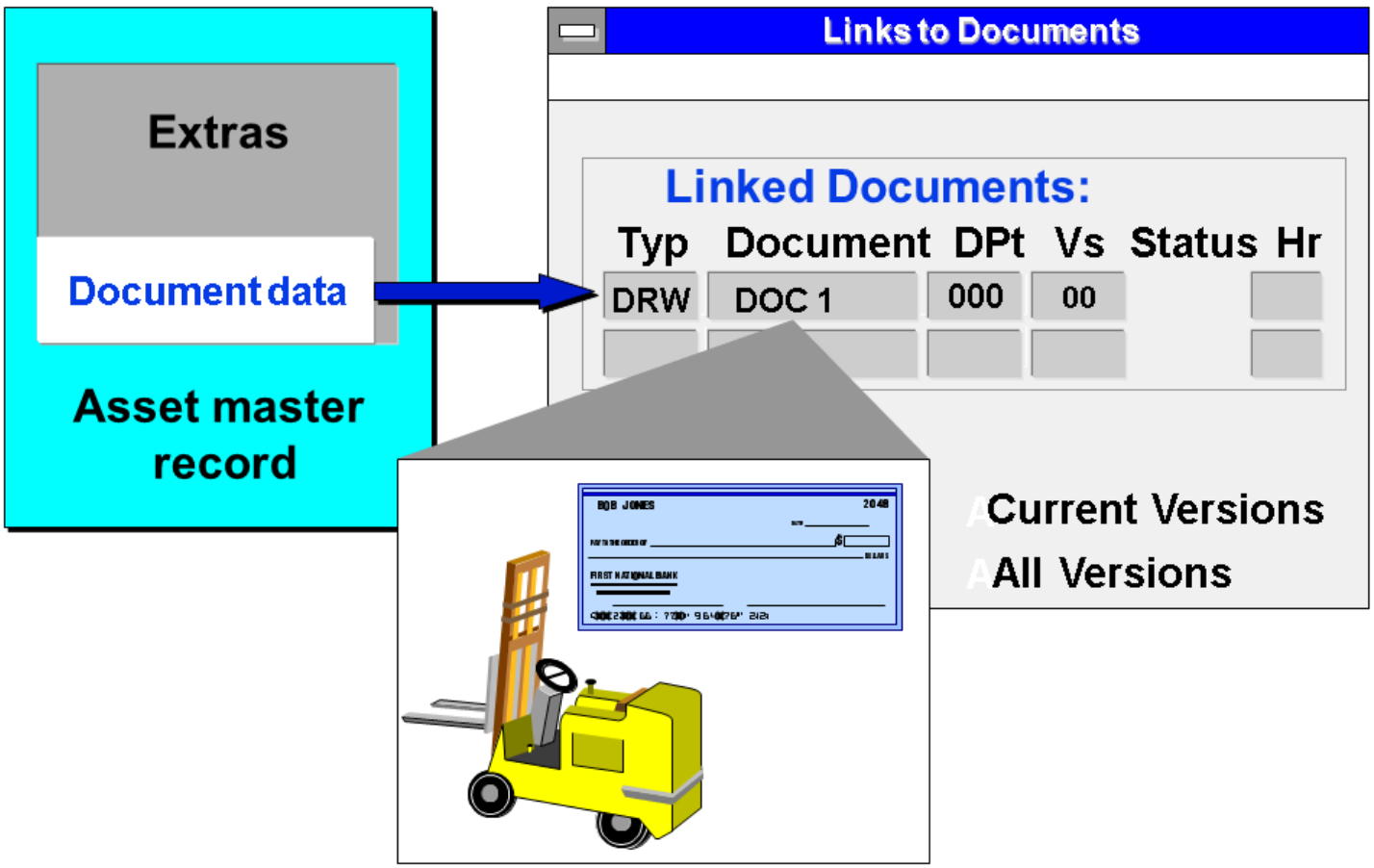


Figure: Asset Linked to Document

Note

For more information on document management, see the Implementation Guide (IMG) for Document Management under Central Function.

For general information on document management, see the SAP Library under Document Management.

Validation and substitution

Use

For the individual support of master data maintenance you can define validation and substitution conditions in Customizing for fixed assets (under Define Validation/Substitution).

Features

Validation

You create your own validation conditions, which serve as check rules when you create an asset master record. These customized check rules supplement the standard check rules. A validation condition consists of the following:

- Company Code
- Specification of the point in time for the check

- Validation rule

A validation rule consists essentially of the following elements:

- Condition, under which the rule should be checked (such as, if the asset class = LVA)
- Check rule, that **cannot** be broken (such as depreciation key is GWG1 or GWG2)
- Number of the error message that the system should produce if the check rule is violated

You must define check rules and conditions which conform to Boolean logic.

The system checks the validation conditions when you change to a new screen while creating an asset master record. If a check rule is violated, the system displays an error message. You specify the number of this error message in the validation rule. You have to create this error message yourself (transaction SE61).

The following figure shows Customizing definitions and application behavior for the validation rule: "Only depreciation keys for buildings are allowed in asset class 1000 and in depreciation area 01:

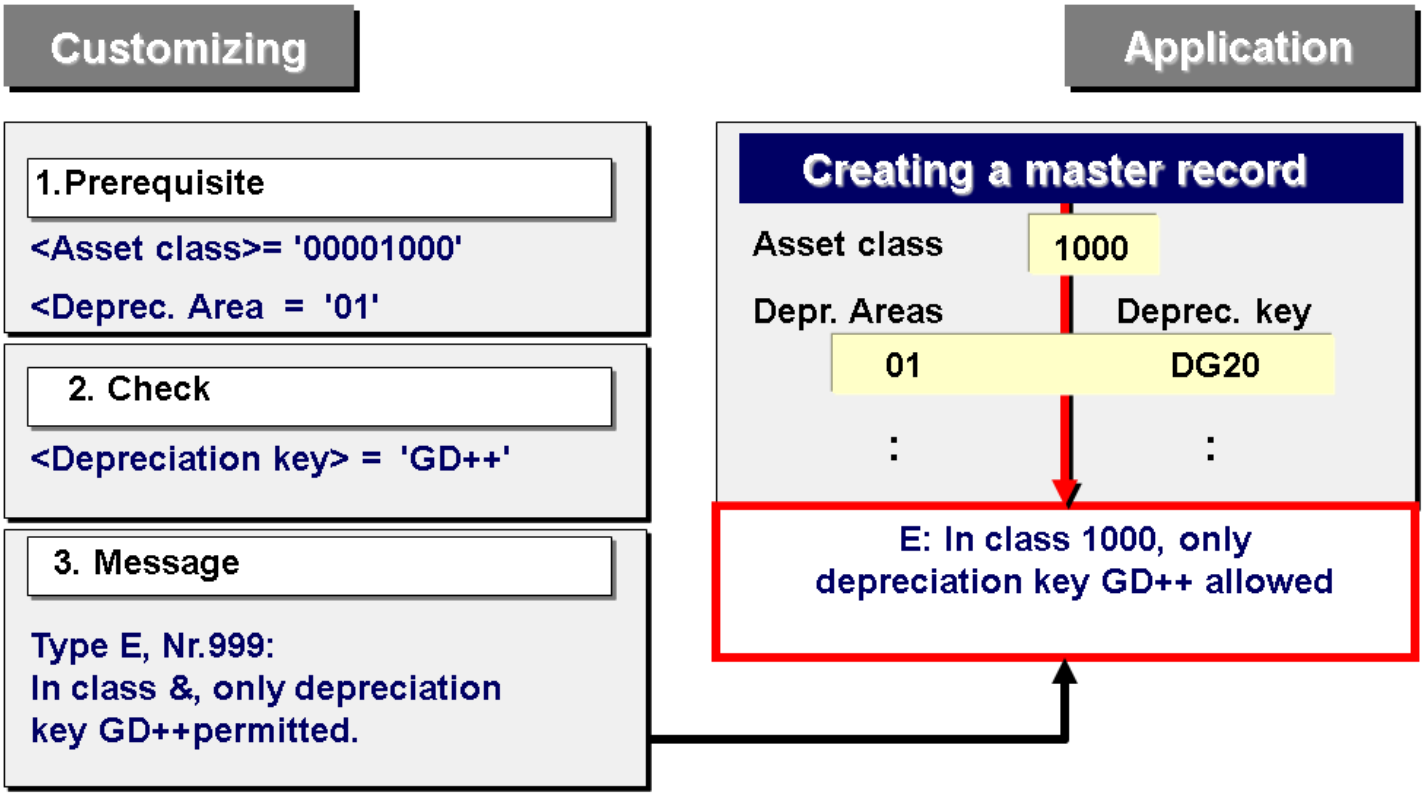


Figure: Definition of a Validation

Substitution

You can use substitution functions within asset master data maintenance for the following activities:

- Creating assets
- Mass changes to asset master data (see Mass Changes to Master Data).
- Changes to business area or cost center, with a resulting transfer document (refer to Changes to Master Data).

Substitution for Creating Assets

Substitution conditions enable you to create default values, in addition to the defaults from the asset class. Substitution conditions are based on freely definable rules, and are dependent on different master data fields in the asset master record.

Example

You can use this method to complete the **Business area** field with corresponding values which is dependent upon the contents of the field **Plant**.

The rule would then be: "If the "Plant" field has the value XXXX, then replace the value 0000 (initial) in the "Business Area" field with the value YYYY.

Substitution conditions have the same structure as validation conditions. The most important part of the substitution is the substitution rule. A substitution rule consists primarily of the following:

- The conditions under which the rule should be checked
- Substitution if the requirements are met (setting of a constant value in a particular master record field). Or you can use a substitution exit with program code that determines the value to be entered in the master record field.

You define the substitution rules in Customizing for fixed assets. They are based on Boolean logic, as the validation rules are.

You can still change values that have been proposed on the basis of substitution rules. You can change these values manually in the master data transaction. Values that you change manually are **not** changed again by the substitution rule.

More Information

For information on the procedure to follow when creating validation or substitution rules, see the explanations in the Implementation Guide of Asset Accounting. For a detailed description of this topic, see the SAP Library in the application documentation for **Special Ledger (FI-SL)**.

Mass Changes

Use

You can make master data changes to large numbers of assets in the FI-AA component using mass processing. For more information, see Mass Changes to Master Data

Note

If you set up the workflow so that assigning an agent is not required, the system is not able to send any messages if errors occur. As a consequence, the results of mass processing (mass changes, mass retirement, mass transfer) are not visible. When this happens, look at the worklist (**Environment** > **Worklist** > **Display**) and start the report by entering the number of the worklist. In the list you see the status of the worklist, which is shows that it has errors. Then choose **Edit** > **Display errors in WL** to analyze the errors.

Asset Master Data Maintenance

Purpose

The following objects describe master data maintenance for fixed assets.

Creating Master Data

Purpose

The asset master record contains all information relating to an asset that remains unchanged over a long period of time:

General master data

Organizational allocations (usually time-dependent)

Depreciation terms



You can also enter depreciation terms that are time-dependent (that is, valid for a fixed period of time). Depreciation terms that can be time-dependent include the useful life, depreciation key, and the scrap value. For more information, see New Depreciation Calculation Using DCP .

The system stores all the values and transaction data separately on each individual asset master record.

You can differentiate between different types of assets in the FI-AA component. The structure of the master record is identical for all asset main numbers, asset subnumbers and group assets. Therefore, the basic procedure for creating any of these objects is essentially the same.

See also:

Master Data Maintenance

Creating Assets

Prerequisites

If you want to create multiple assets of the same kind, you have activated the setting **Configurable Entry Screen for Creating Multiple Assets** in Customizing for Asset Accounting under **Master Data** > **Screen Layout** > **Define Screen Layout for Asset Master Data**. As a result, you can specify which fields you want to be able to enter individually for each asset. This applies for most fields of the asset master record on the basis of the field group.

Context

You can create one asset or multiple assets of the same type. When you save assets of the same type, you can decide if you want to copy all the fields of the first asset, or if you want to overwrite certain fields in each asset that are predefined by SAP.

Procedure

1. Check whether you are creating an entirely new asset, or if you are adding to an already existing asset:
    - For a completely new asset, first determine the correct asset class. Enter the asset class and the company code on the initial screen of the master data transaction (choose **Asset** > **Create** > **Asset**). Another option is to use an existing asset as a reference when creating the new asset.
    - If you are adding to an already existing asset, you must first identify the main asset number of the existing asset. Create a new asset subnumber for this main asset number (choose **Asset** > **Create** > **Subnumber** > **Asset**). The system uses the main asset number to determine the asset class for the new asset.
2. If you are using external number assignment, enter the new main asset number (or subnumber). In the case of internal assignment, the system assigns the number automatically.

> ⚠ **Caution**
>
> You cannot use a hyphen or an asterisk (*) symbol as part of the asset number when you use external number assignment.

Confirm your entries.

3. Enter the relevant master record information on the tabs as needed:
    - General data (such as description, capitalization date, inventory date)
    - Time-dependent assignments (such as, cost center)
    - Allocations (evaluation groups, investment support measures)
    - Information on the origin of the asset
    - Specifications for net worth tax
    - Insurance data
    - Leasing information (especially the relevant data for the opening entry and, if necessary, determination of present value)
4. Enter depreciation and valuation information for each depreciation area (or check the default values):
    - Depreciation key
    - Useful life in years/periods
    - Start date for depreciation calculation
    - Index series (for the calculation of replacement values)

    Choose **Choose depreciation area** to go from the overview screen to the detail screen.
5. Deactivate any depreciation areas that are not necessary for the asset.
6. Save the asset.

Changes to Master Data

Use

Different types of changes to master data require different handling in the system. These different types are listed below:

- You want to change normal master record information and entries regarding valuation.
- You want to change time-dependent allocations to organizational units that are not relevant to the balance sheet (for example, plant).
- You want to change time-dependent allocations to organizational units that are relevant to the balance sheet.

  The organizational units that are relevant to the balance sheet in this context are business area and profit center. The system determines the profit center for the asset indirectly on the basis of the asset's cost center. The cost center can also be assigned to a business area. Therefore, the cost center is in this sense also relevant to the balance sheet.
- You want to change the assignment of the asset to the asset class.

Process

Changing Normal Master Record Information

You can change normal asset master record information by simply changing the field contents in the asset master record.

Changing Organizational Units Not Relevant to the Balance Sheet

Time-dependent allocations of an asset to organizational units that are **not** relevant to the balance sheet can also be made directly in the asset master record. You have to enter the time period for the change. You may also have to enter a new time interval.

Changing Organizational Units Relevant to the Balance Sheet

The following variants exist for changing the assignment to organizational units that are relevant to the balance sheet (business area, cost center/profit center):

- If you use profit centers and/or segments in the master record, the following applies: If you want to change the **profit center** and/or **segment**, create a new time interval. In this case, the system carries out an automatic transfer posting from the old profit center to the new profit center or segment.
- The other variant is the change by a master record change. However, this is only possible if the **Business Area** and **Cost Center** master data fields are **not** managed as time-dependent. You can set the business area and cost center to not be time-independent in Customizing for **Asset Accounting** under **Master Data**.

  When you change one of these organizational units in the asset master record, the system automatically creates a transfer document with the acquisition and the retirement, as well as a master data change document. The system uses the system date as the standard default posting date for the automatically created document. However, you can also change this posting date using a substitution (see Validation and Substitution).

  It is not possible to change only one particular time interval. Changes that take effect on a specific date are also **not** possible. For both of these reasons, the system is **not** able to create a history for the assignment to a cost center/profit center. After a change is made, the system displays the new business area or cost center/profit center in all subsequent reports (even if the report is for a time period prior to the change).
- The other option is to change the assignment of business area or cost center/profit center by posting an asset transfer to a new master record, and **not** by making the change in the asset master data.

  You have to use this method if the **Business Area** and **Cost Center** master data fields are managed as time-dependent. When you use this method, the system displays the business area or cost center that is valid for the given time period in all reports.

No matter which of these methods you use, the system ensures continuity in your business area balance sheets and profit center balance sheets.

Change of Asset Class

Changing the asset class is only possible by posting a transfer to a new asset master record.

Changing General Data of Assets

Procedure

1. Change fields in the master record using the master data transaction (**Asset** > **Change** > **Asset** >).
2. To change the depreciation terms, choose the **Deprec. areas** tab page . You go directly to the overview screen of all depreciation areas that are managed for that particular asset. When you choose **Choose depreciation area** , you go from the overview screen to the detail screen for the area.

Changing Time-Dependent Data

Procedure

1. Choose Asset > Change > Asset .
2. Choose the Time-Dependent Data tab.
3. Choose Further Intervals. Specify the time interval, for which you want to make the change. Choose an interval that is already defined, or define a new interval.
4. Save the data.

Changing Assignment to Asset Class (Using Transfer)

Procedure

1. Copy the asset master record that you want to change. You do this by creating a new master record, using the record you want to copy as a reference. However, make the necessary changes in the new master record. Either create the new master record with a new asset class, or enter a new business area in the time-dependent data for the new asset.
2. Use the Asset Explorer to determine whether the asset you are changing has only prior-year acquisitions, or whether there are also current-year acquisitions .
3. Carry out a complete transfer of the original asset to the new master record (refer to Posting the Splitting or Moving of an Asset).

- Transfer acquisitions from prior years and current acquisitions separately from the original asset to the new asset (transaction type 300/320).
- Make sure that the new master record manages the same depreciation areas as the original asset.

Deactivation - Deletion - Blocking

Use

The system supports the removal of an asset from the asset portfolio in the following manner:

Deactivation – Archiving

If you scrap a fixed asset or sell it, the system automatically assigns a deactivation date to the asset as a result of the retirement posting. If you reverse this transaction, the system removes the deactivation date. If you later want to post subsequent acquisitions to the asset, you can also cancel the deactivation date manually in the master record.

Using a special archiving program, you can remove deactivated assets from the database and transfer them to an archive file (see Archiving). Bear in mind, however, that the asset history sheet also frequently includes transactions from the previous year. For this reason, the deactivated assets from the previous year cannot be archived (minimum residence time = 1 year).

Deletion of Assets Without Postings or Legacy Assets

You can directly delete an asset master record to which no postings have been made, without archiving. In addition, it is also possible to manually delete legacy assets from your previous system during the legacy data transfer process. Follow these steps:

1. Delete all the transferred values for the legacy asset using the legacy asset change transaction.

2. Set the deactivation date for the legacy asset using the legacy asset change transaction (on the first master data screen).

3. Delete the legacy asset using the delete transaction (AS06).

ℹ Note

You can reset company codes that are in test status by using a special Customizing program (deletion of all application data). You can access this program in Customizing for Asset Accounting under **Preparations for Going Live** > **Tools** > **Reset Company Code**.

Blocking

Set the blocking indicator in the asset master record. Once the blocking indicator is set, you can no longer post acquisitions to this asset. The idea behind this, for example, is to prevent future postings to an asset under construction once the project is complete.

Transfers and asset retirement postings to blocked fixed assets are still possible.

Process

For the procedure for deleting assets, see Deleting Assets.

Deleting Assets

Procedure

1. Remove any existing capitalization date in the asset master record (**Asset** > **Change** > **Asset**).

2. Delete the master record physically from the database using the transaction **Asset** > **Block/Delete.**

- Set the **Physically delete asset** indicator.
- Save.

Transactions

The business transactions during the life on an asset are represented in the system by transactions.

Example

These transactions include acquisitions, retirements, intracompany and intercompany transfers, and capitalizations of assets under construction.

Basic Functions of Transactions

Purpose

The **transactions**component enables you to carry out all accounting transactions that occur during the life of a fixed asset in your organization.

Integration

Asset Accounting is a subsidiary ledger of Financial Accounting, along with Accounts Receivable and Accounts Payable. The Asset Accounting component makes it possible to perform all business transactions that affect fixed assets, in integration with Financial Accounting and other R/3 SAP System components, while at the same time guaranteeing parallel updating to the general ledger and the subsidiary ledger.

Line Items

Use

From the point of view of Asset Accounting, line items are a proof of how the values displayed for an asset came about. For each transaction, line items are generated for each depreciation area to be posted; these contain the transaction type, the asset value date, the posted amount, and the value types resulting from the transaction, for example: Acquisition and production costs (APC), depreciation, and proportional value adjustment.

Features

If posting is integrated with Financial Accounting, the line items created refer to the number of the corresponding posting document. When you display asset values, you can also look at the line items for the values displayed.

Proof of Origin

There is a special report in the system for displaying the origin of individual line items.

This report lists the origin of transactions that affect acquisition value in a fiscal year. See the documentation for the Investment Management (IM) component in the SAP Library.

Original Document:

In certain circumstances, it may not be possible to obtain a clear proof of origin for the following transaction types: purchase acquisition, intracompany asset transfer, acquisition against clearing account, and goods receipt. If this is the case, the system attempts to determine the origin using plausibility checks, but the transactions are marked with a question mark (?). In these instances, you can only obtain more exact information from the original document. You display the original document from the list by choosing **Choose**.

Transaction Types

Use

Within Asset Accounting, asset transaction types identify individual business transactions. A transaction type has to be entered for each transaction that affects assets. Either you make this entry yourself in the posting transaction, or the entry is automatic, based on specifications made in FI-AA Customizing (**Transactions**).

Features

Each transaction type is assigned to a transaction type group. The business transactions are subdivided on the basis of the transaction type group into:

- Transactions that influence the acquisition and production costs of fixed assets This includes: Acquisitions, retirements, transfer postings, post-capitalization

- Down Payments
- Investment Support Measures
- Manual depreciation
- Write-Ups

Specifications (Transaction Type Group)

The transaction type group, to which a which a transaction type belongs, determines the following:

- Which value fields are to be updated in the year segments
- Whether the transaction refers to the past (for example write-ups) or to the current fiscal year
- Whether the total of the transactions of a group is positive or negative with reference to a fiscal year
- According to which rule the start period for the depreciation calculation is determined
- In which G/L accounts posting is to take place
- Whether the acquisition date of the fixed asset is set on the date of the first transaction of a group
- Whether proportional accumulated depreciation can be entered for a transaction (for example during post-capitalization), or is to be determined by the system (for example with asset retirements).

The number of possible transaction type groups, as well as the characteristics of the individual groups, is specified in the system and cannot be changed.

The system carries out a check for the asset class of the fixed asset involved when you post with a transaction type of the **down payment** group. This means that you can only post to fixed assets using these transaction types if you defined this in the asset class.

Specifications (Transaction Type)

The individual transaction types determine the following:

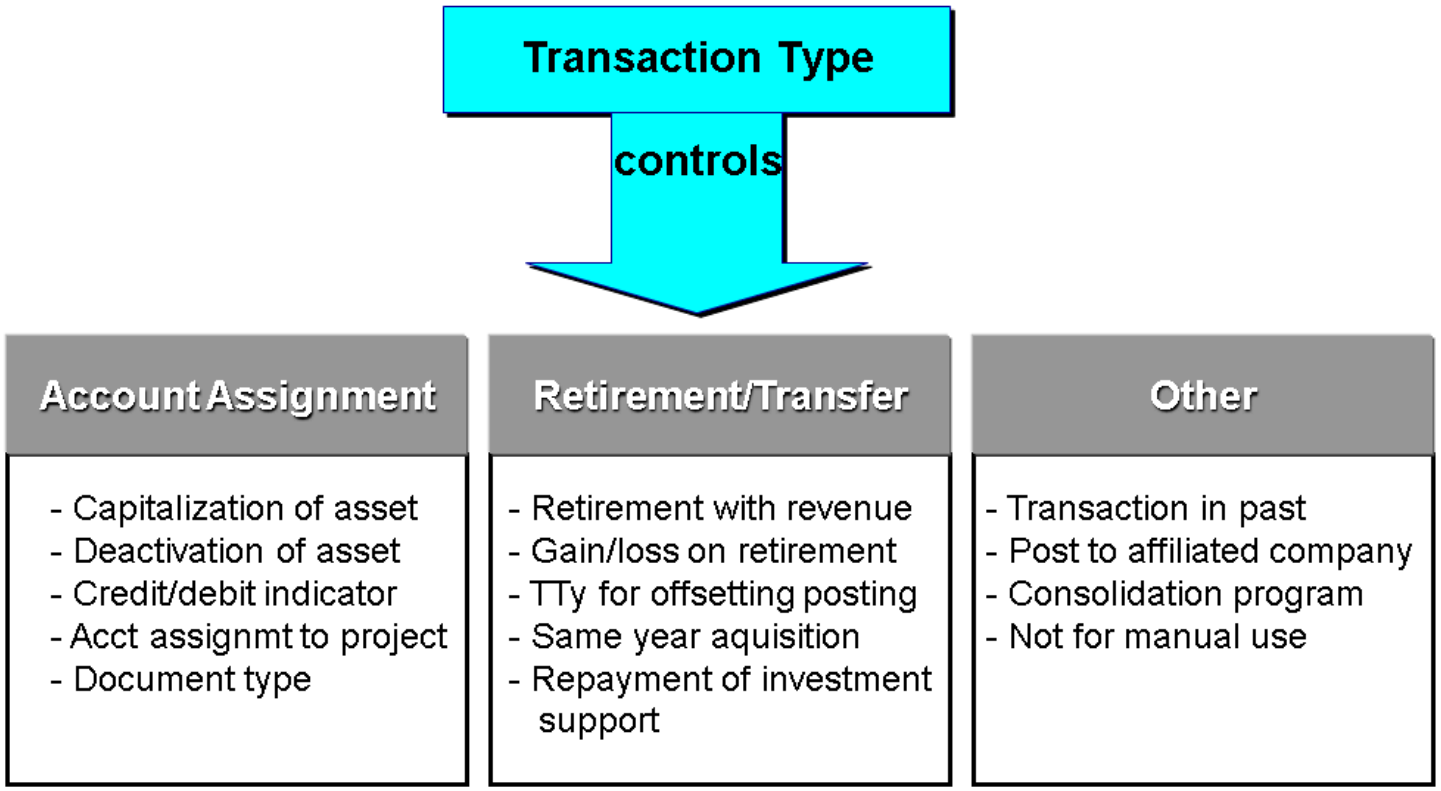


Figure: Specifications through the Transaction Type

Some of these specifications are dependent on the assigned transaction type group, and are mutually exclusive. You **cannot** make specifications that are **inconsistent** with the transaction type group.

ⓘ Note

With Asset Accounting, SAP provides a number of transaction types that cover most common business transactions. Unlike the transaction type groups, you can add new transaction types as needed. In order to prevent the transaction types that you define yourself from being overwritten during a release upgrade, you have to enter the letter x, y, or z at any position in the three place transaction type key.

Restricting Transaction Types to Depreciation Areas

In Asset Accounting, it is **not** necessary to restrict transaction types to depreciation areas. This is not necessary since, when you enter a transaction, you can restrict it to certain depreciation areas or accounting principles. In addition, in a posting transaction, you can select the depreciation areas to be posted. This can significantly reduce the number of transaction types that need to be defined in the system.

See also Updating Values in the Depreciation Area.

If you have nonetheless restricted transaction types to certain depreciation areas, the system rejects the posting.

ⓘ Note

The only exceptions to this rule are investment support and revaluation. For these transactions, there is a restriction of transaction types to certain depreciation areas.

Updating Values in the Depreciation Area

Use

In Asset Accounting, depending on the specifications in the chart of depreciation and in the asset class, you can manage multiple depreciation areas for each asset. The maximum number of possible depreciation areas is 99.

Features

The system determines in which depreciation areas value fields are updated when you post based on the accounting principle affected, the depreciation areas assigned to the accounting principle, and the value transfer rules for those areas. If you have restricted posting to a single depreciation area on the user interface, the system updates the values for this depreciation area and also for all depreciation areas that adopt values directly from this area, according to the transfer logic defined in the chart of depreciation. This makes it possible to reflect different valuation approaches from different accounting principles.

Transfer Logic for Acquisitions

When posting asset acquisitions, you can manually enter a depreciation area to be posted in the posting transaction. In that case, only the area you entered and the areas that adopt identical values from it directly are posted. It is **not** possible to enter different APC amounts in different areas; to ensure consistency and traceability, you have to post separate documents for this.

Transfer Logic for Retirements

In the case of asset retirements and transfer postings, the transfer logic of the chart of depreciation does **not** apply. For each area with values and for which the transaction type has determined that posting should be made, the system determines the proportional retirement amount and the proportional accumulated depreciation.

Currency Translation

If a dependent area is managed in a different currency from the reference area, amounts are translated into the currency of the dependent area. The posting date of the document is generally used as the value date for currency conversion.

Quantity Treatment

Use

Particularly in the case of low value assets (LVA), it is often preferable **not** to manage a separate asset master record for each individual fixed asset. Instead it sometimes makes sense to manage a number of assets on one master record.

Features

Therefore, you can manage any number of assets on a master record with collective management. The only requirement is that you enter a basic unit of quantity in the asset master record for the collective asset. When postings occur for these assets, the system updates for this quantity, according to the debit/credit indicator of the transaction.

The quantity update on the asset is linked to the fact that the relevant depreciation area for the quantity update is posted. You make this setting in Customizing for **Asset Accounting** under **Valuation** > **Depreciation Areas** > **Define Depreciation Area for Quantity Update**. If you do **not** make a specification in this Customizing activity, the standard system uses depreciation area 01 as a default. If the area is **not** posted, for example because the posting is restricted to another accounting principle, then there is **no** quantity update. Be sure to read the documentation for this IMG activity.

Acquisition

When an acquisition is posted to a collective asset for low value assets, the system checks, per unit, whether the acquisition posting exceeds the maximum amount for low value assets. The acquisition and production costs of the collective asset, plus the total of the amounts posted from the current document, are divided by the total quantity. The value determined in this way is compared with the upper limit which has been set for LVAs. The checks take place only when the depreciation area relevant for the quantity update is posted.

Quantity-Related Retirement

A quantity-related retirement is always a partial retirement. There is a restriction in the system for partial retirements which stipulates that any existing postings to the asset are restricted to either asset acquisitions from previous years, or current acquisitions. Otherwise the system **cannot** clearly assess whether the partial retirement applies to acquisitions from previous years or to current acquisitions. The system determines a percentage rate for the retirement amount based on the ratio between the quantity being retired and the total quantity. If the above-mentioned restriction does **not** apply to the quantity-based asset retirement, you can specify the quantity as additional information.

Activities

To ensure accurate quantity management of an asset, make the following settings:

- If necessary, specify a depreciation area for the quantity update (in Customizing for **Asset Accounting** under **Valuation** **Depreciation Areas** **Define Depreciation Area for Quantity Update**).

  (Also see the “Features” section above and the documentation for the IMG activity.)

- Define the screen layout of the asset master record so that the basic unit of quantity is a required entry field at asset master data level or asset class level.

  In addition, the screen layout must specify that the **Quantity** field can be changed or at least displayed. If you want to suppress this field, suppress it using the maintenance level, **not** the screen layout.

- If you want to be able to enter a quantity when posting acquisitions and retirements, you have to enter the quantity as an additional account assignment in the field status variants of the affected company codes/balance sheet accounts (in Customizing for **Asset Accounting** under **Integration with General Ledger Accounting → Change the Field Status Variant of the Asset G/L Accounts**).

  ### ⚠ Caution

  If you entered a quantity when creating a master record (for example, 1), and you then post an acquisition with a quantity, both of these quantity specifications are added together.

Dates in Asset Accounting

Use

In addition to the usual dates entered in Financial Accounting (posting date, document date), there are special dates to consider in Asset Accounting. Either you enter these additional asset accounting dates yourself when posting transactions, or the system determines them.

Features

Value Date

The asset value date is the value date of an asset transaction from an Asset Accounting point of view. Each transaction on a capitalized asset triggers the automatic calculation of depreciation on the posting amount. The asset value date, corrected by the period control of the depreciation key, is the key factor in determining the depreciation start date.

Default Values for Asset Value Date

Since the asset value date has a direct influence on the amount of depreciation, the system creates a default value for this date when it can. The overview that follows shows the default asset value date for the most important asset transactions:

Asset Transaction	Default Value for the Date
Initial acquisition	Capitalization date from master record (if in same fiscal year, otherwise posting date)
Subsequent acquisition in the same year	Asset value date of initial acquisition
Subsequent acquisition in later years	Document date
Down payment	Capitalization date from master record (if in same fiscal year, otherwise posting date)
Investment Support	Capitalization date from master record (if in same fiscal year, otherwise posting date)
Revaluation	Date of revaluation measure
Credit memo at time of invoice receipt	Value date of the invoice receipt (if in same fiscal year, otherwise posting date)
Later revenue/costs from retirement	Date of last retirement (if in same fiscal year, otherwise posting date)
Manual value adjustments	First day of fiscal year
Retirement/transfer	**No** default value (required entry)
Settlement of asset under construction	Posting Date

If the capitalization date is **not** set in the asset master record after the initial acquisition, or if this date is **not** in the current fiscal year, the system uses the logic below to determine a default value for the asset value date:

- If the document date and the posting date are both in the current fiscal year, the system uses the earlier of these two dates as the default asset value date.
- If the document date is in a past fiscal year, the system uses the posting date as the default asset value date.

Automatically Set Asset Value Date

In the following posting transactions, you **cannot** enter an asset value date directly. The system therefore uses the default asset value date automatically. The system determines this based on the following logic:

Transaction	Default Value for the Date
Goods receipt (valuated)	Posting Date
Invoice receipt with reference to purchase order (valuated)	Posting date of goods receipt (if in same fiscal year, otherwise posting date)
Invoice receipt without reference to purchase order (valuated)	Posting Date

Transaction	Default Value for the Date
Invoice receipt (difference posting)	Posting date of goods receipt
Stock withdrawal	Posting Date

Defining Your Own Logic for Determining the Asset Value Date

You can set up your own method for determining the asset value date in Customizing for Asset Accounting under **Transactions**. Or you can use a customer enhancement project.

Capitalization Date

You can enter the capitalization date manually when you create the asset master record. The system uses this date as the default asset value date when you make the first acquisition posting. If you do **not** enter a capitalization date in the asset master record, the system automatically adopts the asset value date of the first acquisition posting as the capitalization date. The system inserts the asset value date of the first acquisition posting in the capitalization date field (Capitalized on) in the asset master record, when a capitalizing transaction type is used.

Depreciation Start Date

The system determines the start period for depreciation calculation from the asset value date and the period control specified in the depreciation key (period control method) of the transaction category. The depreciation start date is the first day of the start period. The system determines the book value of an asset at the point of retirement In a similar fashion.

Date Asset Is Ready for Operation

Along with the date specifications already mentioned, you can also enter the date the asset is ready for operation in the asset master record (in the detail specifications for the depreciation areas). This date is for informational purposes only, and has **no** influence on the calculation of depreciation. If you do **not** make an entry in this field, the system automatically enters the capitalization date.

Fiscal Years That Can Be Posted To

In Asset Accounting, it is possible to post to the current fiscal year and all previous fiscal years back to the date of the legacy data transfer for assets. When you post to past fiscal years, the system automatically updates all the relevant values in the subsequent fiscal years. Therefore, it is possible to make correction postings in the previous fiscal year, even after the fiscal year change (but before the year-end closing). However, after posting in a previous fiscal year, you need to run the depreciation posting program again for that year and all the following fiscal years up to the current fiscal year.

It is **not** possible to post to fiscal years that have been closed using the year-end closing program.

Document Assignment

Use

The document type classifies the accounting documents. It is noted in the document header. The document type specifies the following, among other things:

- Which account types can be posted in a document
- Which interval is used for document number assignment
- Whether the document number is assigned externally or internally

- Whether the document type can be used online or only for batch input
- Whether cash discounts are to be taken into account (for vendor or customer postings) The cash discount percentage rate is managed in the general terms of payment in the vendor or customer master in Financial Accounting.

Features

In order to have account assignment to fixed assets in a document, select a document type that allows you to post to accounts of account type "A".

For postings with an automatic offsetting entry or intracompany transfers within Asset Accounting (that is, transfer postings not integrated with Financial Accounting), also make sure that a document type with internal number assignment is selected.

When defining the transaction types, you can store a default document type for each transaction type.

Validation

Use

In addition to the standard checks, you can specify your own individual checks to be carried out when posting business transactions.

Features

For this purpose, you assign validation conditions to each transaction type group in FI-AA Customizing (**Define validation**). The system then checks against these conditions when you make a posting using this transaction type group.

If the conditions are met, the system accepts the posting. If the conditions are not met, the system rejects the posting and outputs an error message. You specify this error message in the validation condition.

For more information, see Validation and Substitution . The explanations in this topic on the subject of validation during master data maintenance also apply to validation for asset postings.

Reversing Documents

Use

The basic rule of thumb is that you have to reverse documents in the application in which they originated (for example, in the invoice receipt).

Features

You can reverse documents that originated in Asset Accounting (on the SAP Easy Access screen under **Fixed Assets** > **Posting** > **Reverse Document**). When you call up the reversal transaction, the system shows you all the transactions for the asset. Select the transaction you want to reverse, and choose the **Reverse** function.

Postings that Cannot Be Reversed in Asset Accounting

The following postings **cannot** be reversed in Asset Accounting. They have to be reversed in the integrated application in which they were posted:

- Acquisition with vendor: in Accounts Payable
- Acquisition with purchase order: in goods receipt/invoice receipt
- Retirement with customer: in Accounts Receivable
- Stock withdrawal: in Materials Management

Reversal of the Settlement of an Asset under Construction

You can reverse the settlement of an asset under construction using a special transaction (on the SAP Easy Access screen under Fixed Assets > Posting > Reverse Document > Capitalize Asset u. Const. (transaction AIST)). Enter the number of the asset under construction that was settled. The system then reverses all documents that were posted during the last settlement. If you want to reverse a settlement that was posted before the most recent one, you first have to reverse all the settlements, which were posted after the one you want, in chronological order.

You **cannot** use this transaction to reverse the settlement of assets under construction that were only managed for cost accounting

Budget Monitoring Using Statistical Orders or WBS Elements

Use

You can use the Investment Management (IM) component for dealing with the management accounting aspects of large-scale capital investments. This component offers parallel management of both cost accounting and asset accounting perspectives of capital investments. You manage the investments in the form of overhead cost orders or WBS (work breakdown structure) elements and an accompanying asset under construction. The orders or projects are the primary account assignment objects, and must be settled periodically to Asset Accounting. This kind of order or WBS element with its accompanying asset under construction is called an "investment measure."

When you use investment measures, all debits charged to the investment measure appear, at least temporarily, in cost accounting and in the profit and loss statement. This applies even if the debits actually will be capitalized to assets. The debits that require capitalization are cleared during the periodic settlement and charged to the asset under construction. In this way, the system enables you to manage both debits that will be capitalized and debits that will not be capitalized on one investment measure.

The investment measure thereby has all of the functions of the asset under construction (such as, special depreciation, investment support measures). In addition, it has functions that are **not** available for assets under construction by themselves:

- Settlement by cost element of costs that are not to be capitalized (using a source structure)
- Settlement to the asset under construction, with different amounts to each depreciation area
- Account assignment of activity allocation and overhead

Capital investments that do **not** have an 'under construction' phase are usually capitalized directly in Asset Accounting. However, you may want to manage cost accounting information at the same time. For instance, you may want to manage plan values, budgets and commitments in order to carry out target/actual comparisons.

Integration

You can include statistical orders and WBS elements in the depreciation forecast in Asset Accounting (for more information, see Simulation and Simulation/Depreciation Forecast). The following prerequisites have to be fulfilled with regard to the statistical orders/WBS elements:

- They must have an investment profile in their master records (WBS elements: under Control, and orders: under Investments. You have to define the investment profile as follows:
  - It does **not** create an asset under construction (IM Customizing: Master Data Define Investment Profiles: do **not** set the Mng. AuC (manage asset under construction) indicator).
  - It contains an asset class for depreciation simulation.
- You need to have depreciation simulation data and a planned start-up date in your master records (under Extras).

Features

In Asset Accounting, it is possible to post asset transactions directly to assets, while posting the transactions automatically as statistics to an internal order or WBS element.

You define the order or WBS element as statistical by setting an indicator in the model order or the project profile (or directly in the master record of the order or WBS element). Settlement is **not** possible for statistical orders or WBS elements. Their only purposes are planning and budget monitoring. Therefore, debits that are not eligible for capitalization (internal activity allocation), but that you wish to have reflected in the statistical budget, require special treatment. When you post this type of debit to the statistical order or WBS element, make sure that it also has an additional account assignment to CO (Controlling). The account assignment could be to a cost center, for example. By making this additional account assignment, you ensure that these costs are included in later CO settlements.

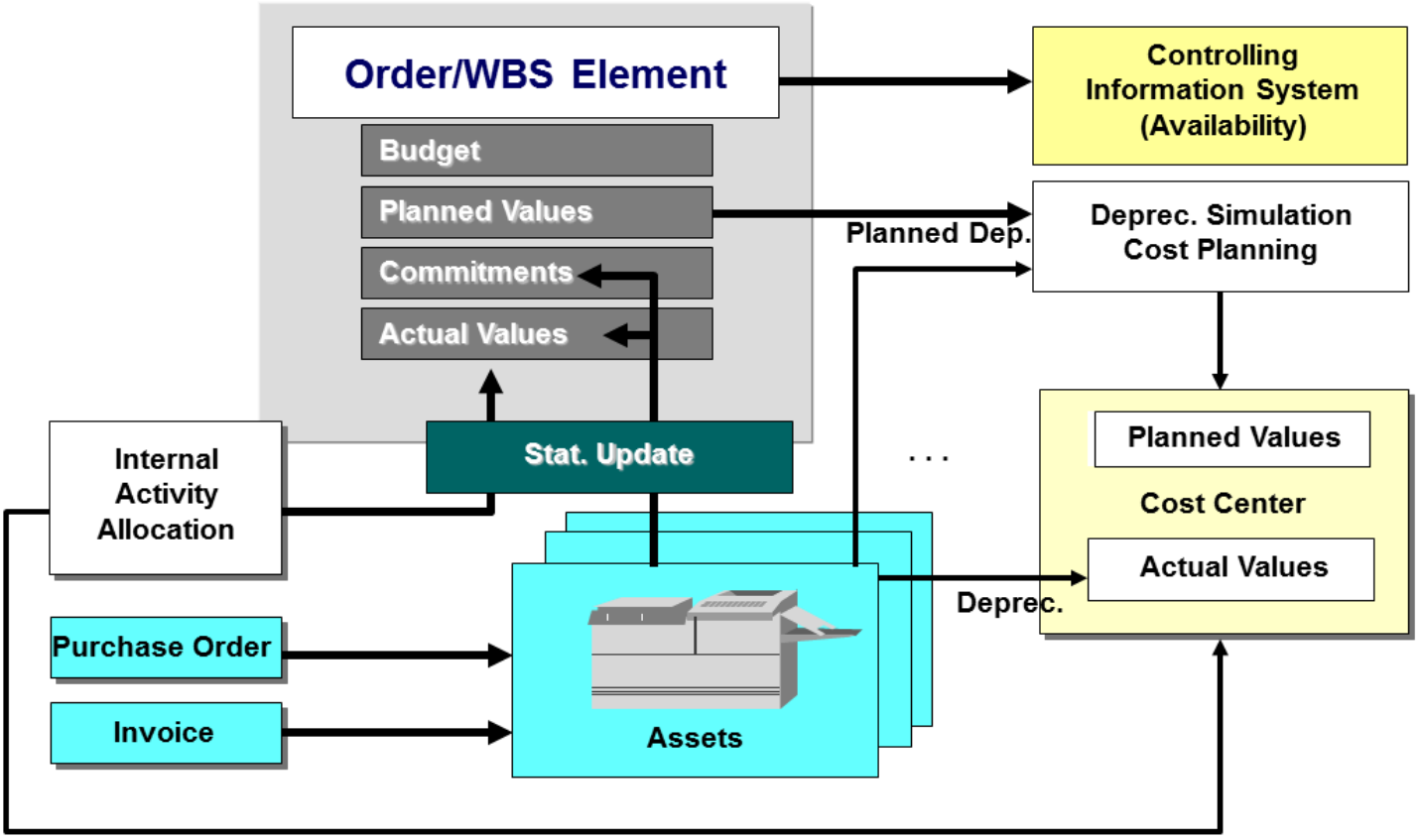


Figure: Update for Orders/WBS Elements

Statistical Order or WBS Element Account Assignment for Capital Investments

You can enter a CO order or a WBS element as an account assignment for capital investments. You make this entry in the asset master record under**Origin Data**. The system then automatically makes a statistical account assignment to this order or WBS element when you post certain asset transactions. You can also enter such an additional account assignment (order/WBS element) directly during the posting transaction.

You can specify in the master record of the order or WBS element that it is for statistical posting. Then the system does **not** allow the order or WBS element to be settled.

Commitments

The system automatically creates a statistical commitment on the accompanying project when you enter purchase orders for an asset. When you post the goods receipt or the invoice receipt, the system automatically reduces this commitment.

Active Budget Monitoring

The system provides a passive availability check, which you carry out using reports. In addition, there is an active availability check, which enables you to prevent posting of transactions that would exceed the budget. The system checks the budget when certain transactions are entered. It determines if the available project budget or the available released budget is still sufficient. The system uses tolerance limits you entered in Customizing when making the availability check.

In order to use the active availability control, you have to enter it in the budget profile of the statistical order or WBS element.

Activities

You use an indicator in the budget profile to control whether the system should monitor a budget for an order or WBS element. You enter the budget profile in the order type or the project profile. You also have to define the necessary tolerance limits. For more information, see Customizing for Overhead Cost Orders (CO-OM-OPA) or Project System (PS).

The conditions below are also necessary for automatic statistical updating:

- The CO object (order or WBS element) has to be entered in the asset master record as investment account assignment (**not** as maintenance order/cost order under time-dependent data)
- The WBS Element of Investment Project account assignment object has to be activated in Customizing for Asset Accounting (under Integration with the General Ledger > Additional Account Assignment Objects > Activate Account Assignment Objects).
- An account assignment rule has to be entered for the account assignment object (in Customizing for Asset Accounting under Integration with the General Ledger > Additional Account Assignment Objects > Specify Account Assignment Types for Account Assignment Objects).
- The technical clearing account and the asset balance sheet accounts for the APC of the affected assets have to be created in Controlling as cost elements (cost element category 90).

  You make this setting in Customizing for Asset Accounting under Transactions > Budget Monitoring with Statistical Orders/WBS Elements > Create Statistical Cost Elements .
- The Internal Order or WBS Element field has to be set to an optional field, in the field status variant of the company code, for the technical clearing account and the asset balance sheet account (APC) of the given asset.

  You make this setting in Customizing for Asset Accounting under Transactions > Budget Monitoring with Statistical Orders/WBS Elements > Change the Field Status of the Asset G/L Accounts .

⚠ Caution

When you have down payments or settlement from an order or WBS element to an asset, it is **not** possible to have automatic, statistical posting from the asset to a statistical order or WBS element. The reason is that down payment and settlement apply to assets under construction. For budget monitoring in relation to assets under construction, use investment measures in the Investment Management (IM) component.

Account Assignments of Gain/Loss Postings

Use

When you post a fixed asset retirement, you can enter the revenue from the sale of the asset for the sending asset. The system automatically determines the gain or loss (affecting income) as the difference between this revenue and the book value of the asset being retired. Since gain or loss from asset retirement does **not** occur regularly, they have only limited relevance for management accounting. Therefore the system posts gain or loss only as a statistic to the cost center. The actual account assignment to CO takes place to the profit center, which is assigned to the cost center (see Additional Account Assignment).

Features

Retirement Variants

Gain/loss from asset retirements and transfers requires special handling. You can make specifications for this in the FI-AA Customizing definition of the retirement transaction types, per depreciation area (function: **Special Retirement Handling**):

- **Retirement with gain/loss (variant 0)**

  When you use this posting variant, the system posts the difference between the revenue from the sale and the retired book value of the asset as gain or loss to the profit and loss account. This is the type of posting used and allowed in most countries.

- **Show gain/loss as a liability (variant 1)**

  This variant is only possible for partial retirements. The system does **not** post any gain or loss. Instead it corrects the proportional value adjustments being retired by the amount of what would have been the gain or loss using a follow up write-up posting. There is **no** posting to a profit and loss account. Instead, the book value of the remaining part of the asset is increased or reduced by the amount of gain or loss. In this way, the effect of an asset retirement on the profit and loss account is postponed from the year of the retirement to the years over which the asset is depreciated.

  If the revenue is more than the value adjustments being retired, the system treats the excess revenue as gain as it would in variant 0.

  The system uses variant 0 for complete retirements here.

- **Revenue as a liability (variant 2)**

  When you use this variant, the system does **not** post any retired APC/value adjustments. Instead, the existing cumulative value adjustments are corrected by the amount of the revenue earned.

  If the revenue is more than the existing cumulative value adjustments, the system treats the excess revenue as gain as it would in variant 0.

- **Show gain/loss on liabilities side, increasing book value above APC (variant 4)**

  This variant is only possible for partial retirements. The system does **not** post any gain or loss. Instead it corrects the proportional value adjustments being retired by the amount of what would have been the gain or loss using a follow up write-up posting. There is **no** posting to a profit and loss account. Instead, the book value of the remaining part of the asset is increased or reduced by the amount of gain or loss. In this way, the effect of an asset retirement on the profit and loss account is postponed from the year of the retirement to the years over which the asset is depreciated.

  The system uses variant 0 for complete retirements here.

See also: Graphics:Retirement Variants.

ℹ Note

Variants 1 and 2, for example, are required for group assets according to American law on ADR (see Group Assets). Note that the system only uses this liability posting procedure until the book value of the asset is zero. Any revenue that exceeds this amount is posted as gain using variant 0. These postings, therefore, do **not** lead to negative book values.

Account Assignment of Gain/Loss to Special Assets

The standard setting is for the system to post gain or loss to the corresponding profit and loss account that is specified in the account determination. There is an indicator in the definition of the transaction type that allows you to change this setting. Gain/loss is then **no longer** posted to the profit and loss account. Instead, it is posted as write-ups to special assets that are solely for this gain/loss posting. You specify these assets in FI-AA Customizing under **Transactions** in the following ways:

- You enter a corresponding asset for each asset class.
- You define a substitution rule, which the system can use to determine the assets (see Validation and Substitution).

There is an indicator for the asset account assignment of gain/loss in the definition of the general transaction type. If this indicator is set, you can limit special retirement handling by depreciation area to variant 3 (**gain/loss posted to special assets**). You make this setting on the transaction screen for special treatment of retirement. (In Customizing for **Asset Accounting**, choose **Transactions** > **Gain/Loss Posting** > **Determine Posting Variants**.)

The reconciliation account for this posting transaction is the value adjustment account that is specified in the account allocation for the asset.

Note

You have to allow negative values for special assets used for gain/loss posting. Otherwise, especially if there is **no** APC on the asset, complete depreciation could be posted in the year of the transfer although the special asset has a useful life of many years.

Retirement Revenue from Writing Off Reserve for Special Depreciation

You can specify that the system includes retirement-related revenue from the write-off of special reserves in the calculation of gain/loss. You make this specification by entering the gain/loss accounts in the account determination for the depreciation areas for special reserves. If you do **not** enter any accounts there, the system posts the book depreciation gain and loss separately from the revenue from writing off special reserves.

Posting Net Book Value

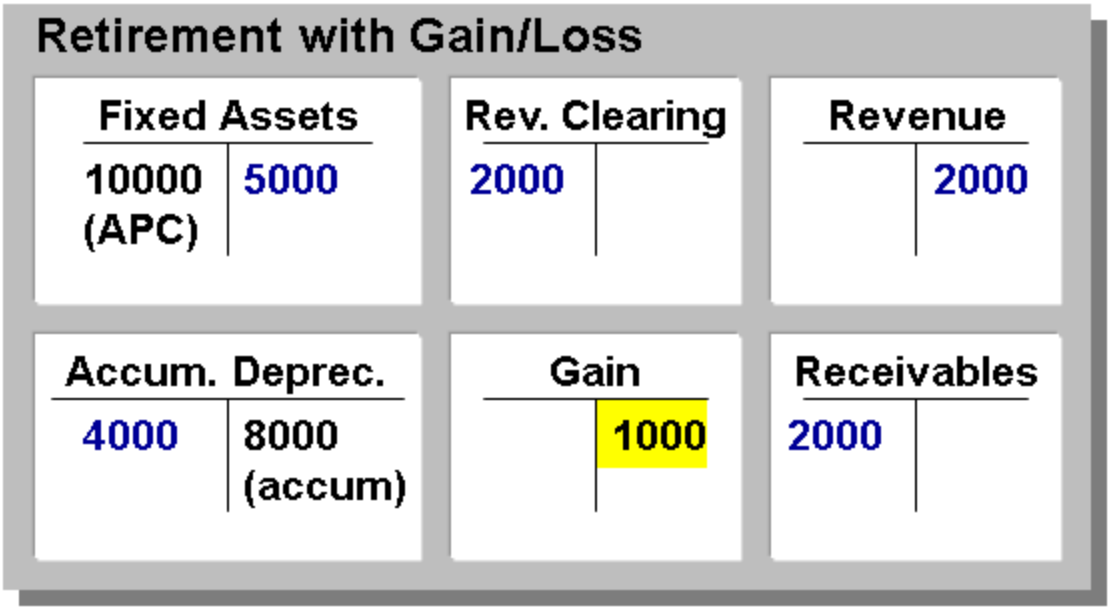
The setting **Post Net Book Value at Retirement** should normally **not** apply for the entire company code, but only for individual accounting principles. Therefore you also have to make different settings for different depreciation areas. First set the indicator at the company code level in order to make it possible to have different settings at the area level. Then select those depreciation areas where the system should post the net book value of the asset at retirement to the account **Clearing of Revenue from Asset Sale** or **Clearing. Revenue of Sale Affiliated Company**. **No** profit/loss (from sale) or loss from asset retirement (after scrapping) is then posted. This posting variant is needed, for example, to meet legal requirements in France. In other countries, it is usually **not** allowed. In this way, you can specify the posting variant is used only for the local accounting principle, while you continue to post with gain/loss from the corporate group perspective.

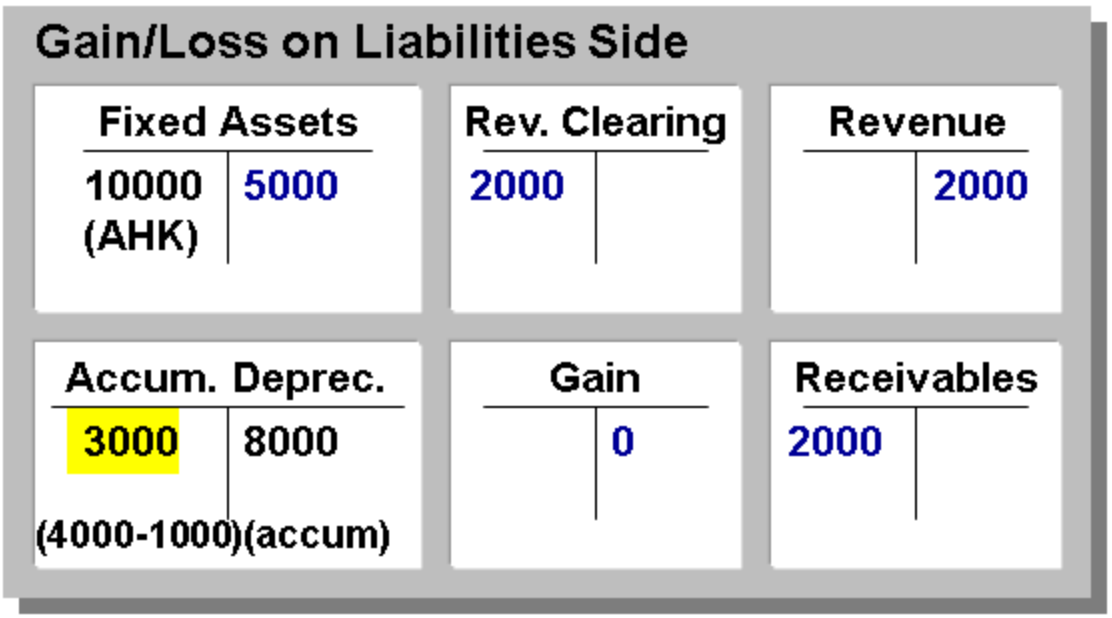
Figure: Retirement Variants

The following figure shows the postings of three retirement variants in account form.

Values:

- Retiring APC amount: 5000
- Proportional value adjustments: 4000
- Revenue: 2000





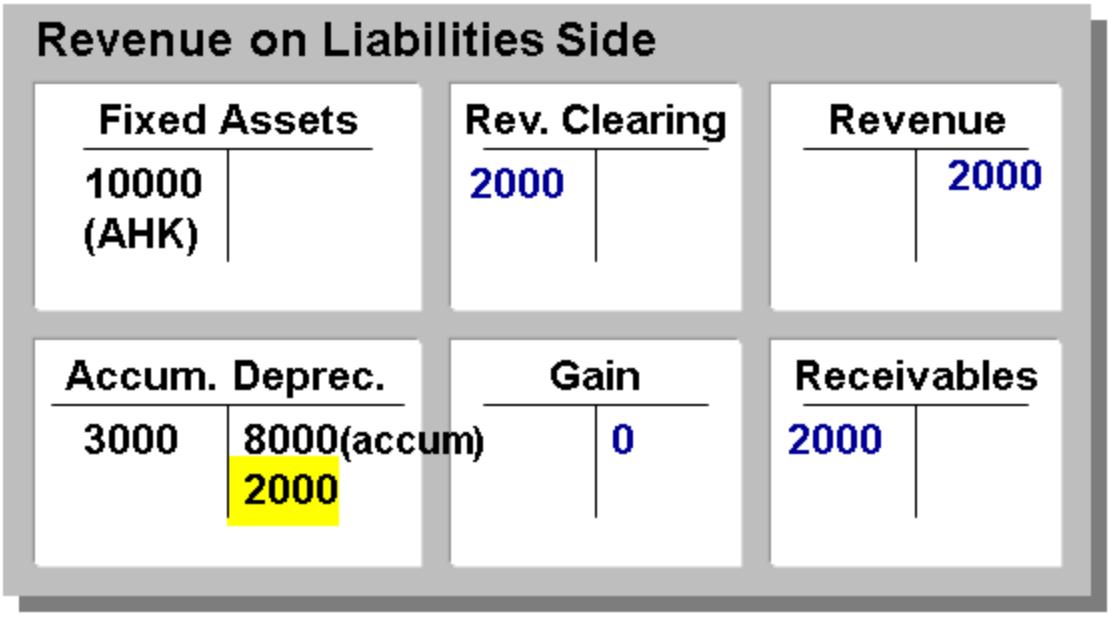


Figure: Postings with retirement variants

Manual Handling of Delivery Costs

Use

If you have alternative capitalization rules in different accounting principles (for example, for the capitalization of shipment costs), you can enter additional transactions for individual accounting principles or depreciation areas in Asset Accounting. Entering a separate transaction allows you to document the reason for an alternative depreciation, for example. It is **not** possible to influence the values of individual accounting principles for integrated postings.

Prerequisites

To be able to map different capitalization rules for delivery costs, you must make the necessary Customizing settings in **Asset Accounting** under **Depreciation** > **Depreciation Areas** > **Define APC Value Transfer**: The respective area is **not** necessarily allowed to adopt the APC identically from another area.

Features

Capitalization Scenarios

There are two possibilities at the time an asset is capitalized:

- For your local accounting principle, a higher amount is capitalized than in another depreciation area that posts automatically to the general ledger.
- For your local accounting principle, a lower amount is capitalized than in another depreciation area that posts automatically to the general ledger.

In both cases, you can influence the values by making additional acquisition postings or credit memo postings. When making the posting, you can post for an entire accounting principle or for a single depreciation area. The accounts determined by the automatic account determination for this transaction are used for the leading area of an accounting principle However, you can override the offsetting account with a manual entry to post for example against the **Expense from Shipment Costs Account** instead of against the **Asset Acquisition Clearing Account**. For the value adjustment in individual areas posting periodically, the system posts the difference amounts as a collective document against the account for capitalization differences as part of the periodic posting run for APC values.

Example

The following example shows possible capitalization constellations when using several account sets within an accounting principle (for tax reasons, for example). The area `Local Bal. Sheet 1`, represented here by the leading area of a local accounting principle, whereas `Local Bal. Sheet 2` represents a periodic posting area with the same accounting principle.

The table shows the amounts posted to the respective accounts (balanced) at the asset acquisition. The percentage rates in the first column are the capitalization percentage rates in the respective depreciation areas (`Local Bal. Sheet 1/Local Bal. Sheet 2`):

0 / 100 %	Local Bal. Sheet 1	Local Bal. Sheet 2	.....	100 / 0 %	Local Bal. Sheet 1	Local Bal. Sheet 2
APC	0	1.000+		**APC**	1.000+	0
Payables	1,000–	–		**Payables**	1,000–	–

0 / 100 %	Local Bal. Sheet 1	Local Bal. Sheet 2	.....	100 / 0 %	Local Bal. Sheet 1	Local Bal. Sheet 2
Clearing account	–	0		**Clearing account**	–	1,000–
Expense	1.000+	1000–		**Expense**	0	1.000+

100 / 60 %	Local Bal. Sheet 1	Local Bal. Sheet 2	.....	60 / 100 %	Local Bal. Sheet 1	Local Bal. Sheet 2
APC	1.000+	600+		**APC**	600+	1.000+
Payables	1,000–	–		**Payables**	1,000–	–
Clearing account	–	1,000–		**Clearing account**	–	600–
Expense	0	400+		**Expense**	400+	400–

The two depreciation areas, `Local Bal. Sheet 1` and `Local Bal. Sheet 2`, have to have different APC control accounts in their account allocation. The **Payables** account for the `Local Bal. Sheet 1` depreciation area corresponds functionally with the **APC Clearing** account in the account assignment of depreciation area `Local Bal. Sheet 2`. The **Expense** account is, for example, the shipment costs account in depreciation area `Local Bal.Sheet 1`; however, in the account assignment of depreciation area `Local Bal. Sheet 2` it is the **Nonoperating Expense** account.

Treatment of Differences in the Amount Capitalized

If you are using several account sets in an accounting principle with depreciation areas that post periodically, the system posts the difference from APC in accordance with local law and posts the alternative APC to the **Nonoperating Expense** account. You have to enter this account in the account determination of the depreciation area that is different from local law (for example, the group depreciation area in local currency). When you post the acquisition, the system creates only one corresponding asset line item for the assets subsidiary ledger. The actual posting to the corresponding general ledger account only takes place with the periodical posting run for APC values.

A complete posting is executed in each financial reporting for the parallel basis for valuations in different financial reporting. Capitalization differences are posted to the **Nonoperating Expense** account only if an integrated posting is made and an asset is **not** managed in the given accounting principle, For more information, see Unilateral Assets.

Acquisition

Use

The primary business process in asset accounting is the purchase of assets and/or the capitalization of in-house produced goods or services. Asset Accounting supports various methods of handling this business process.

Process

Assets under Construction (AuC)

Assets under construction are acquisitions to fixed assets that are **not** permitted to be capitalized and depreciated immediately. You can represent acquisitions of this kind using these options:

- Collect the costs using an investment measure (an order or a WBS element (work breakdown structure element) with an asset under construction linked to it). For more information, see the documentation for the **Investment Management (IM)** component.
- Collect the costs on an independent asset under construction in the **Asset Accounting (FI-AA)** component. For more information, see Settlement of an Asset under Construction.

Direct Capitalization

Direct capitalization refers to asset acquisitions that **do not** have an asset under construction phase. Instead, they are capitalized and begin depreciation immediately. You can represent acquisitions of this kind using these options:

- Direct account assignment to the final asset and possible statistical updating to an order or work breakdown structure (WBS) element. For more information, see:
  - External Asset Acquisitions
  - Processing Asset Acquisitions in Purchasing (FI-AA/MM)
  - Goods Receipt and Invoice Receipt with Reference to Asset
- Account assignment to an order or WBS element (with allocation cost element) and settlement to the final asset (see Acquisition from Internal Activity)
- Account assignment to a clearing account and transferring from this account to the final asset. Note: Statistical updating of an order or WBS element with this variant is not possible until the transfer takes place (see below).

Budget Monitoring Using Statistical Orders or WBS Elements

For Controlling purposes, it is often necessary to monitor spending on asset acquisitions for the budget. Therefore, the system offers the option of automatic statistical updating to an order or WBS element of all acquisitions posted to an asset.

For more information, see Budget Monitoring Using Statistical Orders or WBS Elements.

External Asset Acquisitions

Use

An external asset acquisition is a business transaction resulting from the acquisition of an asset from a business partner (in contrast to an **acquisition from in-house production**). You can post the acquisition of a purchased asset in several different ways, using different application components:

- In Asset Accounting with integration with Accounts Payable, but without reference to a purchase order
- In Asset Accounting, without reference to a purchase order, without integration with Accounts Payable (posting to a clearing account – with or without clearing).
- In Materials Management at goods receipt or invoice receipt

Process

Integrated Asset Acquisition Posting

If you are also using Accounts Payable, it is recommended that you take advantage of this integration and post the asset acquisition (without reference to a purchase order) **With vendor**. This means that you can post the asset acquisition and the

corresponding vendor payable in one transaction. Using this transaction reduces the time and energy required for data entry and the possibility of discrepancies.

Non-Integrated Asset Acquisition Posting

You can post the acquisition of a purchased asset to a clearing account rather than using integrated posting to Accounts Payable. There are two scenarios:

- The asset acquisition comes before the receipt of the invoice. The offsetting entry is posted automatically.

  As the acquisition amount, specify the actual net amount to be capitalized. Regardless of the document type (gross/net) which you use, the system does **not** deduct a discount here.

- The asset acquisition is posted after the receipt of the invoice. You posted the invoice as an open item to a clearing account, and now you need to clear this entry.

  If the clearing account used is an open item account, when you post the acquisition, you can manually clear the posting to the clearing account (vendor invoice) at the same time. The corresponding transaction allows you to select all open items per clearing account (account type S = general ledger account) according to various criteria.

Cash Discount

For an asset acquisition posting integrated with Accounts Payable, you can specify, by your choice of document type, if the invoice should be posted gross (without deducting discount) or net (with discount deducted).

If you use a document type for net posting, the system automatically determines the cash discount to be deducted on the basis of the payment terms. The system capitalizes the invoice amount, less tax and cash discount, on the fixed asset.

See also: Graphics: Gross/Net Posting

You can use document splitting in General Ledger Accounting. If you do, any difference that may occur when a payment is made (because too little or too much cash discount was deducted) is automatically capitalized on the asset. This automatic correction at the time of the payment is made only if you activated the setting for document splitting. However, you can also make these APC adjustments in the general ledger using collective processing. On the SAP Easy Access screen, choose **Accounting** > **Financial Accounting** > **General Ledger** > **Periodic Processing** > **Closing** > **Reclassify** > **Profit and Loss Adjustment** > .

Note

This transaction is only available in the menu if you did **not** activate document splitting.

When you post an asset acquisition without integration with Accounts Payable, you have to capitalize the actual APC amount (without cash discount being deducted) to the asset. In this case, the cash discount is treated only on the vendor side.

Acquisition with Value Adjustments

If you want to post assets that not only have APC, but also have value adjustments already, you can post gross acquisitions. In order to use this option, set the **Gross acquisition** indicator in the transaction type you use. The system then permits you to enter APC and accompanying value adjustments when you post the acquisition using the transaction under **Postings -> Miscellaneous**.

Figure: Gross/Net Posting

The following figure shows how the capitalization amount is determined when you post an asset acquisition (gross/net).

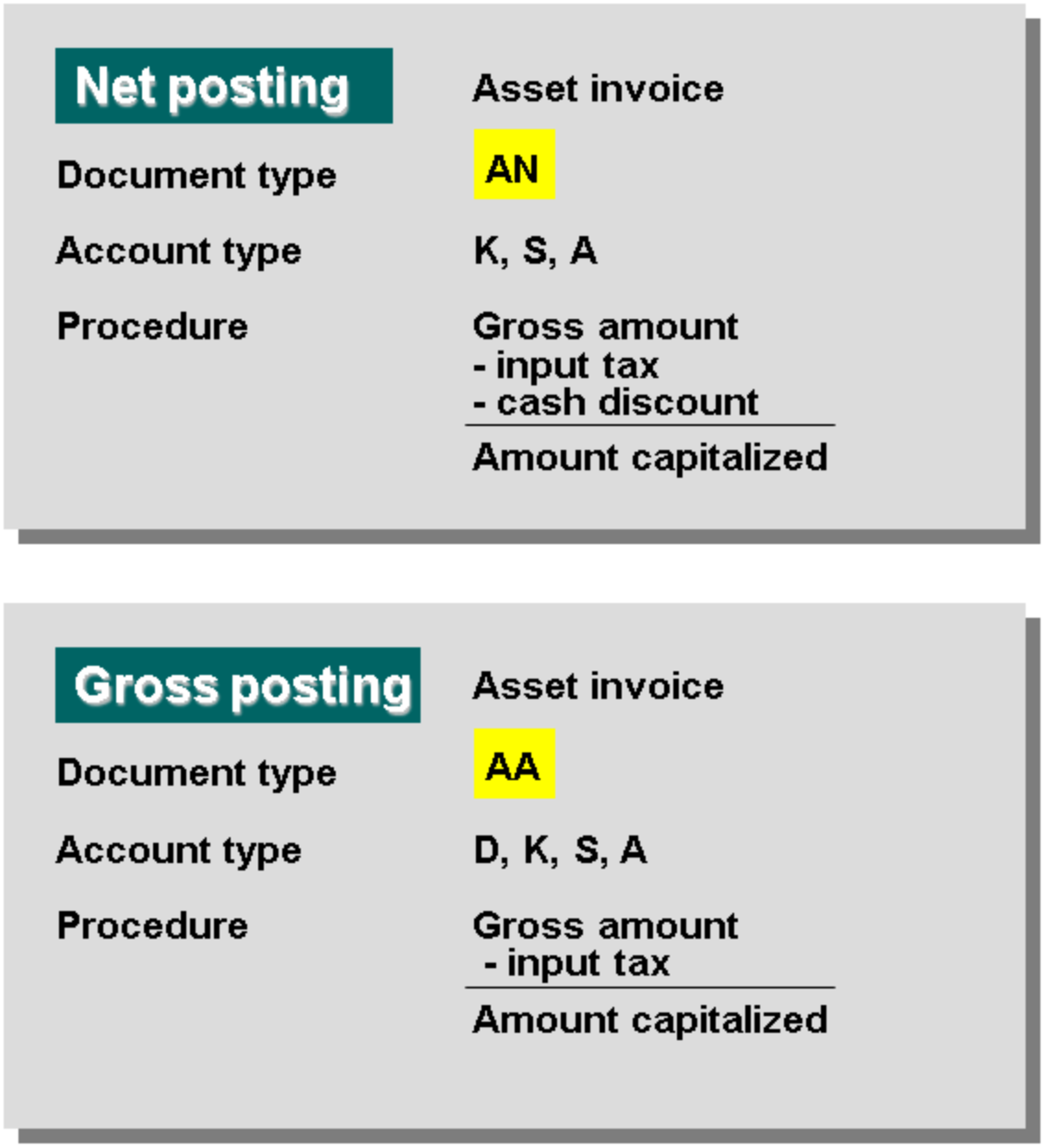


Figure: Gross/Net Posting

Integrated Asset Acquisition Posting

Use

If you are using Accounts Payable, you can take advantage of the following benefits of integration: For an asset acquisition (without reference to a purchase order), you can post the asset acquisition and the corresponding payable due from a vendor in the same transaction. This reduces data entry.

Integration

Each transaction on the vendor accounts in the subsidiary ledger of Accounts Payable and on the asset accounts in Asset Accounting directly influences the corresponding G/L accounts. This ensures that the subsidiary ledgers are always reconciled with the general ledger.

Prerequisites

To be able to post integrated asset acquisitions, you made the following settings in Customizing for **Asset Accounting**.

- You have specified the transaction type for asset acquisitions.
- To be able to make accounting-principle-specific postings, you need at least one technical clearing account for the integrated asset acquisition.
    - You have created this technical clearing account as an asset reconciliation account in your chart of accounts and in the relevant company codes.
    - You entered the **Technical Clearing Account for Integrated Asset Acquisition** (in Customizing for **Asset Accounting** under **Integration with General Ledger Accounting** > **Technical Clearing Account for Integrated Asset Acquisition** > **Specify Technical Clearing Account for Integrated Asset Acquisition**).

  For information on the prerequisites that the technical clearing account for integrated asset acquisition has to fulfill, see the documentation of the above IMG activity.

ℹ Note

If necessary, you can also make different settings for the technical clearing account for integrated asset acquisition. This is necessary if the reconciliation accounts entered in your asset accounts use different settings for required entry fields. For more information, see Customizing for **Asset Accounting** under **Integration with General Ledger Accounting** > **Technical Clearing Account for Integrated Asset Acquisition** > **Define Different Technical Clearing Account for Required Field Control**).

Features

For an integrated asset acquisition posting, the system divides the business transaction into an operational part and a valuating part:

- For the operational part (vendor invoice), the system makes a posting to **all accounting principles** against the technical clearing account for integrated asset acquisitions.
- For the valuating part (asset posting with asset capitalization), the system generates **accounting-principle-specific** documents that it also posts against the technical clearing account for integrated asset acquisitions.

  For each accounting principle that is assigned in your chart of depreciation, the system creates a corresponding accounting-principle-specific document.

In this way, the system ensures that the **Technical Clearing Account for Integrated Asset Acquisitions** has a balance of zero (for each ledger and account assignment object) for every accounting principle in the chart of depreciation. So that the system can ensure the zero balance, manual postings **cannot** be made to the account. The account does **not** appear in the balance sheet, but in the notes to the financial statement (since it has a zero balance).

Automatic postings are made to the technical clearing account for integrated asset acquisitions for the following transactions:

- Asset acquisition and
- Investment Support Measures

ℹ Note

If a posting depreciation area is inactive in the asset master record for the asset, then there is **no** capitalization of the asset for that accounting principle. Instead, the expenses are posted to the account specified in Customizing for **capitalization differences/nonoperating expense**.

For more information, see Unilateral Assets.

Activities

To post an integrated asset acquisition, proceed as follows:

1. Determine the asset and the vendor account. Create a new asset master record (see Create Asset) and/or a new vendor master record, if needed.
2. Choose **Posting** → **Acquisition** → **External Acquisition** → **With Vendor**.
3. First create the document header (document date, document type, and so on).

   The document type determines how the acquisition should be posted: gross (without deduction of cash discount - document type AA) or net (with deduction of cash discount - document type AN).
4. Enter the capitalization of the asset as the first line item in the first screen (posting key `70` (debit), transaction type `100` (acquisition), account = asset number).

   > **Note**
   > Note: When you post to an asset subnumber, enter the asset main number and asset subnumber separated by a hyphen.

5. On the next screen, enter the posting data for the first line item (amount posted, tax indicator, (possibly quantity), and so on). Check the default asset value date.
6. In the same screen, enter the header information for the second line item (invoice/vendor – posting key 31 (credit)).
7. On the next screen, enter the posting data for the second line item.
8. Choose **Post**.

> **Note**
> A number of low value assets can be posted to a single asset master record for collective management. If you choose to manage low value assets collectively, enter the quantity during the acquisition posting. Otherwise follow the same procedure as for the acquisition of normal fixed assets.

> **Note**
> Before you post the business transaction, you can simulate the posting. The following options are available:

- Simulation in the entry view in Financial Accounting
- Simulation in the general ledger view in Financial Accounting
- Simulation in the asset view:

  In this case, the system displays the business transaction according to a valuation of your choice. This view consists of an operational document that is posted to accounting principles (INITIAL) and a valuation part that is posted accounting-principle-specifically.

  Using the **Change Accounting Principle** pushbutton, you can display the business transaction for another valuation, as long as additional accounting principles are assigned in your chart of depreciation.

  Using the **Change Display Currency** pushbutton, you can display the complete business transaction for a different currency type.

Examples

For posting examples, see:

- Example 1: Acquisition, Integrated Posting
- Example 2: Acquisition, Integrated Posting

Additional Information

Should you **not** have to activate a complex fixed asset as an asset in accordance with all accounting principles, see Unilateral Assets.

Example 1: Acquisition, Integrated Posting

Initial Data

The company creates financial statements based on two parallel accounting principles:

- IFRS accounting principle and
- LGAAP accounting principle (local accounting principle)

The enterprise posts asset acquisitions **integrated** with Accounts Payable.

The enterprise purchases a new asset. The acquisition and production costs are 10,000. The incidental acquisition cost (here: shipment costs) amount to 200.

- According to IFRS, the acquisition costs in the amount of 10,000 and and the shipping costs in the amount of 200 are both to be capitalized.
- According to the local accounting principle, only the acquisition costs in the amount of 10,000 are to be capitalized. The shipping costs are to be posted as expense.

The financial accountant first capitalizes the amount that is allowed by IFRS. Then he clears the shipping costs as expense for the local accounting principle.

Document Entry and Generated Documents

The financial accountant first enters the following document in transaction **F-90** without specifying an accounting principle:

Document entry:

Debit/Credit	Posting Key	Account Type	Account (No.)	Account (Name)	Account Assignment Object 1	Account Assignment Object 2	Amount
Debit	70	Asset	999999	Tech. Clearing Account for Integrated Asset Acquisition	PRCTR1	KOSTL1	
Credit	31	Vendor	160000	Payables for Goods & Services			10.200

The system generates the following documents:

1. Without an accounting principle, the system posts the asset acquisition to the Technical Clearing Account for Integrated Asset Acquisition:

   Tech. Clearing Account for Integrated Asset Acquisition to Payables from L+ L

2. a) With accounting principle **IFRS**, the system clears the same amount on the Technical Clearing Account for Integrated Asset Acquisition again and posts it to the Equipment account:

   Equipment to Tech. Clearing Account for Integrated Asset Acquisition

   b) The system proceeds in a similar manner for accounting principle **LGAAP** (local accounting principle):

   Equipment to Tech. Clearing Account for Integrated Asset Acquisition

Generated documents:

No.	Accounting Principle	Debit/Credit	Posting Key	Account (No.)	Account (Name)	Amount
1	INITIAL	Debit	70	999999	Tech. Clearing Account for Integrated Asset Acquisition	10.200
		Credit	31	160000	Payables for Goods & Services	10.200
2a)	IFRS	Debit	70	13000	Equipment	10.200
		Credit	75	999999	Tech. Clearing Account for Integrated Asset Acquisition	10.200
2b)	LGAAP	Debit	70	13000	Equipment	10.200
		Credit	75	999999	Tech. Clearing Account for Integrated Asset Acquisition	10.200

In transaction **AB01L**, the financial accountant clears the shipping costs to the appropriate expense account for accounting principle **LGAAP**:

Document entry:

Debit/Credit	Posting Key	Account Type	Account (No.)	Account (Name)	Account Assignment Object 1	Account Assignment Object 2	Amount
Debit	40	General Ledger	472000	Shipping Costs			200
Credit	75	Asset	13000	Equipment	PRCTR1	KOSTL1	

The system generates the following document for accounting principle LGAAP:

Debit shipping costs, credit Equipment

Generated document:

No.	Accounting Principle	Debit/Credit	Posting Key	Account (No.)	Account (Name)	Amount
3	LGAAP	Debit	40	472000	Shipping Costs	200
		Credit	75	13000	Equipment	200

Account Display

It looks like this on the corresponding T accounts:

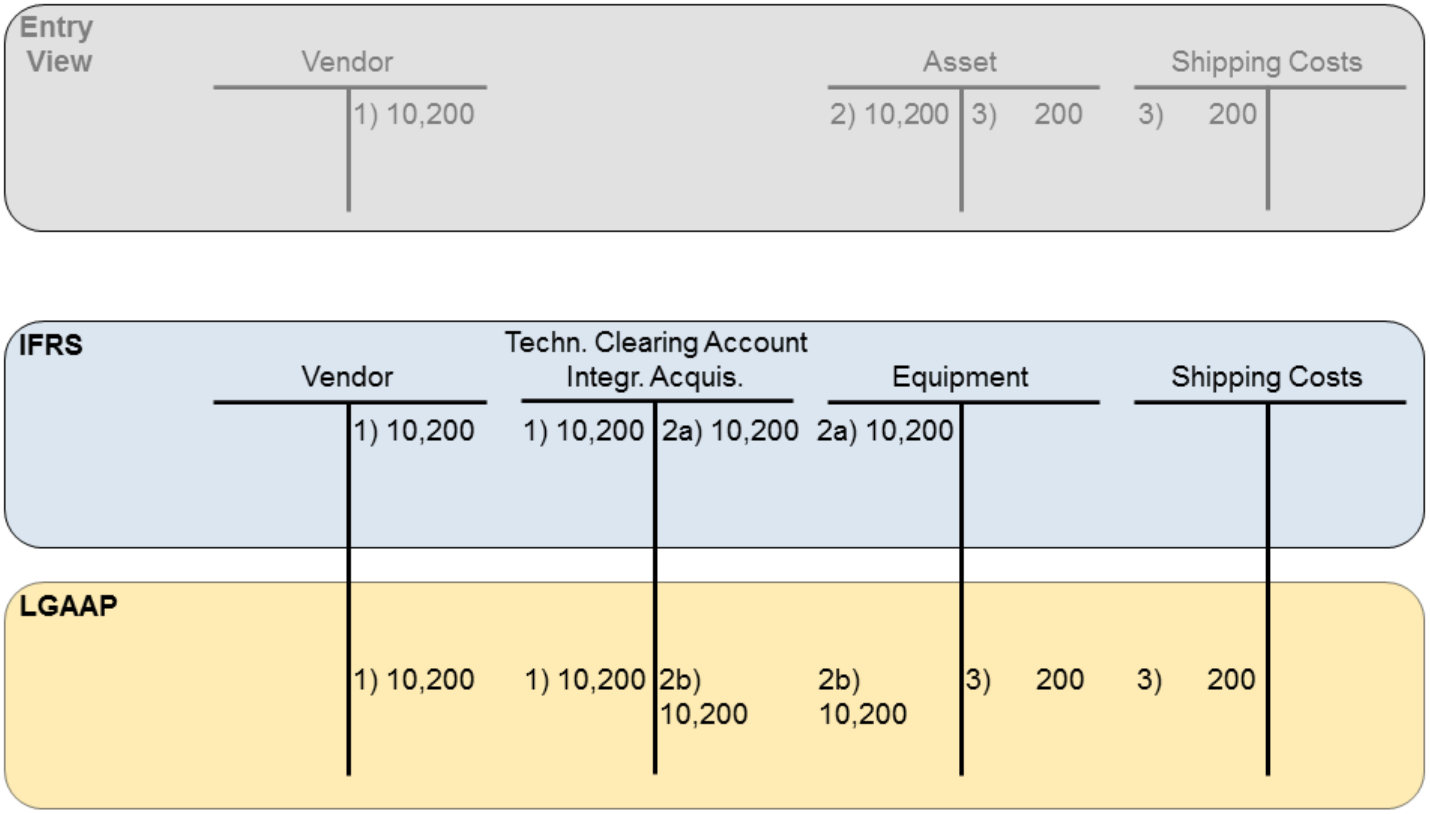


Figure: Integrated Acquisition Posting, Example 1

Example 2: Acquisition, Integrated Posting

Initial Data

The company creates financial statements based on two parallel accounting principles:

- IFRS accounting principle and
- LGAAP accounting principle (local accounting principle)

The enterprise posts asset acquisitions **integrated** with Accounts Payable.

The enterprise purchases a new asset. The acquisition and production costs are 10,000. The incidental acquisition cost (here: shipment costs) amount to 200.

- According to IFRS, the acquisition costs in the amount of 10,000 and and the shipping costs in the amount of 200 are both to be capitalized.
- According to the local accounting principle, only the acquisition costs in the amount of 10,000 are to be capitalized. The shipping costs are to be posted as expense.

The financial accountant first capitalizes the amount that is allowed by the local accounting principle. Then he posts the invoice for the shipping costs. And he capitalizes the shipping costs in accordance with IFRS.

Document Entry and Generated Documents

The financial accountant first enters the following document in transaction **F-90** without specifying an accounting principle:

Document entry:

Debit/Credit	Posting key	Account type	Account (No.)	Account (Name)	Account Assignment Object 1	Account Assignment Object 2	Amount
Debit	70	Open Asset	999999	Tech. Clearing Account for Integrated Asset Acquisition	PRCTR1	KOSTL1	
Credit	31	Vendor	160000	Payables for Goods & Services			10,000

The system generates the following documents:

1. Without an accounting principle, the system posts the asset acquisition to the Technical Clearing Account for Integrated Asset Acquisition:

   Tech. Clearing Account for Integrated Asset Acquisition to Payables from L+ L

2. a) With accounting principle **IFRS**, the system clears the same amount on the Technical Clearing Account for Integrated Asset Acquisition again and posts it to the Equipment account:

   Equipment to Tech. Clearing Account for Integrated Asset Acquisition

   b) The system proceeds in a similar manner for accounting principle **LGAAP** (local accounting principle):

   Equipment to Tech. Clearing Account for Integrated Asset Acquisition

Generated documents:

No.	Accounting Principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
1	INITIAL	Debit	70	999999	Tech. Clearing Account for Integrated Asset Acquisition	10,000

No.	Accounting Principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
		Credit	31	160000	Payables for Goods & Services	10,000
2a)	IFRS	Debit	70	13000	Equipment	10,000
		Credit	75	999999	Tech. Clearing Account for Integrated Asset Acquisition	10,000
2b)	LGAAP	Debit	70	13000	Equipment	10,000
		Credit	75	999999	Tech. Clearing Account for Integrated Asset Acquisition	10,000

The financial accountant posts the shipping costs as expense for all accounting principles in transaction **FB60**:

Document entry:

Debit/Credit	Posting key	Account type	Account (No.)	Account (Name)	Account Assignment Object 1	Account Assignment Object 2	Amount
Debit	40	General Ledger	47200	Shipping Costs			
Credit	31	Open Asset	13000	Vendor	PRCTR1	KOSTL1	200

The system generates the following document for accounting principle **LGAAP**:

Debit shipping costs, credit Equipment

Generated document:

No.	Accounting Principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
3	LGAAP	Debit	40	472000	Shipping Costs	200
		Credit	75	13000	Vendor	200

In transaction **AB01L**, the financial accountant transfers the shipping costs from the expense account to the account for equipment for accounting principle **IFRS**:

Document entry:

Debit/Credit	Posting key	Account type	Account (No.)	Account (Name)	Account Assignment Object 1	Account Assignment Object 2	Amount
Debit	70	Open Asset	13000	Equipment	PRCTR1	KOSTL1	
Credit	50	General Ledger	47200	Shipping Costs			200

The system generates the following document for accounting principle **IFRS**:

Debit Equipment, credit Shipping Costs

Generated document:

No.	Accounting Principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
4	IFRS	Debit	70	13000	Equipment	200
		Credit	50	472000	Shipping Costs	200

Account Display

It looks like this on the corresponding T accounts:

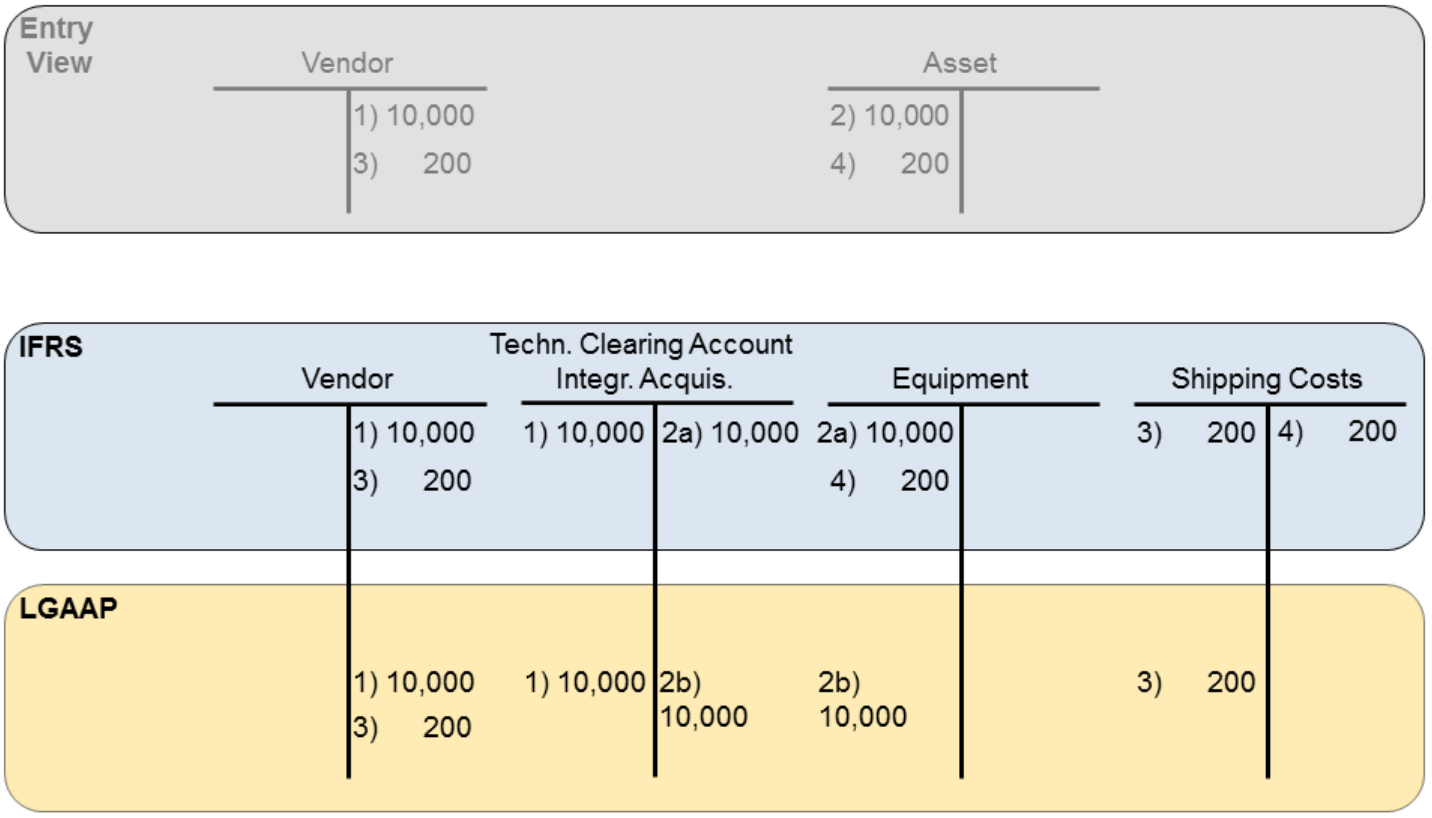


Figure: Integrated Acquisition Posting, Example 2

Non-Integrated Asset Acquisition Posting (Before Invoice Receipt)

Procedure

1. Choose Posting > Acquisition > External Acquisition > Acquis. w/Autom. Offsetting Entry.
2. Enter the asset on the Transaction Data tab, or create an asset using the New Asset radio button.

   Check the proposed date specifications, and make any necessary changes. If you do **not** enter an asset value date, the system automatically determines this date when you save.

   Enter the acquisition data (posting amount, quantity if needed). Choose the Multiple assets pushbutton to make multiple account assignments.
3. Enter or check the additional posting information (such as document type, offsetting account) on the Additional Details tab.

   If you do **not** enter a transaction type, the system automatically determines one when you save.
4. Enter a text for the posting document on the Note tab (optional).
5. Save your entries.

   The system then automatically creates the offsetting entry on the clearing account that is proposed according to the account determination (in Asset Customizing under Transactions > Acquisitions > Assign Accounts). You can have the system automatically perform the clearing of the acquisition line items in Financial Accounting on a periodic basis.

Non-Integrated Asset Acquisition (After Invoice Receipt, with Clearing)

Procedure

1. Determine the asset and the clearing account involved. Create a new asset master record (see Create Asset), if needed.
2. Post the acquisition (Postings > External Acquisition > Sales Order > Clearing Offst. Entry).

- Post the capitalization of the asset as the first line item (posting key 70, transaction type 100, account = asset number). The selections offered under Transactions to be processed are not relevant in this case because they refer only to payment postings.
- Enter the amount to be posted.
- Select the Choose open items function.
- Enter the number of the clearing account, the account type S = G/L account, and limit the selection of the line items.
- Select those items that you do **not** want to clear. Set these items to inactive.
- Choose the Post function.

1. Check the cleared items (in the general ledger: Account > Display Items).

Example: Acquisition, Non-Integrated Posting

Initial Data

The company creates financial statements based on two parallel accounting principles:

- IFRS accounting principle and
- LGAAP accounting principle (local accounting principle)

The enterprise posts asset acquisitions **non-integrated** with Accounts Payable.

The enterprise purchases a new asset. The acquisition and production costs are 10,000. The incidental acquisition cost (here: freight costs) amount to 200.

- According to IFRS, the acquisition costs in the amount of 10,000 and and the shipping costs in the amount of 200 are both to be capitalized.
- According to the local accounting principle, only the acquisition costs in the amount of 10,000 are to be capitalized. The freight costs are to be posted as expense.

The accounts payable assistant first posts the invoice amount. Then the asset accountant capitalizes the amount according to IFRS and then according to the local accounting principle.

Document Entry and Generated Journal Entries

The accounts payable assistant first posts the invoice amount in transaction **FB60**:

Document entry:

Debit/Credit	Posting key	Account Type	Account (No.)	Account (Name)	Amount
Debit	40	General Ledger	199,990	Asset Clearing Account	
Credit	31	Vendor	160,000	Payables for Goods & Services	10,200

The system generates the following journal entry:

Without an accounting principle, the system posts the asset acquisition to the asset clearing account:

Debit Asset Clearing Account, credit Payables for Goods & Services

Generated document:

No.	Accounting principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
1	INITIAL	Debit	50	199,990	Asset Clearing Account	10,200
		Credit	31	160,000	Payables for Goods & Services	10,200

In transaction **ABZOL**, the asset accountant posts the asset acquisition for accounting principle IFRS; for accounting principle LGAAP, he posts the asset acquisition, and the shipping costs as expense.

Document entry:

Accounting Principle	Debit/Credit	Posting key	Account Type	Account (No.)	Account (Name)	Amount
IFRS	Debit	70	Assets	13,000	Equipment	10,200
	Credit	50	General Ledger	199,990	Asset Clearing Account	

Accounting Principle	Debit/Credit	Posting key	Account Type	Account (No.)	Account (Name)	Amount
LGAAP	Debit	70	Assets	13,000	Equipment	10,000
	Debit	40	General Ledger	472,000	Shipping Costs	200
	Credit	50	General Ledger	199,990	Asset Clearing Account	

The system generates the following journal entries:

Generated documents:

No.	Accounting principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
2	IFRS	Debit	70	13,000	Equipment	10,200
		Credit	50	199,990	Asset Clearing Account	10,200
3	LGAAP	Debit	70	13,000	Equipment	10,000
		Debit	40	472,000	Shipping Costs	200
		Credit	50	199,990	Asset Clearing Account	10,200

Account Display

It looks like this on the corresponding T accounts:

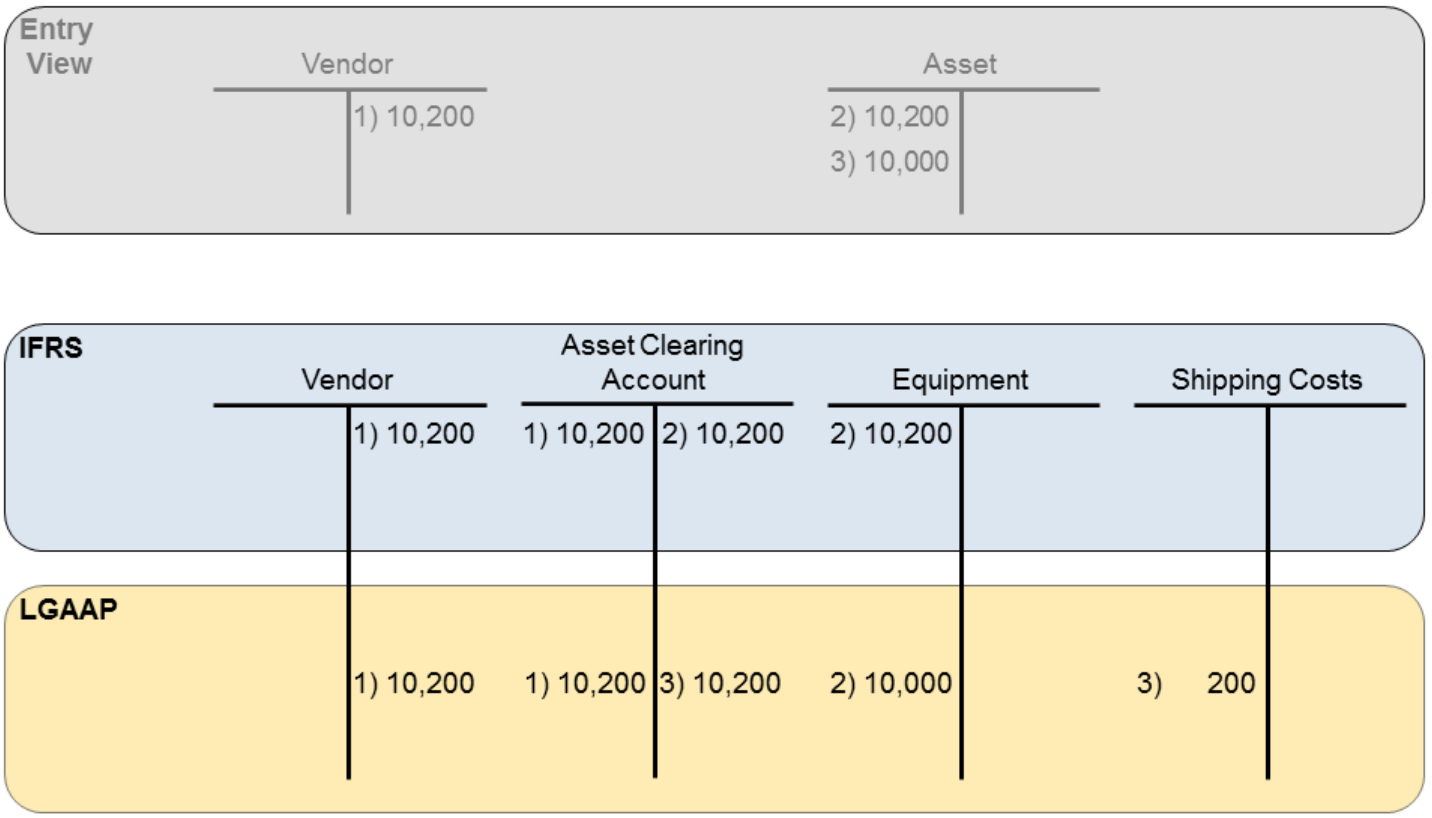


Figure: Non-Integrated Asset Acquisition Posting

Processing Asset Acquisitions in Purchasing (FI-AA/MM)

Applications

When you are using the Asset Accounting component in conjunction with the Materials Management (MM) component, you can post an asset acquisition within the framework of the ordering process in purchasing.

Process Flow

Unlike most other business transactions, external acquisition using a purchase order requires a sequence of steps to be performed at separate times:

- Creating the purchase requisition
- Creating the purchase order
- Posting the goods receipt
- Posting the invoice receipt

When you use this integrated ordering process, you first have to create an asset master record. You can then post the purchase order or the purchase requisition with account assignment to the asset. It is also possible to create fixed assets from within the transaction for creating the purchase order. This means that you can carry out both steps, "create assetand "create purchase order or purchase requisition,within one transaction. You enter the most important asset master data information in a dialog box . From this dialog box, you can go directly to the actual asset master data transaction. If the asset you create is incomplete because essential asset master data information is missing, the asset has to be completed later (refer to Processing Incomplete Assets). You can specify an asset class for each material group in Customizing (**Transactions** > **Acquisitions**) to be used when you

create fixed assets from the transaction for purchase orders or purchase requisitions. The system then provides this asset class as a default when you create assets for this material group.

When you post the goods receipt or the invoice receipt, the system automatically capitalizes the asset. From an organizational perspective, it may be difficult to create an asset master record with the purchase order. There is therefore the option of creating a purchase requisition first, without account assignment. Then you enter the asset in the purchase order that results from the purchase requisition.

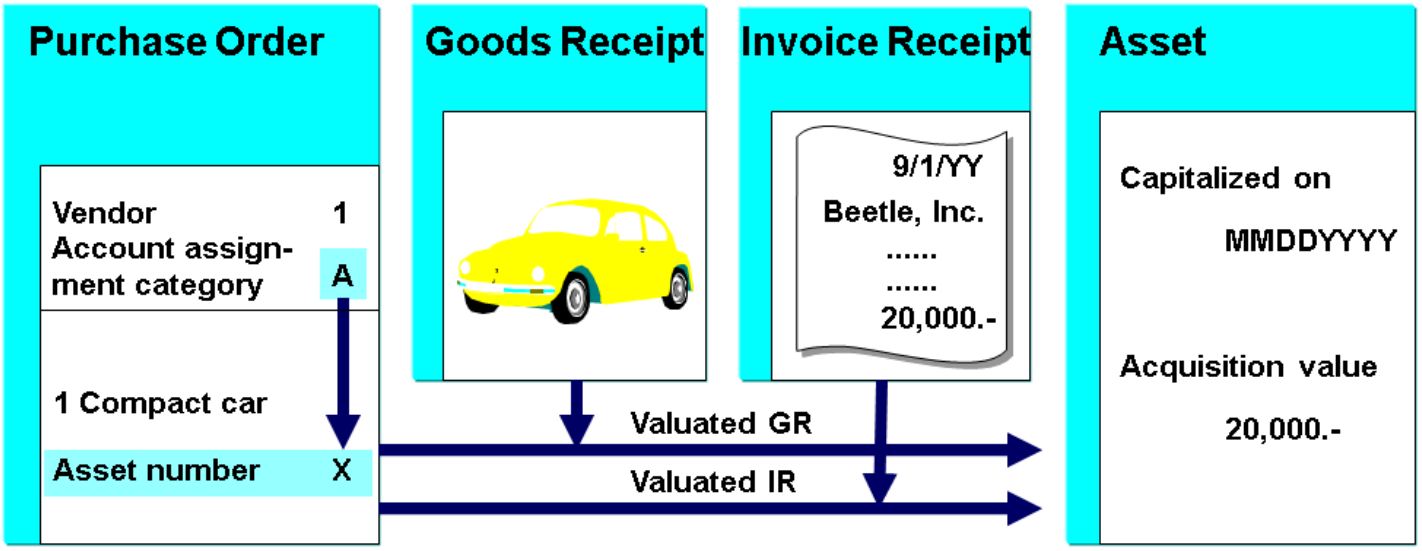


Figure: Acquisition Posted in Purchasing

Creating a Purchase Order Item

When you create a purchase order item in the MM component that has account assignment to an asset (account assignment category A), the system first checks to see if the asset exists. It also determines if the asset can be posted on the planned delivery date. The system then determines the G/L account that is to be posted. It then determines the additional account assignments that are valid on the delivery date and notes these for the purchase order item.

When there is account assignment to an asset from a purchase order, **no** values are updated on the asset, and no line items are created at this point. For this reason, the account assignment of the purchase order item can be changed up to the time of the first goods receipt or invoice receipt.

Purchase Orders for LVAs

For account assignment to a low value asset or to a collective low value asset, the system makes sure that the APC of the asset together with the order values of the individual items does **not** exceed the maximum limit for low value assets.

For collective low value assets, the order quantity is also taken into account for this check. The total amount determined (APC + order value) is divided by the total quantity (amount already on hand + the order quantity), and the result is compared with the maximum value limit that has been specified.

Creating a Purchase Order for the Asset

Procedure

1. First, determine the information that is necessary for creating the purchase order:

- Check in the Purchasing component whether a purchase requisition exists for the asset (Logistics > Materials management > Purchasing) > .

- Determine the vendor from whom you are ordering the asset. If needed, enter the purchasing data for the vendor.
- Determine the asset number of the asset that is being ordered. If necessary, create a new asset.

1. Create the purchase order. If there is a purchase requisition, use it as a reference (in Purchasing : Purchase order Create) .

In the initial screen, when you specify the account assignment type A (for asset), this determines

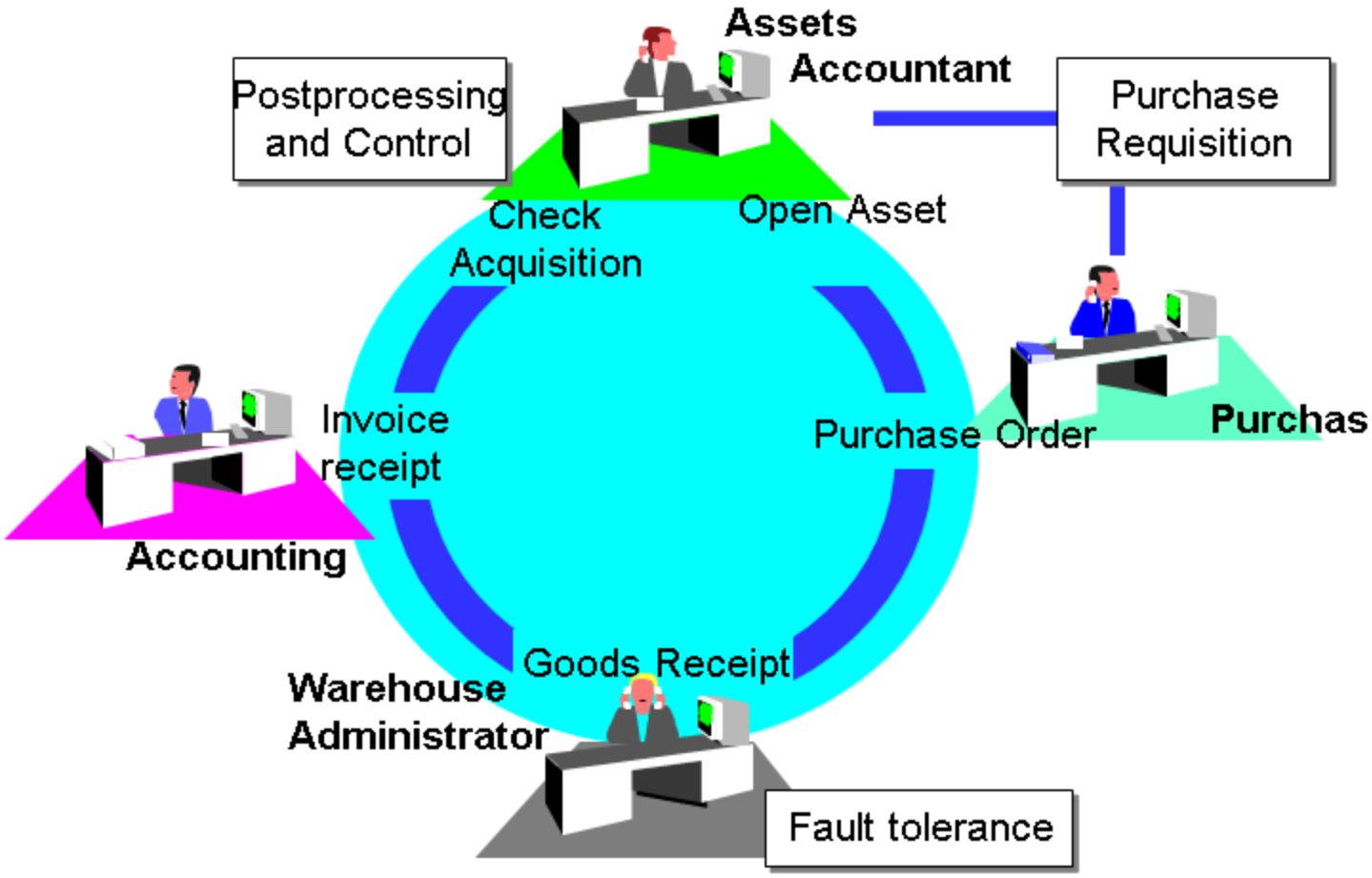
- The account assignment to an asset
- How the goods receipt or the invoice receipt is to be handled (are asset values to be posted at the time of the goods receipt or at the time of the invoice receipt).

1. Once you have entered the general purchasing data in the first screen (order date, material group, etc.), a dialog box appears. Enter the asset to which account assignment is to be made in this dialog box.
2. If the asset master record for your purchase has not yet been created, you can create it directly from within the purchase order transaction.
3. Display the order item and its current delivery status (in Purchasing : Purchase order List display By account assignment).
4. Later, post the goods receipt or the invoice receipt. (The Customizing definition of the account assignment type determines when the asset values are posted - either at goods receipt or at invoice receipt.) See the corresponding documentation for the Materials Management (MM) component.

Goods Receipt and Invoice Receipt with Reference to Asset

Purpose

You can post the goods receipt and the invoice receipt for an ordered asset with reference to the purchase order.



Acquisition Posted in Purchasing

Process Flow

There are several ways of posting this type of business transaction:

Valuated goods receipt, before the invoice receipt

The system capitalizes the asset, creates line items, and updates the value fields of the asset. When you post the invoice, if there are differences between the amount posted and the amount of the invoice, the system automatically corrects the APC amount on the asset. The differences are distinguished as follows:

Acquisition or credit memo

New acquisition

Prior-year acquisition (for processes that span several years)

Non-valuated goods receipt, before the invoice receipt

In this case, the system does not create line items and update values until the invoice is received. The system also carries out capitalization at the time of the invoice receipt. The system, however, uses the date of the goods receipt as the capitalization date.

Invoice receipt before the valuated goods receipt

In this case, the goods receipt only, and not the invoice receipt, triggers the update of the values on the fixed asset. If the invoice amount differs from the price on the order, the difference is posted to the asset by the goods receipt.

Invoice receipt before the non-valuated goods receipt

The system capitalizes the asset, creates line items, and updates the value fields.

Setting Valuated or Non-Valuated Goods Receipt

You determine whether the goods receipt is valuated or non-valuated by means of the account assignment category (A = asset). In Customizing for Materials Management, under **Purchasing → Account Assignment → Maintain Account Assignment Categories**). You can also maintain the control indicator in the detail screen of the purchase order item.

It makes sense to post the goods receipt valuated, since the date of the goods receipt usually determines the moment the asset belongs to the fixed assets of the enterprise.

Accounts

When you post a valuated goods receipt, the system posts a debit to the asset and a credit to the 'Goods receipt/invoice receipt' clearing account. You have to enter this clearing account in Customizing. In Customizing for Materials Management, choose: **Valuation and Account Assignment → Account Determination → Account Determination Without Wizard → Configure Automatic Postings. This account is cleared when the invoice receipt is posted.**

When you post a non-valuated goods receipt, the system makes an integrated posting at invoice receipt (debit to asset and credit to vendor). The system does not create any accounting document at the time of the goods receipt in this case, only an MM document.

Cash Discount

During the payment run, differences may arise between the amount paid and the capitalization amount, because too little or too much cash discount was deducted. In this case, you follow the same procedure as for an integrated acquisition posting, and make adjustments to APC using collective processing in General Ledger Accounting. From the **SAP Easy Access** menu, choose **Accounting → Financial Accounting → General Ledger → Periodic Processing → Closing → Reclassify → Profit and Loss Adjustment).**

Procedures

Posting a Goods Receipt

Posting Invoice Receipts

Posting a Goods Receipt

Procedure

1. **Choose Logistics > Materials management > Inventory management.**
2. **Choose Goods movement > Goods receipt > For purchase order > PO number known.**
3. Enter transaction type 101 and the number of the purchase order in the initial screen. Press **Enter**
4. Confirm the posting in the resulting screen by choosing Post goods receipt. The data defaulted by the system is correct.

Posting an Invoice Receipt

Procedure

1. **Choose Logistics > Materials management > Invoice verification.**

2. Press Enter invoice.
3. Enter the document date, the purchase order number and the document type (RE = post gross).
4. Press **Enter** Enter the amount of the invoice and the input tax indicator, if necessary. Set the indicator Calculate taxes.
5. Press **Enter** The system displays the purchase order items.
6. Save.

Acquisition from Internal Activity

Purpose

An acquisition from internal activity is the capitalization of goods or activities that are partly or completely created within your own company.

Process flow

You are required to capitalize your own costs for such internal activity (for example, production orders or maintenance orders). There are two different approaches that you can use:

- Capitalization of costs collected in a production order (when you manufacture an asset that requires capitalization within the framework of an internal production order)
- Capitalization of costs collected in a maintenance order (for plant maintenance that requires capitalization, such as general improvements)

You capitalize the maintenance order or production order by settling it to an asset. As a prerequisite for this settlement, the settlement profile of the order must allow for receiver type "A" (for asset). You enter the settlement profile in the order type. It is copied from there into the individual order. You define settlement profiles in Customizing of the CO-OM (Overhead Controlling) component.

Manual Direct Capitalization

If there is no CO order in the system for the internal activity, you can manually post acquisition and production costs or maintenance costs to an asset. When you post in this way, the system posts to the same accounts as it does for a non-integrated purchase acquisition. The offsetting account for the APC account is also the clearing account "offsetting APC account " in the FI-AA account determination.

There is a special transaction type for acquisition from internal activity. This special transaction type makes it possible to distinguish between acquisitions from internal activity and other types of acquisitions in reports.

Procedure

Posting Acquisition from Internal Activity Manually

Settling a Production Order to a Fixed Asset

Settling a Production Order to a Fixed Asset

Procedure

1. Choose Logistics > Production > Production control .
2. Choose Order > Change .
3. Choose Header > Settlement rule . Enter your asset as the settlement receiver (type ANL) and enter the settlement amount (percentage rate or equivalence number).
4. Choose Period-end closing > Settlement and settle the order.

Posting Acquisition from Internal Activity Manually

Procedure

1. Determine the costs that require manual capitalization.
2. Determine the asset, for which the APC is to be capitalized
3. Post the acquisition (Postings > Acquisition > Acquis. in-house prod >). You only need to enter the asset as the account assignment. The system automatically determines the corresponding offsetting account for the clearing according to the account allocation in the asset class.

Processing a Goods Issue from the Warehouse

Purpose

Under certain circumstances, you may use goods from the warehouse as replacement parts for existing assets. The value of these goods must then be capitalized to the respective asset. This is essentially a transfer from current assets to non-current assets.

Process flow

If you are using Asset Accounting in conjunction with the MM (Materials Management) component, you can post this business transaction using one system transaction. In this case, you have to create the goods movement in the corresponding warehouse (inventory management) using special transaction types for the account assignment to an asset. The system then capitalizes the acquisition or production costs of the material on the asset you specify.

Procedure

Posting Stock Withdrawal

Posting Stock Withdrawal

Procedure

1. Determine the goods from the warehouse, and the asset to which they are being capitalized.
2. Using the main menu, select inventory management in the "Logistics" component (Logistics > Materials Management > Inventory management)
3. Post a goods issue.
    - In the first screen, enter the header data for the posting and the header data for the first line item. Use the transaction type for "consumption of warehouse goods for assets" (241).

- In the second screen, enter the asset you are posting to and the posting data for the first line item.
- Create additional line items if needed.

Acquisition Resulting from Extraordinary Revenue

Purpose

An ‘acquisition resulting from extraordinary revenue’ is an asset acquisition that is posted in Asset Accounting without any reference to a valuated goods receipt or invoice receipt. This type of transaction might be necessary because

- A new fixed asset, requiring capitalization, was discovered during the course of a physical inventory
- Your enterprise receives an asset as a gift

Procedure

Posting Acquisition Resulting from Extraordinary Revenue

Posting Acquisition Resulting from Extraordinary Revenue

Procedure

1. If needed, create a new asset master record (see Create Asset).
2. Specify the posting dates:
   - Asset value date

     If an asset has just been found, you usually use the start of the fiscal year as the asset value date (capitalization date), and then estimate a remaining useful life based on the age of the asset. However, it is also possible that you know the exact time the capitalization should have taken place. In this case, you can post a post-capitalization with gross APC and historical value adjustments (see Posting Post-Capitalization).
   - Amount to be capitalized
   - Payee
3. Post the asset acquisition (see Integrated Asset Acquisition Posting (FI-AA and FI-AP)). Do not post to the vendor account, but instead to the account for **Extraordinary Revenue**.

Subsequent Acquisition

Purpose

A subsequent acquisition in this context is an addition or enhancement to a capitalized asset in the current fiscal year (**not** Posting Post-Capitalization). The depreciation start date for the enhancement should be in the current fiscal year.

Process flow

Assets can be represented differently in the FI-AA component according to their complexity (see Master Data Maintenance). You can post a subsequent acquisition to an already existing asset either to the existing asset master record or to a new sub-number. When you post to an already existing asset master record, the system creates separate line items for each acquisition. However,

the system cannot display the depreciation from the subsequent acquisition after the end of the current fiscal year separately from the historical original acquisition. This type of separate display is only possible when you use a separate sub-number for the subsequent acquisition.

Graphic: Subsequent Acquisitions Without Sub-Numbers

Graphic: Subsequent Acquisitions with Sub-Numbers

Procedure

Posting Subsequent Acquisitions

Figure: Subsequent Acquisition Without Sub-Numbers

The following graphic shows subsequent acquisitions which are managed as separate line items, but without separate sub-numbers:

Asset	4711	0000	Milling machines

Posting

Year	Cuml.APC	Transaction	Deprec.	Book value
00	_ _	100,000	30,000	70,000
01	100,000	20,000	27,000	63,000
02	120,000		18,900	44,100
03	120,000	40,000 - 35,000 +	19,320	45,080

Line Items

Date	Trns. Type	Amount	Transaction
4/1/X0	100	100,000	Acquis. of milling machine
8/1/X1	100	20,000	Replacement shafts
1/1/X3	200	40,000	Scrapping of shafts
		25,300	Proportional depreciation
9/1/X3	100	35,000	New shaft set

Figure: Subsequent Acquisition Without Sub-Numbers

The retirement of the shaft set is posted on January 1, 19X3. The system determines the proportional depreciation that is retired. It calculates this value based on the proportion between the 40,000 APC that is being retired and the total APC of 120,000. The replacement shafts that were acquired subsequently (APC of 20,000) are **not** treated separately when the system determines the proportional depreciation.

Figure: Subsequent Acquisition with Sub-Number

The following graphic shows subsequent acquisitions which are managed as separate sub-numbers:

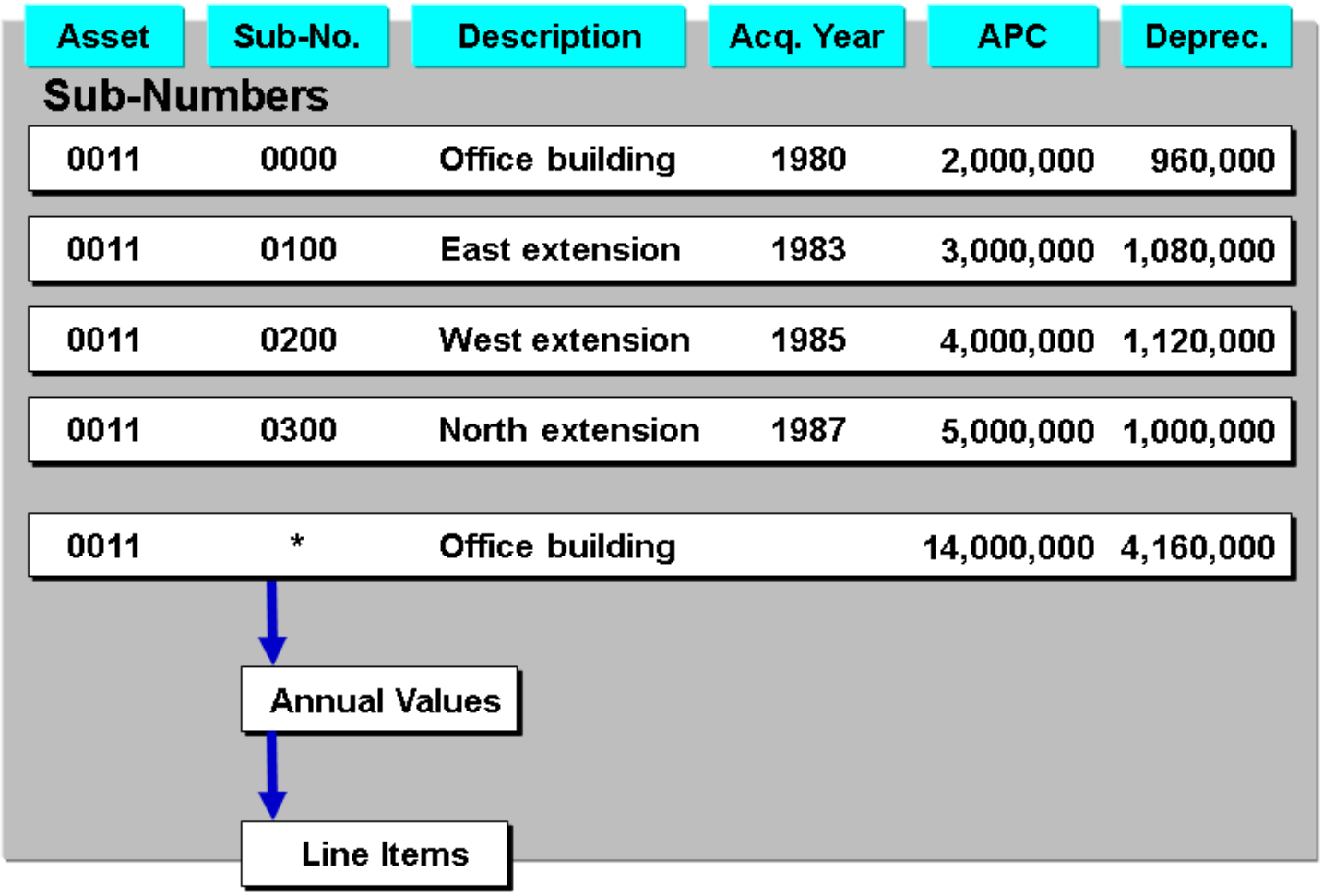


Figure: Subsequent Acquisition Without Sub-Numbers

The acquisitions posted in each year are managed as individual sub-numbers. As a result, you can depreciate the subsequent acquisitions separately and retire them separately from the main asset.

Posting Subsequent Acquisitions

Procedure

1. Check whether the subsequent acquisition is to be posted to a new sub-number or to an already existing asset number.
2. Create a new sub-number or identify the asset to which you want to post.
3. Determine the asset value date for the posting. Remember that the asset value date determines the start of depreciation.
4. Post the subsequent acquisition using the appropriate transaction type (depending on the to depreciation areas to be posted: 020 - 115), and using an acquisition transaction (for example, **Acquisition with vendor**).
5. Check whether you need to revise the depreciation terms (for example, the useful life) for the asset.
6. It may be necessary to change the depreciation terms, for example, if the subsequent acquisition has the character of a new asset, and therefore the calculation of depreciation has to be newly started.
7. If required, change the useful life of the asset.

⚠ Caution

- Changing the useful life of an asset affects the planned depreciation for **all open** fiscal years. Therefore, if you have not closed the previous fiscal year, you should only change the useful life for subsequent acquisitions in the current year after

the previous year has been closed.

- Due to a subsequent acquisition, you may need to change the useful life of an asset with declining balance depreciation. In this case, you have to transfer the asset to a new asset master record in order to ensure correct depreciation. The new asset master record must have the new remaining useful life as the planned total useful life.

Down Payments to Assets Under Construction

Purpose

Down payments represent a type of acquisition to fixed assets which you generally need to capitalize and report in a separate balance sheet item. For this reason, down payment postings use separate, special transaction types in the System.

Process flow

The following transactions should be posted in connection with the down payment:

- Creating a down payment request
- Posting the down payment
- Posting the corresponding closing invoice
- Clearing the down payment with the closing invoice

Posting to Accounts Payable

The FI-AP (Accounts Payable) component has specific transactions that allow for posting to the corresponding assets. You post the down payment made to the reconciliation account for Asset Accounting ("Capitalized down payments to assets") as well as to the reconciliation account for Accounts Payable ("Down payments made to assets"). The offsetting account for the reconciliation account in Asset Accounting is a clearing account. In order to prevent down payments from being shown twice in the balance sheet, this clearing account must be linked to the same balance sheet item as the reconciliation account in Asset Accounting.

When the closing invoice is received, it must be posted in full and capitalized to the asset. After this, you must clear the down payments with the closing invoice. When you clear the down payment, the system reverses the original acquisitions (the down payments) to the asset.

Graphic: Down Payments

Down Payment Requests

When you create a down payment request with account assignment to asset, the system carries out the same checks that take place when you post directly to an asset. You can use the down payment request as a posting reference when you post the down payment manually. The payment program can also convert it automatically into a down payment posting.

Down Payments Made

You post the down payment made to the reconciliation account for Asset Accounting ("Capitalized down payments to assets") as well as to the reconciliation account for Accounts Payable ("Down payments made to assets"). The offsetting account for the reconciliation account in Asset Accounting is a clearing account.

Posting in Asset Accounting

As an alternative to posting in Financial Accounting, you can post the assets side of the accounting transaction in Asset Accounting **without** integrated posting to Accounts Payable.

ℹ Note

If you manage depreciation areas in foreign currency, it is mandatory that you post down payments and the clearing of down payments using special FI transactions. Otherwise differences due to currency conversion can arise when you capitalize the asset under construction.

Posting Down Payments Using the Payment Program

You can use the payment program in Financial Accounting to have the system automatically post down payments. This option is open to you in addition to the manual posting of down payments in Asset Accounting. The payment program processes all of the down payment requests in the system that have come due and have been properly flagged. For more information on down payment processing in Financial Accounting, see the SAP library.

Capitalizing Down Payments Without Closing Invoice

If you want to start up an asset under construction at the year-end closing, you have to settle (transfer) the asset under construction to a capitalized asset. If the invoice receipt for a down payment does not take place in the same fiscal year as the down payment, you have to clear the open down payments already made first. They must be cleared with a forecasted invoice (reserve). The asset under construction can only be settled after this clearing.

ℹ Note

Capitalizing Down Payments Without a Closing Invoice

System Settings

In order to post down payments to assets in the FI-AA component, you have to make the following system settings:

- Enter the reconciliation account for down payments made in the appropriate account allocations. Also enter the offsetting account for Asset Accounting (FI-AA Customizing **:Transactions** **Acquisitions**).The system posts to the G/L accounts entered under “acquisition down payment” and “offsetting account acquisition down payment.”
- Allow posting with the transaction type group for down payments in the appropriate asset classes. This is found in the maintenance transaction for asset classes under **Extras** .

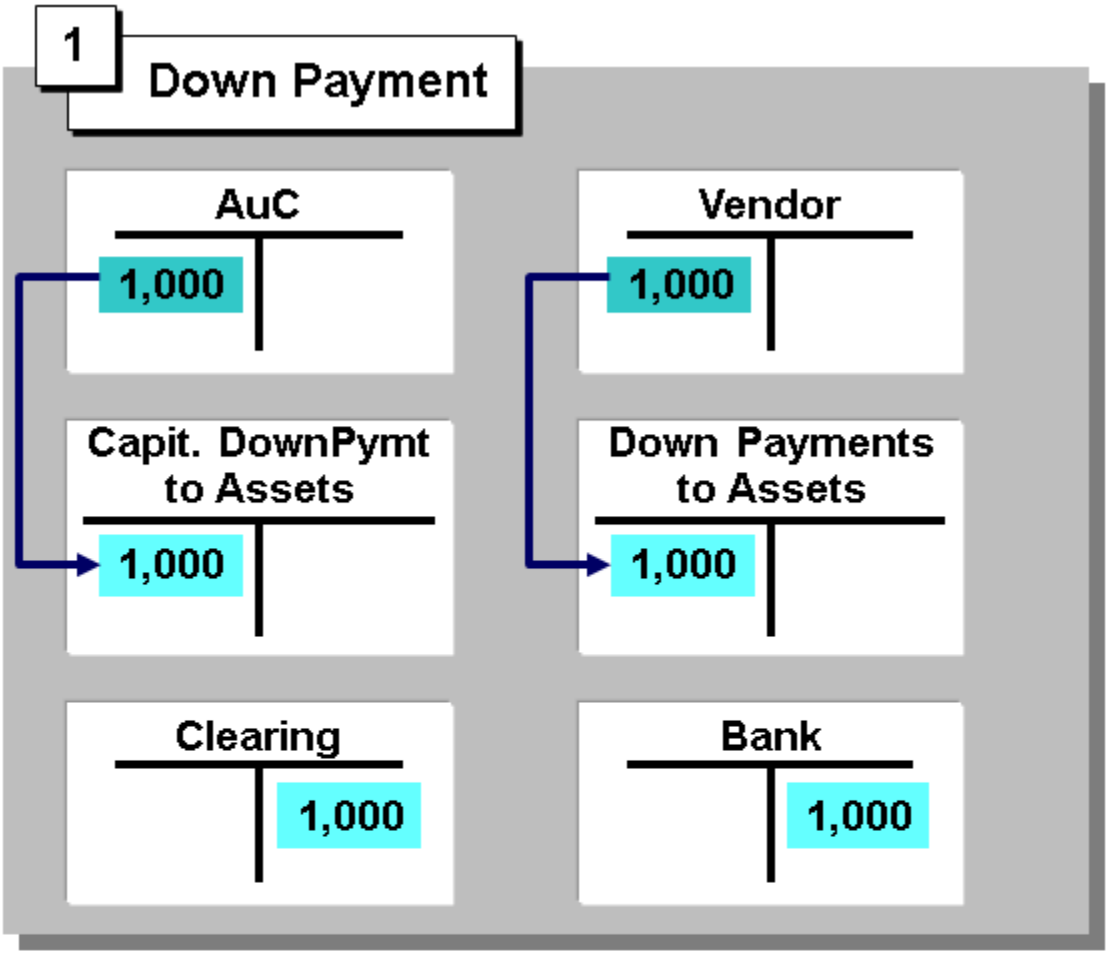
Procedures

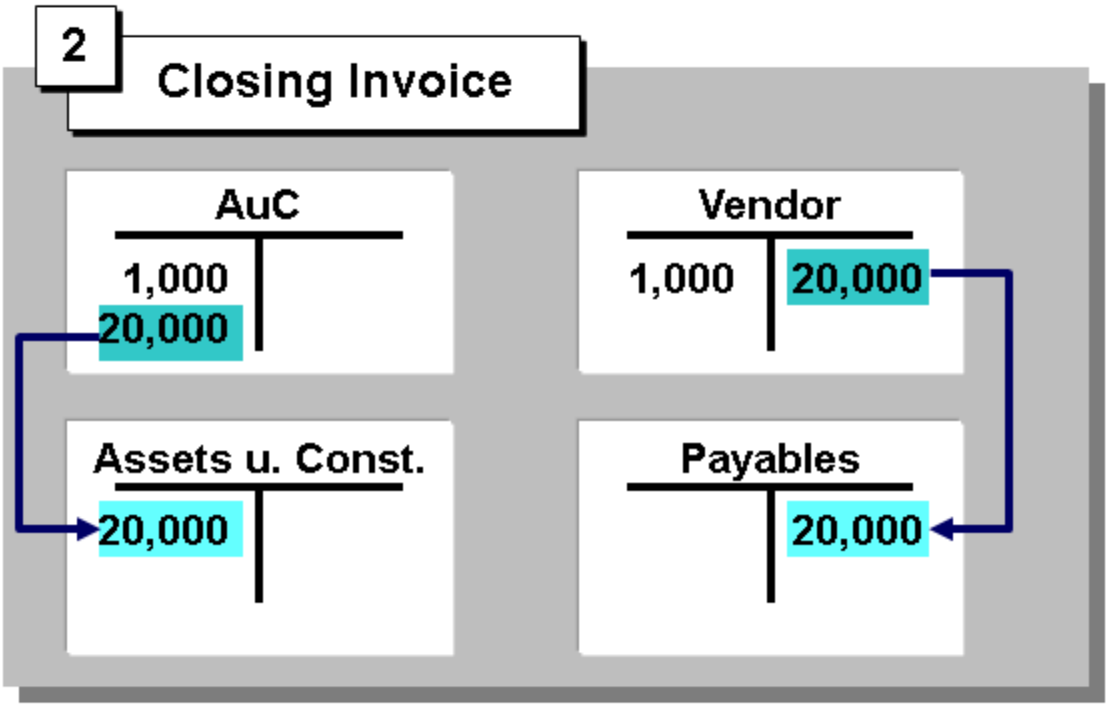
Integrated Posting of Down Payments

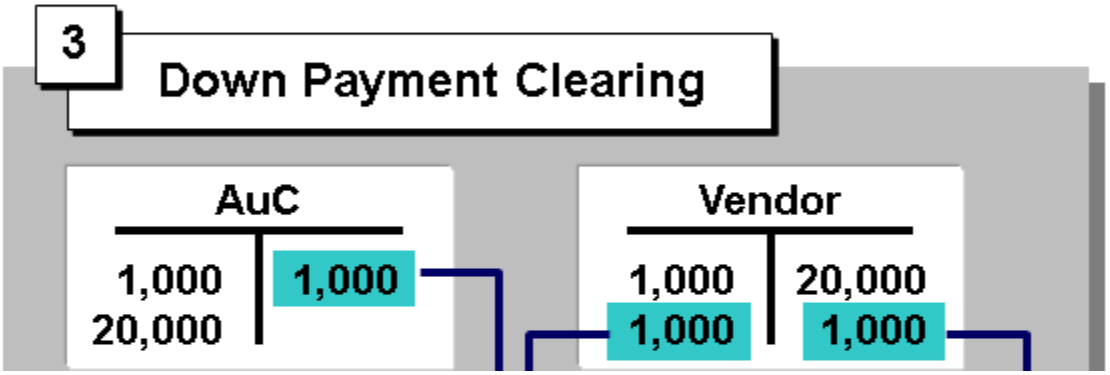
Non-Integrated Posting of Down Payments

Figure: Down Payment

The following graphic shows processing a down payment of 1000 with a closing invoice of 20,000:


1
Down Payment
AuC
1,000
Vendor
1,000
Capit. DownPymt to Assets
1,000
Down Payments to Assets
1,000
Clearing
1,000
Bank
1,000


2
Closing Invoice
AuC
1,000
20,000
Vendor
1,000
20,000
Assets u. Const.
20,000
Payables
20,000


3
Down Payment Clearing
AuC
1,000
20,000
1,000
Vendor
1,000
1,000
20,000
1,000

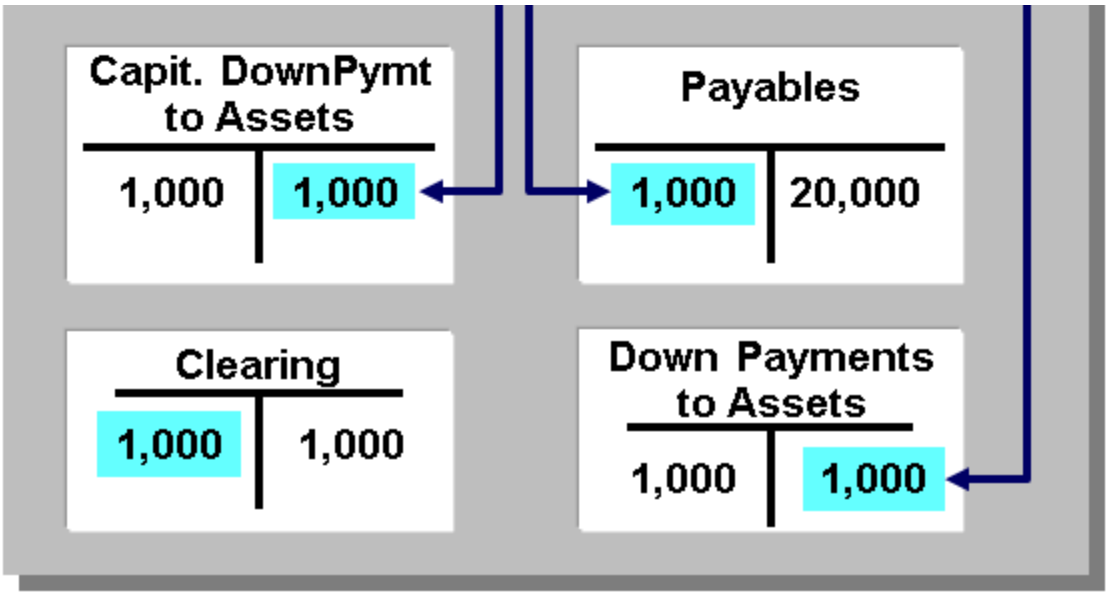


Figure: Down Payment

Capitalizing Down Payments Without a Closing Invoice

Under certain conditions, you may need to capitalize an asset under construction before all suppliers have presented their closing invoices. This can cause a few difficulties, especially if the closing invoice cannot be posted until the fiscal year following the capitalization of the asset under construction, and down payments were already posted to the asset under construction.

Initially, you post the down payment normally. If you then need to capitalize the asset under construction at the end of the fiscal year, but **before** the closing invoice is received, you post reserves for the total amount of the expected invoice. You post these reserves directly to the capitalized asset (external acquisition with vendor, transaction type 100). In the case where you plan to distribute the values from the asset under construction to several final assets, it makes sense to post the reserve to the asset under construction first, and then capitalize it. Whichever method you use, you have to reverse the down payment on the asset under construction, since the down payment is **not** allowed to appear in the account for **down payments to fixed assets**. Instead it has to appear in the account for **completed assets**.

1. Down payment 100
2. Reserves for expected closing invoice 200
3. Reversal of down payment 100
4. Capitalization of reserve 200 (if **not** posted directly to capitalized asset)

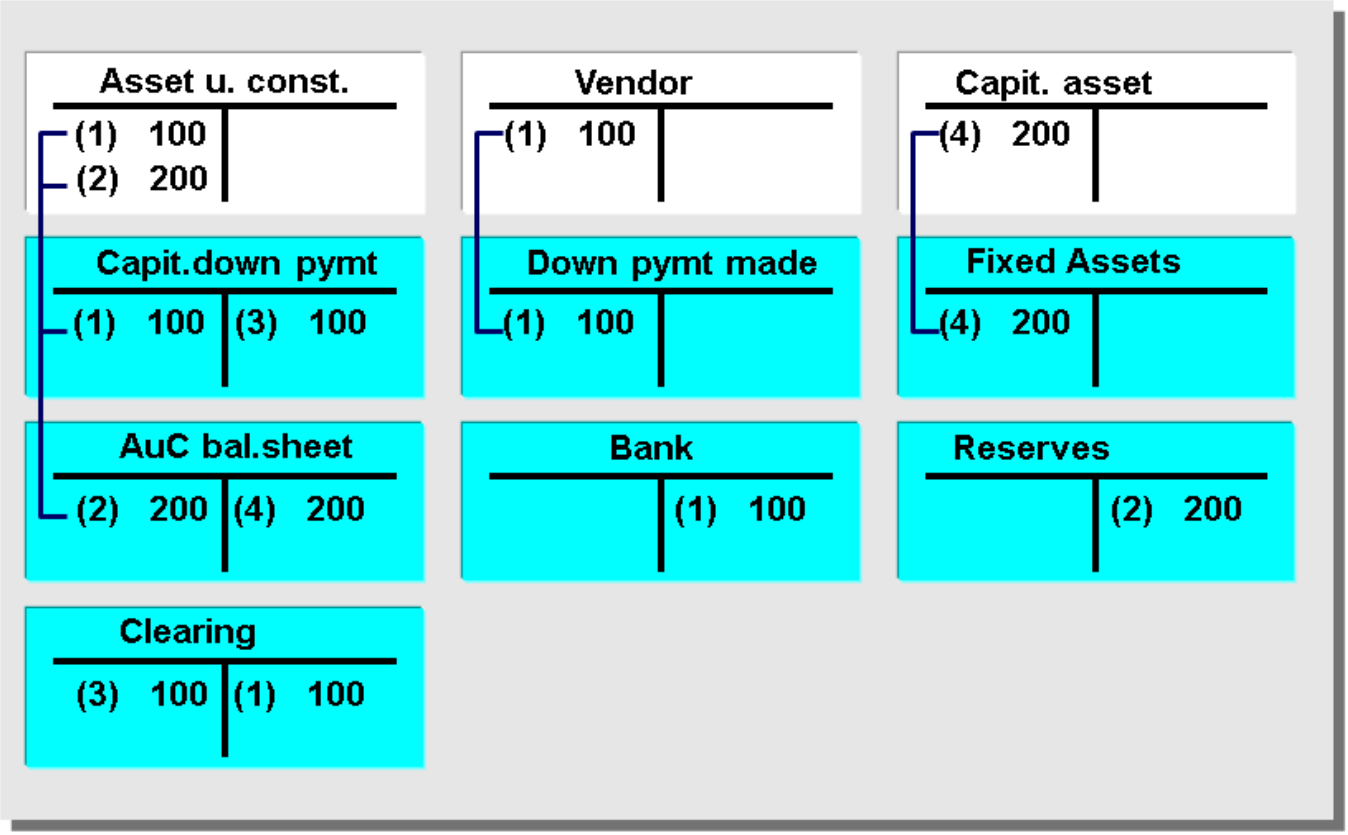


Figure: Down Payment, Reserves, Reversal, Capitalization of Reserves

You can post the closing invoice to one of the following:

- Directly to the reserve account
- To the capitalized asset
- To the asset under construction

Afterward, transfer the down payment to the vendor. When you make this transfer, the system automatically reverses the down payment on the asset under construction. However, in this case, the down payment was already reversed after the reserve was posted (step 3). Depending on how you posted the closing invoice, you may also have to transfer the reserve or the difference between the reserve and the closing invoice.

5. Final invoice 250.
6. Transfer of down payment 100
7. Reversal of down payment transfer 100
8. Reversal of reserves 200
9. Capitalization of difference amount 50

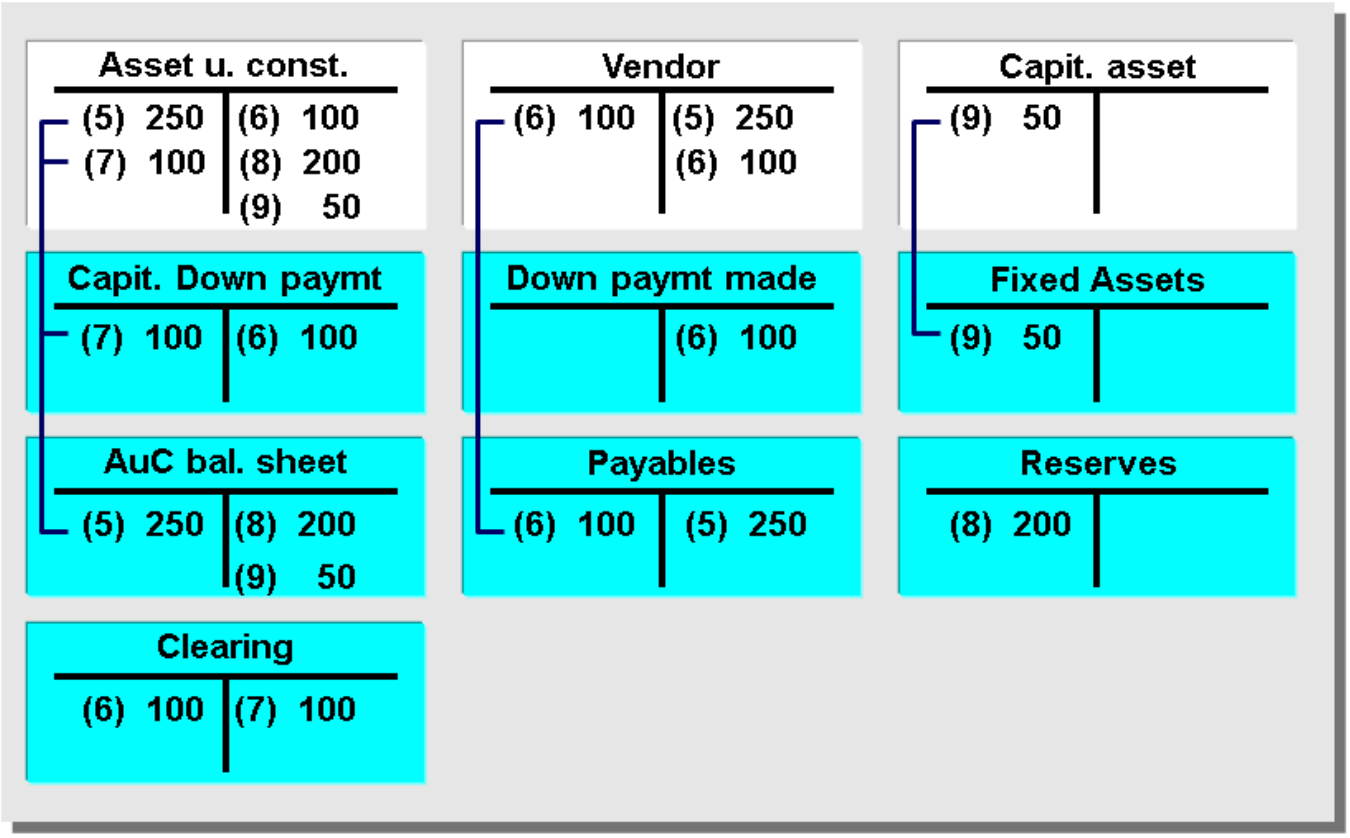


Figure: Invoice, Transfer, Reversal, Capitalization Difference

Integrated Posting of Down Payments

Procedure

1. Go to Accounts Payable (Accounting > Financial Accounting > Accounts Payable).
2. Post the down payment (Document Entry > Down Payment > Down Payment).
   - On the initial screen of the transaction, enter the document header, the vendor, the special general ledger indicator (down payment to fixed asset), the amount paid, and the bank.
   - On the next screen, enter the amount of the down payment, the tax specifications and the asset for the account assignment.
3. Post the final invoice for the full amount (Asset Accounting: Posting > External Acquisition > With Vendor).
4. Clear the down payment in Accounts Payable with the closing invoice (Document Entry > Down Payment > Clear).
   - On the initial screen, enter the document header, the vendor and the document number of the closing invoice.
   - Select the affected line items on the subsequent screen. Choose Post.

Example

About 2): Posting the down payment

You make a down payment of 3000.

The system generates accounting-principle-specific documents:

No.	Accounting Principle	Debit		Credit
(1a)	INITIAL	Down payment paid to assets (special G/L)	Credit	Bank
(1b)	IFRS	Capitalized down payment to assets (special G/L)	Credit	Clearing of capitalized down payment
(1c)	LGAAP	Capitalized down payment to assets (special G/L)	Credit	Clearing of capitalized down payment

About 3): Posting of final invoice

You post the final invoice of 10,000 in transaction `FB01`.

The system again generates accounting-principle-specific documents:

No.	Accounting Principle	Debit		Credit
(2a)	INITIAL	Technical Clearing Account for Integrated Asset Acquisition	Credit	Vendor
(2b)	IFRS	Fixed asset	Credit	Technical Clearing Account for Integrated Asset Acquisition
(2c)	LGAAP	Fixed asset	Credit	Technical Clearing Account for Integrated Asset Acquisition

About 4): Clearing of down payment with final invoice

No.	Accounting Principle	Debit		Credit
(3a)	INITIAL	Payables	Credit	Down payment paid to assets (special G/L)
(3b)	IFRS	Clearing of capitalized down payment	Credit	Capitalized down payment to asset
(3c)	LGAAP	Clearing of capitalized down payment	Credit	Capitalized down payment to asset

Non-Integrated Posting of Down Payments

Procedure

1. Choose Postings > Miscellaneous.
2. Start the transaction using transaction type 180 and the asset to which you want to post.
3. Post the amount of the down payment.

4. Post the closing invoice for the full amount in Financial Accounting.

5. Clear the closing invoice with the down payments made that belong to it in Asset Accounting (transaction type 181).

Settlement of an Asset under Construction

Use

An asset that you produce yourself has two stages in its life that are relevant for accounting from the point of view of your company:

- Under construction phase
- Useful life

Generally, an asset has to be shown in different balance sheet items, depending on the phase that it is in. Therefore, it is necessary to manage the asset as a separate object or asset master record during the construction phase. The transition between these two phases is called "capitalization of the asset under construction" in the following.

Features

During the under construction phase, assets can be managed in a normal asset master record or in an asset master record with line item management, depending on the scope of functions you need. As a result, the transfer from the asset under construction to completed fixed assets can be handled in one of two ways:

- Summary transfer from a normal asset master record to the receiver assets (transaction type 348/349)
- As an asset master record with line item management, which you settle by line item to the receivers

→ Recommendation

For extensive investment measures, we recommend using the **Investment Management (IM)** component. Using the IM component, you can manage a capital investment in parallel: for financial accounting purposes as an asset under construction, and for controlling purposes as an internal order or project.

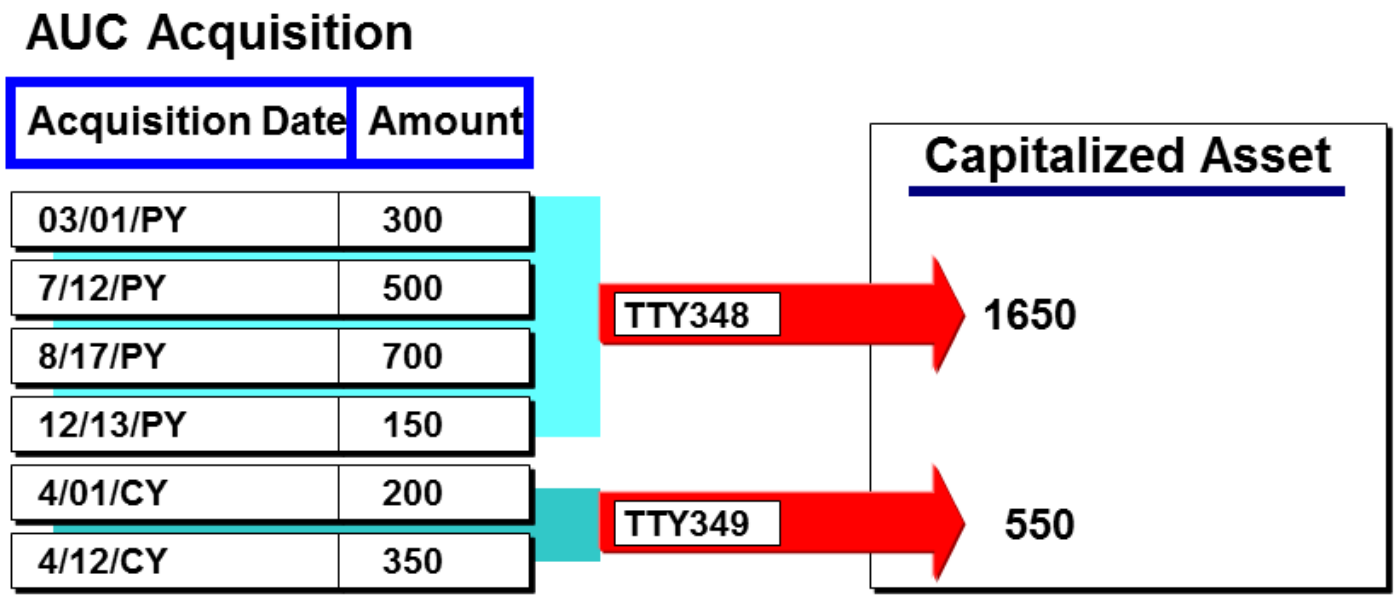
For more information, see the documentation for the **Investment Management** component.

Assets under Construction Without Line Item Management

The procedure corresponds to the procedure for the transfer between two assets within the same company code (see Posting an Intracompany Asset Transfer (Splitting an Asset)). Before carrying out a full transfer of an asset under construction, you have to reverse any down payments that were posted in the current fiscal year. Down payments are ignored for a partial transfer.

For transfers to be displayed in the asset history sheet as acquisitions to fixed assets, you use special transaction types for the transfer of assets under construction.

Example



Transfer of Asset under Construction to Capitalized Asset

Assets under Construction with Line Item Management

In Asset Accounting, you can accumulate costs under purely technical aspects in an asset under construction. You do **not** need to consider the later creation of fixed assets at this point. During the construction phase, you can accumulate all acquisitions for an investment in a single asset. These acquisitions include

- External activity (acquisition from vendor)
- Internal activity (internal order)
- Stock material (withdrawal from warehouse)

When using this "collective management" of assets under construction, it is possible to manage the individual acquisitions as open items over the course of several fiscal years. At completion, the line items must be cleared and then distributed to the various receivers. The system activates open item management when an asset under construction is created, if you set the corresponding indicator in the asset class. In addition, for open item settlement, you have to assign a settlement profile to the company codes involved (in Customizing for **Asset Accounting** under **Transactions** > **Capitalization of Assets under Construction** > **Define/Assign Settlement Profiles**). The main function of the settlement profile is to specify the allowed receivers (such as, assets or cost centers).

Example

For an example, see Graphic: Line Item Settlement

Distribution Rules

Line item settlement is carried out by using distribution rules. Distribution rules are asset-specific. Several distribution rules form a distribution rule group. You can assign these groups to one or more line items of an asset. Distribution rules consist of a distribution key and a receiver. The distribution key can be equivalence numbers or percentage rates. In this way, you can distribute any number of combinations of line items to any number of combinations of receivers.

Example

Distribution rule group with percentage distribution

Distribution proportion	Receiver (Asset)
10%	10531 -1000
20%	10531 -2000
40%	10533 -0000
30%	10533 -1000

Distribution rule group with equivalence numbers

1 : 2 : 4 : 3

Distribution by ledger group

You have to set up the distribution of line items as specific to ledger groups, since the system writes one line item for each ledger group.

ⓘ Note

It is only possible to maintain distribution rules in the view without the depreciation areas, because it is only possible to enter the distribution rule also for each ledger group.

If in transaction **Settlement of Asset Under Construction** (AIAB) you want to display additional depreciation areas in the line item list, choose the **Show/Hide Depreciation Areas** pushbutton.

Receiver

You must settle those parts of the asset under construction that require capitalization to capitalized assets. Those parts that do not require capitalization (expense) can be settled as adjustment postings to cost centers. You can specify a cost element in the account determination in Asset Accounting for this settlement to cost centers. However, you should be aware that you can only settle acquisitions from the current fiscal year to CO receivers. This restriction applies since acquisitions from previous fiscal years should **not** have an effect on expenses of later fiscal years.

In addition, it is possible to settle to general ledger accounts. However, these G/L accounts **cannot** be defined with additional account assignment to a CO object. Therefore, you should first settle to clearing accounts, if necessary, and then transfer the values to the corresponding accounts in Financial Accounting.

Investment Support

Just as it does for completed assets, the system calculates depreciation and interest for the asset under construction. This calculation is based on the depreciation terms specified in the asset master record or in the asset class. It is also possible to manage investment support on the asset under construction. However, it is **not** possible to transfer investment support that was posted to the asset under construction in the year of capitalization. The investment support **cannot** be transferred to a completed asset, because you cannot tell if the investment support applies to acquisitions in the current fiscal year or earlier fiscal years. Therefore, you have to reverse the investment support manually before the settlement. After the settlement, you post it to the completed asset.

Carrying Out Settlement

You can set up the settlement rules at a given point in time, and then carry out the corresponding update of the line items at a later point in time, since a separate transaction exists for the actual settlement (transaction AIBU). This transaction triggers the settlement posting for the selected assets under construction, and creates the necessary posting documents.

During this process, the system automatically separates the transfer of asset acquisitions from prior fiscal years from acquisitions that took place in the year of capitalization. When the prior-year acquisitions are transferred, (special) depreciation and investment support measures are also transferred proportionally. The system automatically generates carryforward postings for partial capitalization.

The standard report List of Origins of Asset Charges (`RAHERK01`) enables you to trace the origin of the items in the capitalized asset back to the original asset under construction.

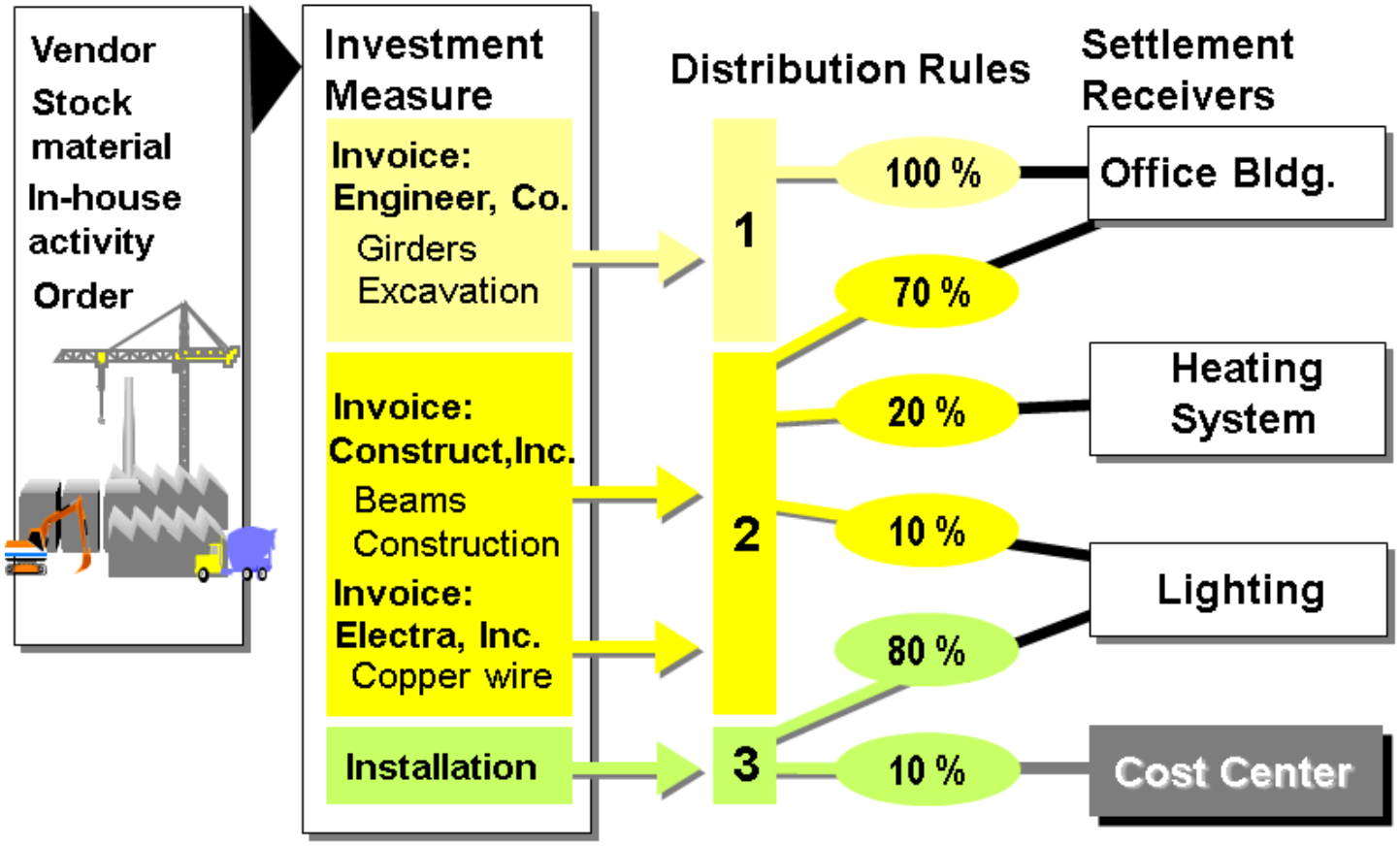
Activities

Posting Capitalization of AUC (Intracompany Transfer)

Posting Capitalization of AUC with Line Item Settlement

Figure: Line Item Settlement

The following graphic shows the line item settlement of an asset under construction:



Figure

The line items from the invoice for "Construction Inc." and "Electric Co." use the same distribution rule (2). The invoices for "Engineering, Ltd." and "Installation" use different distribution rules (1 and 3).

Posting Capitalization of AUC (Intracompany Transfer)

Procedure

1. Choose **Postings** > **Transfer** > **Transfer within Company Code**.

2. Enter the asset under construction. Post a retiring transfer from the point of view of the asset under construction.
3. Enter the date values.
4. Enter the receiving asset (**Asset**) or create a **New Asset**
5. On the **Additional Details** tab, enter a Transfer Variant containing the transaction types 348 (for prior-year acquisitions) and 349 (for current-year acquisitions).

   > ⚠ **Caution**
   >
   > **Do not** use a transfer variant with a transfer transaction type that automatically adopts the depreciation start date historically from the asset being transferred (such as 300).

   The asset value date for the transfer is determined for these transaction types by the capitalization date of the completed asset.
6. On the **Partial Transfer** tab, enter the asset amount to be capitalized (**Posting Amount**, **Percentage** or **Quantity**). If you do not specify an asset amount, the system carries out a complete transfer of the value of the asset under construction.
7. Determine whether the transfer involves asset acquisitions in prior fiscal years, or if it involves current-year acquisitions.
8. Choose to post.

Posting Capitalization of AUC with Line Item Settlement

Procedure

1. Determine the asset under construction that is being capitalized, and the finished asset or other receivers (such as cost centers).
2. Clear any existing open down payments, which need to be capitalized, using a reserve (see Down Payments to Assets Under Construction).
3. Create the distribution rules for the line items you want to settle for the asset under construction **(Postings > Cap. asset u. cons. > Distribute)** > .
   - Select (mark) the affected line items.
   - Choose the function **Create s. dist. rule.**
   - Enter the means for the distribution in the settlement distribution rule (percentage rates or equivalence numbers) and the respective receivers (assets or general ledger accounts).
4. Start the settlement of the affected asset under construction **(Postings > Cap. asset u. cons. > Post settlement). > The system then settles the line items, to which a distribution rule with receivers have been assigned. Remove the selection for** Test run in the initial screen of the transaction, and enter the value date of the settlement.

> ℹ **Note**
>
> - Once the asset under construction has been completely settled (there are no more values in any depreciation areas), the system automatically deactivates the asset under construction. You can switch off this automatic deactivation using an indicator in the definition of transaction types 340/345.
> - For information on reversing a settlement, see Reversals .

Credit Memos (Received)

Purpose

A credit memo, which reduces the acquisition and production costs of an asset, essentially represents the opposite of an invoice for a purchased asset. Therefore, it is possible to post the credit memo, as you do when you post an external acquisition, either integrated with a vendor, or to a clearing account (refer to External Asset Acquisitions).

⚠ Caution

When credit memos are received for a fiscal year that is already closed, the system cannot correct the depreciation posted in the closed fiscal year. Therefore, you have to correct the depreciation for the closed fiscal year manually using a write-up before you can post the credit memo.

Procedures

Posting Credit Memos Integrated with Vendor

Posting a Credit Memo Offset Against a Clearing Account

Posting Credit Memos Integrated with Vendor

Procedure

1. Determine if the asset was acquired in the current fiscal year or in a closed fiscal year (**Display asset values**).
2. If the asset was acquired in a fiscal year that is now closed, correct the past depreciation using a write-up (refer to Posting Write-Ups).
3. Determine the vendor and the asset to which the credit memo belongs.
4. Choose the transaction **Postings** > **External acquisition** > **With vendor** > .
5. Post the credit memo (debit vendor, credit asset):

- For credit memos on acquisitions in the current year, post the credit to the asset using posting key 75 and transaction type 105.
- For credit memos on acquisitions from prior fiscal years, use posting key 75 and transaction type 160.

Post the debit to the vendor in both cases with posting key 21. You do not need to enter a transaction type when posting to the vendor.

Posting a Credit Memo Offset Against a Clearing Account

Procedure

1. Determine if the asset was acquired in the current fiscal year or in a closed fiscal year (**Display asset values**).
2. If the asset was acquired in a fiscal year that is now closed, correct the past depreciation using a write-up (refer to Posting Write-Ups).
3. Select the transaction **Postings** > **Acquisition** > **Credit memo.**

4. In the initial screen, enter the asset and transaction type (105 for credit memo on current acquisition, or 160 for credit memo on acquisitions from prior years).

5. In the second screen, enter the amount of the credit memo. Check the clearing account that is offered as a default.

Post-Capitalization (Write-Up to APC)

Use

Post-capitalization represents subsequent corrections to the acquisition and production costs of a fixed asset. An example of when you need this type of correction is if you neglected to add expenditures and costs linked with the acquisition or assembly of an asset to its APC in a fiscal year that is now closed.

Features

The system posts gross post-capitalizations, meaning with historical depreciation amounts. The system newly calculates the depreciation from closed fiscal years on the basis of the capitalization date entered in the asset master record.

The system then posts the historical APC as an acquisition to the asset balance sheet account, and the accumulated depreciation from past fiscal years to the accumulated depreciation account. The system also posts extraordinary revenue in the amount of the difference between the APC and the accumulated depreciation.

ℹ Note

If you want to post net (enter the value adjustment manually), then reduce the posting amount by the amount of the historical depreciation. In that case, when you post using transaction ABNAL, you can change or completely delete the historical depreciation values calculated automatically by the system.

Activities

See Posting Post-Capitalization.

Posting Post-Capitalization

Procedure

1. On the SAP Easy Access screen for Asset Accounting, choose **Posting** > **Post-Capitalization** .
2. Check whether you need a new master record for the post-capitalization. You need to create a new asset main number or subnumber for post-capitalization in the following cases:
   - You forgot to capitalize a complete asset.
   - The asset amount for the post-capitalization should have a different capitalization date than the asset that is already capitalized.

   If you do **not** need a subnumber, skip the next step.
3. If necessary, create an additional subnumber or a new asset main number (**New Asset** indicator).
4. Enter the asset on the **Transaction Data** tab, or create an asset using the **New Asset** indicator.

   Enter a posting amount.

Check the proposed date specifications, and make any necessary changes.

Enter the acquisition data (posting amount, quantity if needed). Choose the **Multiple assets** pushbutton to make multiple account assignments.

If you do **not** want the post-capitalization to be posted in all valuations, you can make a restriction using the **Accounting Principle** field or using the **Depreciation Area** field.

5. Enter or check the additional posting information (such as offsetting account) on the **Additional Details** tab. The system automatically determines the transaction type (400) when you save.

   Note

   Or you can enter transaction type 401 on the **Additional Details** tab. When you use transaction type 401, depreciation in the current fiscal year is always calculated starting with the start of the fiscal year, regardless of the asset value date.

   If this is what you want to happen all the time, you should set transaction type 401 as the default transaction type for post-capitalization.

6. Enter an explanation for the posting document on the **Notes** tab, if you wish.
7. If you want to post net, or you want to change the value adjustment calculated by the system, choose the **Line Items** pushbutton.

Example

This example shows a post-capitalization and the calculation of the accumulated depreciation:

Post-capitalization: 10000

Useful life: 10 years

Depreciation key: Straight-line from net book value

Hist. dep. start date: 7/1/YYYY

Posting date: 4/1/YYYY + 3

Asset value date: 1/1/YYYY + 3

Manual calculation of depreciation from 7/1/YYYY to 12/31/YYYY + 2:

500 (YYYY) + 1000 (YYYY + 1) + 1000 (YYYY + 2) = 2500

Write-Ups

Use

A write-up is generally understood to be a later change to the valuation of an asset. This change can take different forms, depending on the reasons for the change. There are two common reasons for write-ups:

- You forgot to capitalize an asset in a fiscal year that is now closed, and this omission must now be corrected (write-ups to APC are usually called post-capitalization). This procedure is described in detail in Post-Capitalization (Write-Up to APC).
- The value adjustments (depreciation) that you calculated in the past were too high. You must now correct this error using a write-up in the current fiscal year. Excessive depreciation generally results from

- The use of incorrect depreciation terms (incorrect expected useful life, incorrect depreciation key)
- Unplanned depreciation, which is no longer valid in the current situation
- A later reduction in the acquisition and production costs of an asset (for example, due to a subsequent credit memo)

Features

Write-ups can be posted to:

- Ordinary depreciation
- Special depreciation
- Unplanned depreciation
- Manual depreciation
- Transferred reserves

Write-ups increase the book value of a fixed asset. When used with a depreciation method based on the net book value, write-ups increase the planned depreciation. During a fiscal year change, the write-ups posted up to the year-end are balanced with the depreciation amounts.

Transaction Types

The standard transaction types allow you to post write-ups to each of these depreciation types (transaction type group 7x). You can use the following options to specify whether all depreciation areas are affected or only some of the areas:

- When entering the write-up, restrict it by ledger group or depreciation area.
- Using the area selection, you can deselect depreciation areas in which the write-up is **not** to be made.

Furthermore, there are transaction types that allow for simultaneous posting of write-ups to ordinary and special depreciation.

You need to enter the correct accumulated depreciation account and the correct offsetting account for every area, for which asset values are posted automatically to the general ledger, and for every depreciation type that these areas manage.

Activities

See Posting Write-Ups

Posting Write-Ups

Procedure

1. Check whether you really need to post a write-up, or if it is sufficient to identify the amount of the write-up in an appendix to the balance sheet. In the second case, you need a new transaction type and a separate depreciation area to allow for this separate identification of the write-up in reports

   In the first case, proceed with step 2.

2. Determine the reason for the write-up. It is particularly important for you to decide the type of depreciation for the write-up (ordinary depreciation, special depreciation, and so on), and which depreciation areas should be posted. Choose the appropriate transaction type (transaction type group 7xx).

3. Determine the amount of the write-up.
4. Check whether it is necessary to change the depreciation terms of the asset. This may be necessary in order to ensure the correct calculation of depreciation in the future. If necessary, change the asset master record.
5. Post the write-up (Postings > Manual Value Correction > Write-Ups).
    - Enter the company code, the asset and the transaction type (for example, 700) on the initial screen. The transaction type controls the depreciation types (ordinary depreciation, special depreciation, and so forth) for which you are then able to enter write-up amounts in the transaction.
    - You can enter the following data on the initial screen on the Transaction Data tab:
        - By means of the ledger group or the depreciation area, you can restrict the entry to certain depreciation areas. As an alternative, you can deactivate individual depreciation areas using the Area Selection function.
        - Enter a value date in the current fiscal year.
    - On the entry screen, you can enter the amounts of the write-up for each type of depreciation on the Write-Up Input tab.
    - On the entry screen, you can enter additional details on the Additional Details and Note tabs.
    - If needed, you can choose the Create Line Items function and enter a different write-up amount for each depreciation area. If you do so, the amounts are inherited by dependent depreciation areas, if **no** manual value adjustment was made for these areas up to now.

Posting New Valuation

Use

You use transaction Revaluation and New Valuation of Assets (AR29N) to post revaluations for fixed assets that can be depreciated.

The transaction includes the program Revaluation and New Valuation of Assets (RAAUFW02).

Prerequisites

Customizing

You have made the required settings in Customizing under Asset Accounting > Special Valuation > Revaluation of Fixed Assets > Revaluation for the Balance Sheet.

In Customizing, you have defined appropriate default transaction types under Asset Accounting > Transactions.

Master Data

You created an offsetting account for revaluation for each asset class affected.

You entered the evaluation group, if you want to have one updated. See User Fields.

Procedure

To call the program for the revaluation, on the SAP Easy Access screen choose Accounting > Financial Accounting > Fixed Assets > Periodic Processing > Revaluation for the Balance Sheet > Post Revaluations and New Valuations.

- If you want to revaluate a single fixed asset, choose the tab **Revaluation of a Fixed Asset**.
- If you want to revaluate multiple fixed assets, choose the tab **Revaluation of Multiple Fixed Assets**.

Intracompany and Intercompany Asset Transfer

In Asset Accounting, SAP differentiates between two types of transfer, intracompany and intercompany asset transfer:

- Intracompany asset transfer: a sending asset (or component of an asset) is transferred to a target asset **within a single company code** , for example, if the asset was created in the wrong asset class.
- Intercompany asset transfer: a sending asset (or component of an asset) is transferred to a target asset **that is assigned to a different company code.**

You can post both of these types of transfer either **automatically** (retirement and acquisition posted in one step) or **manually** (retirement and acquisition posted in two separate steps).

ℹ Note

There are a number of Customizing settings that apply to both intercompany and to intracompany transfer transactions.

Intracompany Asset Transfer

Use

You use an intra-company asset transfer to transfer a fixed asset or an asset component to a different asset master record. The target asset has to be in the same company code as the sending asset.

An intracompany asset transfer could be triggered by the following:

- An asset was created in the wrong asset class. Since you cannot change the asset class in the asset master data, you have to transfer the asset to a new master record.
- You split up an asset or move part of an asset (transfer from asset to asset).
- You settle an asset under construction and transfer it to a finished asset.

  This procedure is described in detail in Settlement of an Asset under Construction.

ℹ Note

For information on intercompany asset transfer to a different company code within a corporate group, see Automatic Intercompany Transfer.

For information on transferring stock material (current assets) to a fixed asset (for example, installation of a replacement part) see Processing a Goods Issue from the Warehouse.

Prerequisites

You define the transfer of capitalization and depreciation dates, as well as the transfer of field contents from the sending to the receiver asset, in Customizing for **Asset Accounting**.

You define the settings, also the transfer variants and master data fields (field content) used for the intracompany asset transfers within a company code, in Customizing for **Asset Accounting** under **Transactions** > **Intracompany Asset Transfers** > **Automatic Intracompany Asset Transfers**.

Field Transfer

The same conditions apply for both types of transfer (intracompany and intercompany) regarding field transfer and adopting specifications for capitalization and the depreciation start date.

For more information, see Field Transfer.

Transaction Types and Transfer Variants

SAP supplies standard transaction types for intracompany asset transfers. You can create additional transaction types or change existing ones in Customizing under **Transactions** > **TransfersDefine Transaction Types for Transfers**.

→ Recommendation

We recommend that you create your own transaction types in the customer namespace, using the standard transaction types as references. **Avoid** changing the standard transaction types provided.

For intracompany asset transfers, the system determines the transaction types from the transfer variant, the same as it does for intercompany (cross-company code) asset transfers. The system default for intracompany transfers is always transfer variant 4 (**Transfer within a company code**). However, you can change the transfer variant on the **Additional details** tab page. You define transfer variants, for both intracompany and intercompany transfers, in Customizing under **Transactions** > **Intercompany Asset Transfers** > **Define Transfer Variants**.

For more information, see Transfer Variants.

Depreciation Areas

Transfer postings from one fixed asset to another within the same company code can be carried out in one step. Note the following when doing so:

- Retirement amounts on posting depreciation areas that are **not** in the target asset are posted on the **Loss from Asset Sale** account ("Loss with asset sale without revenue").
- With the one-step procedure, only those depreciation areas are updated in the target asset for which a retirement amount was determined in the sending asset. In **non**-dependent areas of the target asset, that do not correspond to **any** area of the sending asset, it may be necessary to enter a separate acquisition.

In addition to this, the following prerequisites must definitely be met for an intra-company transfer in one step:

- If ordinary depreciation is calculated for a depreciation area of the sending asset, the corresponding area in the target asset also has to calculate ordinary depreciation. The same applies for special depreciation.
- The keys used for investment support measures must correspond in each depreciation area. The same applies to revaluation keys.

If it is not possible to use the automatic transfer posting because of these restrictions, you have to manually post a retirement and then an acquisition to carry out the transfer.

Features

You can create a new asset within the transfer posting transaction, or you can transfer to an existing asset. The system enters the number of the sending asset in the target asset (on the **Origin** tab page).

As with asset retirements, the procedure for intra-company transfer postings distinguishes between prior-year asset acquisitions and current-year acquisitions.

Complete and partial transfers are possible:

- Complete transfers can be executed in one step (prior-year acquisitions and current-year acquisitions together).
- Prior-year acquisitions and current-year acquisitions must be posted separately for partial transfers.

  Partial transfers can posted by specifying a quantity, a percentage rate, or an amount (on the **Partial transfer** tab page).

The system determines the amounts to be transferred and the proportional accumulated depreciation in the same way as for asset retirement posting.

ℹ Note

When you create an asset within the intracompany transfer transaction, you can only jump once to the dialog box for master data maintenance. (The same is true when creating an asset within the intercompany transfer transaction.) To change the master data of a new asset created in this way, you have to start the transaction again.

Activities

Posting an Intracompany Asset Transfer (Splitting an Asset)

Posting an Intracompany Asset Transfer (Splitting an Asset)

1. In the SAP Easy Access Menu, choose **Assets** > **Posting** > **Intracompany Transfer** > **Transfer within Company Code**.
2. Enter the asset to be transferred.
3. Enter the asset, to which you want to transfer, in the **Transaction data** tab page. Or create a new asset for this purpose using the **New asset** function.

   Check the date specifications, and make any necessary entries there. If you do **not** enter an asset value date, the system automatically determines this date when you save.
4. Enter or check the additional posting information (such as document type) and the transfer variant on the **Additional details** tab page.

   In the standard system, the system uses transfer variant 4 for intracompany asset transfers.
5. To post a partial transfer, enter a posting amount, a percentage or a quantity on the **Partial transfer** tab page. Specify whether the transfer applies to prior-year acquisitions or to current-year acquisitions.

   If you do **not** make any entries on this tab page, the system carries out a complete transfer.
6. Enter a text for the posting document on the **Notes** tab (optional).
7. Save your entries.

The system carries out the transfer. The system automatically determines the transaction types from the transfer variant used.

ℹ Note

For partial transfers, make sure you transfer acquisitions from prior years separately from acquisitions in the current fiscal year.

Asset Transfer

Use

You use this function to carry out **intercompany asset transfers (between company codes)**. For the individual companies, an intercompany transfer represents a retirement for the one company and an acquisition for the other. From the point of view of the corporate group, however, it typically represents a transfer that balances to zero in the group asset history sheet.

ℹ Note

For **intracompany transfers (within one company code)**, use the Intracompany Asset Transfer function.

An intercompany asset transfer could be triggered by the following:

- The physical location of the asset has changed, making it necessary to assign the asset to a new company code.
- The organizational structure of the corporate group has changed, requiring you to reassign the asset to a different company code.

Features

It is **not** possible to change the organizational assignment of the asset by changing the asset master record. For each asset that you want to transfer, you have to create a new master record in the target company code, or you use an existing asset master record. The unique identity of the asset is preserved using the inventory number in the asset master record.

There are three types of intercompany asset transfer:

- **Client-internal transfer**:

  You can post the retirement transfer and the acquisition transfer in one step (**automatic intercompany transfer**).

- **Cross-client transfer**:

  If a transfer should be posted across clients or systems, you can use the **manual transfer** instead. The retirement transfer and the acquisition transfer are then posted in two separate steps (**No** Automatic Transfer).

  When you post manual intercompany transfers, the posting can be integrated with accounts payable and accounts receivable, which is not the case when you use the automatic intercompany transfer.

Reversing Asset Transfers

You can reverse automatic intercompany asset transfers, like other postings, using the normal reversal functions in Asset Accounting. The system then reverses the retirement document in the sending company code and the acquisition document in the target company code. If a new asset was created in the target company code, you can block the asset to any additional acquisition postings. After its retention period has expired, it can be reorganized.

For manual intercompany transfer, you have to reverse the retirement and the acquisition separately in the company code in which they took place.

Automatic Intercompany Asset Transfer

Use

You use this transaction to transfer a fixed asset between two company codes. The retirement and acquisition transactions are posted in one step. Depending on the organizational structure of your enterprise, this combined transaction can be posted using intercompany transfer transaction types or with retirement and acquisition transaction types.

Prerequisites

In order to automatically post the intercompany asset transfer and create the target asset, you need to make certain settings in Customizing for Asset Accounting.

In the transfer transaction, you specify the **transfer variant** that the system should use for posting the intercompany asset transfer. You define transfer variants in Customizing for Asset Accounting under Transactions Intercompany Asset Transfers Automatic Intercompany Asset Transfers. You define transfer variants based on the following criteria:

- Is the asset being transferred within a single company?

  The system checks the company code relationship (**Relationship Type**) for the intercompany asset transfer. It also checks whether they are **affiliated companies**. You have to enter the transaction types accordingly.

- Which **transfer method** (gross, net, new value) should be used for posting?

  By using cross-system depreciation areas, you can specify a separate transfer method for each depreciation area.

- Do the sending and target company codes have different charts of depreciation?

  Using **cross-system depreciation areas**, you can transfer the values of depreciation areas that have the same function. You can also prevent a depreciation area from being transferred.

- Do you want the contents of the fields to be transferred from the sending asset master record to the target asset?

  Then you have to define **field transfer rules**.

Features

You post the retirement transfer from the viewpoint of the sending company code. The system posts the transfer acquisition in the target company code automatically. If a new asset master record is needed in the target company code, you can enter the required information in a dialog box. You can also enter an asset to be used as a reference:

- the sending asset
- the reference asset in the target company code
- **No** reference (with a jump to the asset master data transaction)

Note

When you create an asset in the transfer transaction, you can only jump once to the dialog box for master data maintenance. (The same is true when creating an asset in the intracompany transfer transaction.) To change the master data of a new asset created in this way, you have to start the transaction again.

Mass Transfer

When an enterprise transfers a large portion of the asset portfolio (such as a plant or a building), it is necessary to post the transfer of all the individual assets which make up the whole. Since the number of affected assets can be very large, it is possible to make the necessary postings using mass processing.

For more information, see Mass Transfers.

Constraints

Integrated posting with Accounts Receivable is not possible with automatic intercompany transfers. The system handles the posting in the sending company code like a non-integrated asset retirement posted to a clearing account. For this reason, the system does **not** create any tax postings during the intercompany transfer. You have to post the taxes when you post the invoice. The revenue from the sale of the asset in the sending company code is treated like revenue from a normal asset retirement (see Retirement).

Similarly, the acquisition in the target company code is not integrated with Accounts Payable (refer to External Asset Acquisitions). Instead, it is offset against a clearing account.

> **Note**
> It is **not** always possible to post an automatic intercompany transfer between two company codes that have two different fiscal year versions. If the posting date is in two different fiscal years, based on the fiscal year version definitions of the two company codes, automatic intercompany transfer is not possible.

Company Code Relationship Type

Definition

Characteristic that specifies the type of legal relationship existing between two company codes. One of the following applies:

- The company codes are both part of the same legal entity.
- The company codes are separate legal entities.

In the asset transfer variant, you can specify different transfer methods for asset transfers between company codes, depending on the type of company code relationship.

Use

For intercompany asset transfers, the system determines the company code relationship type using the following logic:

- If both the sending and the receiving company codes belong to the same company (they have the same company ID), then they are considered part of a **single** legal entity (relationship type 02).
- If the sending and the receiving company codes do **not** belong to the same company (they do **not** have the same company ID), then they are considered legally independent entities (relationship type 01). The same applies if one or both of the company codes is **not** assigned to a company ID.

The company (company ID) is an organizational unit in accounting that allows you to organize your enterprise to meet certain legal requirements (for example, book depreciation).

In the standard system, SAP assumes that transfers within the organizational unit company (relationship type 02) are treated as intracompany transfers and posting takes place using the gross method and intracompany transfer transaction types. Intercompany asset transfers between company IDs (relationship type 01), on the other hand, can be posted using the gross, net or new value method using retirement and acquisition transaction types.

For more information, see Transfer Variants and the examples for intercompany asset transfer.

Integration

The relationship between company codes is also defined by whether or not they are **affiliated companies**:

- If the two company codes belong to different companies (company IDs), then they are **affiliated companies**.
- If one or both company codes are not assigned to a company, then they are **not** considered to be **affiliated companies**. They are also **not** considered to be affiliated companies if they both belong to the same company.

The transaction types entered in the transfer variant also have to be defined in keeping with this (**Post to affiliated company** / **Do not post to affiliated company** indicator).

The company code relationship type is **not** allowed to conflict with the **Post to affiliated company** / **Do not post to affiliated company** indicator in the transaction types used in the transfer. As a consequence, you may have to create a separate transfer variant for each pair of company codes affected by transfers.

Cross-System Depreciation Area

Definition

A depreciation area that has the same function and significance in all charts of depreciation within a corporate group.

A cross-system depreciation area consists of a key and a description only. It has **no** control parameters of its own. Cross-system depreciation areas are needed only if assets are transferred between company codes that have different charts of depreciation.

Use

When you transfer assets between company codes, the two company codes might **not** use the same chart of depreciation. Nonetheless, there could be depreciation areas in the two charts of depreciation that actually have the same function, although they have different keys. Cross-system depreciation areas are used to control the transfer of values during intercompany asset transfers.

By defining cross-system depreciation areas in Customizing for **Asset Accounting**, you ensure the unique assignment to one another of depreciation areas with the same function. You assign depreciation areas from different charts of depreciation, but that have the same function, to the same cross-system depreciation area. This assignment provides all of these depreciation areas with one key that is valid in all clients, but is at the same time independent of the key of the depreciation area in its local client.

In most cases, you do **not** need cross-system depreciation areas. You only need cross-system depreciation areas in the following cases:

- You use different charts of depreciation, but the function of certain charts of depreciation is the same.
- A depreciation area should definitely **not** be transferred; the area that should **not** be transferred does **not** get any cross-system area assigned to it.
- Some depreciation areas have the same key, but have different functions.

Any depreciation areas that are transferred **gross** have to be active in the target asset (see below).

Structure

Matching Depreciation Areas when the Cross-System Depreciation Area is Not Used

If you have **not** defined an appropriate cross-system depreciation area (an asterisk * is entered in the transfer variant), the system determines the amount that is capitalized in the individual depreciation areas in the target asset as follows:

- **Depreciation area exists on both assets**

  The receiving asset has a depreciation area with the same key as a depreciation area in the sending asset: Then the system transfers the values according to the transfer method specified in the transfer variant for this company code relationship type.

- **Depreciation area only on target asset**

  If a depreciation area exists on the target asset that does **not** exist on the sending asset or it is deactivated there, the system does **not** transfer any values for this depreciation area. Nonetheless, this depreciation area in the target asset can adopt values from a different depreciation area during the transfer transaction, but only if the following conditions are met: Prerequisite for this is that the adopting area is defined as a dependent area in Customizing.

  For more information, see Features at Chart of Depreciation Level.

- **Depreciation area only on sending asset**

  If a **net** depreciation area on the sending asset that is to be transfer posted does **not** exist on the receiving asset or it is deactivated there, the system does perform the transfer posting, but it does **not** transfer the values for this area (retirement due to scrapping). Any depreciation areas that are transferred using the **gross** method have to exist in both the sending and the receiving asset; otherwise the system rejects the posting.

Integration

If you make use of cross-system depreciation areas, you have to create cross-system depreciation areas explicitly for all depreciation areas that are transferred. This applies even if you only actually need the cross-system depreciation area for one depreciation area, and all other local depreciation areas (with identical functions) have the same keys.

Assign the necessary local depreciation areas to the cross-system depreciation areas for all charts of depreciation you use. To do so, you have to temporarily change the chart of depreciation when customizing cross-system depreciation areas.

Defining cross-system depreciation areas affects the transfer of values only. Cross-system depreciation areas have **no** influence on the creation of depreciation areas on the target asset. Instead, the creation of depreciation areas on the target asset is controlled by the Customizing settings under **Determine Depreciation Areas in the Asset Class**.

Transfer Method

Definition

Method within a transfer variant that determines how a transferred asset is capitalized in the receiving company code. The transfer methods are fixed in the system and **cannot** be changed by the user.

Use

The system controls the valuation of transferred assets using **transfer variants** that you define. You can enter one of the following **transfer methods** in the transfer variant:

- **Gross method (methods 1 and 4 - with/without transfer of values to dependent areas)**

  When you use this method, the system transfers the historical APC and the accumulated depreciation from the sending asset. That is, the asset is capitalized with its historical APC and accumulated depreciation.

When this transfer method is used, there is normally **no** sales revenue entered.

→ Recommendation

SAP recommends that you always use the gross method for transfers between two companies that are **not** legally independent entities (relationship type 02). You should also use the gross method for transfers between group depreciation areas.

- **Net method (method 2)**

  When you use this transfer method, the system transfers the net book value of the sending asset. That is, the net book value of the asset is capitalized in the receiving company code. You specify during the transfer transaction which depreciation area should be used for determining the net book value.

→ Recommendation

SAP recommends that you use the net method only for transfers between two companies that are legally independent entities (relationship type 01).

- **New value method (method 3)**

  When you use this transfer method, you enter the transfer price manually in the transfer transaction. That is, the asset being transferred is capitalized in the receiving company code with a value you entered manually during the transfer. Another option is to enter a depreciation area that is used for determining the net book value.

→ Recommendation

SAP recommends that you use the new value method only for transfers between two companies that are legally independent entities (relationship type 01).

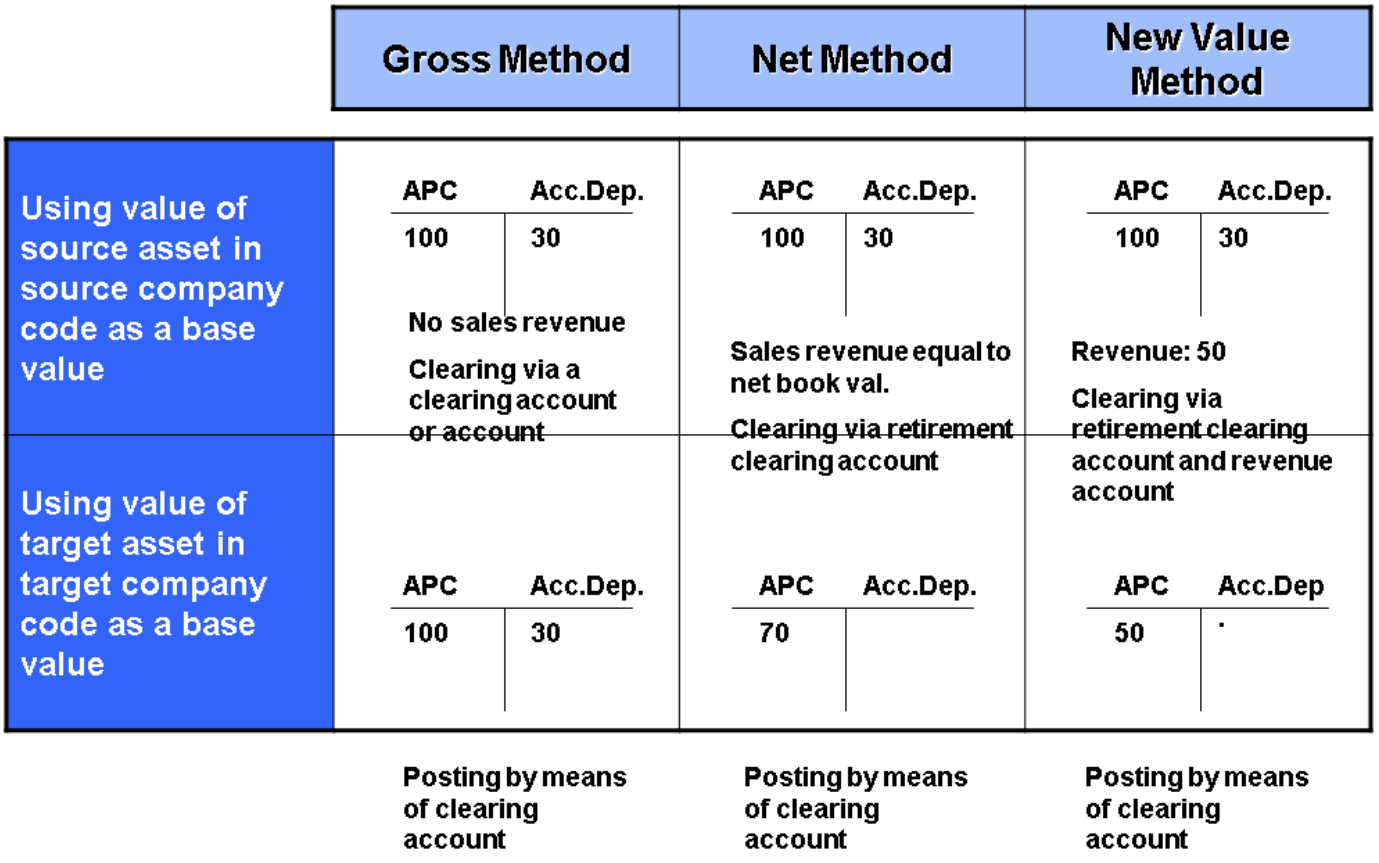


Figure: Base Values in Different Transfer Methods

Example

The following example shows the effects of using three different transfer methods on the posting amounts of an asset retirement (partial retirement).

APC of the asset: 2.000

Accumulated depreciation: 1.000

Revenue entered manually: 3.000 (for new valuation)

Retirement percentage: 50%

Gross method

- The **sending asset**: You retire 1000 APC (50% of 2000) and 500 accumulated depreciation (50% of 1000).
- The **receiving asset**: Acquisition of 1000 APC (amount retired) and 500 accumulated depreciation (depreciation retired).

Net method

- The **sending asset**: You retire 1000 APC (50% of 2000) and 500 accumulated depreciation (50% of 1000).
- The **receiving asset**: Acquisition of 500 APC (APC minus depreciation).

Investment valued in proportion to equity

- The **sending asset**: You retire 1000 APC (50% of 2000) and 500 accumulated depreciation (50% of 1000).
- The **receiving asset**: Receives 3000 APC (revenue that was entered manually).

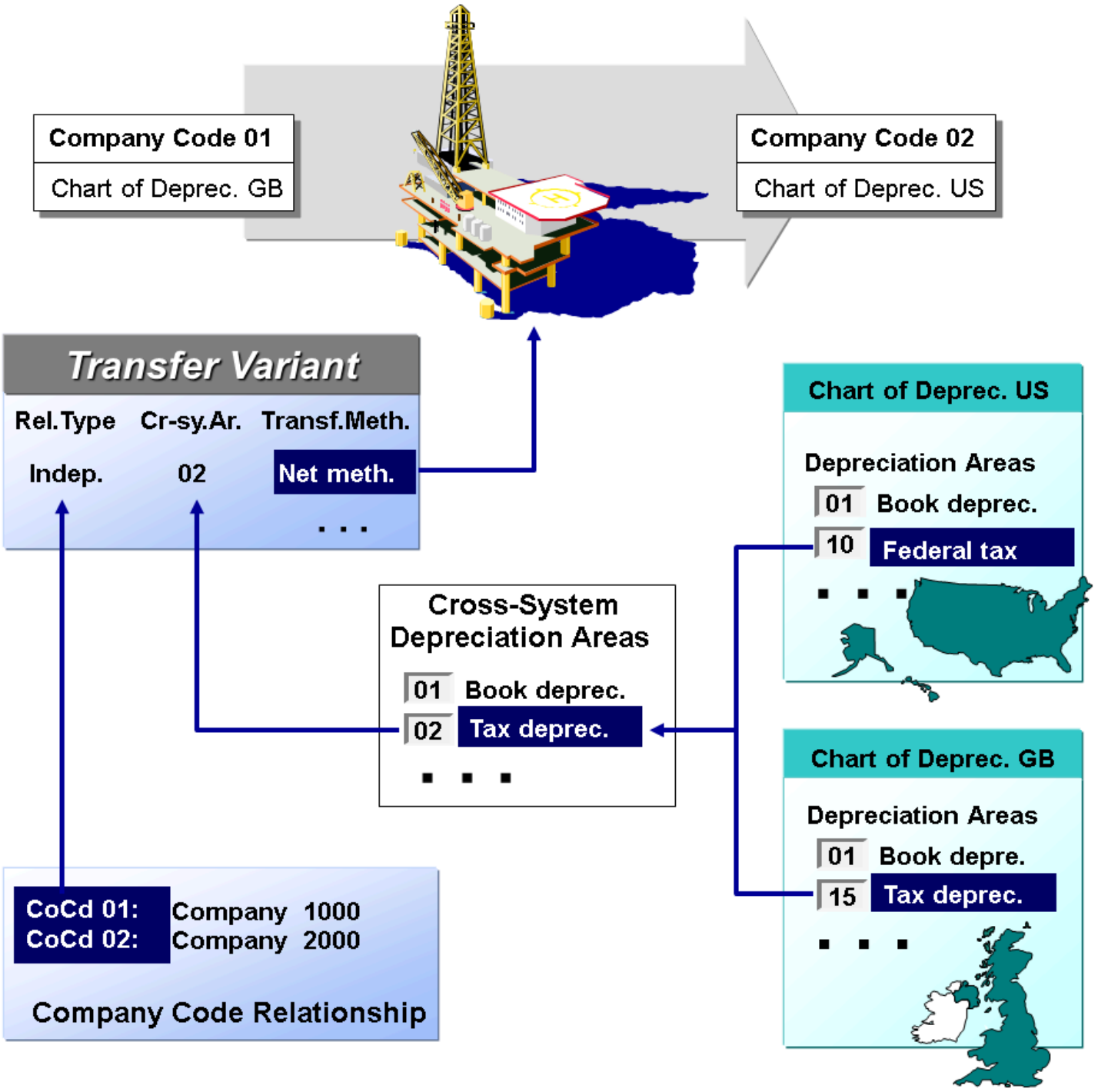
Transfer Variant

Definition

In the transfer variant, you specify the transfer method and transaction types for use in intercompany asset transfers. You make these specifications based both on the relationship (are they part of the same legal entity, or legally independent entities?) between the company codes involved, as well as the cross-company depreciation areas concerned.

Prerequisites

The transfer variants supplied by SAP cover most intercompany transfers. If you need additional transfer variants, you create them in Customizing for **Asset Accounting** . Choose **Transactions** Õ **Intercompany Asset Transfers** Õ **Automatic Intercompany Asset TransfersÕDefine Transfer Variants** .



Definition of the Transfer Variant

Use

In the standard system, the system uses transfer variant 1 (gross transfer) for intercompany asset transfers. If you want to use a different transfer variant, you have to enter it in the transfer transaction on the **Additional details** tab page.

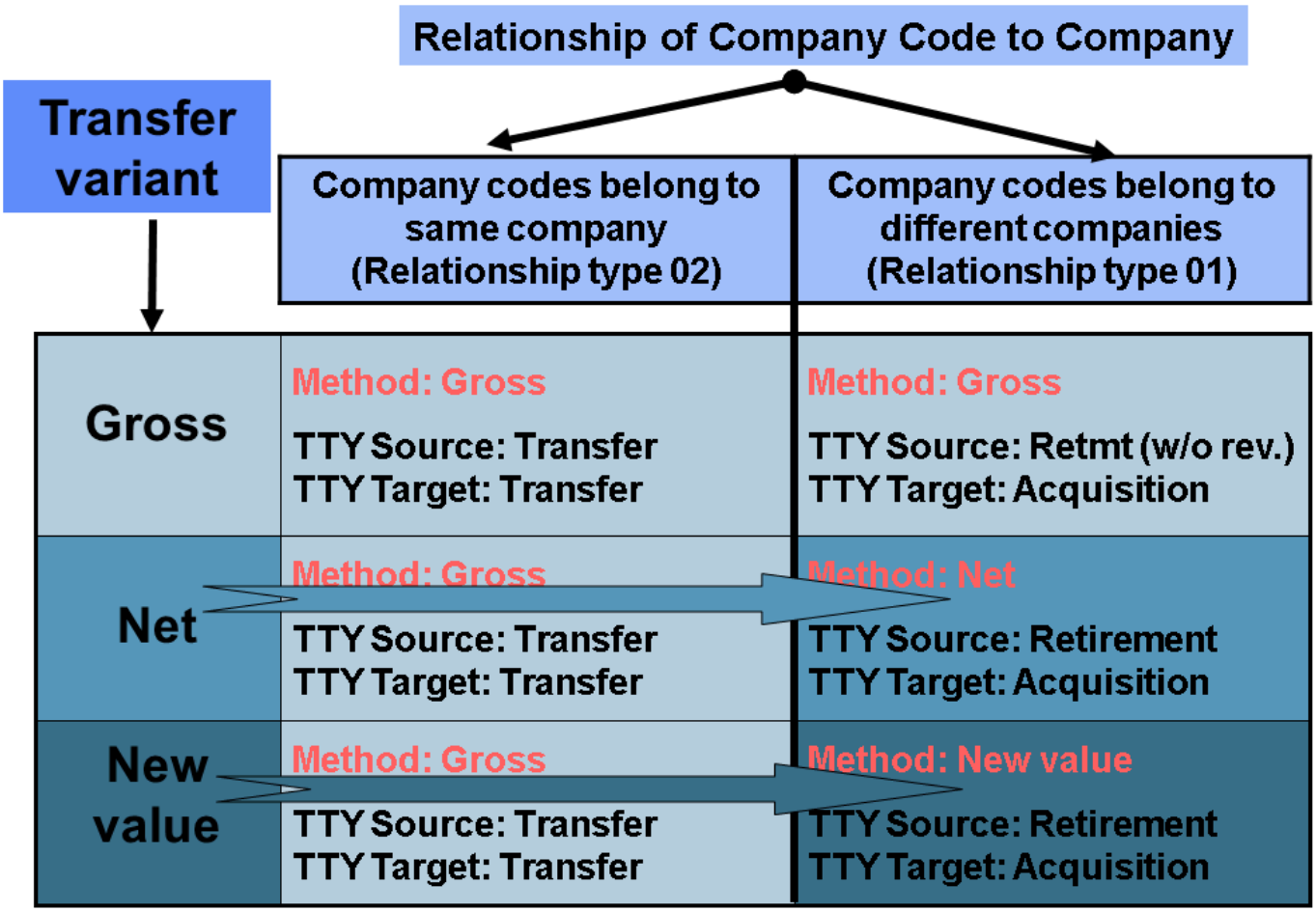
Integration

Company Code Relationship and Transfer Method

In the standard system, SAP assumes that transfers within the **company** organizational unit (relationship 02) are treated as intracompany transfers and the posting is gross. Therefore intracompany transfer transaction types are used. Gross transfer should always be posted without revenue. Company codes that belong to the same company are not legally independent entities

and do not draw up their own external financial statements. The company (company ID) is the smallest organizational unit for which individual financial statements are required according to the relevant commercial law.

SAP does not supply any transfer variants that allow asset transfers within a company using the net method or the new value method. If your enterprise allows asset transfers to show gain or loss, then you have to define your own transfer variants.



Standard Settings for Transfer Variants

The graphic assumes that with relationship type 01, the company codes belong to different companies, and are therefore affiliates belonging to a corporate group. For this reason, the **Post to affiliated company** indicator is set in the transaction type. As soon as one of the company codes does **not** belong to a company, then the company codes are not affiliated. In that case, you have to use transaction types in which the **Do not post to affiliated company** indicator is set.

ⓘ Note

Transfer variants 5 and 6 are used solely by the system itself for internal purposes, and are not available for asset transfers.

Transaction Types

Along with specifying the transfer method in the transfer variant, you have to specify the transaction types that should be used. You enter the transaction types per company code relationship/cross-system depreciation area. Depending on the transfer method you use, there are different transaction types that are permitted. The following rules apply to the Customizing definitions of the transaction types (standard cases):

- **Gross method**

Transaction type category/class: **Retirement/acquisition** or **Retirement transfer/acquisition transfer**

Transaction type category/proportional values: For retirement **Proportional values are automatically determined;** for acquisition **Proportional values are entered**

Transaction type/revenue indicator: Deselect **Retirement with revenue**

- **Net method**

Transaction type category/class: **Retirement/acquisition**

Transaction type category/proportional values: For retirement **Proportional values are automatically determined;** for acquisition **Proportional values are entered** or **No proportional values**

Transaction type/revenue indicator: Deselect **Retirement with revenue**

- **New value method**

Transaction type category/class: **Retirement/acquisition**

Transaction type category/proportional values: For retirement **Proportional values are automatically determined;** for acquisition **Proportional values are entered** or **No proportional values**

Transaction type/revenue indicator: Deselect **Retirement with revenue**

The transaction type category for all of the transaction types you use has to be **Acquisition and production costs** .

ⓘ Note

The transaction types valid for postings and their offsetting postings always have to use the same document type. However, in the intercompany transfer transaction, you can enter a different document type, just as you can in the intracompany transfer transaction.

Field Transfer

Use

You use this function to control which field contents are transferred from the sending asset to the target asset during intercompany or intracompany asset transfers.

Prerequisites

You define field transfer in Customizing for **Asset Accounting** . Choose **Transactions** Õ **Intercompany Asset Transfers** Õ **Automatic Intercompany Asset Transfers** Õ **Define Transfer Variants** .

Features

Transfer of Field Contents

If there is no target asset for the transfer in the target company code, a new asset has to be created there. The system creates this new asset, mostly automatically, from the intercompany transfer transaction. You only need to enter the asset class, the most important asset master data, and a reference asset.

Usually you want to retain as much of the data from the original asset as possible. You can therefore use the sending asset as the reference asset for creating the new asset. For each transfer variant, you can specify the fields to be transferred from the reference asset to the new asset. The following rules apply:

- The system copies field contents from the sending or reference asset only if the **Copy** indicator is set in the transfer variant for the field groups to which the fields belong.
- Field contents are transferred to the target asset only if the **Copy** indicator is set in the screen layout rule of the asset class of the target asset for the given field group. Otherwise the system leaves the field empty.
- Field contents originating from a sending or reference asset can be overwritten in dialog mode.

Field assignments specified in Customizing are valid only as long as you do not make manual entries in the master data (for example, entering a cost center). In other words, field assignments are overwritten by manual entries.

Example

You want to transfer the cost center from a reference asset while transferring using transfer variant 4 to a new asset in asset class 3000. The following settings have to be made in Customizing for **Asset Accounting** :

The **Copy** indicator has to be set for field group 15 (cost center) in the screen layout rule of asset class 3000.

The **Copy** indicator has to be set for field group 15 (cost center) in transfer variant 4.

When the new asset is created, the **Reference asset** indicator has to be set in the transfer transaction. Do not make an entry in the **Cost center** field, since a manually entered cost center would overwrite the copied value.

In addition, the system stores the following master data information in the target asset, based on the transfer data (independent of the field transfer rules):

- Company ID of the partner company (origin), if the two company codes belong to different companies
- Acquisition date of the sending asset
- Original asset in the case of intracompany transfer (main number/sub-number)

You can also use substitution rules, that allow you to automatically substitute the cost center, location, and depreciation terms (refer to Validation and Substitution). If the asset class changes as a result of the transfer, then the field transfer rules of the transfer variant take priority over the default values in the new asset class (when the new asset is created).

Historical Transfer of Capitalization Data

Along with the general master data fields, you can also historically transfer specifications for capitalization and the start of depreciation from the sending asset to the target asset. You specify this transfer in the transfer variant, for each cross-system depreciation area. In addition, you have to set the **Transfer adopting dep. start date** indicator in the transaction type.

In order for this transfer to work, the capitalization date and the depreciation start date cannot be entered manually in the master record of the target asset. When this indicator is not set, the system determines the capitalization date based on the asset value date of the transfer, and the depreciation start date using the period control in the depreciation key.

Note

Setting this indicator does **not** make sense for assets under construction.

Posting Automatic Intercompany Asset Transfer

1. In the SAP Easy Access Menu, choose Assets > Posting > Intracompany Transfer > Asset Transfer.
2. Enter the asset to be transferred.
3. Check the date specifications, and make any necessary entries on the Transaction data tab page. If you do **not** enter an asset value date, the system automatically determines this date when you save.

   Specify in the Specifications for revenue group box whether there is revenue for the asset sale. You specify the following for an asset sale:

   - Amount
   - Depreciation area, from which the net book value should be used as the revenue amount

   In the Interco. transfer to group box, enter the target asset or create a new asset.
4. Enter additional posting information (such as document type) and the transfer variant on the Additional details tab page.
5. To post a partial transfer, enter a posting amount, a percentage or a quantity on the Partial transfer tab page. Specify whether the transfer applies to prior-year acquisitions or to current-year acquisitions.

   If you do **not** make any entries on this tab page, the system carries out a complete transfer.
6. Enter a text for the posting document on the Notes tab (optional).
7. Save your entries.

The system carries out the intercompany transfer. The system automatically determines the transaction types from the transfer variant (transfer variant 1 is standard).

ℹ Note

In this transaction it is **not** possible to restrict with certain accounting principles or depreciation areas.

If you wish to do so, you must post the transfer manually. You post the retirement transfer and the acquisition transfer in two separate steps. When doing so you restrict to the corresponding accounting principles and depreciation areas as necessary.

Example: Gross Transfer Within Company

Asset 2391 is transferred from company code 1000 to company code AA15. Both company codes belong the same **company** (organizational unit), so they are part of a **single legal entity**. However, this means they are **not** affiliated companies.

The **gross** value of the asset is transferred, and **intracompany transfer transaction types** are used.

Customizing the Transfer Variant

To post the transfer, a customer-specific transfer variant XY01 was created with the following settings:

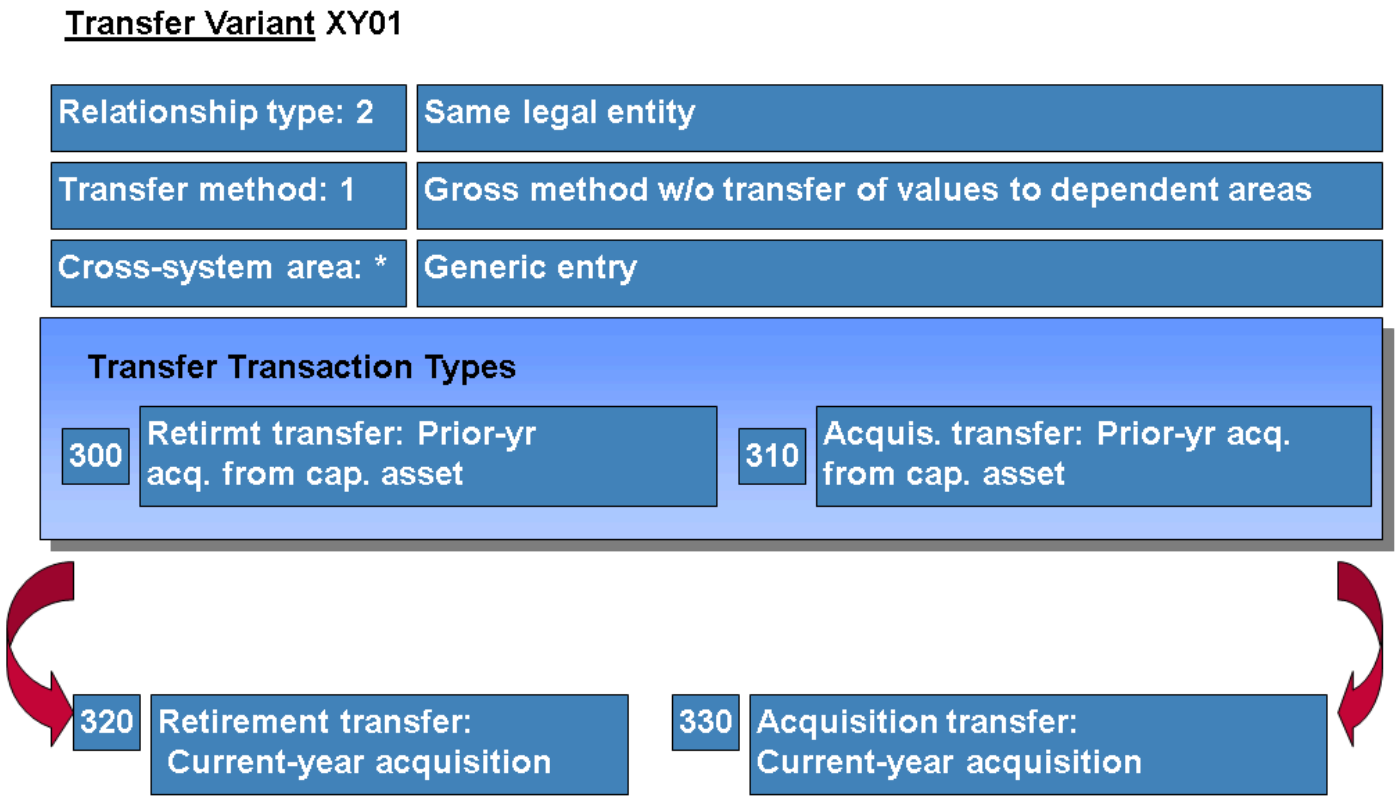


Figure: Transfer Variant XY01 (Customizing)

The same chart of depreciation is used in both company codes. The asset will manage the same depreciation areas in company code AA15 as it did in company code 1000. It is therefore **not** necessary to define global depreciation areas.

Transfer transaction types have to be entered for treatment of each of the following: retirements (prior-year acquisitions) in the old company code, and acquisitions (prior-year acquisitions) in the new company code. The transaction types for handling current-year acquisitions are contained in the transaction types for prior-year acquisitions.

Asset Transactions

After the intercompany asset transfer, during which a new asset master record was created in company code AA15, the Asset Explorer shows the following transactions:

Asset 2391 /company code 1000

1999	External acquis. (TTY 100)	2000 UNI
2000	External acquis. (TTY 100)	1000 UNI

Asset transfer on 06/13/2000 to asset 30000 / company code AA15

Asset 2391 / company codekreis 1000

Transactions / As of: 06/14/2000

2000	External acquisition (TTY 100)	1000 UNI
2000	Retirmt transfer: Prior-yr acq. from cap. asset (TTY 300)	2000 UNI
2000	Retirement transfer: Current-year acquisition (TTY 320)	1000 UNI

Asset 30000 / company code AA15

Transactions / As of: 06/14/2000

2000	Acquis. transfer: Prior-yr acq. from cap. asset (TTY 310)	2000 UNI
2000	Acquisition transfer: Current-year acquisitions (TTY 330)	1000 UNI

Figure: Display of Transactions before and after Asset Transfer

FI Transactions

Itm	CoCd	PK	G/L Acct	Short Text	Amount	Cur.	TTY
1	1000	75	11000	2391	2000.00 -	UNI	300
2	1000	75	11000	2391	1000.00 -	UNI	320
3	1000	70	11010	2391	326.00	UNI	390
4	1000	40	199990	Asset Acquisition Clearing	2674.00	UNI	
5	AA15	70	11000	30000	2000.00	UNI	310
6	AA15	70	11000	30000	1000.00	UNI	330
7	AA15	75	11010	30000	326.00 -	UNI	395
8	AA15	50	199990	Asset Acquisition Clearing	2674.00 -	UNI	

Figure: Line Items Created

Transaction types 390 and 395 are transaction types for proportional value adjustments.

Full names of the G/L accounts:

11000: Machinery and Equipment

11010: Accumulated Depreciation of Machinery and Equipment

199990: Clearing of Non-Integrated Asset Acquisition

Example: Gross Intercompany Transfer

Asset 2392 is transferred from company code 1000 to company code AA15. The company codes belong to different **companies**, so they are **legally independent entities**.

The **gross** value of the asset is transferred, and **acquisition and retirement transaction types** are used.

Customizing the Transfer Variant

To post the transfer, a customer-specific transfer variant XY02 was created with the following settings:

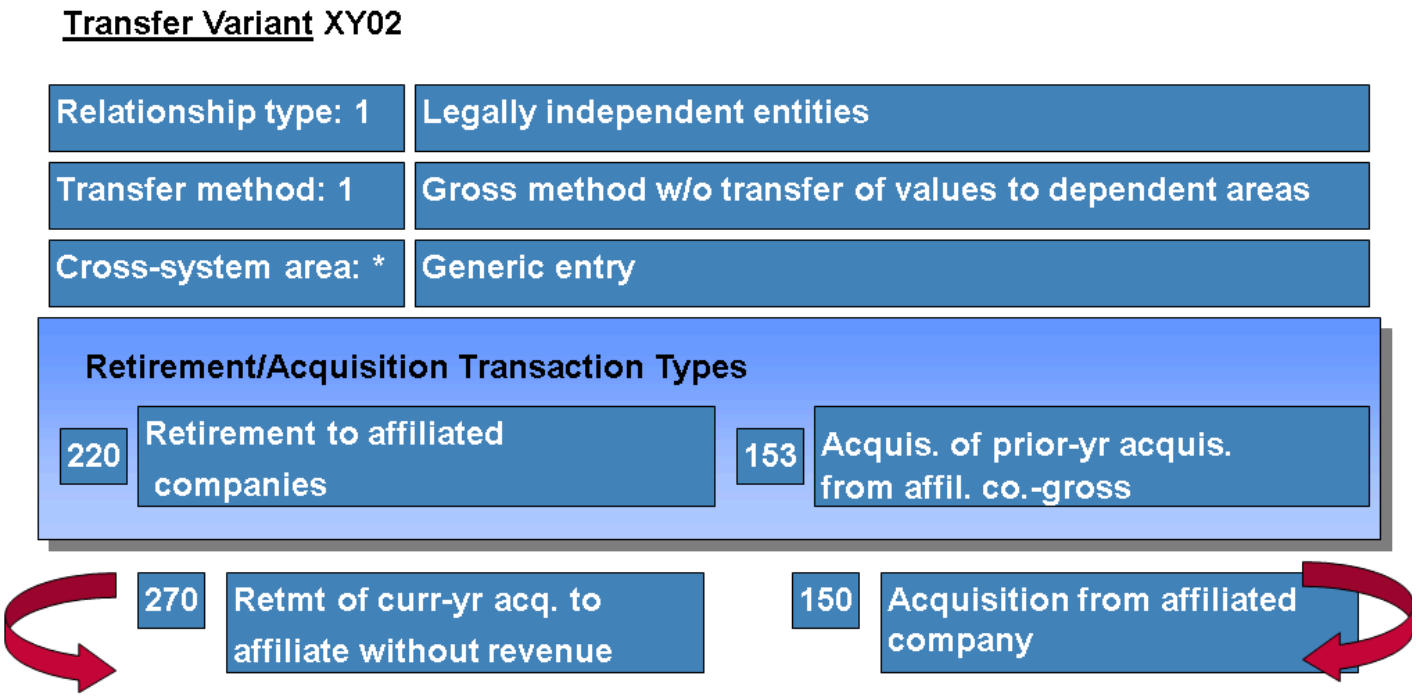


Figure: Transfer Variant XY02 (Customizing)

The same chart of depreciation is used in both company codes. The asset will manage the same depreciation areas in company code AA15 as it did in company code 1000. It is therefore **not** necessary to define global depreciation areas.

ℹ Note

If the two companies are **not** affiliated, then you have to define other acquisition and retirement transaction types, in which the Do not post to affiliated company indicator is set.

Asset Transactions

After the intercompany asset transfer, during which a new asset master record was created in company code AA15, the Asset Explorer shows the following transactions:

Asset 2392 / Company Code 1000

1999	External acquis. (TTY 100)	2000 UNI
2000	External acquis. (TTY 100)	1000 UNI

Intercompany transfer on 06/13/2000 to asset 30001 / company code AA15

Asset 2392 / company code 1000

Transactions / as of: 06/14/2000

2000	External acquisition (TTY 100)	1000 UNI
2000	Retmt of curr-yr acq. to affiliate without revenue (TTY 270)	1000 UNI
2000	Retirement to affiliated companies (TTY 220)	2000 UNI

Asset 30001 / company code AA15

Transactions / As of: 06/14/2000

2000	Acquis. of prior-yr acquis. from affil. co.-gross (TTY 153)	2000 UNI
2000	Acquisition from affiliated company (TTY 150)	1000 UNI

Figure: Asset Transactions

FI Transactions

Itm	CoCd	PK	G/L Acct	Short Text	Amount	Cur	TTY
1	1000	75	11000	2391	2000.00 -	UNI	220
2	1000	75	11000	2391	1000.00 -	UNI	270
3	1000	70	11010	2391	300.00	UNI	295
4	1000	70	11010	2391	50.00	UNI	296
5	1000	40	200010	Scrapped Asset Clearing	2650.00	UNI	
6	AA15	70	11000	30001	1000.00	UNI	150
7	AA15	70	11000	30001	2000.00	UNI	153
8	AA15	75	11000	30001	50.00 -	UNI	150
9	AA15	75	11000	30001	300.00 -	UNI	153
10	AA15	50	199991	Affiliated Company Clearing	2700.00 -	UNI	

Figure: Line Items Created

Transaction types 295 and 296 are transaction types for proportional value adjustments.

Full names of the G/L accounts:

11000: Machinery and Equipment

11010: Accumulated Depreciation of Machinery and Equipment

200010: Loss on Scrapped Assets

199991: Affiliated Companies Clearing, Fixed Assets

Example: Intercompany Net Transfer

Asset 2393 is transferred from company code 1000 to company code AA15. The company codes belong to different **companies**, so they are **legally independent entities**.

The **net** value of the asset is transferred, and **acquisition and retirement transaction types** are used.

Customizing the Transfer Variant

To post the transfer, a customer-specific transfer variant XY03 was created with the following settings:

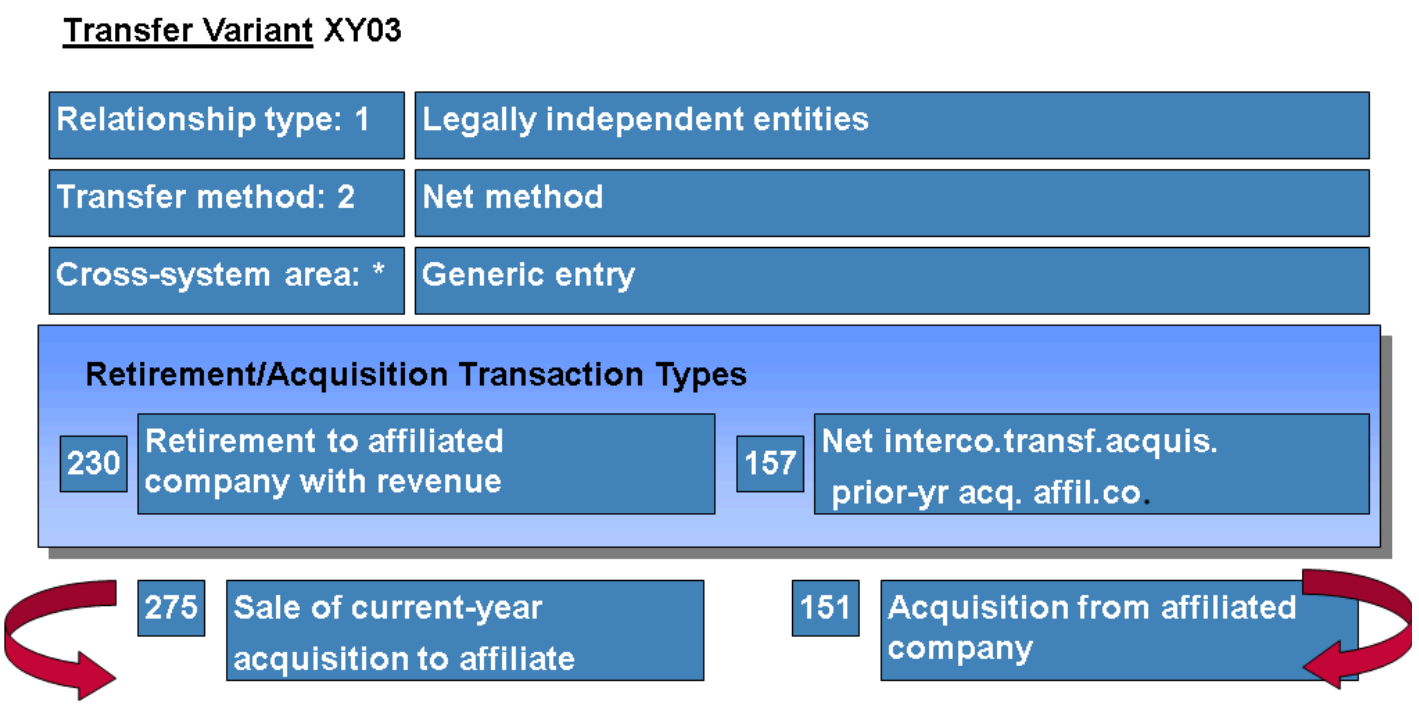


Figure: Transfer Variant XY03 (Customizing)

The same chart of depreciation is used in both company codes. The asset will manage the same depreciation areas in company code AA15 as it did in company code 1000. It is therefore **not** necessary to define global depreciation areas.

ⓘ Note

If the two companies are **not** affiliated, then you have to define other acquisition and retirement transaction types, in which the Do not post to affiliated company indicator is set.

Asset Transactions

After the intercompany asset transfer, during which a new asset master record was created in company code AA15, the Asset Explorer shows the following transactions:

Asset 2393 / Company code 1000

1999	External acquis. (TTY 100)	2000 UNI
2000	External acquis. (TTY 100)	1000 UNI

Asset transfer on 06/13/2000 to asset 30001 / company code AA15

Asset 2393 /company code 1000

Transactions / As of: 06/04/2000

2000	External acquisition (TTY 100)	1000 UNI
2000	Sale of current-year acquisition to affiliate (TTY 275)	1000 UNI
2000	Retirement to affiliated company with revenue (TTY 230)	2000 UNI

Asset 30002 / company code AA15

Transactions / As of: 06/14/2000

2000	Net interco.transf.acquis. prior-yr acq. affil.co. (TTY 157)	1700 UNI
2000	Acquisition from affiliated company (TTY 151)	950 UNI

Figure: Asset Transactions

FI Transactions

Itm	CoCd	PK	G/L Acct	Short Text	Amount	Cur.	TTY
1	1000	75	11000	2394	2000.00 -	UNI	230
2	1000	75	11000	2394	1000.00 -	UNI	275
3	1000	70	11010	2394	300.00	UNI	295
4	1000	70	11010	2394	50.00	UNI	296
5	1000	40	825000	Asset Retirement Clearing	2650.00	UNI	
6	AA15	70	11000	30003	1700.00	UNI	151
7	AA15	70	11000	30003	950.00	UNI	157
8	AA15	50	199991	Affil. Companies Clearing	2650.00 -	UNI	

Figure: Line Items Created

Full names of the G/L accounts:

11000: Machinery and Equipment

11010: Accumulated Depreciation of Machinery and Equipment

82500: Asset Retirement Clearing

199991: Affiliated Companies Clearing, Fixed Assets

Example: Intercompany New Valuation Transfer

Asset 2394 is transferred from company code 1000 to company code AA15. The company codes belong to different **companies**, so they are **legally independent entities**.

The asset receives a **new value** in the target company code and is posted using **acquisition and retirement transaction types**.

Customizing the Transfer Variant

To post the transfer, a customer-specific transfer variant XY04 was created with the following settings:

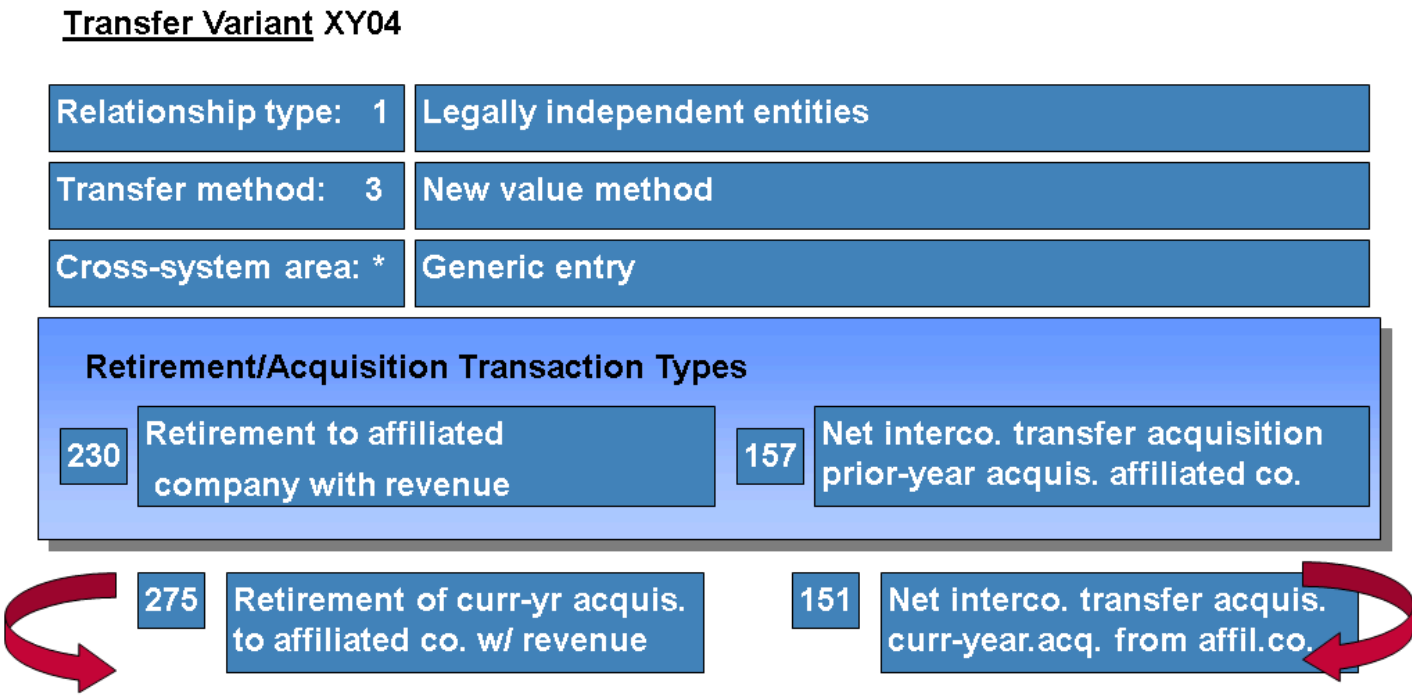


Figure: Transfer Variant XY04 (Customizing)

The same chart of depreciation is used in both company codes. The asset will manage the same depreciation areas in company code AA15 as it did in company code 1000. It is therefore **not** necessary to define global depreciation areas.

ℹ Note

If the two companies are **not** affiliated, then you have to define other acquisition and retirement transaction types, in which the Do not post to affiliated company indicator is set.

Asset Transactions

After the intercompany asset transfer, during which a new asset master record was created in company code AA15, the Asset Explorer shows the following transactions:

Asset 2394 / company code 1000

1999	External acquis. (TTY 100)	2000 UNI
2000	External acquis. (TTY 100)	1000 UNI

Asset transfer on 06/13/2000 to asset 30001 / company code AA15

Asset 2395 / company code 1000

Transactions / As of: 06/14/2000

2000	External acquisition (TTY 100)	1000 UNI
2000	Sale of current-year acquisition to affiliate (TTY 275)	1000 UNI
2000	Retirement to affiliated company with revenue (TTY 230)	2000 UNI

Asset 30003 / company code AA15

Transactions / As of: 06/14/2000

2000	Net interco.transf.acquis. prior-yr acq. affil.co. (TTY 157)	6415 UNI
2000	Acquisition from affiliated company (TTY 151)	3585 UNI

Figure: Asset Transactions

FI Transactions

Itm	CoCd	PK	G/L Acct	Short Text	Amount	Cur.	TTY
1	1000	75	11000	2395	2000.00 -	UNI	230
2	1000	75	11000	2395	1000.00 -	UNI	275
3	1000	70	11010	2395	300.00	UNI	295
4	1000	70	11010	2395	50.00	UNI	296
5	1000	40	825000	Asset Retirement Clearing	10,000.00	UNI	
6	1000	50	250000	Gain on Asset Retirement	7350.00-	UNI	
7	AA15	70	11000	30005	6415.09	UNI	157
8	AA15	70	11000	30005	3584.91	UNI	151
9	AA15	50	199991	Affil. Companies Clearing	10,000.00 -	UNI	

Figure: Line Items Created

Full names of the G/L accounts:

11000: Machinery and Equipment

11010: Accumulated Depreciation of Machinery and Equipment

825000: Asset Retirement Clearing

250000: Gain from Fixed Asset Retirement

199990: Clearing of Non-Integrated Asset Acquisition

199991: Affiliated Companies Clearing, Fixed Assets

Manual Intercompany Asset Transfer

Use

You use this function to post asset transfers across company code and client boundaries. You have to post the retirement transfer and the acquisition transfer in two separate steps.

Prerequisites

For asset transfers posted manually, there is an indicator that allows the corresponding handling of company code transfers in Customizing for the depreciation areas (in Customizing for **Asset Accounting** under **Special Depreciations** > **Preparation for Consolidation** > **Determine Group Depreciation Areas**).

The indicator **Intracompany Transfer- Gross** has the following effects: Retirements to and acquisitions from an affiliated company are automatically posted in the group depreciation areas using transaction types for retirement transfers or acquisition transfers. This practice ensures that these transactions are shown correctly in the asset history sheet for the corporate group. You can define these transaction types in Customizing for **Asset Accounting** under **Transactions** > **Transaction Types for Internal Transactions**.

Depending on the reason for the transfer and the relationship between the company codes, you have to post the acquisition of the transferred asset either gross (with its historical APC and value adjustments) or net (with its net book value). Therefore, there is a special indicator in the definition of the transaction types. This indicator specifies whether the transaction type is for posting to affiliated companies, and whether the posting is gross or net (in Customizing for **Asset Accounting** under **Transactions** > **Intercompany Asset Transfers** > **Specify Gross or Net Transfer Method for Manual Transfers**).

The indicators described here apply only when the intercompany transfer is posted manually. For automatic intercompany asset transfers, these two things are controlled by the transfer variant.

When posting without customer or vendor, you have to enter the sending and/or receiving company ID for both the retirement and the acquisition. When posting with a customer or vendor, you have to assign a company ID to the customer or vendor.

The line items created by the retirement can be used as a reference for the creation of the acquisition posting. They contain the retirement amounts and the proportional value adjustments for the individual depreciation areas.

Manual Posting of Intercompany Asset Transfer/Asset Retirement

Procedure

1. Determine the company receiving the asset.
    - If the retirement is to be posted with customer, make sure that an ID for the partner company is defined in the respective customer master record.
    - When posting without a customer (to a clearing account), you must determine the number of the receiving company in the system (for example, for **Consolidation (EC-CS)** in the menu for **Consolidation** at **Master Data** > **Consolidation units** > **Display**).
2. If applicable, determine the retirement costs and the amount of gain.
3. Post the asset retirement using transaction type `220/230` (**retirement of prior-year acquisitions without/with revenue**), or `270/275` (**retirement of current-year acquisitions without/with revenue**).

    For more information, see the chapter Retirement.

Manual Posting of Asset Transfer/Asset Acquisition

Integrated Acquisition Posting

If you post the asset acquisition integrated (that is, against the supplier), only a net posting is possible.

Proceed as follows:

1. Create a new asset master record in the receiving company (company code).
2. Determine the company providing the asset.

   Make sure that a company ID for the trading partner is defined in the relevant supplier master record.
3. Determine the acquisition date from the related retirement document.
4. Post the acquisition with transaction type 151 - **Net transfer of current-year acquisitions from affiliated companies**.

   (See also Integrated Asset Acquisition Posting.)

Non-Integrated Acquisition Posting

If you post the asset acquisition non-integrated (so against a clearing account), a gross or net posting is possible.

Proceed as follows:

1. Create a new asset master record in the receiving company (company code).

   You must determine the number of the sending company in the system (for example, for the consolidation with EC-CS in the SAP Easy Access Menu under **Consolidation** > **Master Data** > **Consolidation Units** > **Display**).
2. Determine the acquisition date and the proportional values (for a gross posting) from the corresponding retirement document.
3. Post the acquisition with transaction type 150- **Gross transfer of current-year acquisitions from affiliated companies** or 151 - **Net transfer from affiliated companies**.

   In the dialog box of the posting transaction, enter the APC to be transferred and, for a gross posting, the proportional value adjustments for each group depreciation area.

Retirement

Use

Asset retirement is the removal of an asset or part of an asset from the asset portfolio. This removal of an asset (or part of an asset) is posted from a bookkeeping perspective as an asset retirement. Depending on organizational considerations, or the business transaction which leads to the retirement, you can distinguish the following types of retirement:

- An asset is sold, resulting in revenue being earned. The sale is posted with a customer.
- An asset is sold, resulting in revenue being earned. The sale is posted against a clearing account.
- An asset has to be scrapped, with no revenue earned.
- An asset is sold to an affiliated company (refer to Manual Posting of Intercompany Asset Transfer/Retirement)

Process

There are transactions and transaction types in the system for these different retirement types:

- Asset Sale:
    - With Customer
    - Without Customer
- Retirement Due to Scrapping

Asset Sale with Customer

The system enables you to post the entry to **Accounts Receivable**, the revenue posting and the asset retirement in one step. In this posting transaction, you have to enter the revenue posting (debit A/R, credit revenue from asset sale) first, and then enter the asset retirement. An indicator in the posting transaction specifies that the system posts the asset retirement with the revenue posting.

For each posting depreciation area, the system posts a separate accounting-principle-specific document, provided the depreciation area manages APC.

The prerequisite for making this entry is that the revenue account, to which the revenue should be posted, has a field status variant in its master data in which the **Asset Retirement** field (category Asset Accounting) is defined as a required or optional entry field. You can define field status variants in the **Financial Accounting Global Settings** under **Document** > **Line Item** > **Control Data** >.

Posting of Gain or Loss

When you use the standard transaction types, the system automatically creates a gain posting or a loss posting, as well as a revenue clearing entry, in addition to the asset and accumulated depreciation correction postings. The posting of these entries is controlled by the indicator for “gain and loss from retirement”in the definition of the transaction type. The automatic creation of these postings is controlled by the **Gain/loss from asset ret.** indicator in the definition of the transaction type. You can also choose not to set this indicator, in which case you have to enter the postings manually.

For more information on ways of posting gain and loss, see Posting Gain/Loss.

Retirement Without Revenue

A retirement without revenue is the removal of an asset from the asset portfolio without any revenue, for example, by scrapping. When you use this posting option, the system does not create revenue and gain/loss postings. Instead it creates a **Loss made on asset retirement without revenue** posting in the amount of the net book value being retired.

Complete/Partial Retirement

An asset retirement can refer to an entire fixed asset (complete retirement) or part of a fixed asset (partial retirement). In both cases, the system automatically determines, using the asset retirement dates entered, the amounts to be charged off for each depreciation area. You can initiate the partial retirement of a fixed asset by entering one of the following:

- The acquisition and production costs being retired
- A retirement percentage
- A quantity

When you enter the amount of APC that is being retired, the system determines for each accounting principle the percentage to be retired from the asset using the first depreciation area of the respective ledger group in which posting is to take place. It determines the percentage amount of APC being retired in that area, and uses the same percentage for other areas. You can enter a quantity, provided that you have **not** specified a retirement amount or percentage rate. The system interprets the quantity as a ratio to the total quantity of the asset and thereby determines the asset retirement percentage rate.

If you want to post a different retirement amount with a partial retirement posting (for example, for a statistical depreciation area), you must proceed as follows:

- With an integrated retirement posting (debit-side retirement posting), you must enter an adjustment posting for the statistical depreciation area in a second step in Asset Accounting.
- With a non-integrated retirement posting, you must exclude the statistical depreciation area from the posting using the pushbutton for the area selection. And in a second step you must enter and post a separate retirement posting for this depreciation area.

The asset value date of the retirement is recorded in the asset master record. You **cannot** post any transactions with a value date before the value date of the last retirement. If you nevertheless need to post such a transaction, you must first reverse all retirements that lie after the value date of the belated posting. After posting the belated transaction, you can then re-post the retirements.

Transaction Type (Prior-Year Acquisitions/Current-Year Acquisitions)

Make sure that you select the correct transaction type for both partial and complete retirement. For the complete retirement of a fixed asset acquired in previous years, always select a transaction type intended for prior-year acquisitions. A partial retirement can always relate either to prior-year acquisitions or to current-year acquisitions.

The complete retirement of a fixed asset is only possible if all transactions to the asset were posted with a value date before the asset value date of asset retirement. You must clear or reverse down payments and investment support measures, which are in the same posting year as the retirement, before you post the complete retirement.

Prior-year asset acquisitions and current-year acquisitions are shown separately from one another in the document.

Proportional Value Adjustments

Based on the value date and period control, the system automatically determines the reference period for the retirement. The system automatically determines any depreciation (value adjustments) that is applicable to the part of the asset being retired, up to the reference period (retirement). The system automatically retires this depreciation at the time of the retirement transaction. This procedure guarantees that the percentage of the book value that is retired is identical with the percentage of the acquisition and production costs that is retired.

Example

Determination of proportional value adjustments on asset retirement:

Acquisition date: 1/1 Year before last; Useful life = 10 years

APC: 10,000

Dep: straight-line from APC, or 1000 per year

Value date of retirement: 1.7. CY

Retiring part: 50% of APC

Value adjustments of previous periods: 2.000; thereof 50% = 1.000

Value adjustments of current period: 1.000; thereof 50% for 1/2 year = 250

Total value adjustments = **1250**

The system automatically posts the proportional value adjustments retired during an asset retirement. You can specify special transaction types for this automatic posting for each type of value adjustment in the Customizing definition of the retirement or transfer transaction types (**Value Adjustments** function). These special transaction types for the proportional value adjustments are particularly important for group consolidations, so that the individual transaction can be identified as retirement of transfer.

The standard transaction types delivered by SAP are already defined in this way. The system uses the transaction type 290 for proportional values with retirements. For transfers it uses transaction types 390/395 (transfer retirement/acquisition).

Low-Value Assets (LVA) Retirement

There are special considerations for the retirement of low value assets (LVAs). It is usually necessary to simplify the business transactions involved, due to the large number of assets that are being retired. It is **not** necessary to actually post the retirement of low value assets in order for the assets transactions to be displayed correctly in the asset history sheet. It is possible to simulate the retirements of low value assets during a time period you specify. Enter the LVA asset classes and the simulation time period in the initial screen of the asset history sheet (see Asset History Sheet).

If you want to actually post the retirement of low value assets, use the usual procedure for asset retirements.

Retiring Several Asset Subnumbers Simultaneously

The system enables you to post the complete retirement of several sub-numbers of a fixed asset in one step (generic entry using an asterisk (*) in the **Subnumber** field).

Rather than using this generic entry with an asterisk, you can use the procedure described below in these transactions:

- SAP Easy Access screen: **Fixed Assets** > **Posting** > **Acquisition** > **External Acquisition** > **Acquis. w/Autom. Offsetting Entry**
- SAP Easy Access screen: **Fixed Assets** > **Posting** > **Transfer** > **Transfer within Company Code**
- SAP Easy Access screen: **Fixed Assets** > **Posting** > **Retirement** > **Retirement w/Revenue** > **Asset Sale Without Customer**

To post a complete retirement of several subnumbers of an asset in one step, choose the **Multiple assets** pushbutton in one of the three functions mentioned above. Enter the asset and choose the **Subnumbers** pushbutton. All subnumbers for the asset are displayed in the **List of assets**. You can remove entries from the list of subnumbers.

The system performs asset postings and value adjustment postings for each subnumber.

Revenue is distributed to the subnumbers based on the net book value.

Retirement of Assets with Investment Support

For information on the special concerns involved when retiring assets with investment support, see Investment Support on the Liabilities Side and Investment Support Managed on the Assets Side .

Mass Retirement

When an enterprise sells a large portion of its fixed assets (such as a plant or a building), it is necessary to post the retirement of all the individual assets which make up the whole. Since the number of affected assets can be very large, Asset Accounting makes it possible to make the necessary postings using mass processing. For more information, see Mass Retirement.

Additional Information

See also: Unilateral Assets.

Post Retirement with Revenue Against Customer

Use

An asset was sold and revenue was generated. You post the asset retirement integrated with Accounts Receivable Accounting, that is, against a customer.

Procedure

Preparations

1. Specify the customer, against whose account you want to post the retirement revenue, as well as the affected revenue account.
2. Specify the affected asset, the amount of APC that is being retired, and the amount of revenue that was earned.

   Note: The system determines and posts the proportional value adjustments on the APC retirement amount automatically.
3. Check whether investment support was claimed for the asset in the current fiscal year. To do this, display the asset values of the asset.

   Reverse the investment support measures if necessary (with transaction type `Ixx`).
4. Check if you are retiring prior-year acquisitions (acquisitions from previous fiscal years) or current-year acquisitions (acquisitions in the current fiscal year). To do this, display the asset values of the asset.

Post Asset Retirement

Post the asset retirement (transaction F-92 or in the SAP Easy Access-Menu, under **Fixed Assets** > **Posting** > **Retirement** > **Retirement with Revenue** > **With Customer**). When you do this, you first post the revenue (customer invoice to revenue account).

1. Enter the header data on the screen **Asset Retirement from Sale with Customer**.

   This includes **Document Date**, **Document Type** DR, **Company Code**, **Posting Date**, **Currency**, **Posting Key** , and **Customer Account**.

   Confirm your entries.
2. On the screen **Enter Customer Invoice: Add Customer Item**, enter the following data:
   - **Amount**
   - **Calculate Tax**, **Tax Code** (specification for output tax calculation)
   - **Posting Key**
   - **Revenue Account for Asset Retirement**

   Confirm your entries.
3. On the screen **Enter Customer Invoice: Add G/L Account Item**, enter the following data:
   - **Amount**. You can enter "*" in this field. The system then uses the total of all line items created up to this point as the posting amount, with reversed debit/credit indicators.
   - **Tax Code**
   - **Asset Retirement**

Confirm your entries.

4. Enter the asset data on the screen **Enter Asset Retirement**:

    - **Asset**, **Asset Subnumber**
    - **Transaction Type**, for example, for the retirement of prior-year acquisitions (`210`) or for the retirement of current-year acquisitions (`260`).
    - **Asset Value Date**
    - You can post either a complete retirement or a partial retirement:
        - For a complete retirement: Set the indicator for a complete retirement.
        - For a partial retirement: Enter the APC amount being retired or a percentage of the APC, or, if quantities are managed on the asset, the retired quantity.

          Based on the percentage or quantity, the system determines the proportional amount, that is, the amount by which the acquisition cost (APC) is reduced.

If necessary, simulate the document.

Post the document.

Example

See Example: Integrated Retirement Posting (with Parallel Valuation).

Example: Integrated Retirement Posting (with Parallel Valuation)

Initial Data

The company creates financial statements based on two parallel accounting principles:

- IFRS accounting principle and
- LGAAP accounting principle (local accounting principle)

The enterprise posts asset retirements **integrated** with Accounts Receivable.

The enterprise sells an asset for a price of 8,500.

- According to IFRS, the net book value of the asset is 8,000.
- According to the local accounting principle, the net book value of the asset is 9,000.

According to IFRS, there is a loss on the asset retirement; according to the local accounting principle, there is a gain from the asset retirement.

The accounts receivable assistant posts the receivable.

Document Entry and Generated Documents

The accounts receivable assistant posts the receivable amount in transaction **F-92** without specifying an accounting principle:

Document entry:

Debit/Credit	Posting key	Account type	Account (No.)	Account (Name)	Amount
Debit	01	Customer	140000	Receivables for Goods & Services	
Credit	50	Asset	825000	Gain from Asset Retirement	8,500

The system generates the following documents:

(5) Without an accounting principle: Debit Receivables for Goods & Services, credit Gain from Asset Retirement

(6) Asset retirement with accounting principle IFRS: Debit Asset Retirement Clearing Account, credit Equipment and Gain/Loss from Asset Retirement

(7) Asset retirement with accounting principle LGAAP: Debit Asset Retirement Clearing Account and Gain/Loss from Asset Retirement, credit Equipment

Generated documents:

No.	Accounting principle	Debit/Credit	Posting key	Account (No.)	Account (Name)	Amount
5	INITIAL	Debit	01	140000	Receivables for Goods & Services	8,500
		Credit	50	825000	Gain from Asset Retirement	8,500
6	IFRS	Debit	40	825000	Asset Retirement Clearing Account	8,500
		Credit	75	13000	Equipment	8,000
		Credit	40	2xxxxx	Gain/Loss	500
7	LGAAP	Debit	40	825000	Asset Retirement Clearing Account	8,500
		Debit	40	2xxxxx	Gain/Loss	500
		Credit	75	13000	Equipment	9,000

Account Display

The figure below shows the corresponding T accounts.

The system generated documents 2 to 4 during the postings for acquisition and value adjustment.

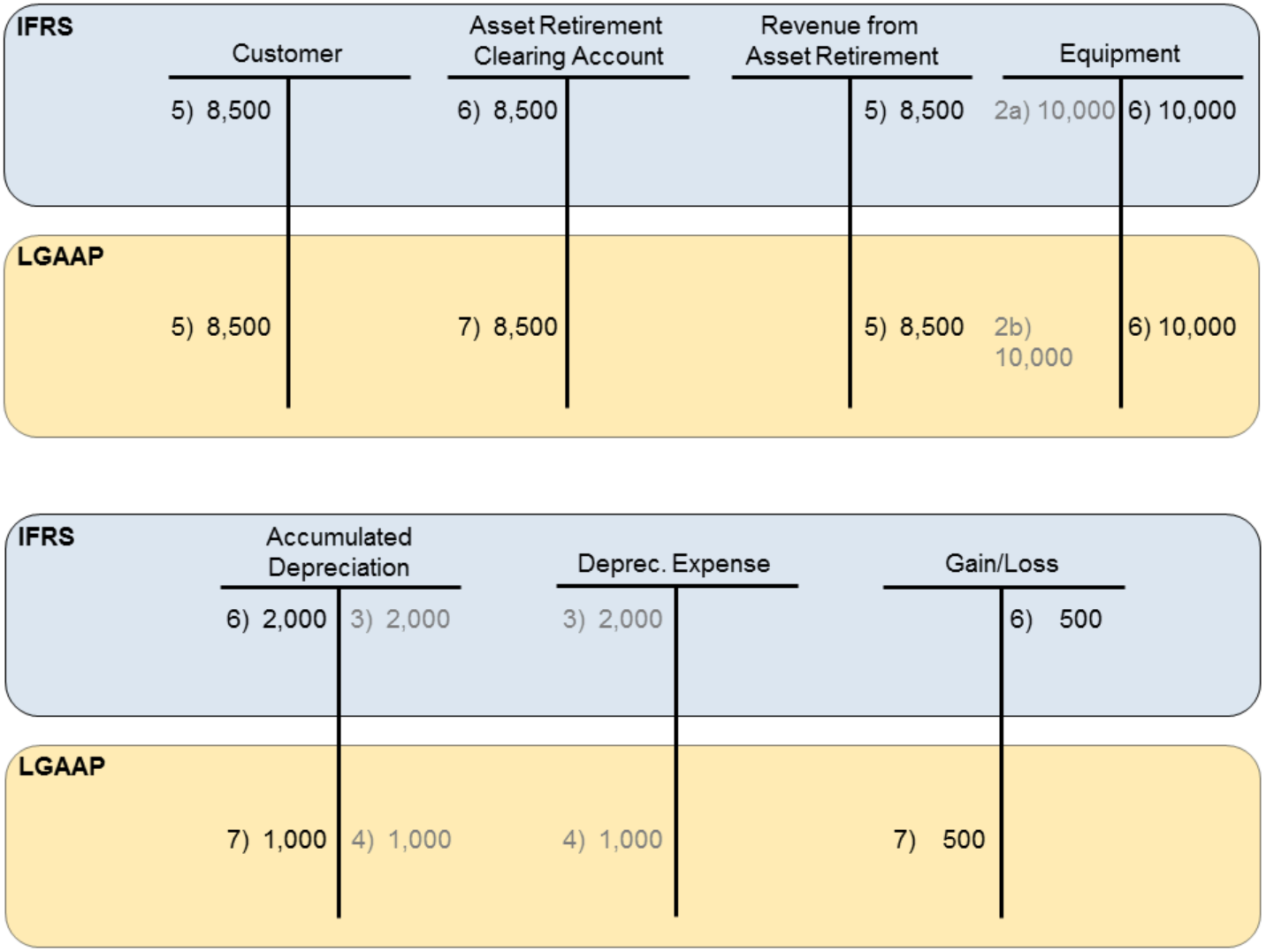


Figure: Integrated Retirement Posting

Post Retirement with Revenue Against Clearing Account

Procedure

1. On the SAP Easy Access screen choose Posting > Retirement > Retirement w / Revenue > Asset Sale Without Customer (transaction ABAON).
2. Enter the affected asset.
3. Check the date specifications, and make any necessary entries on the Transaction data tab page. If you do **not** enter an asset value date, the system automatically determines this date when you save.

   You define in the Specifications for Revenue group box how much revenue is earned. Enter the following data:

   - Revenue amount
   - Depreciation area, from which the net book value should be used as the revenue amount
4. Enter additional posting information (such as document type) and the transaction type on the Additional details tab page.

   If you do **not** enter a transaction type, the system automatically determines one when you save.
5. To post a partial retirement, enter a posting amount, a percentage or a quantity on the Partial retirement details tab page. Specify whether the retirement applies to prior-year acquisitions or to current-year acquisitions.

The system determines the appropriate transaction type automatically.

If you do **not** make any entries on this tab page, the system carries out a complete retirement.

6. Enter a text for the posting document on the **Notes** tab (optional).
7. Save your entries.

Post Retirement Without Revenue (Scrapping)

Procedure

1. On the SAP Easy Access screen choose **Posting** > **Retirement** > **Retirement by Scrapping** (transaction ABAVN).
2. Enter the affected asset.
3. On the **Transaction Data** tab page, check the proposed date specifications, and make any necessary changes.

   If you do **not** enter an asset value date, the system automatically determines this date when you save.
4. Enter additional posting information (such as document type) on the **Additional details** tab page.

   If you do **not** enter a transaction type, the system automatically determines one when you save.
5. To post a partial retirement, enter a posting amount, a percentage or a quantity on the **Partial retirement details** tab page. Specify whether the retirement applies to prior-year acquisitions or to current-year acquisitions.

   If you do **not** make any entries on this tab page, the system carries out a complete retirement.
6. Enter a text for the posting document on the **Notes** tab (optional).
7. Save your entries.

Subsequent Revenue/Costs

Purpose

It is sometimes necessary to post revenue or costs for an asset retirement that has already been posted. For example, you might need to post an insurance benefit as subsequent revenue to an asset, although the asset has already been scrapped (deactivated).

Process flow

There are two transactions in the FI-AA component that make it possible to create line items for cost or revenue posted after the retirement. You can report on these asset line items in the standard retirement list.

⚠ Caution

However, when you use this method, there is no integration with Financial Accounting (or Controlling). This means that you must post the costs or revenue again explicitly in Financial Accounting in order to create a corresponding posting document (CO document).

Procedure

Posting Subsequent Revenue/Costs

Posting Subsequent Revenue/Costs

Procedure

1. Determine the asset concerned and the amount to be entered as subsequent revenue or costs. To do this, you can display the relevant journal entry in the general ledger (on the SAP Easy Access screen under Financial Accounting > General Ledger > Document > Display (transaction FB03)).
2. On the SAP Easy Access screen, choose Financial Accounting > Fixed Assets > Postings > Retirement > Subsequent Costs (transaction ABNKL) or → Subsequent Revenue (Transaction ABNEL).
    a. Enter the affected asset.
    b. Check the dates.
    c. Enter the subsequent revenue or subsequent costs.
    d. Check the asset value date.
    e. Choose Post.

Reversal

Use

Asset transactions have to be reversed using the reversal transaction of the application in which the original transaction was posted (for example, invoice receipt).

You automatically go to the appropriate reversal transaction when you choose Posting > Reverse Document.

Features

In addition to the reversal transactions for documents created in Asset Accounting, there are also the following reversal transactions in the integrated applications:

- Reversal of external acquisition with vendor (Accounts Payable)
- Reversal of acquisition with purchase order reference (goods/invoice receipt)
- Reversal of retirement with customer (Accounts Receivable)

⚠ Caution

Be careful when you have an asset with several transactions, and you want to reverse a transaction that is chronologically immediately after a negative transaction. In this case, you may have to reverse the negative transaction as well, since the net book value of the asset could become negative after the first reversal.

If the document to be reversed was posted using a different application (such as Accounts Payable or Logistics), then it is only possible to reverse the entire operational transaction using the operational document. You are **not** allowed to enter an accounting-principle-specific follow-on document in Asset Accounting, since this would reverse only part of the transaction, which is **not** correct from a business perspective. If you want to reverse only the accounting-principle-specific part of the transaction, you can enter a manual inverse posting using the Asset Accounting posting transaction.

Reverse Document

Procedure

1. Choose Postings > Reverse Document > Other Asset Document .
2. Enter the affected asset.
3. Confirm your entries with Enter.
4. Select the document to be reversed.
5. Choose the Reverse function.

Reversing Settlement of an Asset Under Construction

Procedure

1. Choose Postings > Reverse document > Cap. asset u. const.
2. Enter the asset under construction that was settled.
3. Press **Enter**
4. The system then reverses all documents that were posted during the last settlement.
5. If you want to reverse a settlement that was posted before the most recent one, you first have to reverse all the settlements, which were posted after the one you want, in chronological order.

⚠ Caution

You cannot use this transaction to reverse the settlement of assets under construction that were only managed for cost accounting

Changing a Document

Procedure

1. Choose Postings > Edit document > .
2. Choose the function FI document .
3. Change the entries in the document that need to be changed.

You can only change those document fields that have been specified in the document change rule (FI Customizing: Business transactions > Base parameters >).

Closing Operations

Purpose

The following objects describe tasks that are carried out during period-end closing or year-end closing in Asset Accounting, rather than on an individual basis. In addition, there are descriptions of certain tasks that are required for special valuation of assets (such as replacement values).

Schedule Manager

You can manage and monitor periodic processing in Asset Accounting using the Schedule Manager. Schedule Manager is a tool for planning and overseeing business tasks. This tool makes it easier to carry out periodic processing, and is able to help automate these processes where possible. It makes it possible to display the current status of the period-end closing.

You can use the Schedule Manager to manage the following periodic processing in Asset Accounting:

- Post Depreciation

You find the Schedule Manager in the Asset Accounting menu (choose **Periodic processing**).

Post Depreciation

Use

Each transaction on a complex fixed asset at first causes a change in the forecast depreciation in the Asset Accounting system. In the end the transaction also causes an update of the accumulated depreciation account and depreciation account for the balance sheet and income statement.

Features

The calculation of the cumulative depreciation of an asset and the posting of depreciation expense takes place in the system at different points in time:

1. Calculate depreciation (transaction AFAR):

   The planned depreciation is determined with each master record change and with each posting on the asset and updated in the database accordingly.

2. Post depreciation (transaction AFAB):

   The depreciation run adopts the planned asset values and posts them in Financial Accounting. The posting document is updated in Financial Accounting at asset level.

The program for posting depreciation (depreciation run) has the following characteristics:

- For the update of accumulated depreciation and depreciation expense, the following applies:
  - The planned depreciation is determined with master record changes and with postings on the asset and updated in the database accordingly.
  - The depreciation run adopts the planned asset values and posts them.
  - The journal entry is updated in Financial Accounting at asset level.
- Errors with individual assets do **not** necessarily need to be corrected before period-end closing; period-end closing can still be performed. You have to make sure that all assets are corrected by the end of the year only so that depreciation can be posted completely.
- It is possible to execute a mid-year test run (also the first run of a period) with a restriction on assets.

- To speed up data processing, the program always performs parallel processing.
- You can see the status of the depreciation run (**Errors Occurred**, **Documents Posted Successfully** or **No Documents to Be Posted**) in the log (job log or spool output) or in the Schedule Manager.
- If you start the program in the background, an entry is written in the Schedule Manager for each combination of company code/accounting principle (ledger group).

Constraints

The following constraints apply to the depreciation run:

- In a test run, the depreciation run can be started in dialog with a limit to a maximum of 1000 assets.
- It is **not** possible to display journal entries in the test run of the depreciation run.
- The update run can only be started in the background.
- It must be possible to post the company code during the update run.

Periodic Reports

Purpose

A number of standard reports are available for the periodic analysis of asset transactions in the system, (see Information System). In many cases it is useful to bundle or automate the creation of the required reports.

Procedure

To generate periodic reports, proceed as follows:

1. Specify the scope of the report:
    - You determine the required standard reports for this.
    - Define the required sort versions (see Sort Versions).
    - Define the necessary report variants in the respective report transaction under **Goto**.
2. Bundle the reports in a background job (**System** > **Services** > **Jobs** > **Definition**).

Physical Inventory

Use

A physical inventory is the recording of the quantities and amounts relating to the asset portfolio. The FI-AA component provides the following functions to support the physical inventory:

Process Flow

Inventory list

The system provides an inventory list to assist with physical inventory. You find this list in the standard Information System for Asset Accounting. You adapt the structure and sorting of the list to meet your specific needs. You make these modifications using standard ABAP Query (see ABAP Query). The list displays only those assets in which the inventory indicator is set in the asset master record,

Barcode

There is an additional report that enables you to print selected information from the asset master record together with a bar code. It is printed using a freely-definable SAPscript form. You can use the printout for labeling assets for individual identification. The barcode is unique for each asset, since it represents (in the standard system) the asset main number and sub-number.

SAP provides the standard form (formerly called layout set) FIAA_0003. You can use this form, or use a copy of it as the basis for defining your own form (see the Implementation Guide: **Information S ystem** **Define/assign layout sets).** The standard form contains the following text elements:

- Asset description
- Cost center of the asset
- Inventory number
- Asset main number and sub-number
- Barcode

Along with this master record information, you can use all fields in table ANLAV in your form. You can also have any fields in table ANLAV appear as barcode.

i Note

If you want to have the inventory number as barcode, rather than the asset main and sub-number, replace this line in the standard form

<BC>&ANLAV-ANLN1&-&ANLAV-ANLN2&</> with the line

<BC>&ANLAV-INVNR&</>.

Barcode Format

Various barcode formats are available in the SAP System (such as EAN 13). The standard form is set for the format BC_CD39C. This format allows the barcode conversion of all alpha-numeric characters and the hyphen (**no** other special symbols).

In order to change the barcode format (for example, to one with 128 codable characters), you have to change the character string <BC>. You make this change in the transaction for maintaining forms: **Change text elements** .

Size of the Label

You can also determine the size of the label: Proceed as follows:

1. Choose **Change windows** in the transaction for form maintenance.
2. Choose **Edit** **Main windows.**
3. Enter the number of labels you want in each row and column on each page (print area). The system then automatically creates the right size windows for the form. It uses the page format that is specified in the form header (such as 8 1/2 by 11).

Make sure that the printed contents of the label fit in the size label you have chosen. You can change the size of the font in the form window.

Interfaces to Non-SAP Systems

There are various interfaces you can use to link inventory software to the SAP system (refer to Inventory Interface for Non-SAP Systems). This interfaces are particularly useful for returning inventory data, which was gathered using non-SAP software, to the System.

Generating the Inventory List

Procedure

1. Specify the scope of the inventory: Determine the company codes, plants, locations, and so on, in which the inventory should take place. Determine the employees who are to carry out the physical inventory.
2. Create inventory lists (**Info** > **system** > **Report selection** > **Asset portfolio)** and distribute them to the employees carrying out the inventory:

- Define a sort version that contains the relevant master data fields (for example, inventory indicator, location, room) as sort criteria.
- Start the inventory list using this sort version .

1. Process the results of the inventory:

- If an asset is missing, post a retirement. If an asset is found, post an asset acquisition.
- For assets that have changed location, change the asset master record (for example, the location).

1. Enter the inventory date in the affected assets.

Inventory Interface for Non-SAP Systems

The SAP System does not provide special functions for carrying out physical inventory (for example, for generating barcode data). However, it does provide standardized business application interfaces (BAPIs) that enable you to interface with inventory software. The interfaces allow you

- To transfer the current asset inventory data from the SAP System to non-SAP software
- To import the data from the physical inventory back into the SAP System, and trigger any necessary postings

The procedure for carrying out your inventory with the help of non-SAP software could look like this:

1. First the non-SAP system receives an overview of the fixed assets in the SAP System. It gets this overview by calling the BAPI BAPI_FIXEDASSET_GETLIST, which provides information on all fixed assets managed in one company code in the SAP System, or a subset thereof (for example, all fixed assets at a given location).
2. Then you carry out the inventory using the non-SAP system. Depending on the various possible results of the inventory, there are several possible scenarios:
    - The inventory results match the fixed assets data from the SAP System.If this is the case, you can use the BAPI called BAPI_FIXEDASSET_CHANGE to update the inventory date in the asset master record.

- The results of the inventory are not the same as in the SAP System. For example, an asset is at a location different from the one stored in the SAP System. If this is the case, you can use the BAPI called BAPI_FIXEDASSET_CHANGE in order to make the necessary changes (for example, to change the location) in the asset master record.
- The inventory does not find the fixed asset. If this is the case, use the BAPI called BAPI_ASSET_RETIREMENT_POST in order to post a retirement on the basis of the results of the inventory.
- The inventory finds fixed assets that were not recorded at all in the SAP System. Using the BAPI called BAPI_FIXEDASSET_CREATE you can create fixed assets in the SAP System. After creating the asset, you can use the BAPI called BAPI_ASSET_ACQUISITION_POST to post the asset acquisition, or BAPI_ASSET_POSTCAP_POST to post a post-capitalization.

For each BAPI that creates a posting (acquisition, post-capitalization or retirement), there is a corresponding BAPI that carries out all of the same checks as for the posting, but does not create a document. One example is BAPI_ASSET_ACQUISITION_CHECK. You can use these check BAPIs to find incorrect postings before they are imported into the SAP System.

ⓘ Note

For more information on the specifications for the interfaces for these BAPIs, see the documentation for their function modules.

Also note that the use of these BAPIs is not restricted to use related to physical inventories. The same BAPIs can be used for other reasons in order to link Asset Accounting to non-SAP Systems.

Balance Carryforward

Use

This process involves carrying forward account balances into the new fiscal year. The balance to be carried forward is shown in the account balance display. To carry forward balances, you can use separate programs for G/L accounts, and for customer and vendor accounts.

ⓘ Note

You don't need carry balances forward manually if you have already posted to the new fiscal year.

G/L Accounts: You must perform the manual balance carryforward for the new fiscal year at least once. It is then automatically updated during postings to the old fiscal year.

Customer and vendor accounts: Postings to the current fiscal year do not cause the balance carryforward in the new fiscal year to be updated. For this reason, you should perform the manual balance carryforward for customer and vendor accounts at the start of the new fiscal year. Conversely, postings to a previous year (any year preceding the year of the date of entry) cause the balance carryforward to be updated for subsequent years.

Fixed asset accounts: Due to the fact that there is a journal entry, the balance carryforward of Asset Accounting is integrated with the balance carryforward of General Ledger Accounting. The balance carryforward carries the general ledger values and the statistical fixed asset values forward to the new year.

Prerequisites

- **Customer and Vendor Accounts**

  There are no prerequisites for carrying forward customer and vendor accounts.

- **Balance Sheet Accounts**

  To perform balance carryforward for balance sheet accounts, you need to have selected the account as the balance sheet account in the G/L account master data in the chart of accounts. Check the setting for this under Accounting > Financial Accounting > General Ledger > Master Data > G/L Accounts > Individual Processing > In Chart of Accounts.

- **Profit and Loss Accounts**

  - In the master record of each P&L statement account, you have specified a P&L statement account type.
  - You have specified your retained earnings accounts in Customizing:

    To do this, in the Implementation Guide for Financial Accounting , choose General Ledger Accounting > Periodic Processing > Carry Forward > Define Retained Earnings Account.

    If you want to use a different key to the standard key X, specify this key and the P&L account here. In the G/L account master record, enter this key in the P+L Statement Account Type field.

    You can define the settings for the Special Purpose Ledger in Customizing for Financial Accounting under Special Purpose Ledger > Periodic Processing > Balance Carryforward > Retained Earnings Accounts > Maintain Local/Global Retained Earnings Accounts.

    > **Note**
    > Most companies use only one retained earnings account. If you use the profit and loss account type, you can use more than one retained earnings account. This might be useful for example, for international corporations that have to meet various requirements when producing the profit and loss statement. For more information, see Special Features in P&L Accounts.

  - If you want to perform balance carryforward with account assignments, you have specified the additional account assignments. To do this, in the Implementation Guide for Financial Accounting choose General Ledger Accounting > Periodic Processing > Carry Forward > Enter Detail Specifications for P & L Accounts.

    As account assignments, you can use all dimensions used in General Ledger Accounting. You have activated the dimensions for your ledgers by assigning the ledger to a specific scenario or customer field (see also Customer Field and Scenario in General Ledger Accounting).

- **Fixed asset accounts**

  To be able to carry forward fixed asset accounts, only the current fiscal year is allowed to be open in Asset Accounting. If more than one fiscal year is open in Asset Accounting, you must first perform a year-end closing for all fiscal years before the current fiscal year. To do so, from the SAP Easy Access Menu, choose Fixed Assets > Periodic Processing > Year-End Closing > Execute/Undo (transaction FAA_CMP).

Features

The balance carryforward is executed as follows:

- **Balance sheet accounts and customer and vendor accounts**

  The balances on the balance sheet accounts are simply carried forward into the new fiscal year. With the default setting, all account assignments are transferred.

- **Profit and Loss Accounts**

  - Income statement (P&L) accounts are carried forward to retained earnings accounts.
  - Additional account assignments are not transferred. With the standard settings, balances are carried forward in summarized form to the retained earnings accounts. You can define the level of summarization in Customizing. To

do this, in the Implementation Guide for Financial Accounting choose General Ledger Accounting > Periodic Processing > Carry Forward > Enter Detail Specifications for P & L Accounts.

Here, you enter the additional account assignments.

- Transaction currencies are no longer applicable and the profit and loss accounts are summarized in local currency. You can use an indicator in the master record of the retained earnings account to control balance carryforward in transaction or local currency.

- **Fixed asset accounts**

  The system carries all general ledger-relevant values and statistical fixed asset values forward with a balance carryforward. The system writes values carried forward on accounts and ledger level for each fixed asset. The fixed asset accounts are carried forward to the same accounts.

  The balance carryforward must be executed for all representative ledgers. The balance carryforward program can only perform the balance carryforward in Asset Accounting automatically when this was successfully performed in General Ledger Accounting.

  In order to determine the planned depreciation values for the depreciation run, the system automatically triggers a recalculation of values for all fixed assets in the new year. If errors occurred, you should start the recalculation again manually.

General Functions

- **Automatically Adjusting Balances Carried Forward**

  When you carry forward the balances for G/L accounts at the end of a fiscal year, the system automatically adjusts the balances when you post values to the previous year. The system uses an indicator to determine whether the balances have been carried forward. Once this has been done, the balance is automatically carried forward whenever a posting is made, even when a posting is made to the previous year. It is therefore not necessary to execute the balance carryforward again.

- **Account Adjustment**

  If you discover that a G/L account had been mistakenly set up in the prior year as an income statement account instead of a balance sheet account (or vice versa), you first adjust the G/L account master record and then rerun the balance carryforward program.

- **Currencies**

  When you execute balance carryforward, all currencies of the ledger are automatically carried forward.

Activities

Perform the balance carryforward individually for each ledger.

To perform the balance carryforward, you run the following programs:

- **G/L Accounts**

  From the SAP Easy Access menu, choose Accounting > Financial Accounting > General Ledger > Periodic Processing > Closing > Carry Forward > Balance Carryforward.

- **Customer and Vendor Accounts**

  From the SAP Easy Access menu, choose Accounting > Financial Accounting > Customers / Vendors > Periodic Processing > Closing > Carry Forward > Balance Carryforward.

Note

You can only carry forward balances in **Accounts Receivable** or **Accounts Payable** for individual accounts. In **General Ledger Accounting**, however, you have to carry forward balances for all G/L accounts.

- **Special Purpose Ledgers**

  From the **SAP Easy Access** menu, choose **Financial Accounting** > **Special Purpose Ledger** > **Periodic Processing** > **Balance Carryforward**.

Additional Information

G/L Account Master Data in the Chart of Accounts

Year-End Closing

Purpose

The year-end closing contains an annual balance sheet, an annual profit and loss statement, and an appendix with additional information (annual report), which has to be created to meet the particular legal obligations in each country. Before you can close a fiscal year in Financial Accounting from a bookkeeping perspective, you have to carry out preparatory measures in Asset Accounting.

Undergoing Year-End Closing

You use the year-end closing program to close the fiscal year for one or more company codes from an accounting perspective. Once the fiscal year is closed, you can no longer post or change values within Asset Accounting (for example, by recalculating depreciation). The fiscal year that is closed is always the year following the last closed fiscal year. You can**not** close the current fiscal year.

Example

The fiscal year here is equal to a calendar year.

Fiscal year	Explanation
2017	Last closed fiscal year
2018	
2019	Current fiscal year Current Date: March 23, 2019

In this case you can close fiscal year 2018 (previous year).

To carry out year-end closing, you use the program from the SAP Easy Access Menu, choose Asset Accounting > **Periodic Processing** > **Year-End Closing** > **Execute/Undo**. Proceed as described in Execute Year-End Closing.

You should include the year-end closing in the task list of an scheduling program and execute them in the background.

Checks

The system only closes a year in a company code when the following conditions have been met:

- The system found **no** errors during the calculation of depreciation (such as, incorrectly defined depreciation keys).
- Planned Depreciation was not Posted Completely to the General Ledger
- All assets acquired in the fiscal year have already been capitalized.

  Since this check does **not** make sense for assets under construction, you can prevent this check from being made for assets under construction by means of the asset class.
- All incomplete assets (master records) have been completed.

The system lists any assets that do not meet the above requirements in the log of the year-end closing. The log also shows the reason for the errors.

Undo the Year-End Closing

If you have closed a fiscal year by mistake and still have to make adjustments, you can reopen the last closed fiscal year for individual depreciation areas of a company code or all depreciation areas of a company code.

To reset the year-end closing in the SAP Easy Access Menu of Fixed Assets **Periodic Processing** > **Year-End Closing** > **Execute/Undo**.

⚠ Caution

A fiscal year that is before the year of the migration to SAP S/4HANA is **not** allowed to be opened again.

Additional Information

For more information, see:

- Execute Year-End Closing,
- Handling Errors with Year-End Closing and
- in the system. In the program **Year-End Closing Execute/Undo**, call up the help function by choosing the **Configuration Help** pushbutton.

Execute Year-End Closing

Procedure

1. Determine the company codes that are to be closed.
2. Check which fiscal year was closed last (in the SAP Easy Access menu of Asset Accounting) under **Periodic Processing** > **Year-End Closing** > **Execute/Undo**).
3. Check if there are data inconsistencies in valuation between the **Financial Accounting (FI)** and **Materials Management (MM)** components. To do this, start program `RM07MBST` for the last period of the fiscal year: **List of stock values: Balance display** (transaction `MB5L`) Enter a company code under **Database Selection** on the initial screen and set the **Totals only** indicator under **Scope of List**. If you see differences, get them cleaned up. You can continue with the year-end closing during the clean-up, but you have to wait until the clean-up has finished before creating the financial statements.
4. Check whether all low value assets have been capitalized. If LVAs were collected in a profit and loss account, the balance from this account must be capitalized to an asset.

5. Settle all assets under construction that were completed in the fiscal year you want to close.
6. Start the program for recalculating depreciation (refer to Recalculating Values), in order to include any possible changes to the depreciation terms for assets in the depreciation calculation of the fiscal year to be closed.
7. Run the last regular depreciation posting run. If the depreciation amounts changed since the last regular posting run, you can start additional posting runs for special periods.
8. Run reports on the current asset values. Analyze whether these values meet the requirements of your accounting policy. If necessary, you can make adjustment postings within the latitudes allowed for asset values and for the inclusion of assets in the asset portfolio. Return to point 6.
9. Start the year-end closing program (in the SAP Easy Access menu of Asset Accounting under **Periodic Processing** > **Year-End Closing** > **Execute/Undo** (transaction FAA_CMP)). The program blocks the current fiscal year to further posting to assets.
10. Create the necessary reports (for example, asset history sheet).

Additional Information

Graphics: Process Flow of Year-End Closing

Figure: Process flow of year-end closing.

The following figure shows the year-end closing procedure in the form of a program flowchart:

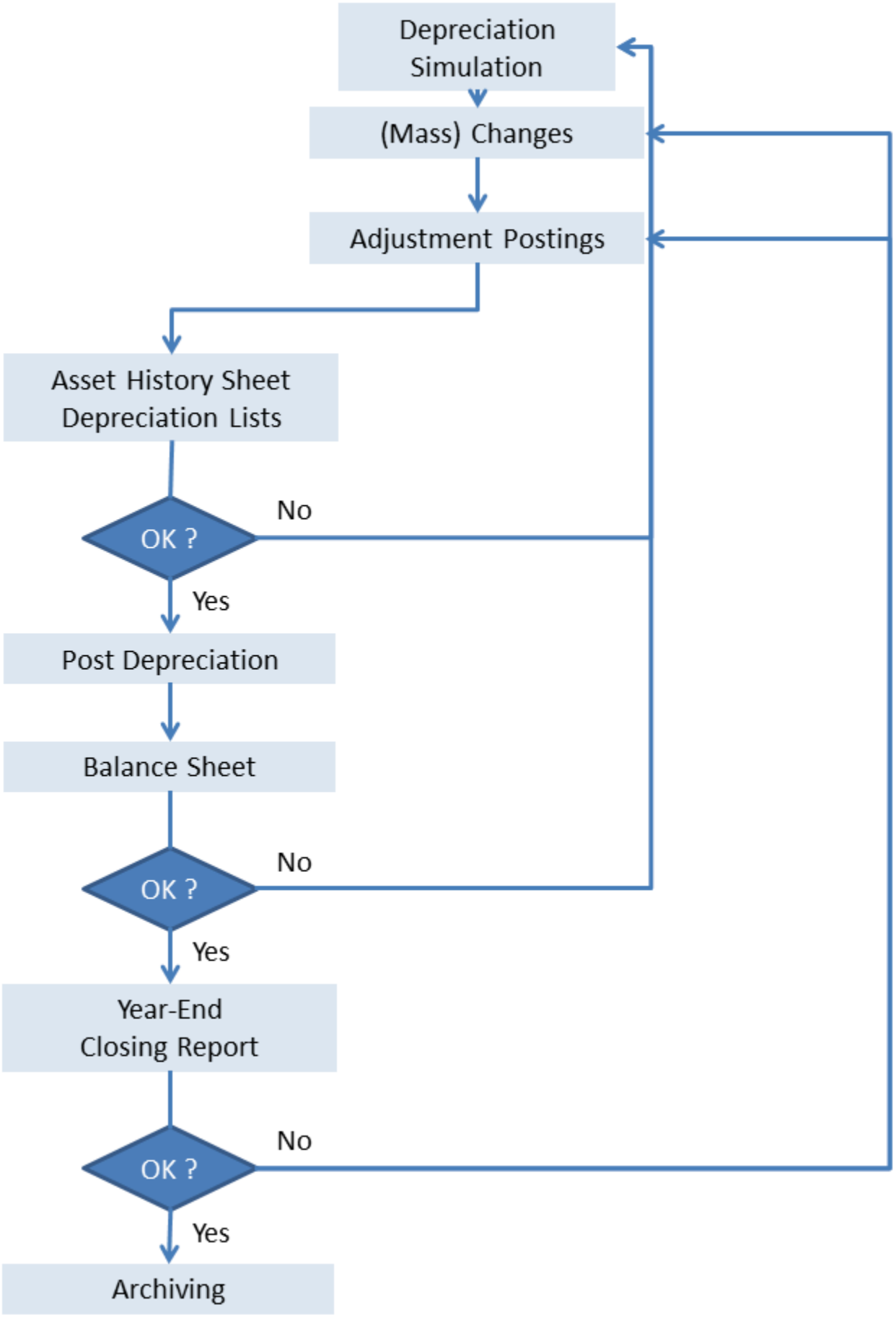


Figure: Process flow of year-end closing.

Handling Errors with Year-End Closing

The following describes which errors can occur with the year-end closing and how to solve them:

There Are Errors in the Calculation of Depreciation

In this case, call the master data of the affected asset and recalculate the values (in the master data transaction under **Edit** - refer to Recalculating Values).

Either you now receive an error message with additional long text explanations, or the error is corrected by the recalculation. When the error has been corrected, it is possible that planned depreciation values could have changed. Therefore, run a depreciation posting run again (in the same period or in a special period).

Planned Depreciation was not Posted Completely to the General Ledger

In this case run a depreciation posting run (in the same period or in a special period).

The Capitalization Date was not Set

Check if all asset classes for assets under construction have been entered correctly in the initial screen of the year-end closing transaction. It is normal that assets under construction are **not** capitalized. When you enter the asset classes for assets under construction in the initial screen, these assets are exempted from the check to see if assets are capitalized.

If the assets with this error are **not** assets under construction, set the capitalization date manually in their master records. Then carry out a depreciation posting run.

There are Incomplete Assets

Any incomplete asset master records that are identified during the year-end closing have to be completed. To select the affected assets and to analyze the cause of the error, use the corresponding program (in the Easy Access Menu of Asset Accounting under **Environment** > **Problem Analysis** > **Incomplete Assets** (transaction (AUVA)).

For more information, see Processing Incomplete Assets

Primary Cost Planning

Purpose

For primary cost planning related to cost center accounting, you need to forecast future depreciation. You can therefore determine the planned depreciation and interest for any Asset Accounting depreciation area periodically and transfer this to Cost Accounting (CO) using a program; this is **not** possible for derived depreciation areas. With the help of an indicator on the program selection screen, you can define whether the planning should take place on cost centers or on orders.

→ Recommendation

We recommend that you execute the program for primary cost planning at a time when the system workload is low.

If you **do not** want to post planned costs to Controlling, check whether you want to use the program **Depreciation Simulation** (`RASIMU_ALV01`) instead of using the program for primary cost planning.

Process Flow

The system determines the planned depreciation in the same way as for the depreciation simulation. For more information, see the sections Depreciation Forecast, Depreciation Forecastwith Planned Investments and APC Values for Planned Investments.

The transfer program plans the depreciation, using the appropriate cost element, on the cost center or the order. Planned costs that already exist for this cost element are overwritten (addition does **not** take place). The program terminates with an error message if it finds values that **cannot** be transferred in the production run. Once the error has been corrected, you can restart the program. You can re-run the program for the entire original data, since previously transferred planned values are overwritten and **not** added together.

Planned capital investments

If you are using the components Investment Management (IM) or Order Project Accounting (CO-OPA) and Project System (PS), you can include the result of the plan/budget values of investment measures and investment program positions resulting in simulated depreciation and interest in the primary cost planning, in addition to the depreciation of assets that are already capitalized. You can choose whether the system uses the budgeted values or plan values as the APC for planned capital investments. You can make the corresponding selection when you start the program. When the simulation is based on plan values, you can also specify the plan version to be used.

For primary cost planning with planned investments, the following conditions must be met:

- Depreciation-simulation data must be defined in the master data of the affected orders/WBS-elements/investment program position (master data maintenance under **Extras**).
- The planned investment has to have budget or plan values.

Capitalizations in the Current Fiscal Year

The system bases the calculation of the APC basis for the depreciation simulation of planned investments on the plan values or budget values.

For orders and WBS elements, the system normally does **not** modify these plan or budget values, as long as parts of the planned capital investment were already settled to fixed assets. If you have already settled to fixed assets, and you simulate depreciation for capitalized assets together with planned capital investments, both the unchanged plan or budget values of the order or WBS element, as well as the already capitalized asset values would be included in the simulation. As a result, the already capitalized values would be duplicated.

To avoid double counting on the initial screen of the depreciation simulation, the system provides two alternative options for handling the capitalizations of the current fiscal year:

- The report ignores the capitalization postings in the current year. As a result the simulation is always based on the asset balance sheet values at the start of the current fiscal year.
- The report excludes capitalization that has already been posted for orders or WBS elements. These amounts are not considered as part of the APC basis for the depreciation simulation.

You specify the method you want to use by setting that indicator in the initial screen before starting the depreciation simulation.

See also:

For more information on the calculation logic it is based on, see Depreciation Simulation with Planned Investments. Also see the field documentation for the corresponding indicators.

Determining the Cost Center or Order

For capitalized assets, the system plans on the cost center or order that is defined in the asset master record for time-dependent data and is valid for the planning period. For planned investments, the system uses the cost center or order in the depreciation

simulation data (the receiving cost center/order).

The assets, orders, and projects, for which the system **cannot** determine a cost center, are listed in the log under the cost center "??????????". This is a problem particularly for orders, for which you have already entered explicit settlement rules. The system **cannot** determine a cost center for these orders, since the settlement cost center is no longer available in the order master record. The system lists records under the cost center "??????????" in the log, but the values for these records are **not** included in the productive transfer to the CO system. You need to perform a manual follow-up, in which the costs from the log are planned for the desired cost centers.

Activity Type

You can request activity type-dependent and/or activity type-independent planning.

- **Activity type-independent planning only**

  Planning is carried out on the cost center, independent of the activity type. If there is an activity type in the asset master record, the system **ignores** it.

- **Activity type-dependent planning only**

  Planning is carried out dependent on the activity type at the level of the cost center.

- **Planning activity type-dependent and independent.**

  The costs of assets with an activity type are planned activity type-dependent; the costs of assets without an activity type are planned activity type-independent on the cost center.

Distribution key

If you specify a distribution key for the program start, values are determined based on the time period specified in the from/to period. The values are then distributed according to the distribution key to the individual periods. If you **do not specify a** distribution key, the system executes a value determination individually for each period of the planning period.

Separation of fixed and variable costs

It is basically possible to separate the depreciation of assets into fixed and variable portions (see Depreciation for Multiple-shift Operation and Shutdown). This separation is also recognized in primary cost planning: The report calculates the pure fixed cost portion along with the total costs. The variable costs are determined, according to the definition, as the difference between these two values. However, the system only calculates fixed costs separately if the following requirements are met:

- You must have requested activity-type dependent planning.
- An activity type and a multiple shift factor is specified in the asset master record. If the asset is **not** used in multiple shifts, you must set the shift factor to 1.
- The planning parameter that is entered must specify manual fixed cost planning that is activity type-dependent.

Changing the Cost Center in the Asset Master Record

If the cost center assignment of assets has changed during the year, the system reflects this change down to the particular period. However, the following should be kept in mind:

- The change of cost center has to take place at the end of a period or at the beginning of a period.
- If primary cost planning takes place using a distribution key, the period interval must be allocated into part intervals so that **no** change of cost center is in one of these subintervals. Start a separate primary cost planning run for each sub-interval.

Example

An entire fiscal year from period 1 to 12 should be planned. Changes to the cost center took place on 1.4. and 1.10..

If you enter a distribution key when starting primary cost planning, you must carry out three primary cost planning runs:

- For periods 1 to 3
- For periods 4 to 9
- for periods 10 - 12

If **no** distribution key is specified, it is sufficient to have one primary cost planning run for periods 1 to 12.

Restrictions

You can limit the selection of assets first on the initial request screen for the report. The limitations according to company code, asset class, business area, cost center and plant apply for assets as well as for orders or projects. The limitation according to location and asset super number applies only to assets. Also enter the depreciation area from where the depreciation or interest that is planned come.

Enter the fiscal year for which you are planning. The system determines the cost center/activity type for assets based on the cost center/activity type that is valid for the asset at the **end** of this fiscal year.

You can limit the planning to a given period interval in the fiscal year. If you do **not** make any limitation, the system plans for the entire fiscal year (from the first period to the last period).

Procedure

Executing Primary Cost Planning

Executing Primary Cost Planning

Procedure

1. Call up the program for primary cost planning (in the SAP Easy Access menu of Asset Accounting under **Periodic Processing** > **Primary Cost Planning: Depreciation/Interest**).
2. Make standard limitations of the logical database for Asset Accounting.
3. Enter the depreciation area whose values are to be used for the cost planning. Remember that derived depreciation areas (see Derived Depreciation Areas) **cannot** be used here.
4. Enter program-specific information:
    - Controlling area/activity type for the pass by value
    - You also determine whether you want to include planned capital investment measures.
    - You determine how the capitalizations in the current fiscal year are to be handled.
    - Limit the periods to be planned.
    - Determine whether the planning should be activity type-dependent or independent.
    - Specify how you want capitalizations in the current fiscal year to be calculated.

5. Start the program.

Simulation

Purpose

Simulation is the experimental changing of the depreciation parameters for all assets or for certain assets. When simulating the value development of assets, you can vary all of the important depreciation terms (depreciation key, useful life, index series). There are different approaches that you can use when simulating asset values:

- Simulation of values for a single asset by changing the depreciation parameters using the asset value display transaction. There are two main parameters that you can change:
  - Depreciation terms (depreciation key, useful life, and so on)
  - Transactions
- Simulation of depreciation for future fiscal years for groups of assets with the help of a special simulation report and a simulation version (refer to Simulation Versions).

Note

In addition, it is possible to include planned capital investments (orders/projects and capital investment programs) in the simulation.

More Information

Procedures:

- Simulating Depreciation of Individual Assets
- Simulating Depreciation for Future Fiscal Years

Simulating Depreciation of Individual Assets

Procedure

1. Determine the asset for which you want to simulate values.
2. Call up the asset value display transaction for this asset (**Asset** > **Asset value display** >). In the initial screen, choose the function **Sim. dep. terms.**
3. Specify the depreciation terms for the simulation (depreciation key, useful life, and so on) for the asset. If you wish, you can also define a new depreciation key, or update the index series specified in the depreciation terms.
4. Start the simulation **(Enter).** Analyze the values displayed. You can follow the value development of the asset in future fiscal years (Function **:Next fiscal year)** and in different depreciation areas (Function **:Next area**).
5. Call up the asset value display transaction again and choose the function **Simulate trans.**
6. Create the posting entries for the transaction you want to simulate.
7. Start the simulation. Analyze the values displayed.

Simulating Depreciation for Future Fiscal Years

Procedure

1. Decide if you want to include planned capital investments in the simulation.

- If you choose to include them, determine the orders or projects, or the investment programs, concerned.
- Check the simulation parameters in the master records of the orders or projects (in the master data transaction of the components CO-OPA or PS or IM under **Extras**).

1. Check if there is already a simulation version that you can use **(Info system > Simulation version >). If necessary, create a new simulation version with the appropriate depreciation terms. If there is no appropriate depreciation key available, create a new depreciation key in FI-AA Customizing (refer to "Depreciation/Valuation Keys" in the Implementation Guide).**
2. If necessary, modify the definition of the depreciation areas you want to use in FI-AA Customizing. This modification might be necessary, for example, if the definition of the depreciation area only allows for positive net book values, and you want to simulate depreciation below zero (refer to "Depreciation Areas" in the Implementation Guide).
3. Call up the report **(Info system > Report selection > Depreciation forecast > Several years).**

- Make the required limitations (assets, orders/projects, capital investment programs).
- Enter a simulation version.
- Specify, If needed, that the depreciation amounts should only be simulated up to the planned retirement date of the asset (indicator in the initial screen of the report).

1. Start the report.

Schedule Asset Accounting Jobs

With this app you can schedule Asset Accounting jobs using the templates and scheduling options provided.

Key Features

- Use the following job templates:
  - Recalculate Depreciation
  - Depreciation Posting Run
- Schedule the start time for the job or start it immediately.
- Define whether the job should recur, and set up a recurrence schedule including how to handle non-working days.

Supported Device Types

- Desktop
- Tablet

Relevant Business Catalog

Recalculate Depreciation

This job recalculates depreciation and can be used when there is a change to the value, depreciation method, or life of an asset changes.

Use

The planned depreciation is determined with each master record change and with each posting on the asset and updated in the database accordingly.

Depreciation Posting Run

This job posts the depreciation and interest to the G/L accounts in Financial Accounting, or to cost accounting.

Use

The depreciation run adopts the planned asset values and posts them in Financial Accounting. The journal entry is updated in Financial Accounting at asset level.

Fiscal Year Change in Asset Accounting: FAQ

This section answers important questions about the fiscal year change in Asset Accounting.

At the end of the current fiscal year YYYY, I would like to prepare for posting to the new fiscal year YYYY+1. What must I do so that my colleagues can continue working freely in the new fiscal year?

In the last period of fiscal year YYYY, you must schedule a job to perform the balance carryforward for all representative ledgers and thus open the new fiscal year YYYY+1. The successful execution of the balance carryforward is a prerequisite so that you can make fixed asset postings in the new fiscal year (YYYY+1).

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	Fixed Assets > Periodic Processing > Fiscal Year Change > Balance Carryforward - Central FI > (Transaction FAGLGVTR)	Schedule General Ledger Jobs, job template Balance Carryforward
Further Information	General Ledger Accounting: Balance Carryforward Asset Accounting: Balance Carryforward	

You can check whether the balance carryforward has already been performed, display its status, and display the log.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	General Ledger > Periodic Processing > Closing > Carry Forward > Balance	Balance Carryforward Status

	SAP GUI	SAP Fiori Launchpad
	Carryforward - Result Lists (Transaction FAGLGVTR_PROT)	

What do I need to do so that I can post to the new fiscal year?

You need to schedule the balance carryforward as described in the previous response.

However, you also need to ensure that the posting periods are maintained for the new fiscal year (YYYY+1). As a rule, the general ledger accountant is responsible for ensuring that the posting periods are opened.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	General Ledger > Environment > Current Settings > Open and Close Posting Periods (Transaction FAGL_EHP4_T001B_COFI)	Manage Posting Periods
Further Information	General Ledger Accounting: Opening and Closing Posting Periods	General Ledger Accounting: Manage Posting Periods

How many fiscal years can be open at the same time?

In Asset Accounting, only two fiscal years are allowed to be open at the same time. To be able to open the new fiscal year (YYYY+1), you must first close the fiscal year YYYY-1.

Fiscal year YYYY-1	Fiscal year YYYY	Fiscal year YYYY+1
Open	Open	--
→ Must first be closed		→ Can only be opened when YYYY-1 is closed

Depending on whether you want to close one or more company codes or ledgers at the same time, different transactions and apps are available:

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	Fixed Assets > Periodic Processing > Year-End Closing → • Execute/Undo (Transaction FAA_CMP) • Execute (Cross-Company Code and Ledger) (Transaction FAA_CLOSE_FISC_YEARS)	• Make Company Code Settings - Asset Accounting-Specific • Schedule Asset Accounting Jobs, job template Year-End Closing Asset Accounting (Cross-Company Code and Ledger)
Further Information	See the configuration help or the program documentation in the transaction	Within the app, choose the Configuration Help button or call the in-app help.

I get an error message saying that the fiscal year is already closed. How do I find out which fiscal years are already closed?

You can determine which fiscal years have already been closed in transaction FAA_CMP or in the app Make Company Code Settings – Asset Accounting-Specific. You then choose the required company code and ledger.

In the ledger settings, you can also see which fiscal year was opened by the fiscal year change or the balance carryforward.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	Fixed Assets > Periodic Processing > Year-End Closing > Execute/Undo (transaction FAA_CMP)	Make Company Code Settings - Asset Accounting-Specific
Further Information	Choose Configuration Help within the transaction.	Choose Configuration Help within the app.

How is the current fiscal year and the fiscal year last closed determined for the first time in a newly created company code?

The system derives the current fiscal year and the fiscal year last closed from the legacy data transfer date in the legacy data transfer segment. You need to create a legacy data transfer segment in the transaction FAA_CMP or in the app Make Company Code Settings - Asset Accounting-Specific.

If you **do not** perform a legacy data transfer in the new company code (for example, because it is for a startup company), you **do not** need to create a legacy data transfer segment; instead, you can specify the highest open fiscal year (Highest F. Year) directly in the ledger settings.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	Fixed Assets > Periodic Processing > Year-End Closing > Execute/Undo (transaction FAA_CMP)	Make Company Code Settings - Asset Accounting-Specific
Further Information	Choose Configuration Help within the transaction.	Choose Configuration Help within the app.

I want to make my first postings in Asset Accounting in a new company code for the current fiscal year YYYY. However, the system issues an error message that I should first execute a balance carryforward to the current fiscal year. - Why and when do I need to perform the balance carryforward even though I have not yet made any postings in previous years?

Before you can make the first postings in Asset Accounting for the current fiscal year YYYY, the following prerequisites must be fulfilled:

1. **The highest fiscal year is defined:**

   In transaction FAA_CMP or in the app Make Company Code Settings - Asset Accounting-Specific, you define the current fiscal year by specifying the highest fiscal year. You have the following options for doing this:

   - If you want to perform a legacy data transfer, proceed as follows:

     Create a legacy data transfer segment on the Legacy Data Transfer tab page. Enter a legacy data transfer date for the legacy data transfer segment. The system automatically derives the current fiscal year and the fiscal year last closed from the legacy data transfer date.

   - Alternatively, you can define the highest open fiscal year (Highest F. Year) directly in the ledger settings.

2. **The balance carryforward was executed:**

   You have to execute a balance carryforward to the current fiscal year (YYYY). This applies regardless of whether you have carried out a legacy data transfer or whether you do not perform a legacy data transfer, for example, due to a start-up.

   The balance carryforward is necessary so that the system can update the values based on the balances and your postings from the legacy data transfer. Without the balance carryforward, incorrect values would occur due to values missing from the previous year.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	1. Fixed Assets > Periodic Processing > Year-End Closing > Execute/Undo (transaction FAA_CMP) 2. Fixed Assets > Periodic Processing > Fiscal Year Change > Balance Carryforward - Central FI (transaction FAGLGVTR)	1. Asset Accounting: Make Company Code Settings - Asset Accounting-Specific 2. General Ledger Accounting: Schedule General Ledger Jobs, job template Balance Carryforward
Further Information	1. Choose Configuration Help within the transaction. 2. General Ledger Accounting: Balance Carryforward Asset Accounting: Balance Carryforward	Asset Accounting: Choose Configuration Help within the app.

I want to create an asset master record in a new company code. If I enter the company code and asset class for this, then the system issues an error message (for example, AY159) saying that no information exists yet for the fiscal year last closed in the company code. - What do I need to do?

Check whether you have defined the closed fiscal year and the current fiscal year.

You select the relevant company code and ledger in transaction FAA_CMP or in the app Make Company Code Settings - Asset Accounting-Specific. In the settings for ledgers and depreciation areas, the system displays the fiscal year last closed. In the ledger settings, you will also find information about the last fiscal year that was opened by the fiscal year change (this is the fiscal year for which the balance carryforward was executed).

To enable the system to derive the fiscal year last closed, you have to create a legacy data transfer segment or specify the highest fiscal year. See also the answer to the previous question.

The balance carryforward has already been executed. Do I need to re-execute it after I post to the previous fiscal year (YYYY-1)?

No, you **do not** need to perform the balance carryforward again in this case. You have successfully performed the balance carryforward in the last days of the fiscal year (YYYY-1). This means that the system automatically transfers all subsequent postings for fiscal year YYYY-1 to the current fiscal year YYYY.

I have performed the individual activities for year-end closing in Asset Accounting for the fiscal year YYYY-1; however, I did not close the fiscal year immediately. If, a few days later, in the app Make Company Code Settings - Asset Accounting-Specific, I want to close the fiscal year YYYY-1 for the company code, ledger, or depreciation area, I receive an error message (for example, AU267). - Why does this happen?

Either the prerequisites for closing the fiscal year have **not** been met (see the following question), or you have made changes in Asset Accounting that affect values of the fiscal year YYYY-1. In the meantime, you may have changed the depreciation terms for an asset so that you have to recalculate and post the depreciation values for all fiscal years that are open in Asset Accounting (that is, also for the previous year YYYY-1).

You have the following options for calculating and posting depreciation:

- Option 1: You start the calculation and posting in a test run, check the fixed assets, and execute the calculation and posting in the update run.

- Option 2: You change the depreciation terms back in such a way that **there is no** depreciation to be carried out in the previous year YYYY-1.

For both options, you must then close the previous year.

ℹ Note

If you change the depreciation terms for an asset, this **always** affects the planned depreciation and depreciation to be posted in the fiscal years that are open in Asset Accounting. Therefore, check whether you want to adjust the depreciation terms only as of a certain time interval.

If I try to close the fiscal year YYYY-1 in Asset Accounting, I receive an error message (for example, FAA_CMP078). Why can't I close the fiscal year?

You cannot close fiscal year YYYY-1 for a ledger or a depreciation area in an Asset Accounting company code until you have fulfilled the necessary requirements. This includes the following steps:

1. You have successfully **calculated** depreciation for all fixed assets for the entire fiscal year YYYY-1.

   To do this, you can use transaction AFAR or the app Schedule Asset Accounting Jobs with the job template Recalculate Depreciation.

2. You have successfully **posted** depreciation for all fixed assets for the entire fiscal year YYYY-1.

   To do this, you can use transaction AFAB or the app Schedule Asset Accounting Jobs with the job template Depreciation Posting Run.

3. If you have carried out a legacy data transfer in the fiscal year to be closed YYYY-1, you have done the following:

   a. You have finished the legacy data transfer for fiscal year YYYY-1 and reconciled the results with the legacy system.

   b. In transaction FAA_CMP or in the app Make Company Code Settings - Asset Accounting-Specific, on the Legacy Data Transfer tab, you have set the status of the legacy data transfer segments that have a legacy data transfer date in fiscal year YYYY-1 to Completed.

   c. For legacy data transfer during the year, the following also applies:

      Depending on the structure of your legacy data transfer, you may need to calculate and post depreciation for fiscal year YYYY-1.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	1. Fixed Assets > Environment > Recalculate Values (transaction AFAR) 2. Fixed Assets > Periodic Processing > Depreciation Run > Execute (transaction AFAB) 3. IMG: Asset Accounting > Asset Data Transfer > Parameters for Data Transfer > Define Transfer Date and Additional Parameters (transaction FAA_CMP_LDT)	1. Schedule Asset Accounting Jobs, job template Recalculate Depreciation 2. Schedule Asset Accounting Jobs, job template Depreciation Posting Run 3. Make Company Code Settings - Asset Accounting-Specific Legacy Data Transfer: Various apps
Further Information	1. Post Depreciation 2. Post Depreciation	1. Recalculate Depreciation 2. Depreciation Posting Run

	SAP GUI	SAP Fiori Launchpad
	3. Choose **Configuration Help** within the transaction. See also Legacy Data Transfer	3. Choose **Configuration Help** within the app. See also Legacy Data Transfer

How can I execute the year-end closing for multiple company codes?

With transaction FAA_CMP or with the app **Make Company Code Settings - Asset Accounting-Specific**, you can only perform year-end closing for each company code and ledger.

However, you can close the fiscal year for **several** company codes and/or ledgers in one step using transaction FAA_CLOSE_FISC_YEARS or the app **Schedule Asset Accounting Jobs** with the job template **Year-End Closing Asset Accounting (Cross-Company Code and Ledger)**.

	SAP GUI	SAP Fiori Launchpad
Path in the SAP Easy Access menu or **App on the SAP Fiori launchpad**	**Fixed Assets** > **Periodic Processing** > **Year-End Closing** > **Execute (Cross Company Code and Ledger)** (transaction FAA_CLOSE_FISC_YEARS)	**Schedule Asset Accounting Jobs**, job template **Year-End Closing Asset Accounting (Cross-Company Code and Ledger)**
Further Information	See the **program documentation** in transaction	--

Do I have to follow a certain sequence when closing the fiscal year in Asset Accounting and General Ledger Accounting?

Yes, you must **always** close the fiscal year in Asset Accounting **before** you close the fiscal year in General Ledger Accounting.

DataSources in Asset Accounting

Use

You can use the DataSources in this component to transfer data to SAP Business Warehouse. You can find more information about the BI Content provided in SAP Business Warehouse for this component at http://help.sap.com/bicontent under **Application Help** > **BI Content** > **SAP ERP Central Component** > **Financials**.

FI-AA: Transactions

Technical name: 0FI_AA_11

Technical Data

DataSource Type	Transactional data (transaction data)
Application Component	**Asset Accounting (FI-AA)**
Available as of OLTP Release	4.6B
Available as of Plug-In Release	2003.1
RemoteCube-Enabled	No

Prerequisites

Before you can use the delta extraction, you have to activate the FIAA_BW_DELTA_UPDATE BAdI. This BAdI ensures that the change tables – BWFIAA_AEDAT_TR, BWFIAA_AEDAT_AB and BWFIAA_AEDAT_AS – are updated when you update transactions, or create and change master data and annual values for assets.

Use

This DataSource supplies the transaction data and annual plan values for fixed assets.

Delta Update

Afterimages using extractor

Origin Fields for the Extraction Structure

Field in the Extraction Structure	Description of the Field in the Extraction Structure	Origin Table	Field in the Origin Table
BUKRS	Company code	ANLC/ANEP	BUKRS
ANLN1	Main asset number		ANLN1
ANLN2	Asset subnumber		ANLN2
GJAHR	Fiscal year		GJAHR
FISCPER	Fiscal year / period	ANEP	PERAF
LNRAN	Sequence number of asset line items in fiscal year		LNRAN
AFABER	Depreciation area real or derived	ANLC/ANEP	AFABER
BWASL	Asset transaction type	ANEP	BWASL
WAERS	Currency key	T093B	WAERS
PERIV	Fiscal year variant	T093B/T001	PERIV
BW_ANSBW_T	Acquisition value for transactions	ANEP ANLC ANLC	ANBTR KANSW ANSWL
BW_INVBW_T	Investment support on transaction	ANEP ANLC ANLC	ANBTR KINVZ INVZM
BW_NAFAB_T	Ordinary depreciation on transactions	ANEP ANLC ANLC	NAFAB or ANBTR KNAFA NAFAP

Field in the Extraction Structure	Description of the Field in the Extraction Structure	Origin Table	Field in the Origin Table
BW_SAFAB_T	Special depreciation on transactions	ANEP ANLC ANLC	SAFAB or ANBTR KSAFA SAFAP
BW_AAFAB_T	Unplanned depreciation on transaction	ANEP ANLC ANLC	ANBTR KAAFA AAFAP
BW_MAFAB_T	Transfer of reserves from transaction	ANEP ANLC ANLC	ANBTR KMAFA MAFAP
BW_ZINSB_T	Interest on transaction	ANEP ANLC ANLC	ZINSB KZINW ZINSP
BW_AUFBW_T	Revaluation on transaction	ANEP ANLC ANLC	ANBTR KAUFW AUFWP
BW_AUFNP_T	Revaluation of ordinary depreciation on transaction	ANEA ANLC ANLC	AUFNV + AUFNL KAUFN AUFNP
BW_NAFAW_T	Transaction: acc.dep. and write-up on ordinary depreciation	ANEA ANLC ANLC	NAFAV NAFAV NAFAL + ZUSNA
BW_SAFAW_T	Transaction: accum.dep.and write-up on special depreciation	ANEA ANLC ANLC	SAFAV SAFAV SAFAL + ZUSSA
BW_AAFAW_T	Transaction: acc.dep. & write-up on unplanned depreciation	ANEA ANLC ANLC	AAFAV AAFAV AAFAL + ZUSSA
BW_MAFAW_T	Transaction: acc.dep.and write-up on transfer of reserves	ANEA ANLC ANLC	MAFAV MAFAV MAFAL + ZUSMA
BW_AUWWW_T	Accum. depreciation on revaluation of APC	ANEA ANLC ANLC	AUFWV + AUFWL AUFWV AUFWL

Field in the Extraction Structure	Description of the Field in the Extraction Structure	Origin Table	Field in the Origin Table
BW_AUFNW_T	Accum.depreciation on revaluation of ordinary depreciation	ANEA ANLC	AUFNV + AUFNL AUFNV
BW_INVZW_T	Accumulated depreciation on investment support	ANEA ANLC ANLC	INVZV + INVZL INVZV INVZL
ERLBT	Revenue from asset sale	ANEA	ERLBT
VERKO	Costs from asset retirement		VERKO
MINERL	Loss from asset retirement		Calculated
MEHERL	Gain from asset retirement		

Extractor Features

The extractor reads any new transactions since the last run from table BWFIAA_AEDAT_TR. This table also contains the keys of any new or changed annual values, which are also read using this extractor.

The transaction type for the transaction determines which fields of the extraction structure are supplied with values. The posting amount (ANBTR) is converted, dependent on whether it is, for example, for manual depreciation or an acquisition, so that the transaction type no longer needs to be interpreted in BW. In a similar way, the annual values from table ANLC are converted to pseudo-transactions (using transaction type PLN for planned values and transaction type CUM for cumulative annual values).

The delta process is related to the extraction of data from the general ledger (for example, 0FI_GL_4). For more information, see Financial Accounting: Line Item Extraction Procedure .

FI-AA: Posted Depreciation

Technical name: `0FI_AA_12`

Technical Data

Type of DataSource	Transaction Data
Application Component	Asset Accounting (FI-AA)
Available as from OLTP Release	4.6B (1)
Available as from PlugIn Release	2003.1
RemoteCube-capable	No

Explanation:

(1) The DataSource was adjusted to suit the data structures of the universal journal entry for the releases SAP Simple Finance 1503 and higher, as well as SAP S/4HANA 1511 and higher.

Use

This DataSource provides the values of depreciation postings by period. The depreciation values are simulated for periods that have not been posted yet.

Delta Update

After-Images via Extractor

Source Fields in the Extract Structure

Field in the Extract Structure	Description of the Field in the Extract Structure	Source Table	Field in the Source Table
BUKRS	Company Code	ACDOCA / FAAT_PLAN_VALUES	BURKS
ANLN1	Main asset number	ACDOCA / FAAT_PLAN_VALUES	ANLN1
ANLN2	Asset Subnumber	ACDOCA / FAAT_PLAN_VALUES	ANLN2
AFABER	Depreciation Area, Real or Derived	ACDOCA / FAAT_PLAN_VALUES	AFABE
WAERS	Currency key	ACDOCA / FAAT_PLAN_VALUES	RHCUR RKCUR ROCUR RVCUR RBCUR RCCUR RDCUR RECUR RFCUR RGCUR
FISCPER	Fiscal year/period	ACDOCA / FAAT_PLAN_VALUES	GJAHRand POPER
PERIV	Fiscal Year Variant	FINSC_LD_CMP	PERIV
BW_KNAFA_P	Value at Start of Period: Accumulated ordinary depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07205 (1) , (2a)
BW_KSAFA_P	Values at Start of Period: Accumulated Special Depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07206 (1)
BW_KAAFA_P	Values at period start: accumulated unplanned	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07207 (1)

Field in the Extract Structure	Description of the Field in the Extract Structure	Source Table	Field in the Source Table
	depreciation		
BW_KMAFA_P	Values at Start of Period: Accumulated Transfer of Reserves	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07208 (1)
BW_KAUFN_P	Accumulated Revaluation of Ordinary Depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07204 (1)
BW_KAUFW_P	Accumulated Revaluation of the Replacement Value	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07203 (1)
BW_KZINS_P	Posted Interest of the Year	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07209 (1)
BW_NAFAG_P	Values of the period: Posted ordinary depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07205 (1), (2b)
BW_SAFAG_P	Values of the period: Posted Special Depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07206 (1)
BW_AAFAG_P	Values of the period: Posted Unplanned Depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07207 (1)
BW_MAFAG_P	Values of the period: Posted Transferred Reserves	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07208 (1)
BW_AUFNG_P	Posted revaluation of accumulated ordinary depreciation	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07204 (1)
BW_AUFWG_P	Posted Revaluation of the Replacement Value	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07203 (1)
BW_ZINSG_P	Posted Interest of the Year	ACDOCA / FAAT_PLAN_VALUES	SLALITTYPEs 07209 (1)
KOKRS	Controlling area		(Derived from the company code)
KOSTL	Cost center	ANLZ	KOSTL
PRCTR	Profit center	ANLZ	PRCTR (3)
SEGMENT	Segment	ANLZ	SEGMENT (3)
FKBER	Functional area	ANLZ	FKBER
CAUFN	Internal order	ANLZ	CAUFN
EAUFN	Investment order	ANLZ	EAUFN
IAUFN	Maintenance order	ANLZ	IAUFN
FISTL	Funds center	ANLZ	FISTL
PS_PSP_PNR	WBS element	ANLZ	PS_PSP_PNR
SIM	Single-character flag		(Simulation indicator)

Field in the Extract Structure	Description of the Field in the Extract Structure	Source Table	Field in the Source Table
GEBER	Fund	ANLZ	GEBER
GRANT_NBR	Grant	ANLZ	GRANT_NBR
GEBER2	Fund for APC account assignments	ANLZ	GEBER2
FKBER2	Functional area for APC account assignments	ANLZ	FKBER2
GRANT_NBR2	Grant for APC account assignments	ANLZ	GRANT_NBR2
FISTL2	Funds center for APC account assignments	ANLZ	FISTL2
IMKEY	Internal key for Real Estate object	ANLZ	IMKEY
PS_PSP_PNR2	Work breakdown structure element (WBS element) - costs	ANLZ	PS_PSP_PNR2
BUDGET_PD	Budget period:	ANLZ	BUDGET_PD
BUDGET_PD2	Budget period for APC account assignments	ANLZ	BUDGET_PD2

Explanation:

(1) Currency fields (for example, z.B. HSL for local currency)

(2a) The accumulated depreciation at the beginning of the period corresponds with the posted depreciation (BW_NAFAG_P) of all previous periods for this fiscal year.

(2b) Posted depreciation of the period

(3) In the case of an activated business function Segment Reporting (FIN_AA_SEGMENT_REPORTING)

Extractor Features

The extractor reads from tables ACDOCA (document table general ledger) and FAAT_PLAN_VALUES (planned and not yet posted period depreciation).

For the **delta extraction**, only entries of posting runs started since the last delta extraction are selected. In addition to this, planned depreciation changes for fixed assets are extracted of those plan values that have changed since the last extraction (for example, by changing the useful life or the depreciation key).

In addition to depreciation actually posted, you can also **simulate** the depreciation of future periods (periods not yet posted) in open fiscal years. This is done on the basis of parameter BWFIAASIM.

The simulation indicator SIM flags entries that were only simulated.

By default, the planned but not yet posted depreciation period values are extracted and flagged by the SIM indicator.

The parameter BWFIAASIM for the InfoSource determines the required simulation procedure for depreciation. The following types of parameter exist:

BWFIAASIM = 0	Simplified procedure for depreciation simulation	**Note** The simplified procedure is **no** longer available as of releases SAP Simple Finance 1503 and SAP S/4HANA 1511.
BWFIAASIM = 1	Exact procedure of the depreciation simulation	
BWFIAASIM = 2	No simulation of the outstanding depreciation	

If you have concerns regarding system performance or if you do **not** need the depreciation planned values in BW, you can deactivate the simulation by setting a parameter in the table. BWOM_SETTINGS. To do this, create a new entry in this table (using transaction SE16) with the following content:

OLTPSOURCE	PARAM_NAME	PARAM_VALUE
0FI_AA_12	BWFIAASIM	2

FI-AA: Transactions and Depreciation

0FI_AA_20

Use

Technical Data

Application Component	Financial Accounting: Asset Accounting(FI-AA)
Exchange Available as of Release	604
Shipment	SAP NetWeaver 7.0, BI Content Add-on 4
Content Versions	Content 604
RemoteCube-Capable	No
Delta-Capable	No
Extraction from Archives	No
Verifiable	No

Data Modeling

Fields of Origin for the Extraction Structure

Fields in the Extraction Structure	Description of the Field in the Extraction Structure	Table of Origin	Field in the Table of Origin
BUKRS	Company Code	-	-
ANLN1	Main Asset Number	-	-
ANLN2	Asset Subnumber	-	-
AFABER	Depreciation area, real or derived	-	-
PERIV	Fiscal Year Variant	-	-
GJAHR	Fiscal Year	-	-
FISCPER	Fiscal Year/Period	-	-
LNRAN	Sequence number of asset line items in fiscal year	-	-
BELNR	Accounting Document Number	-	-
BWASL	Asset Transaction Type	-	-
VALUETYPE	Value Type	-	-
RECORDTYPE	Record Type	-	-
UPTOMAXPER	Cumulate for Maximum Period Only	-	-
WAERS	Currency Key	-	-
MEINS	Base Unit of Measure	-	-
MENGE	Quantity	-	-
VALUE_P	Period Value	-	-
VALUE_C	Cumulative Value	-	-

Recalculating Values

Use

It might be necessary to recalculate planned annual depreciation in certain company codes or for individual assets. This might be necessary if:

- You have changed a depreciation key.
- You have made mass changes that you programmed yourself, and these changes affected data relevant to depreciation.
- You want to calculate subsequent revaluation (after the legacy data transfer is closed) using current index figures. In order to correctly calculate replacement values, however, you can only use index series that calculate historically.

Process

Start the program for the recalculation of depreciation (on the SAP Easy Access screen for Asset Accounting under **Environment**). This program enables you to recalculate planned annual depreciation using the depreciation terms that are valid at the time that you start the report. You can also run the report in test mode. However, you can only recalculate planned depreciation for fiscal years that are still open.

After the system recalculates the planned annual depreciation, it creates a statistical log with the total number number of assets processed and the number of assets with errors. You can check the assets with errors using the asset display transaction.

The depreciation posting program corrects the periodic depreciation for the fiscal year according to the newly calculated annual depreciation and the periodic depreciation that has already been posted.

ⓘ Note

For performance reasons, the depreciation recalculation program should only be executed in the background. Start the program therefore using background processing. (On the initial screen of the program, choose **Program** > **Execute in Background** >).

Mass Processing

Use

The following objects describe accounting transactions that are normally carried out using individual processing, but for which you also have the option of using mass processing.

Mass Changes to Master Data

Purpose

The Asset Accounting component provides a function for mass processing of freely definable changes to asset master data. The system carries out these changes automatically to a large extent. This type of mass asset change might be necessary in the following cases:

- When there is a change to the cost center plan, you have to change the cost center assignment of all assets affected.
- As part of year-end closing, you have to change depreciation terms.
- Following the legacy data transfer, you have to make entries in certain asset master data fields that could not be copied from your legacy system.
- You made a change at the asset class level. Changes at this level affect only those assets that are created after the change was made. Therefore, you have to make this change in the already existing assets.

ⓘ Note

In order to carry out a mass change, you need the normal authorization for asset master data maintenance, as well as authorization for authorization object A_PERI_BUK (authorization for periodic processing) with activity 40. This authorization is contained in the standard profile A_ALL.

Process Flow

The mass change process has three levels:

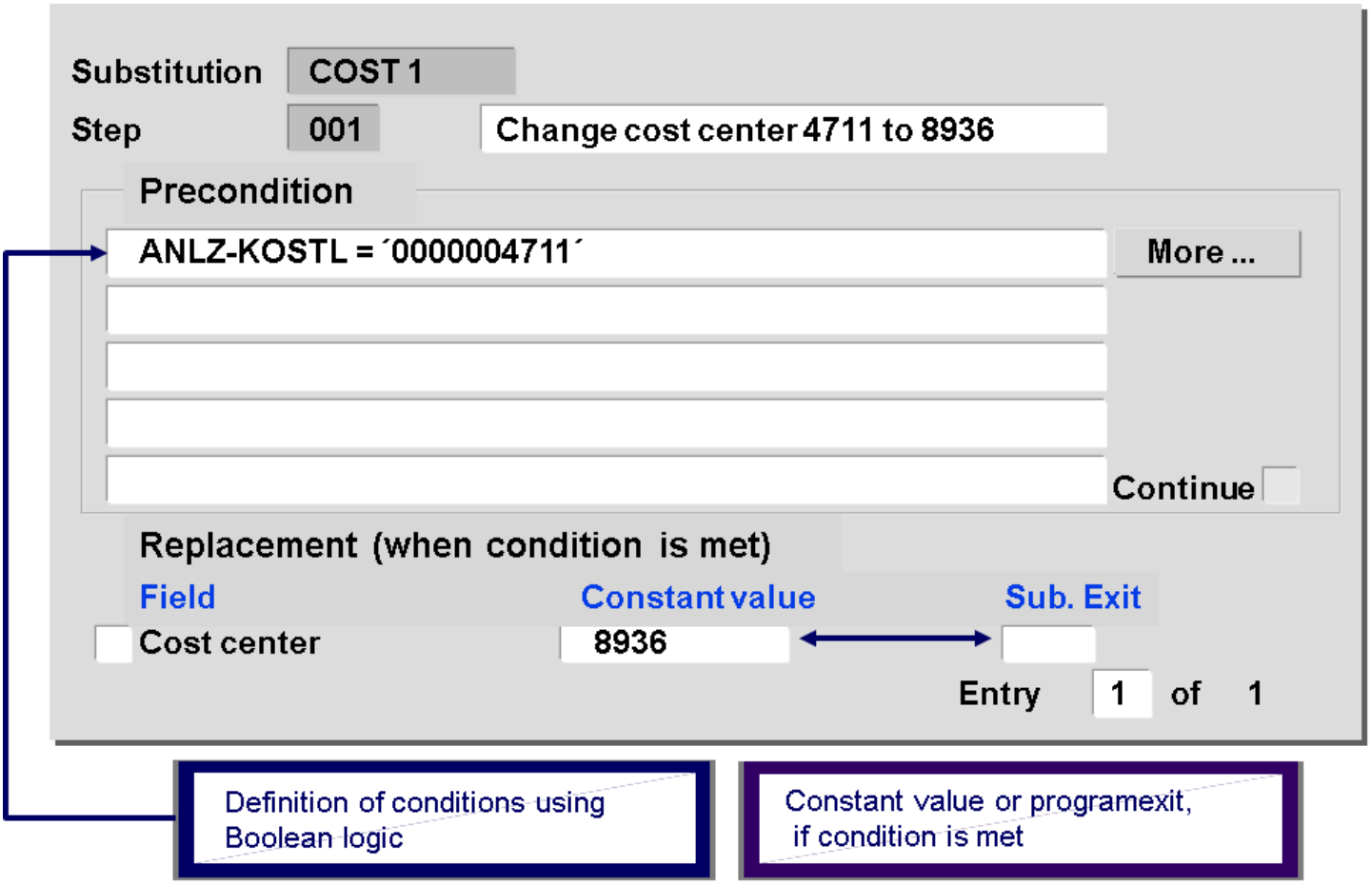
- Defining the change rules
- Selecting the assets, and entering them in a worklist
- Checking and correcting the worklist, and releasing the worklist (= execution of the mass change)

Defining the Change Rules

You define the change rules using substitution (in Customizing for **Asset Accounting** under **Master Data** - also refer to Validation and Substitution). The change rules determine under which circumstances which master data field should receive which new contents. When you create a worklist for mass change, you have to enter a substitution rule. When the worklist is processed, all the assets in the worklist are changed according to the defined rules.

For more information on substitution rules, see the documentation in the FI-AA Implementation Guide under **Master Data** . The procedure for defining a substitution rule is described there.

The following graphic shows the Customizing definition of a substitution rule. In all assets with cost center 4711, the cost center should be replaced by cost center 8936.



Substitution Rule

⚠ Caution

Please note that when you make a change to time-dependent data (such as the assignment to a cost center), you always have to enter the time interval (valid from/to date) in the substitution rule. When you enter a new **valid from** date in the substitution, the system automatically opens a new time interval. You can only change one time interval in each mass change. It is **not** possible to change in several time intervals in parallel.

Also note that when you make changes to the depreciation terms, you also have to enter the depreciation area (AFABE) in the condition.



Definition of a Substitution

Selecting Assets

You have to select the assets that you want to change. You make this selection using any standard report in the Asset Information System. Select using the report under **Tools** > **Worklist** > **Generate** > **, or use any other standard FI-AA report. Then place the selected assets in a worklist (function** > Create worklist in the list display of the report). Note that you can only select assets from a **single** company code.

The function **Dynamic selections** in the report selection screen allows you to further limit the selection. In addition to the standard reporting selection criteria, this function allows you to use all the fields of the general data part of the master record as selection criteria. Using these selection options, you can select the assets for the change according to your own specific requirements. You can add individual assets to a worklist (under **Environment**):

- From within the asset master data transaction
- From within the asset value display transaction
- During later processing of the worklist

⚠ Caution

The report for creating a worklist only shows assets that have APC amounts. In order to select assets that have not been posted, you have to use the standard report for unposted assets (under **Day-to-day activities**).

Documenting the Mass Change

The system documents the mass change to master data using change documents, just as it does for manual changes. You can enter the number of the worklist as a selection criteria in the standard report for displaying master data changes. The report shows all changes that were made using a mass change. It also shows the user who processed the mass change.

Procedure

Carrying Out Mass Change

ℹ Note

You can also include more than one person in carrying out a mass change to asset master data. Using this method provides you with an opportunity for additional checks by other members of your enterprise. For more information, see BC Workflow Scenarios in the Applications .

The workflow scenario "Mass changes to asset master data" (including more than one person) is active as soon as a user is assigned to the standard activity "Correct worklist" (FI-AA Customizing: **Preparing for Production Startup** > **Management of Authorizations** >). On the other hand, you have to make sure that this activity is **not** assigned to a user, if you do not want to use workflow and instead plan to use the procedure described above.

Definition of a Substitution

The following example shows a substitution rule for changing the cost center in the asset master record. The cost center should be changed for all assets in the asset class 1000 as of 1/1/1996 from "QKI" to "1", if "QKI" is the valid cost center after 12/31/1995:

Precondition:

ANLA - ANLKL = '00001000' and

ANLZ - KOSTL = 'QKI ' and

ANLZ $BDATU > '19951231'

Substitution (when the condition is fulfilled):

Cost center: 1

Valid from: 01/01/96

Note that the **Valid to** date (BDATU) in the condition has to be entered in the year/month/day form.

Carrying Out Mass Changes

Procedure

1. Define a substitution rule for the mass change (**Tools** > **Mass change rule)**

- Choose **New entries** . Then enter the company code, a number and a description for the substitution.
- Choose **Goto** > **Substitution** > **. Choose** > **Substitution** > **Create.**
- Define a substitution step (**Insert entry**). In the resulting dialog box, you have to select the fields that should be changed in the substitution step.
- Define the conditions for the substitution. Enter the values that you want the fields to adopt when the conditions are met. The system assists you in creating substitution rules with the function **Flds in Bool. stmtnt.** Refer to the F1 help for the syntax of the substitution conditions.

1. Select the assets that are to be changed. Either start any standard FI-AA report, or use the function **Tools** > **Work list** > **Generate** > **. Start the report with the appropriate limitations. Please note that you can only enter one company code when making selections.**
2. Select the function **Create worklist** in the list display. Select the standard purpose "Change master record."
3. In the next dialog box, select the substitution rule that you want to use for the mass change.
4. Choose **Tools** > **Worklist** > **Edit** . Enter the number of your worklist and choose **Execute** .
5. You can enter individual assets in the worklist or delete them under **Edit** . You can also include complete worklists in the worklist under **Add to worklist** .

   Under **Change worklist header** , you can change the substitution rule for the mass change.
6. Release the worklist (**Release**).
7. Check the status of the worklist (**Refresh screen**). The following statuses are possible:

- Ready (was created, but not yet processed)
- Accepted (being processed, but not yet released)
- Ended (all assets were changed correctly)
- With errors (the change could not be made for at least one asset because an error occurred)

1. Check any errors that occurred during the mass change to master data (**Edit** > **Display error** > **). Correct the errors. Use the long text of the error message as a help.**
2. Create and process a new worklist for the assets that had errors.
3. Check the results using the change document list (**Info system** > **Report selection** > **Preparations for closing** > **).**

Mass Retirement

Use

When an enterprise sells a large portion of its fixed assets (such as a plant or a building), it is then necessary to post the retirement of all the individual assets which make up the whole. Since the number of affected assets can be very large, Asset Accounting makes it possible to make the necessary postings using mass processing.

Prerequisite

For a mass retirement you need the "normal" authorization for asset postings and authorization for authorization object `A_PERI_BUK` (authorization for periodic processing) with activity `40`. This authorization is included in the standard profile `A_ALL`.

Features

Working via Worklist

The selection of the assets affected and the basic procedure for mass retirement is carried out using the same functions as a mass change to asset master data. You use a work list (refer toMass Changes to Master Data). When you create a mass retirement, you have to enter the purpose as either **retirement with revenue** or **retirement without revenue (scrapping)**. You also have to make these entries, amongst others, needed for posting the mass transfer:

- Posting date
- Transaction type
- Revenue and type of revenue distribution

If you only want to perform the retirement for certain valuations, you can restrict the mass retirement by entering an accounting principle or a depreciation area.

The rest of the procedure for mass retirement corresponds to the procedure for a mass change (refer to Mass Changes to Master Data).

Type of Revenue Distribution

The revenue for the assets sold can be distributed to the affected assets in one of the following ways:

- Proportional to the book value of the affected assets

- Proportional to the acquisition and production costs of the assets
- Individually
    - Using a prepared customer enhancement project.

      For a customer enhancement project, use the SAP enhancement **Individual Revenue Distribution for Mass Retirements** (`WFOB0001`).
    - In the worklist

Individual Revenue Distribution in the Worklist

You can use individual revenue distribution for worklists. (In this case, you do **not** require SAP enhancement `WFOB0001`.)

To split the revenue individually in the worklist, in the SAP Easy Access menu for Asset Accounting, choose **Environment** > **Worklist** > **Edit**. In the list display, enter the revenue for each asset manually: The revenue determined by the system for each asset is initially zero. You can then manually change this value to the value you want.

You can also assign the attribute "Individual Revenue Distribution" to a worklist at a later point in time (by choosing **Change Worklist Header** in the worklist processing transaction). In addition, you can manually change the total revenue at the same time. When you save the worklist, the system recalculates the revenue for each asset based on the type of revenue distribution.

Processing with Workflow Technique

It is also possible to carry out mass retirement (like mass changes to master data) using the workflow technique. Using this method provides you with an opportunity for additional checks by other members of your enterprise.

The workflow scenario **Mass Retirement** is active as soon as a processor is assigned to the standard activity **Correct Worklist** (in Customizing for Asset Accounting under **Asset Accounting** under **Preparations for Production Operation** > **Authorization Management** > **Assign Workflow Tasks**). Note, however, that if you do not want to use workflow control and would prefer to use the procedure as defined for this IDES process, you must ensure that **no** agent has been assigned to this IMG activity.

Mass Transfer

Purpose

If you want to change the company code of a large portion of the asset portfolio (such as a plant or a building), it is necessary to post the transfer of all the individual assets which make up the whole. Usually the change of a company code results from organizational restructuring of the enterprise. Since the number of affected assets can be very large, the Asset Accounting (FI-AA) makes it possible to make the necessary postings using mass processing.

Features

Mass transfer, like mass retirement , is based on the workflow functions of the SAP system. The assets are selected using a worklist, as is the case for mass retirement. When you create the worklist, you have to enter **asset transfer** as the purpose. You also have to make the following entries needed for posting the mass transfer:

- Posting date
- Transfer variant
- Revenue

In addition, you can enter **one** target asset for the transfer. The system transfers the values of **all** sending assets to this one asset. If you **do not enter a target asset** , the system creates a receiving asset in the target company code for each sending asset, and transfers the values of each sending asset to a new asset.

In the standard system, the system assigns one new main asset number for every transferred asset; it does not consider subnumbers. To keep the relationships between the individual assets during the transfer, you have the following options:

- Keep the original number structure

  You can specify that assets with the same main number are assigned the same new main number during the transfer. The system assigns the subnumbers sequentially, without considering any gaps in the original subnumber structure.

  To use this function, you select the **Keep Number Structure** checkbox.

  > **Note**
  > In executing this function, the system considers only those assets that are in the worklist. This means that if you process assets with the same main number in different worklists, then the system assigns a new main number for each of the worklists.

- Keep the original main number

  You can specify that assets keep their original main number during the asset transfer. To do this, you can use the Business Add-In (BAdI) **Control Number Assignment for Mass Transfer** (`BADI_FIAA_NUMBER`). The system assigns the subnumbers sequentially, without considering any gaps in the original subnumber structure.

  To use this function, activate the implementation of the BAdI and select the **Keep Number Structure** field.

  > **Note**
  > Keeping the original main number is only possible if the asset transfer is within a company code.

Processing Incomplete Assets

Use

Incomplete assets are assets that have been entered in the system, but in which important master data was not entered (primarily account assignment information and required entries). This kind of asset could have been entered under one of these circumstances:

- When an investment measure is created, the system automatically creates an asset under construction. For some reason, the system could not automatically supply all the necessary default values for the asset under construction (refer to: Investment Management).
- When creating an asset from another component, either from within a purchase order or from the settlement rules of orders or WBS elements, assets were not entered with all of the necessary information.
- The incomplete asset was entered using an asset view that allows only limited access to asset master records (see Master Data Maintenance with Asset Views).

Degree of Completeness

An asset can be considered complete to the degree listed below. The possible levels of completeness are:

- The asset is complete (all required fields defined in the screen layout are maintained).

- The asset is incomplete, but can be posted (all account assignment information is complete).
- The asset is incomplete and cannot be posted.

Limitations on Incomplete Assets

You must complete any incomplete assets. Incomplete assets are therefore subject to these limitations:

- You cannot retire an incomplete asset (retirement posting is not possible).
- You cannot close the fiscal year in Asset Accounting for the company code in which incomplete assets are found.
- The system does not post depreciation for incomplete assets.

You can post acquisitions to incomplete assets. However, either the business area must have been entered in the asset, or else your enterprise does not create business area balance sheets (according to the definition in the FI General Ledger).

You can define your own checks for posting to incomplete assets by using validations (see Validation).

Process Flow

If you are using the Workflow component, the system automatically creates a worklist of incomplete assets.

As an alternative, you can use a special report (under **Tools** > **Problem analysis**) for selecting incomplete assets. This report lists all incomplete assets, in any number of company codes, and provides detailed information about why they are incomplete. In this way, the report helps you to determine the reason the asset is incomplete, and to make needed corrections. There could be assets for which the reason for their being incomplete no longer exists (for instance, because their screen layout control has changed). There is a function on the report display that allows you to indicate that these assets are now complete.

Selecting/Correcting Incomplete Assets

Procedure

1. Choose **Tools** > **Problem analysis** > **Incomplete assets** > .
2. Enter the company code and the completeness indicator (1 or 2).
3. Start the report.
4. Set the status of those assets to "complete" that now meet the completeness requirements (Function **Correct incomplete assets** in the report output screen).
5. Start the report again.
6. Correct the remaining assets by correcting their incomplete fields (double click on the line in the report output screen).